MGT602 – Entrepreneurship MERGED
PPT THEMES SLIDES (HANDOUTS)
(THEME 01 TO 13)

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PPT Handouts

Theme 01 to 13

Efforts By

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MGT602
Theme-1 video-1

Course introduction

Agenda

1. What this course is about?
2. Who should watch this course?
3. Can you learn entrepreneurship ?
4. What is the pedagogy adopted for this course ?
5. How your learning will be assessed ?
6. Expected outcome of this course

What this course is about?

Entrepreneurship is a buzz word these days. Everyone is talking about entrepreneurship or wants to be an entrepreneur.

Entrepreneurship is all about doing your own business and entrepreneur is a person who sets up a business

All state actors like governments and related institutions, universities, colleges, microfinance institutions MFIs and many consulting firm are encouraging individuals for choosing entrepreneurial career irrespective of gender and age.

Why all entities like government, educational and financial institution are supporting entrepreneurship?

1. Seeking a job in a firm
2. Creating your own firm

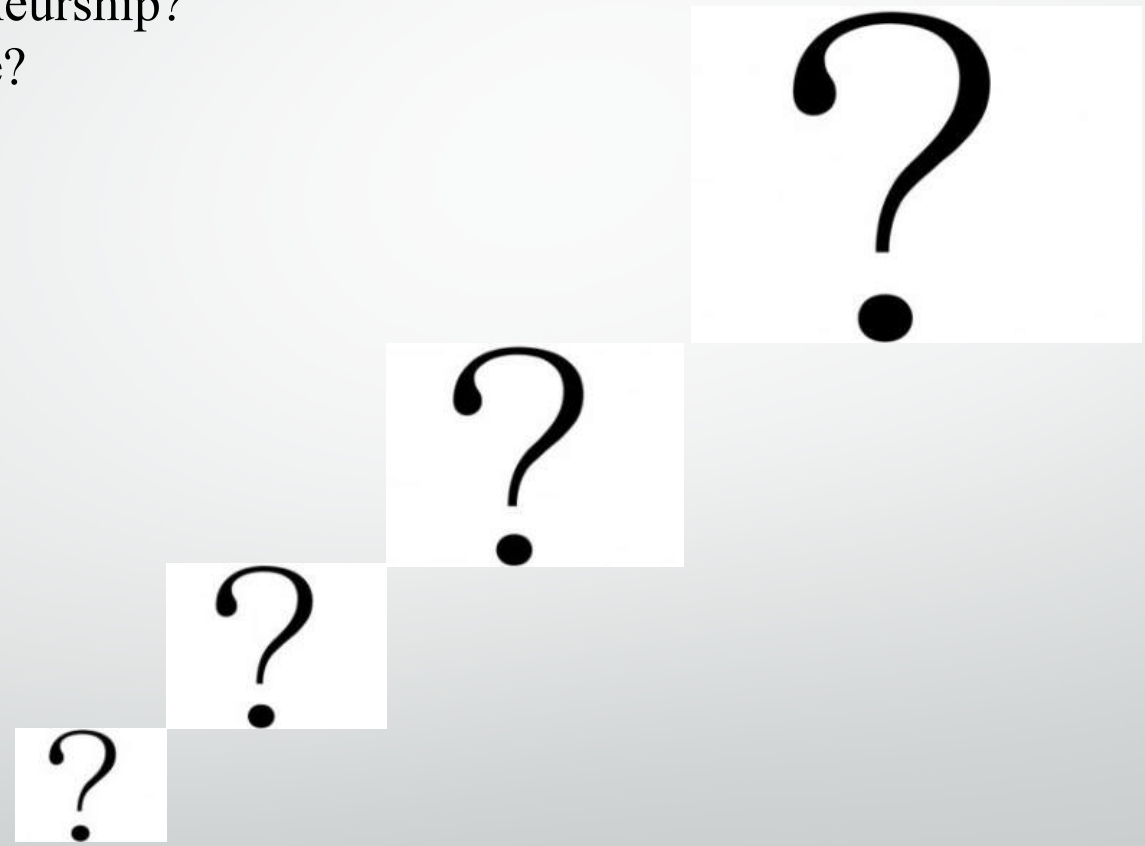
What if all graduates students are job seekers?
What if no one is creating a firm?
Then, who will create jobs?

Entrepreneurship is not all about doing business for profit, rather it is:

- A great source of creating jobs
- To create a balance between job seekers and job-creators
- To stimulate healthy economic growth

While discussing entrepreneurship, there are so many interesting questions:

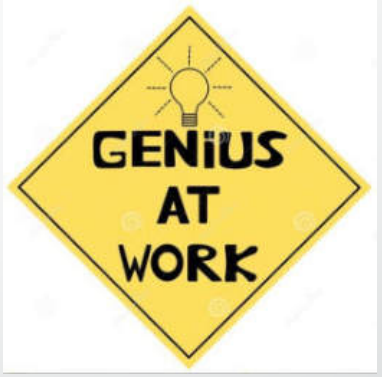
Q1: What is an entrepreneurship?
Q2: Is it a new discipline?
Q3: Is it a process?
Q4: Is it an attitude?



Some more questions are:

Q1: Who is an entrepreneur?
Q2: Are entrepreneurs so smart, supper intelligent, super genius, innovative, risk lover?

- Bill Gates of Microsoft
- Steve Jobs of Apple
- Richard Branson of Virgin Group
- Mark Zuckerberg of Facebook
- Jack Ma of Ali Express



Who should watch this course?

Though, learning is not age restricted. This course of Entrepreneurship is much recommended especially to young individuals who are about to choose their career, but it is equally helpful for in-action entrepreneurs.

Can you learn entrepreneurship ?

One more interesting question: rather the most famous question: کبھی بھی کاروبار پڑھ کے کرنا آتا ہے

Now this question has its own philosophy. We also believe that entrepreneurship is quite practical and experiential course in nature.

If you are born artist or you have a business sense, still you need a mentor who can guide you for better decisions, risk-taking strategies, better and smart marketing strategies and business intelligence.

What is the pedagogy?

Resource Persons:

- Miss Noreen Zahra Ali, Assistant Professor of Management Sciences at Virtual University of Pakistan.
- Dr. Rizwan Saleem Sandhu, Assistant Professor of Management Sciences at Virtual University of Pakistan.

Recommended Books:

1. Entrepreneurship: Successfully Launching New Ventures by Bruce Barringer and R. Duane Ireland
2. Entrepreneurship by Robert Hisrich, Michael Petters and Dean Shepherd
3. Essentials of entrepreneurship and small business management by Thomas Zimmerer and Norman Scarborough
4. Small Business Management by Justin G. Longenecker, Carlos W. Moore, J. William Petty and Leslie E. Palich

A start-up success is not a consequence of good genes or some good luck. It can be engineered by following the right process, which means it can be learnt and taught through an entrepreneurial process,

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Theme-1 video-2

History of Entrepreneurship; Part a

The beginning

Entrepreneurship

Entrepreneurship is a process of finding solutions to problems.

Entrepreneur

Entrepreneur is the person who is a solution provider.

Enterprise

Willingness to undertake new ventures or initiative and discover non-routine actions in a dynamic way

The enterprising nature of mankind is at least as old as the existence of mankind himself.

Hunter Gatherers

In the early ages of existence, human being were hunter gatherers

1. Living in jungles
2. Moving around in family
3. Fighting against nature for survival
4. Reliance on hunting skills

Enterprising people contributions

- Fire
- Tool making
- Food storing
- Tribes
- Farming

Farming was the big economic/green revolution

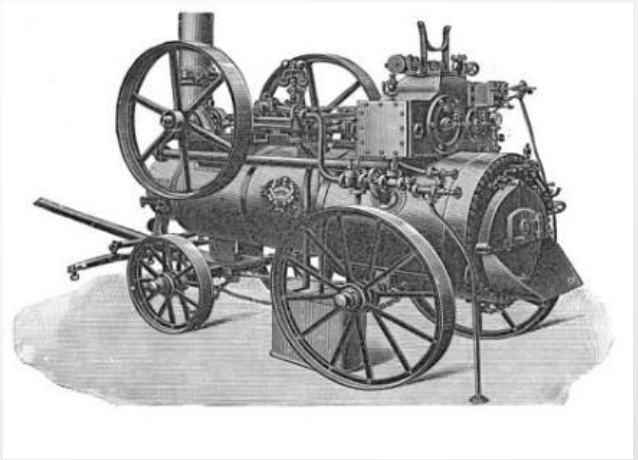
Mankind moved from the era of hunter gathers to agriculture societies

Merchant Entrepreneurs

The surplus goods brought the idea of trading

The Great Silk Road

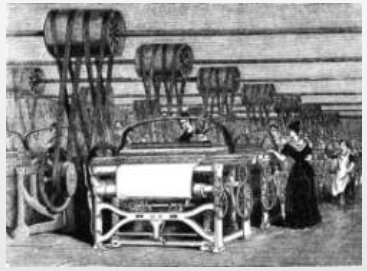
Steam engine; the beginning of industrial revolution



- Era of manufacturing
- Era of establishment of big business units
- Era of craft production to mass production

Travelling, manufacturing, services, electricity and everything you do today is the fruit of industrial revolution

- Mining
- Railroads
- Iron factories
- Textile industries
- Weapon industries
- Scientific inventions



Bolton Report

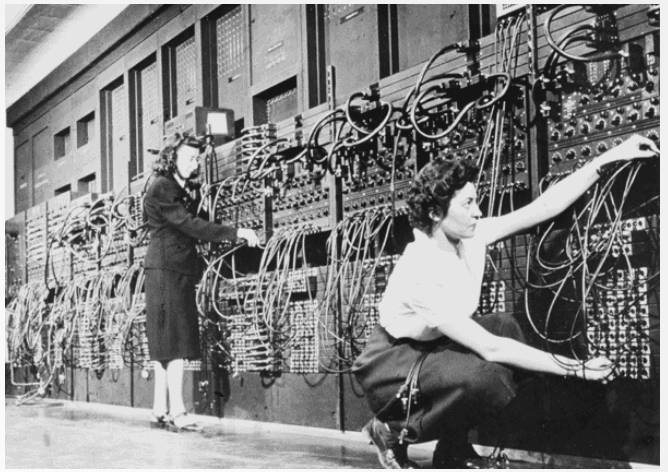
UK established a committee of Inquiry on Small firms and published in 1971 that covered the eight important economic functions that small business perform for efficient economies.

Small business Administration

Likewise, USA government also established an agency called Small Business Administration to preserve the small sector. Reasons for re-mergence of small-scale enterprises were noticed as:

1. New Inventions
2. Technological changes
3. New industries & subcontracting
4. Demand for more services and variety
5. Individual customer requirements
6. Unemployment
7. Privatization and tax benefits offered by governments

Computer and/or Technological Revolution



1946: The first computer

1954: First commercial computer

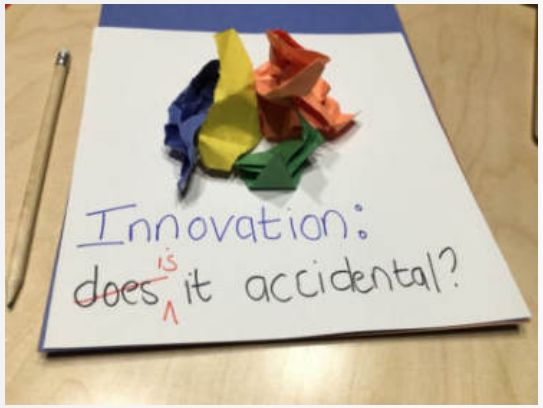
1981: The personal computers

1989: The world wide web (www) or .com revolution

1993: the search engine revolution

2000: The social media revolution

Can something accidently be enterprising or does it have to be the product of deliberate actions?



In eras, the inventions are the product of deliberate actions of enterprising individuals to whom we can call entrepreneurs as they find solution of our problems.

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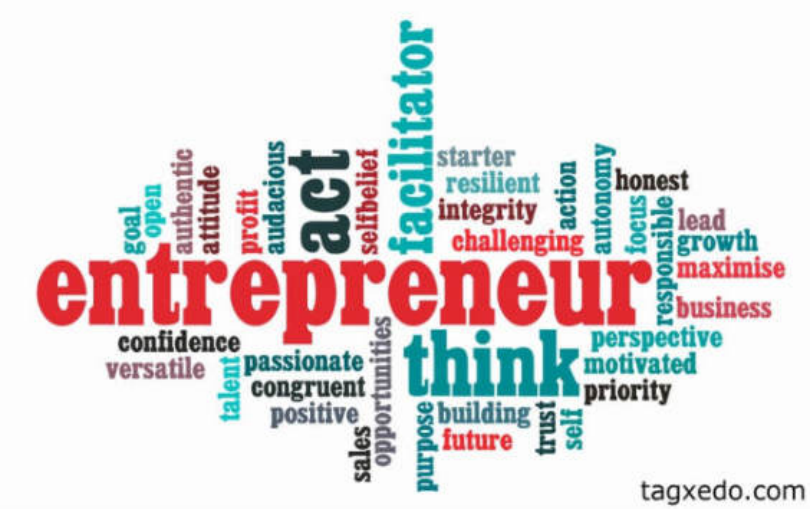
Theme-1 video-3

History of entrepreneurship (Part b);

An emerging discipline

Agenda of this video

1. What is an academic discipline?
2. The history of entrepreneurship as a field of study
3. Main contributors



What is discipline ?

Discipline is a particular area of study, especially a subject of study in a college or university. It is a branch of knowledge.

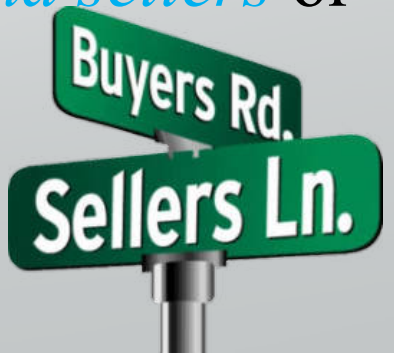
Dictionary Source: Collins, Cambridge, Merriam-Webster, Oxford

- Philosophy
- Archaeology
- Geography
- Psychology
- Economics
- History
- Mathematics
- Political Science
- Social Science
- Linguistics
- Mathematics

Entrepreneurship: an emerging discipline

- Entrepreneurship originated from the science of economics but it is multidisciplinary, developed in many subfields with several disciplines such as management/business administration, sociology, psychology, culture, marketing, finance, and geography.

- The term "entrepreneur" has been in use since 12th century when it first appeared in the French language where "*entre*" means between and "*prendre*" means to take. These words was originally used to describe people *who take on the risk between buyers and sellers* or who undertake a task such as starting a new venture.



Entrepreneur Definitions

"Entrepreneur is a person with foresight and confidence, operate in a condition where the cost maybe known but rewards are uncertain" Cantillon, Irish-French economist (17th century)

"There is a distinction between the entrepreneur and the capitalist, and between their profits" Jean-Baptiste Say, French economist and businessman (18th century)

"The entrepreneur is a person who is willing and able to convert a new idea or invention into a successful innovation" Joseph Schumpeter, an Austrian political economist from the (20th century)

Schumpeter labelled entrepreneur creative destructor and directly linked it with innovation.

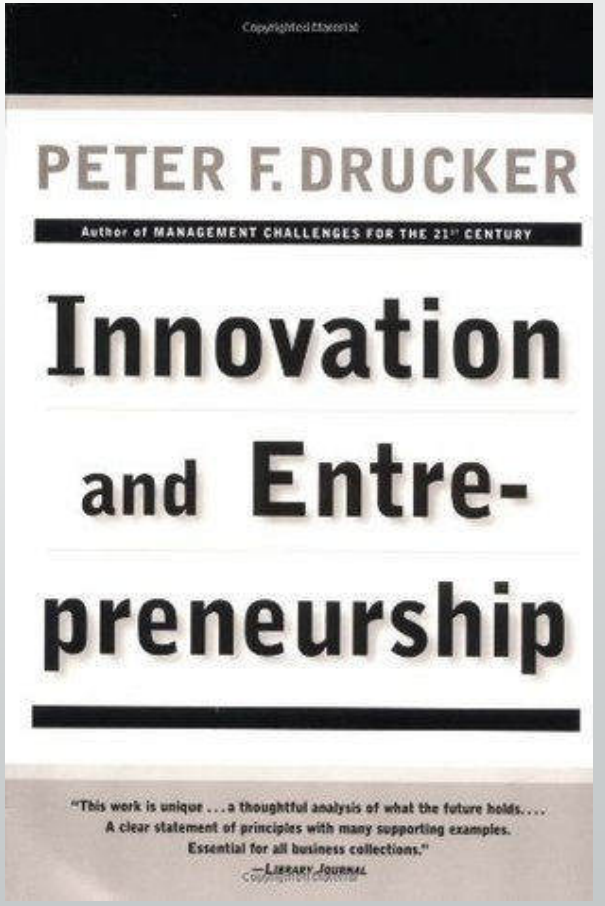
Baumal categorized an entrepreneur as business organizer and also as an innovative person.
(William Jack Baumal, an American economist from the 20th century)

David C. McClelland, behaviorist from the 20th century *described entrepreneurs on the basis of characteristics, attitudes, and skills.*

Peter Drucker, management scientist from the 20th century *wrote a book* **“Innovation and entrepreneurship: practice and principles”**.

Drucker also linked entrepreneurship with

- Innovation
- product innovation
- production method innovation
- new market development
- supply chain development
- new and better structure of organization.



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Theme-1 video-4

History of entrepreneurship (Part c); Current practices

Agenda of video

1. What are incubation centers?
2. Start-up competitions and platforms
3. Data on Entrepreneurship

Business Incubation Center

A **business incubator/incubation center** is a place that helps startup companies to develop and grow by providing services such as management training, networking, mentoring and/or office space.

- The start of any business is always challenging. Business incubator's aims to meet this challenge by producing successful and financially viable firms.

Student Startup Business Center (SSBC)

Virtual University of Pakistan has successfully established an incubation center: **Student Startup Business Centre (SSBC)** with the collaboration of **Punjab Education Foundation (PEF)** and **HEC Pakistan**. You can find the details about SSBC at https://ssbc.vu.edu.pk/Default.aspx.

There are many other national and international platforms which are providing incubation services to the young entrepreneurs

- Plan9
- National Incubation Center
- THE NEST
- nspire
- Revolt
- Microsoft Innovation Center
- Wecreate
- Social Innovation Lab

The Indus Entrepreneurs (TiE)

The Indus Entrepreneur (TIE) https://tie.org/ was founded in 1992 in Silicon Valley, is an international platform for entrepreneurs to get benefited from its eminent incubation services .i.e.

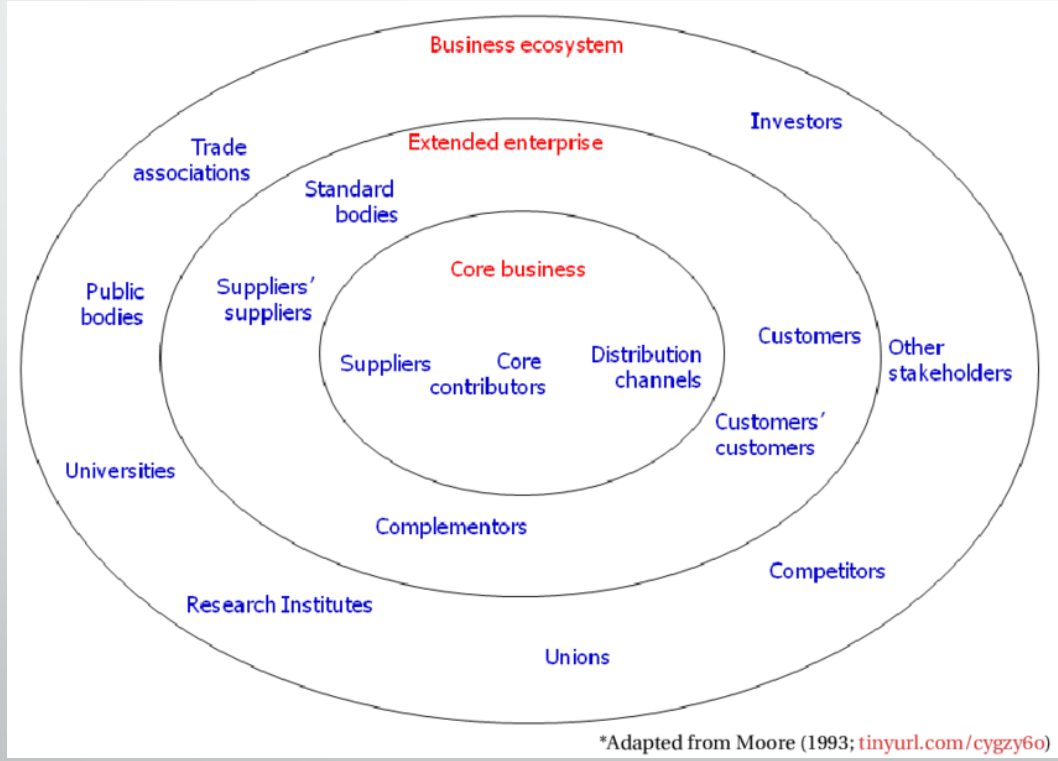
- Mentoring
- Networking
- Education
- Funding
- Incubation

The Global Entrepreneurship Monitor (GEM)

Global Entrepreneurship Monitor (GEM) https://www.gemconsortium.org/. GEM is able to provide high quality information, comprehensive reports and interesting stories, which greatly enhance the understanding of the entrepreneurial phenomenon.

Business Ecosystem

An ecosystem refers to the social, economic, political, legal, technological, market, internationalization and related environment affecting the local/regional entrepreneurship.



Books to read to understand entrepreneur, entrepreneurship and business ecosystem

- The Innovator's Dilemma" by Clayton Christensen
- The Lean Startup by Eric Ries
- Zero to One by Peter Thiel
- کامیاب لوگ
  by Dr. Amjad Saqib

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Theme-1 video-5

What is entrepreneurship ? The definition

Agenda of the video

1. The definition of entrepreneurship from literature
2. The definition of entrepreneurship: from an entrepreneur’s preceptive

Definitions of Entrepreneurs

- The capacity and willingness to develop, organize and manage a business venture along with any of its risks in order to make a profit. Entrepreneurial spirit is characterized by innovation and risk-taking and is an essential part of a nation's ability to succeed in an ever changing and increasingly competitive global marketplace. *(Businessdictionary.com)*

Definitions of Entrepreneurship…..

- Entrepreneurship is defined as a process by which individuals pursue opportunities without regard to resources they currently controlled. Entrepreneurship is an art of turning an idea into a business. *(Barringer and Ireland)*

- Entrepreneurship is a dynamic process of creating incremental wealth. The wealth is created by individuals who assume the major risk in terms of equity, time and commitment to provide value for some product or service. The product or service may or may not be new, but the entrepreneur must somehow infuse value by receiving and building the necessary skills and resources as a result receive the financial reward with personal satisfaction. *(Hisrich, Peters, and Shepherd)*

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Theme-1 video-6

Who is an entrepreneur? The definition

Agenda of this video

Who is an entrepreneur ?

1. Definition given in literature
2. The entrepreneur's very own definition

Definitions of Entrepreneurship

"Entrepreneurs is an individual who takes initiative to bundle resources in innovative ways and is willing to take risk to act" *(Hisrich, peters and shepherd)*

"Entrepreneur is the one who creates a new business in the face of uncertainty and risk for the purpose of achieving profit and growth by identifying significant opportunities and assembling the necessary resources to capitalize on them" *(Zimmerer and Scarborough)*

"Entrepreneur is someone who exercises initiative by organizing a venture to take benefit of an opportunity and, as the decision maker, decides what, how and how much of a good or service will be produced" *(Businessdictionary.com)*

Some of the leading Pakistani entrepreneurs are:

- Hakim Muhammad Saeed (Hamdard Pakistan)
- Aftab Iqbal (Tapal Tea)
- Adamjee Dawood (Adamjee Group)
- Mian Muhammad Din (Super Asia)
- Dr. Amjad Saqib (Akhuwat)
- Roshan Zafar (Kashf Foundation)
- Salim Ghauri (NetSol)
- Monis Rehman (Rozee.pk)

Most famous international entrepreneurs are:

- Henry Ford (Ford Motors)
- Walt Disney (Disney)
- Steve jobs (Apple Inc.)
- Richard Branson (Virgin Group)
- Mark Zuckerberg (Facebook)
- Jack Ma (Alibaba.com).

Common themes/traits/attributes of entrepreneurs are:

- Who creates venture and/or value
- Who is a job creator
- Who packs together the resources in an innovative way
- Who is a risk taker
- Who know how to identify an opportunity and turn into business
- Who is motivated and committed
- Who has enterprising nature

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Theme-1 video-7

Role of entrepreneurship in economic development and growth

Agenda of this video

1. Economy
2. Why Entrepreneurship is important for economic development?

Economy

The state of a country or region in terms of the production and consumption of goods and services and the suppl
of money. https://en.oxforddictionaries.com/definition/economy

World Economic Forum (WEF) divides economies into three categories. https://www.weforum.org/

- ❑ Factor Driven
- ❑ Efficiency Driven
- ❑ Innovation-driven

Economy in Factor-driven phase

Economy in Factor-driven phase is dominated by subsistence agriculture and extraction businesses, with a heavy reliance on (unskilled) labor and natural resources.

Economy in Efficiency-driven phase

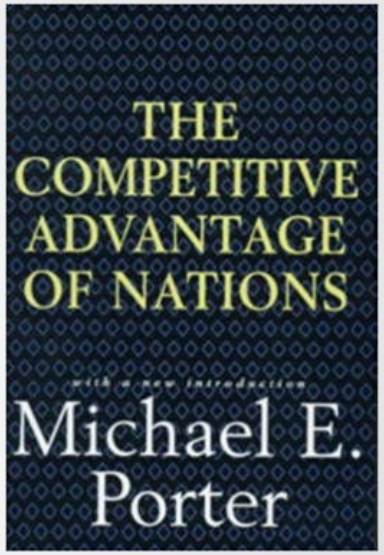
Economy in Efficiency-driven phase, becomes more competitive with more-efficient production processes and increased product quality.

Economy in innovation-driven phase

Economy in innovation-driven phase, businesses are more knowledge-intensive, and the service sector expands

Michael E. Porter wrote the book "The Competitive Advantage of Nations".

by "Entrepreneurship is at the heart of national advantage"



Entrepreneurship has a huge economic impact because it is a source:

- ❑ Hub for innovation
- ❑ Job creation
- ❑ Addition to National Income
- ❑ Create Social Change
- ❑ Size of economy
- ❑ Commerce and regional economic integration
- ❑ Addressing environmental challenges
- ❑ Social value Creation
- ❑ Philanthropy
- ❑ Partners in economic development

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Theme-1 video-8

Role of entrepreneurship in economic development and growth (country cases): Part 1

Agenda of the video

The Global Entrepreneurship Index

The Institute's flagship project is the Global Entrepreneurship Index (GEI) of the Global Entrepreneurship and Development Institute (GEDI). GEDI is a research organization advancing knowledge on the relationship between entrepreneurship, economic development, and prosperity.

Website: https://thegedi.org/

- Global Entrepreneurship Index (GEI) entrepreneurship measures ecosystems at a national and regional level.

GEI defines 14 Pillars of an Entrepreneurial Ecosystem

Figure 6: The Structure of the Global Entrepreneurship Index

Sub-indexes	Pillars	Variables (individual / institutional)
ATTITUDES SUB-INDEX	OPPORTUNITY PERCEPTION	*OPPORTUNITY RECOGNITION*
		FREEDOM (ECONOMIC FREEDOM *PROPERTY RIGHTS)
	STARTUP SKILLS	*SKILL PERCEPTION*
		EDUCATION (TERTIARY EDUCATION*QUALITY OF EDUCATION)
	RISK ACCEPTANCE	*RISK PERCEPTION*
		COUNTRY RISK
	NETWORKING	*KNOW ENTREPRENEURS*
		AGGLOMERATION (URBANIZATION*INFRASTUCTURE)
	CULTURAL SUPPORT	*CAREER STATUS*
		CORRUPTION

GEI defines 14 Pillars of an Entrepreneurial Ecosystem

ABILITIES SUB-INDEX	OPPORTUNITY STARTUP	*OPPORTUNITY MOTIVATION*
		GOVERNANCE (TAXATION*GOOD GOVERNANCE)
	TECHNOLOGY ABSORPTION	*TECHNOLOGY LEVEL*
		TECHNOLOGY ABSORPTION
	HUMAN CAPITAL	*EDUCATIONAL LEVEL*
		LABOR MARKET (STAFF TRAINING*LABOUR FREEDOM)
	COMPETITION	*COMPETITORS*
		COMPETETIVNESS (MARKET DOMINANCE*REGULATION)

GEI defines 14 Pillars of an Entrepreneurial Ecosystem

ASPIRATION SUB-INDEX	PRODUCT INNOVATION	*NEW PRODUCT*
		TECH TRANSFER
	PROCESS INNOVATION	*NEW TECHLOLOGY*
		SCIENCE (GERD*(AVERAGEQUALITY OF SCIENTIFICAL INSTITUTIONS +AVAILABILITY OF SCIENTISTS AND ENGENEERS))
	HIGH GROWTH	*GAZELLE*
		FINANCE AND STRATEGY (VENTURE CAPITAL*BUSINESS SOPHISTICATION)
	INTERNATIONALIZATION	*EXPORT*
		ECONOMIC COMPLEXITY
	RISK CAPITAL	*INFORMAL INVESTMENT*
		DEPTH OF CAPITAL MARKET

The Global Entrepreneurship Index Rank of All Countries, 2019

Global rank	Country	Score
1	United States	86.8
2	Switzerland	82.2
3	Canada	80.4
4	Denmark	79.3
5	United Kingdom	77.5
6	Australia	73.1
7	Iceland	73.0
8	Netherlands	72.3
9	Ireland	71.3
10	Sweden	70.2

The Global Entrepreneurship Index Rank of All Countries, 2019

Global rank	Country	Score
34	China	45.9
42	Saudi Arabia	42.1
43	Malaysia	40.1
44	Turkey	39.8
64	Iran	29.4
78	India	25.1
109	Pakistan	17.3

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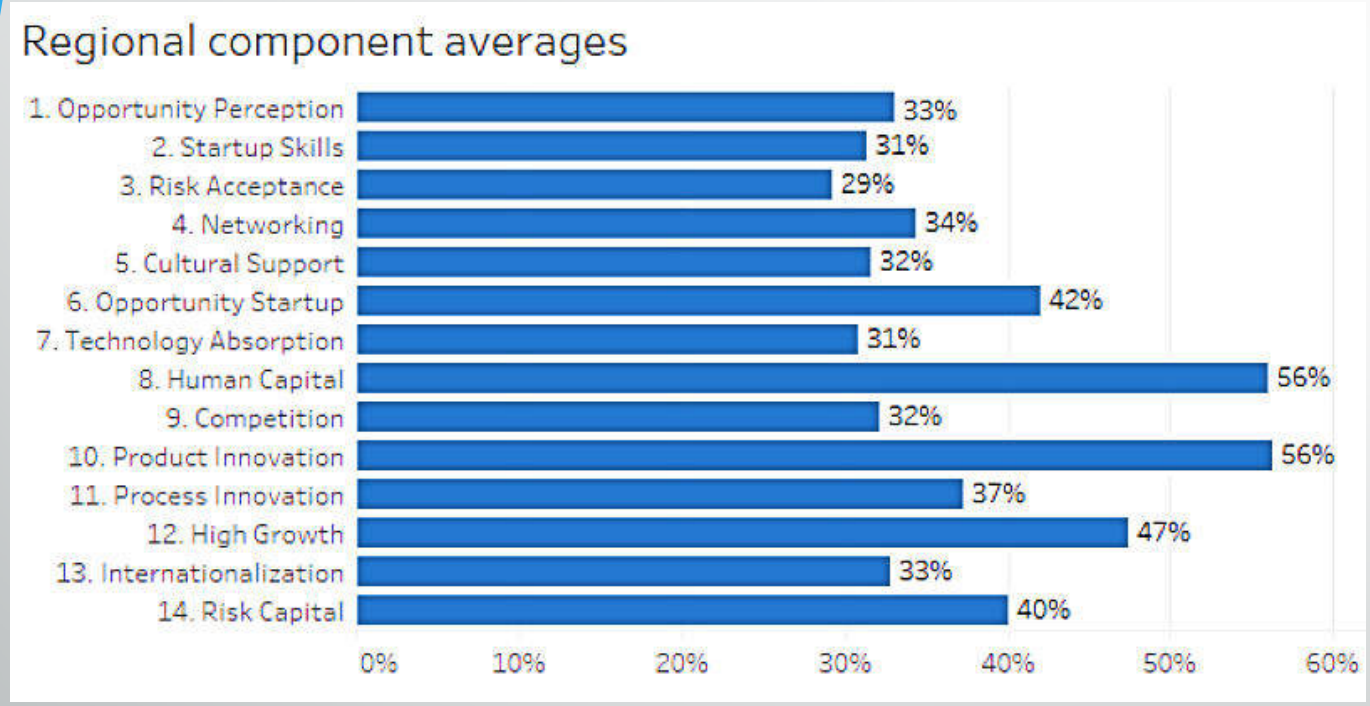
Theme-1 video-9

Role of entrepreneurship in economic development and growth (country cases): Part 2

Agenda

Global Entrepreneurship Index by Global Entrepreneurship and Development Institute (GEDI) – Regional cases

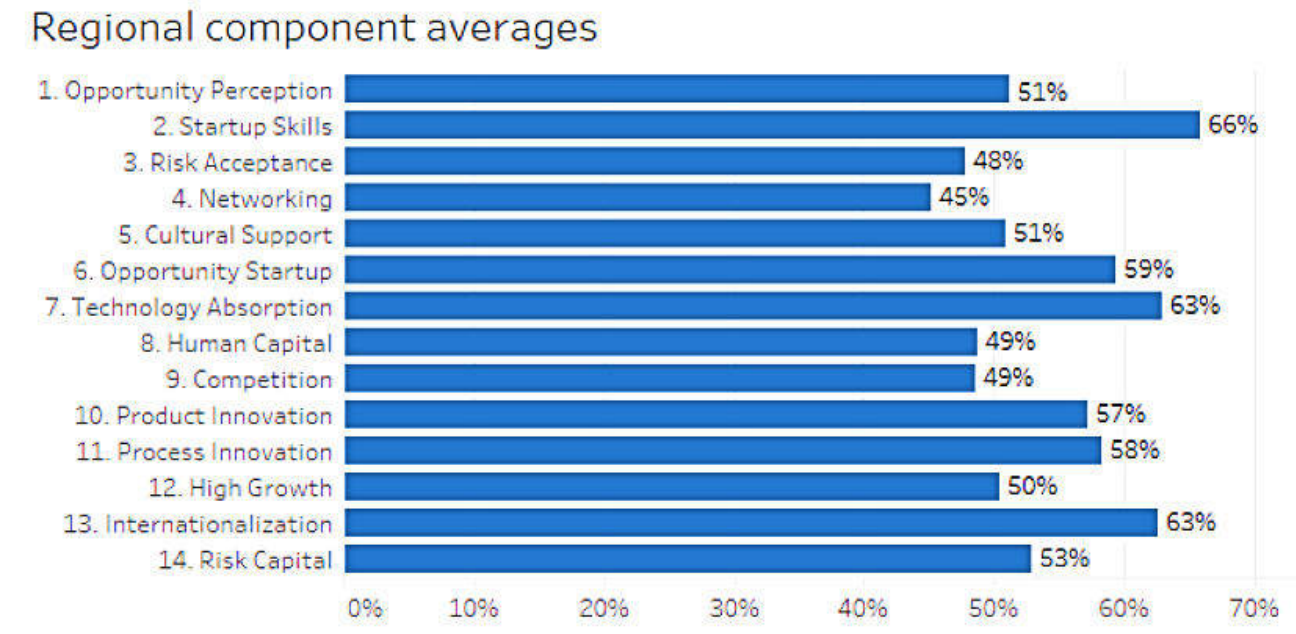
Regional results: Asia – Pacific 2018



		GEI
1	Australia	75%
2	Hong Kong	67%
3	Taiwan	59%
4	Korea	54%
5	Singapore	53%
6	Japan	52%
7	Bahrain	45%
8	Turkey	45%
9	China	41%
10	Brunei Darussalam	34%
11	Malaysia	33%
12	Azerbaijan	30%
13	Kazakhstan	30%
14	India	28%
15	Thailand	27%
16	Georgia	26%
17	Philippines	24%
18	Vietnam	23%
19	Armenia	23%
20	Sri Lanka	22%
21	Indonesia	21%
22	Tajikistan	20%
23	Kyrgyz Republic	20%
24	Lao PDR	18%
25	Cambodia	18%
26	Pakistan	16%
27	Myanmar	14%
28	Bangladesh	12%

GLOBAL ENTREPRENEURSHIP INDEX

Regional results: Asia – Europe 2018

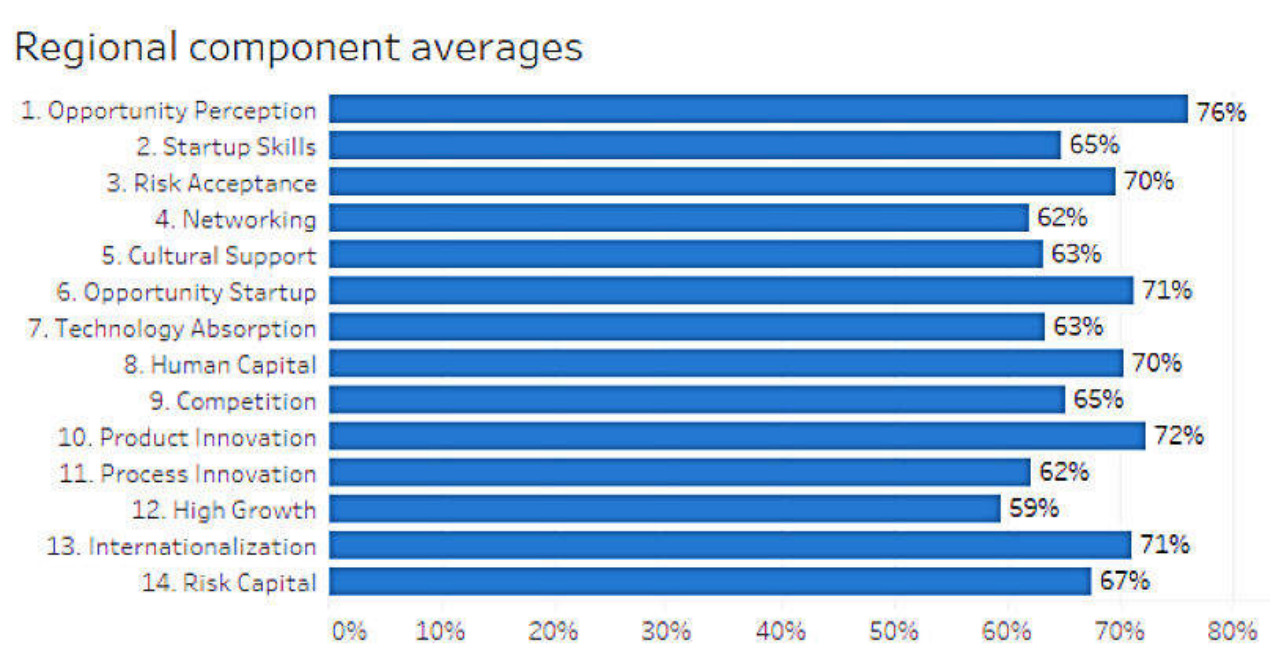


Regional ranks and scores

		GEI
1	Switzerland	80%
2	United Kingdom	78%
3	Denmark	74%
4	Iceland	74%
5	Ireland	74%
6	Sweden	73%
7	France	69%
8	Netherlands	68%
9	Finland	68%
10	Austria	66%
11	Germany	66%
12	Belgium	64%
13	Luxembourg	58%
14	Norway	57%
15	Estonia	55%
16	Slovenia	54%
17	Lithuania	51%
18	Poland	50%
19	Portugal	49%
20	Cyprus	48%
21	Spain	45%
22	Slovakia	45%
23	Czech Republic	43%
24	Italy	41%
25	Latvia	40%
26	Romania	38%
27	Greece	37%
28	Hungary	36%
29	Croatia	34%
30	Montenegro	31%
31	Macedonia	29%
32	Bulgaria	28%
33	Ukraine	27%
34	Serbia	26%
35	Russia	25%
36	Albania	24%
37	Moldova	21%
38	Bosnia and Herzegovina	21%

GLOBAL ENTREPRENEURSHIP INDEX

Regional results: Asia – North America 2018



Regional ranks and scores

		GEI
1	United States	84%
2	Canada	79%
3	Mexico	26%

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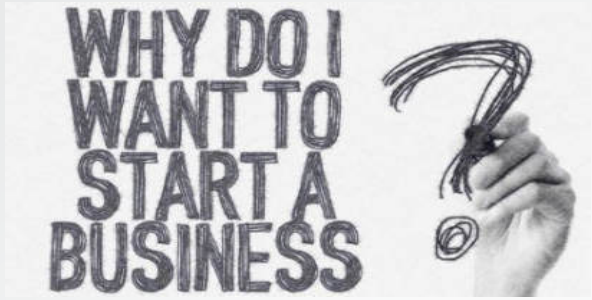
Theme-1 video-10

Decision to become entrepreneur

Agenda of the video

Why become an entrepreneur ?



Reasons to become an entrepreneur….

- ❑ Creativity doesn’t fit the corporate environment.
- ❑ They want a lifestyle that isn’t bound to nine to five
- ❑ Be their own boss
- ❑ They are active learners

Reasons to become an entrepreneur….

- They want to pursue their own ideas
- Their ideas are unconventional and very innovative.
- They assume that there are unlimited earning possibilities
- We can change the world

Reasons to become an entrepreneur….

- Entrepreneurs are never retired from their work
- They want to pursue their own ideas
- Entrepreneurs do not require degrees
- Entrepreneurship brings autonomy, freedom and responsibility
- Entrepreneurship brings a sense of achievement

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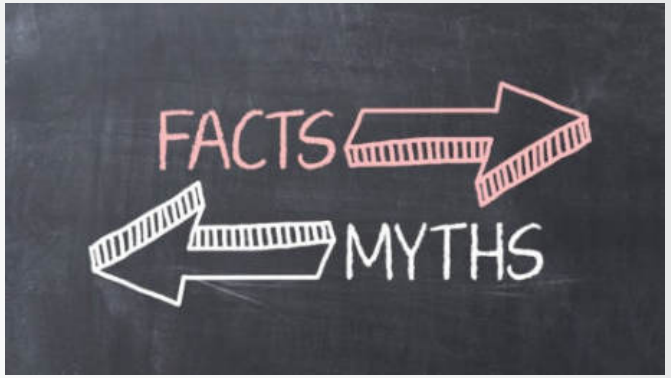
Theme-1 video-11

Common myths about entrepreneurs

Agenda of this video

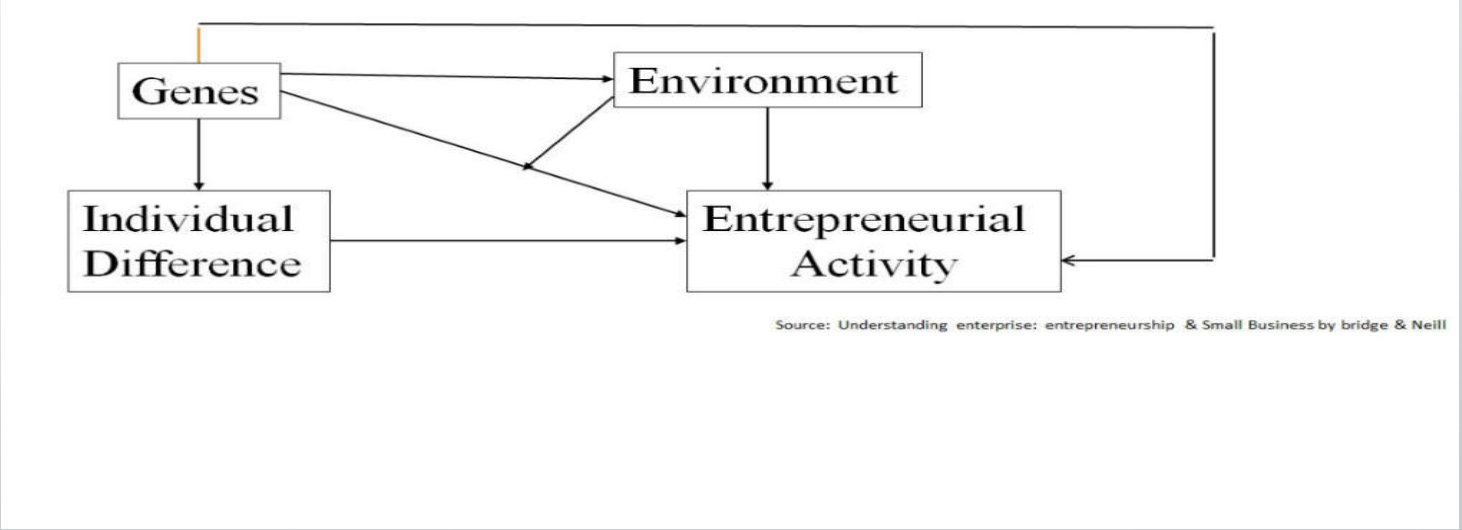


Common myths about entrepreneurs

- From literature
- From entrepreneur's personal experiences

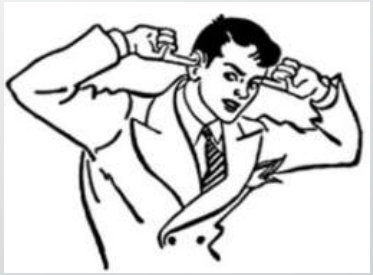
Common myths about entrepreneurs from literature..

- ❑ Entrepreneurs are born and they can not be made



Common myths about entrepreneurs from literature..

- Entrepreneurs are very high risk takers
- Entrepreneurs are primarily motivated by money
- Entrepreneurs are overwhelmed by their own ideas and do not listen to the advices
- Entrepreneurs are high tech wizards



Common myths about entrepreneurs from literature..

- Entrepreneurs love the spotlight
- Entrepreneurs are must be inventors because they are innovators
- You don’t need to earn degree if you want to be an entrepreneur
- If you don’t have money, you can’t be an entrepreneur
- Entrepreneurs are usually young, super genius and super energetic: kind of a hero

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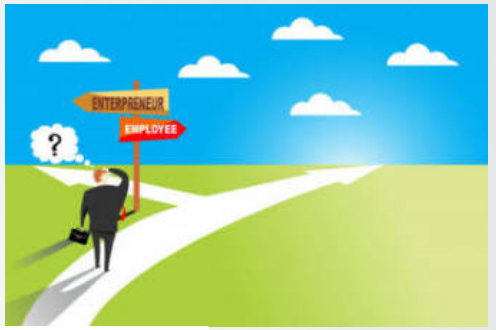
Theme-2 video-12

The potential benefits of being entrepreneur

The agenda of this video

1. The potential benefit of being entrepreneurs
2. Why entrepreneurs chose the career of entrepreneurship ?



Potential benefit of being an entrepreneur…….

- ❑ You are in charge of your own destiny
- ❑ You can be an innovator.
- ❑ Entrepreneurship has no age limit.
- ❑ Full responsibility as a source of motivation.

Potential benefit of being an entrepreneur…….

- ❑ You become the contributor to society
- ❑ Power to pivot
- ❑ Experience personal growth joy
- ❑ You become an expert , a solution provider
- ❑ Resilience: recovery and learning process

Potential benefit of being an entrepreneur…….

- ❑ Financial and personal reward, become a role model
- ❑ Schedule flexibility and freedom
- ❑ Work with people you like
- ❑ The chance to share your learning
- ❑ The legacy for generation next

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Theme-2 video-13

The potential drawbacks of being entrepreneur

The agenda of this video

1. The potential drawbacks of being entrepreneurs
2. The entrepreneur's perspective of such drawbacks

The potential drawbacks of being entrepreneurs

- ❑ Uncertain income
- ❑ Risk of losing your entire investment
- ❑ Long hours and hard work

The potential drawbacks of being entrepreneurs…..

- Lower quality of life until the business gets established
- High level of stress
- You can’t blame anyone
- Initially failure and discouragement
- Multitasking

The potential drawbacks of being entrepreneurs….

- Family and social risk
- Sacrificing personal capital or debt burden
- Betting on a crucial deadline
- Market has its own trend and behavior

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Theme-2 video-14

What is feeding your entrepreneurial fire ?

(source of motivation to become entrepreneur)

The agenda of this video

Discussing multiple sources of motivation to become entrepreneur

1. Economic shift in global environment,

- Purchasing power
- Inflation or deflation
- Loan rates
- Price competition
- Industry growth rate
- Tax rebates
- Global ties

2. Demographic factors

- Minority entrepreneurs
- Young entrepreneurs
- Working couples (co-preneurs)
- Women entrepreneurs
- Urbanization
- Part time entrepreneurs
- Home based entrepreneurs

3. Entrepreneurial education
4. Incubation centers and supporting services
5. Shift to a service economy
6. Technological advancements
7. Self accomplishment and gratification
8. Personal reasons
9. E-commerce and world wide web

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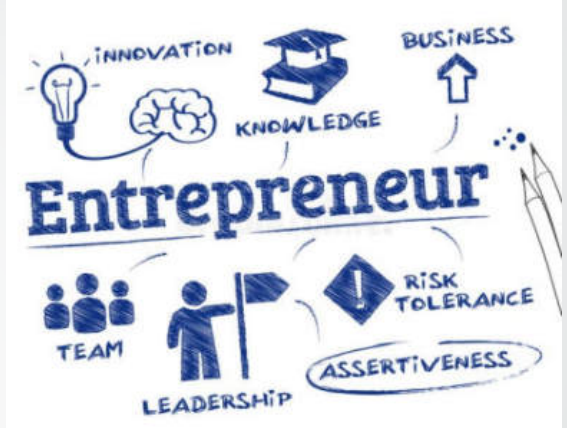
Theme-2 video-15

How to become an entrepreneur

The agenda of this video

Discuss the ways of becoming entrepreneurs



Most of the people think that there is only one way to become entrepreneur i.e. creating your own business

They can join family business
The entrepreneurs are sole proprietors, not always.

- ❑ Engineer
- ❑ Doctor
- ❑ Chemist
- ❑ Business student
- ❑ Professional

Academic Spin Out

Can you become an entrepreneur ?

- ❑ Inside-out approach
- ❑ Outside-in approach

There are multiple ways to become an entrepreneur which are:

- ❑ Create a new venture
- ❑ Buying an existing business
- ❑ Family entrepreneurship
- ❑ Franchising

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Theme-2 video-16

Becoming an entrepreneur: Establishing new venture

The agenda of this video

How to create a new venture ?

Creating a new venture means: start-up (starting the business from scratch)

1. It requires more time
2. It requires more risk
3. It requires more finance
4. The fate of start-up is uncertain
5. Usually the size is small

Issues and challenges in new venture creation

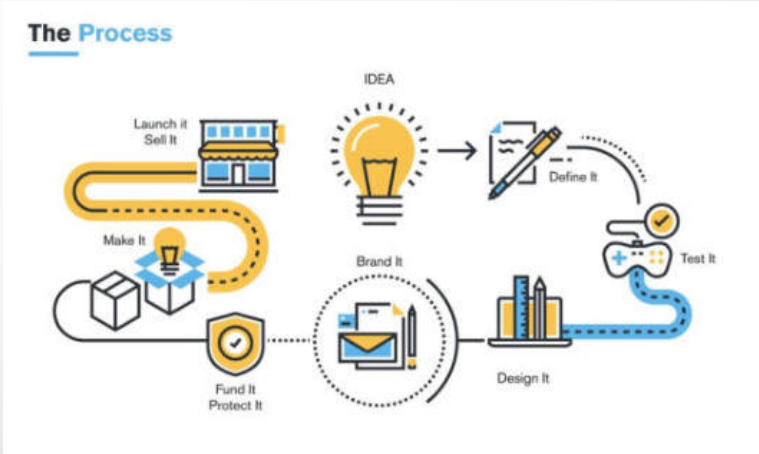
1. Role of incubation centers
2. The role of networks
3. Lack of market knowledge
4. Lack of skilled labor
5. Limited financial capability
6. Product development

Stages of new venture creation

1. Cultural and market awareness
2. Information seeking
3. Strong intention to start a business
4. Idea for a product or a service
5. Pre-start preparation
6. Start-up challenges
7. Growth and expansion
8. Networking
9. Trainings

Creating a new business venture, Key Points to Consider

1. Economic forces
2. Exciting aspect of entrepreneurship for you
3. the most worrisome issues for new venture
3. Your business plan
5. Which resources are most difficult to obtain?
6. Marketing research and information seeking
7. Investors
8. Product development
9. Competitors
10. Entrepreneurship myopia



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Theme-2 video-17

Becoming an entrepreneur: Buying an existing business

The agenda of this video

How to buy a business?

Critical questions to be asked before buying any business:

- ❑ Relevant experience of industry and business
- ❑ Potential of business
- ❑ Market and target segment
- ❑ Price and payment methods

Critical questions to be asked before buying any business….

- Business liability
- Diversification justified
- Is business model sustainable ?
- Brand

Advantages of buying an existing business.

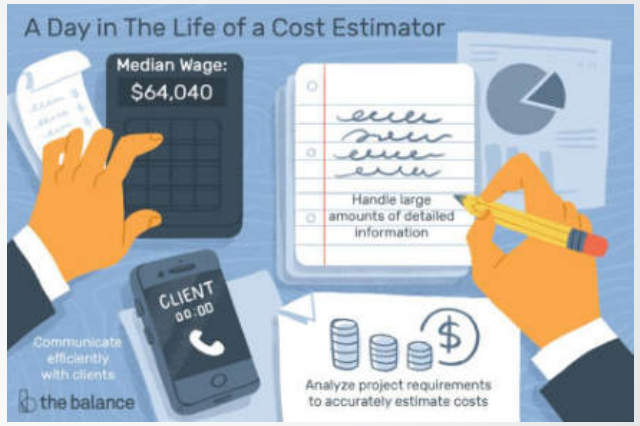
1. Successful existing business may continue to be successful
2. Already have best location
3. Employees and suppliers are already established
4. Fixed expenses e.g. equipment's are already installed
5. Productive quality is already known

Advantages of buying an existing business….

6. Inventory is already in place
7. Use of experience of previous owner
8. Save the time, energy and cost of establishing new venture
9. Customers and market are already developed

Disadvantages of buying an existing business.

1. It’s a loser (never being profitable and window dressing)
2. The business model is faulty
3. The location could be unsatisfactory
4. Obsolete equipment
5. Outdated inventory
6. Bank corrupt



Disadvantages of buying an existing business….

7. Financial assessment
   - ✓ Balance sheet technique
   - ✓ Adjusted balance sheet techniques
   - ✓ Account receivables and payables
   - ✓ Capitalized earnings approach
   - ✓ Missing financial records
   - ✓ Overpriced business

Disadvantages of buying an existing business

8. Negative brand image for other business
9. Legal aspects are already known to pervious owner
10. Existing employees may leave
11. In case of partnership, the partners may create problems

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Theme-2 video-18

Buying an existing business-Why on sale

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Finding Out, Why the Business Is For Sale?

Owner's Reasons for Selling

- ❑ Old age or illness
- ❑ Desire to relocate in a different section of the country
- ❑ Decision to accept a position with another company
- ❑ Unprofitability of the business
- ❑ Loss of an exclusive sales franchise
- ❑ Maturing of the industry and lack of growth potential

Beware of sellers who may have **“cooked the books”** to make the business more attractive.

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Theme-2 video-19

Buying an existing Business: Financial Statements

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Examining the Financial Data

Important Guidelines

- ❑ Review financial statements
- ❑ Reviewing returns for the past five years.
- ❑ Recognize that financial data can be misleading.
    - I. Assets overvalued
    - II. Expenses overstated/understated
    - III. Income underreported
    - IV. Unrecorded debts
- ❑ Adjust asset valuations to reflect the true state of the business.

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Theme-2 video-20

Buying Existing Business: Evaluation

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Investigating and Evaluating Available Businesses

Important Advices

1. Due Diligence

   The exercise of prudence, such as would be expected of a reasonable person, in the careful evaluation of a business opportunity.

2. Relying on Professionals

   - ❑ Accountants
   - ❑ Attorneys
   - ❑ Other experienced business owners

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Theme-2 video-21

Buying existing business: Evaluation Methods

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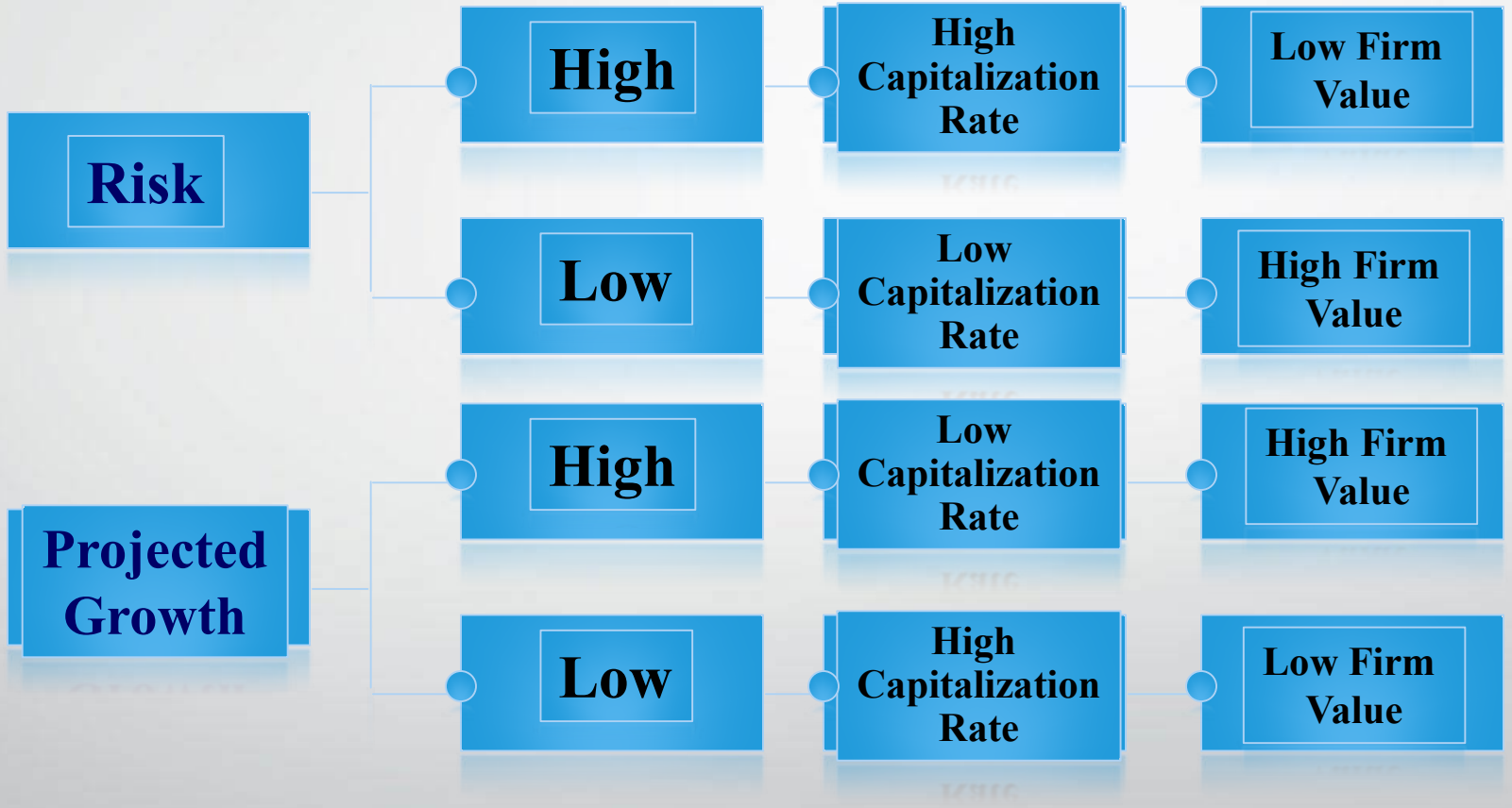
Valuation of a Business

Asset-Based Valuation Approach	• Examines the value of business assets taken separately • Does not reflect the value of a going concern
Market-Based Valuation Approach	• Looks at similar businesses sold recently
Earnings-Based Valuation Approach	• Considers future earnings
Cash Flow-Based Valuation Approach	• Is based on future cash flows • Is the best theoretical method • Requires a more complex procedure

Determinants of a Firm's Capitalization Rate



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Theme-2 video-22

Buying existing business: Factors to Consider in Valuing a Business

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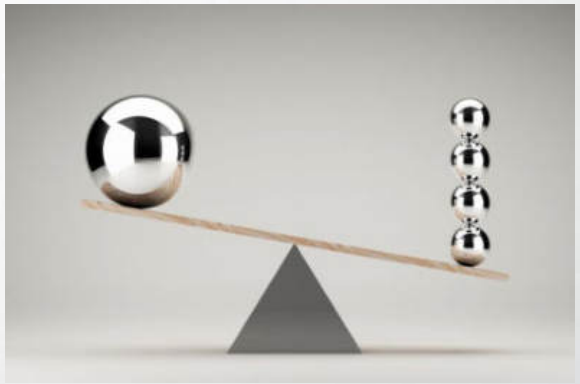
Non-quantitative Factors to Consider in Valuing a Business

1. Competition
2. Market
3. Future Community Developments
4. Legal Commitments
5. Union Contracts
6. Buildings
7. Product Prices



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Theme-2 video-23

Buying Existing Business: Negotiating and Closing the Deal

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Negotiating and Closing the Deal

2. Terms of Purchase
   - ❑ Assets purchase or total entity
   - ❑ Indemnification clause
   - ❑ Payment in full or partial payments over time

2. Closing the sale
   - ❑ Best handled by a third party
   - ❑ Bill of sale
   - ❑ Tax certifications
   - ❑ Payment-to-seller agreements and guarantees

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Theme-3 video24

Family business challenges and characteristics

(Part 1)

The agenda of this video

Family owned business

Family Business: Definition

1. Ownership control by members of a family
2. It could be consortium of families
3. Strategic influence of a family in the management of the firm
4. Concern for family relationships
5. Family succession

Characteristics successful of family business.

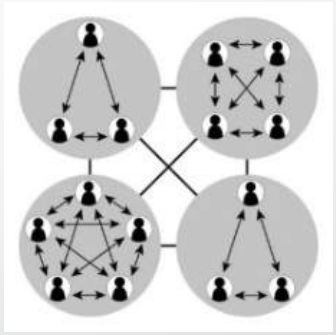
1. Shared vision, values and goals
2. A well-formulated strategic plan
3. Well written procedures and expectations regarding family participation in the business
4. Guidelines for succession
5. Participation by outside advisors and board members

Characteristics successful of family business….

6. Family time and family union

7. Professional management

8. Proper governance structures

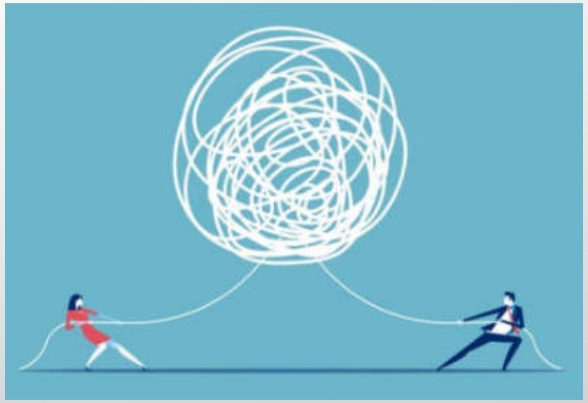


9. Business first policy

10. Future Diversification plan

Challenges of family owned business

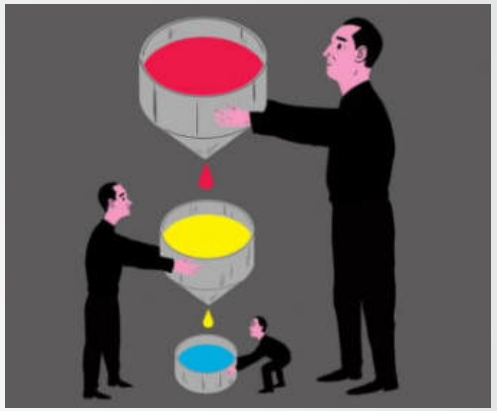
1. Family rivalry
2. Glass ceiling (female family members)
3. Difficulty of multiple roles
    - Parent vs. Professional roles
    - Different management styles
    - Financial accountability



Challenges of family owned business

4. Too much family involvement
5. Succession delays

- ❑Fear of death
- ❑Reluctance to release control & power
- ❑Threat to personal identity
- ❑Bias against planning
- ❑Inability to chose among children
- ❑Fear of retirement
- ❑Jealousy and rivalry



Challenges of family owned business

6. Boundaries among family, ownership, management systems may become blurred
7. Easy come easy go
8. Lack of interest in family business

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Theme-3 video-25

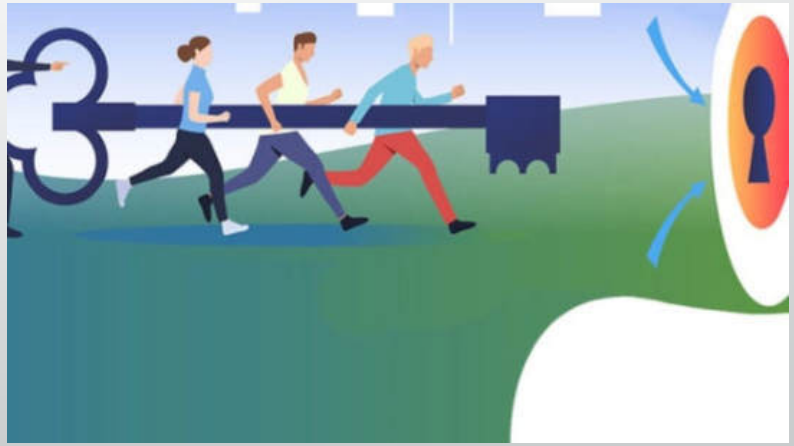
Family business challenges and characteristics

(Part 2)

What Is a Family Business?

Family Business: *A company that two or more members of the same family own or operate together or in succession.*

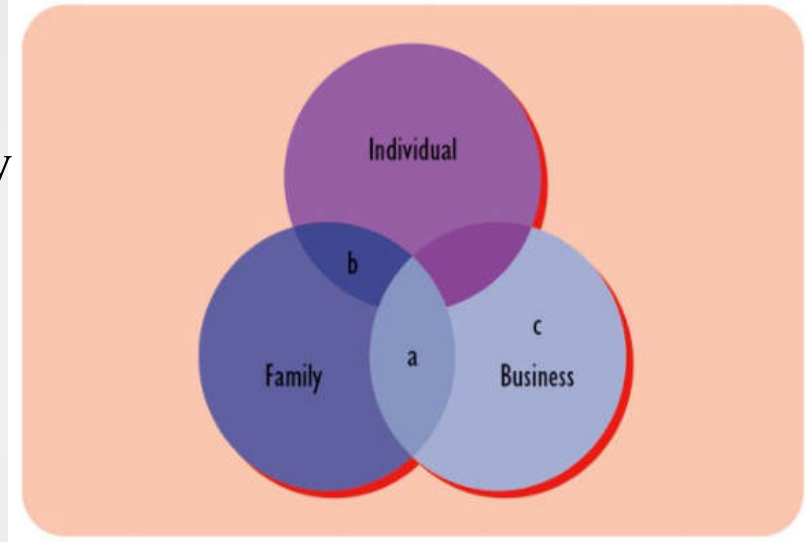
Competing Interests in the Family Business



Family and Business Overlap

Family Concerns

- Care and nurturing of family members
- Employment and advancement in the firm
- Loyalty to the family



Business Concerns

- Production and distribution of goods and/or services
- Need for professional management
- Effective and efficient operation of the firm

Source: Adapted from Tim Barnett and Franz W. Kellermannas, "Are We Family and Are We Treated as Family? Nonfamily Employees' Perceptions of Justice in the Family Firm," *Entrepreneurship Theory and Practice,* Vol. 30, No. 6 (November, 2006), pp. 837–854.

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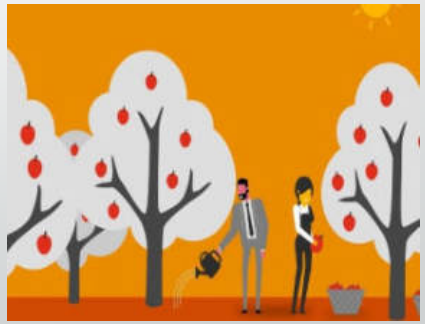
Theme-3 video-26

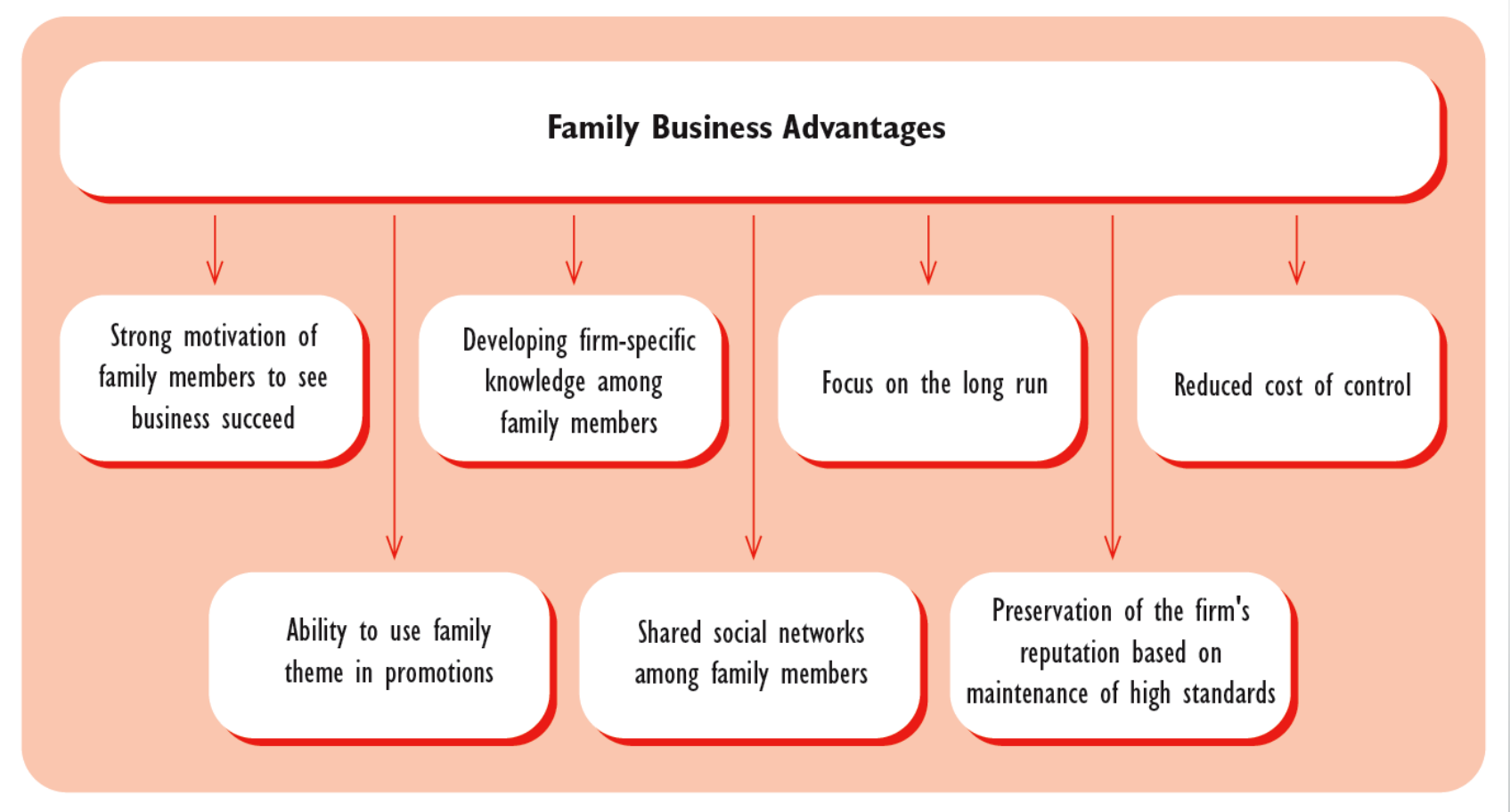
Family business Advantages

Advantages of a Family Business

- Strength of family relationships during challenging periods of business change
- Financial sacrifices that family members make for the good of the firm
- Operation as a family business distinguishes the firm from its competitors
- Higher levels of concern for its community and non-family employees
- Capability to plan and prepare for the long run
- Emphasis on quality and value



Advantages of a Family Business



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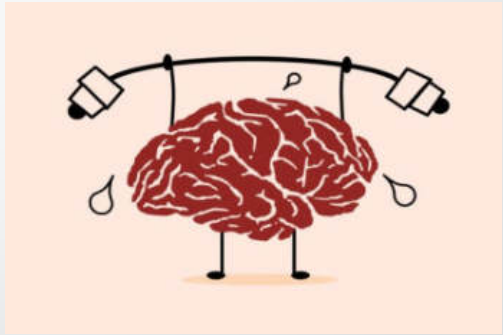
Theme-3 video27

The Family Business: Value and Commitment

Family Business Momentum

The Founder's Imprint on the Culture

The founder's core values become a transmitted part of the culture (for better or worse).

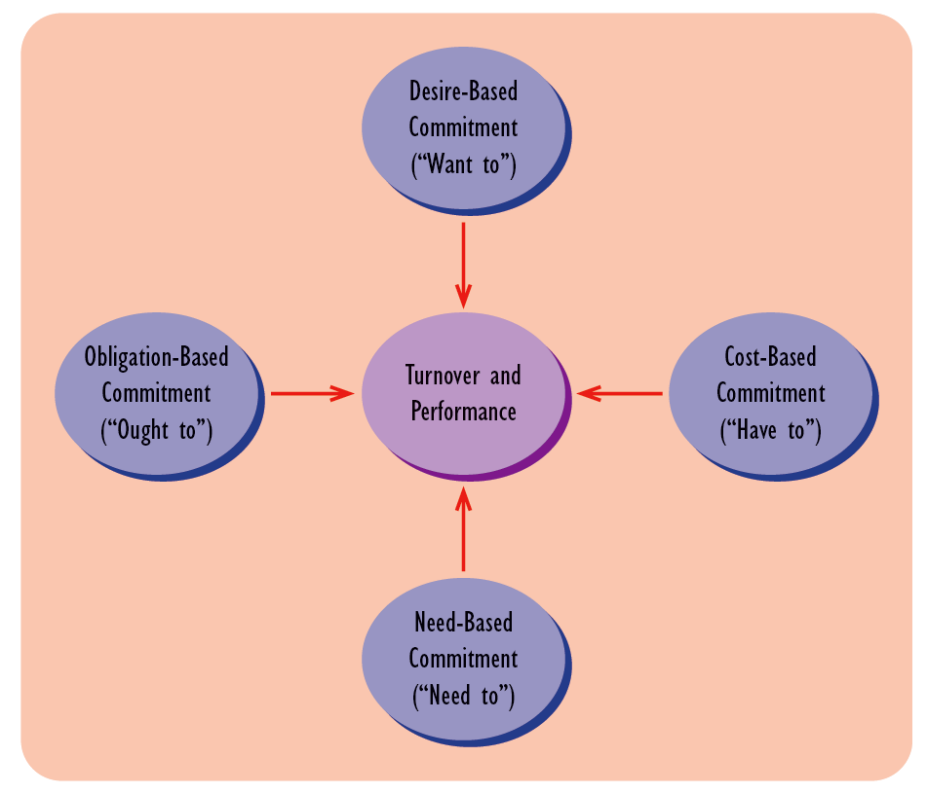


Organizational Culture

Patterns of behaviors and beliefs that characterize a particular firm.

- ❑ Family Business Cultural Values
- ❑ Mutual respect
- ❑ Integrity
- ❑ Wise use of resources
- ❑ Personal responsibility
- ❑ "Fun"

Commitment to the Family Business



Source: Based on Pramodita Sharma and P. Gregory Irving, "Four Bases of Family Business Successor Commitment: Antecedents and Consequences," *Entrepreneurship Theory and Practice,* Vol. 29, No. 1 (January 2005), pp. 13–33.

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Theme-3 video28

The Family Business: Professional Management

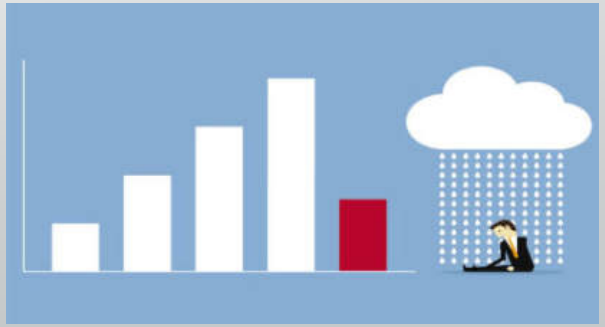
Professional Management of the Family Firm

The Need for Good Management

- ❑ Stimulate new thinking and fresh strategic insights.
- ❑ Solicit outsiders' input to keep perspective.
- ❑ Attract and retain excellent managers.
- ❑ Create a flexible, creative organization

The Need for Good Management….

- ❑ Create and conserve capital
- ❑ Prepare successors for leadership
- ❑ Exploit unique advantages of family ownership.



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Theme-3 video29

The Family Business: Roles and relationships

Family Roles and Relationships

Parental Concerns in Passing the Business On:

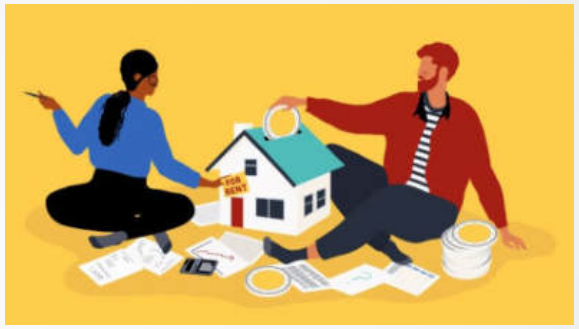
- Does my child possess the temperament and ability necessary for business leadership?
- How can I, the founder, motivate my child to take an interest in the business?
- What type of education and expertise will be most helpful in preparing my child for leadership?

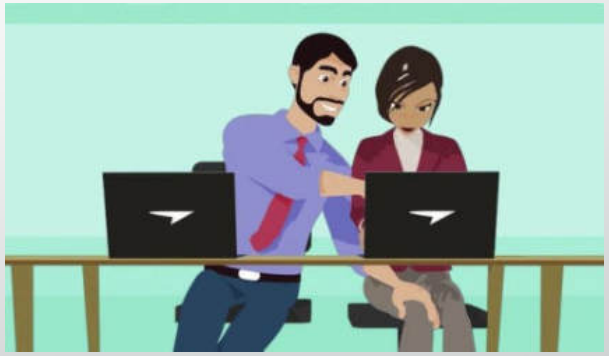
Parental Concerns in Passing the Business On:

- What timetable should I follow in employing and promoting my child?
- How can I avoid favoritism in managing and developing my child?
- How can I prevent the business relationship from damaging or destroying the parent–child relationship?

Husband–Wife Teams…

- ❑ Opportunity to share more in each other's lives
- ❑ Business differences interfere with family life
- ❑ Work doesn't leave time for family life
- ❑ Sharing family responsibilities eases the load





Sons and Daughters…

- ❑ Personal preferences different from the business
- ❑ Personal qualifications insufficient to assume role in business
- ❑ Desire for personal freedom to choose another career

Sibling Cooperation, Sibling Rivalry…

- Best case: siblings work as a team, each contributing services according to his or her abilities
- Worst case: siblings compete as rivals and disagree about their business roles.

In-laws In and Out of the Business…

- ❑ Disagreements about how to treat and reward in-laws and family members/children
- ❑ Assign to different branches or to different business roles

The Entrepreneur's Spouse…

Communication between entrepreneur and spouse is critical for their performance as an effective team for both the business and the family.

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Theme-3 video-30

The Family Business: Family Conflict Resolution

Family Conflict Resolution

Family Retreats

A gathering of family members, usually at a remote location, to discuss family business matters.

Use of an outside facilitator may be necessary.

Guidelines

- ❑ Set a time and place.
- ❑ Distribute an agenda prior to the meeting.
- ❑ Plan a schedule in advance.
- ❑ Give everyone a chance to participate.
- ❑ Keep it professional.

Family Councils

An organized group of family members who gather periodically to discuss family-related business issues.

- Represent the family to board of directors
- Useful in developing family harmony
- Increases understanding of family traditions and interest

Family Business Constitution

A statement of principles intended to guide a family firm through times of crisis and change.

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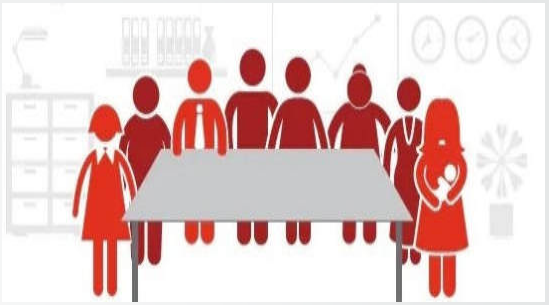
Theme-3 video31

The Family Business: family & non-family members

Professional Management of the Family Firm



Non-family Employees in a Family Firm

Hazards:

- Competition with family members for advancement
- politics of family competition within the firm
- Getting caught in the crossfire and

Solution:

- Identify family-only reserved positions in advance

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Theme-3 video-32

The Family Business: Successful Succession (Part 1)

Conditions Favoring Successful Leadership Succession in a Family Firm

- A sound, profitable business
- Stable, healthy family relationships
- Advance planning for leadership succession
- Positive family leadership and a team-oriented management structure
- Presentation of career opportunities without pressure

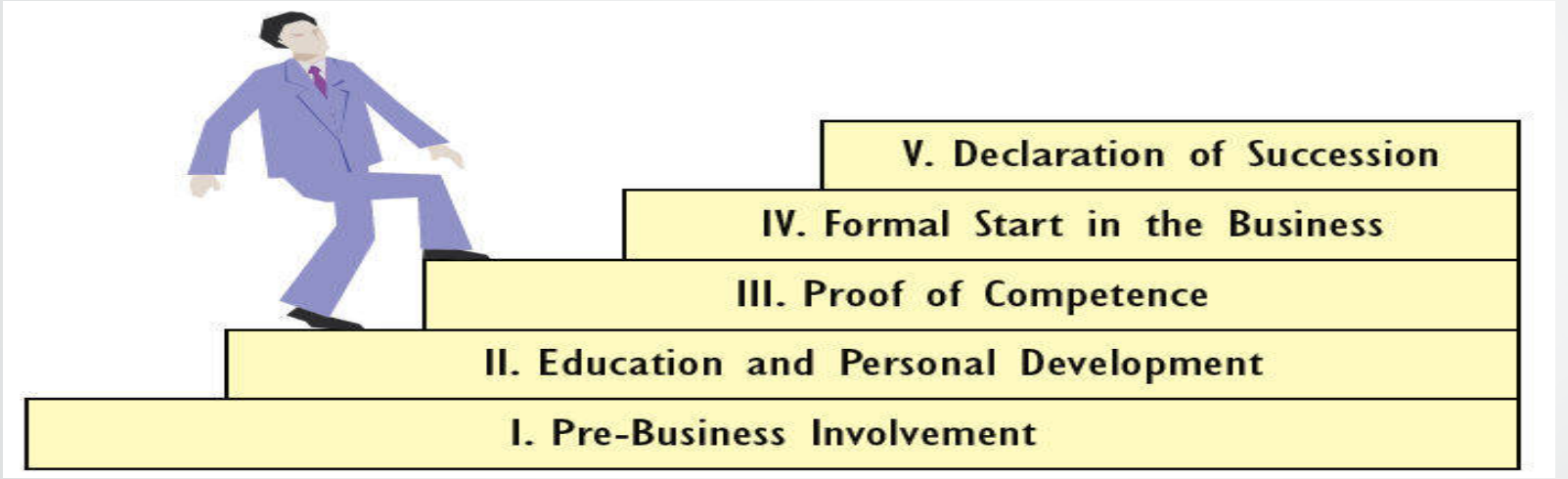
The Process of Leadership Succession

Available Family Talent

- Mentoring, Guiding and supporting the work and development of a new or less-experienced organization member.

- Allowing only qualified competent family members to assume leadership roles in the firm increases the value of the firm for all who have an ownership interest in it.

Stages of Succession in a Family Business



Source: Adapted from Johan Lambrecht, "Multigenerational Transition in Family Businesses: A New Explanatory Model," *Family Business Review,* Vol. 18, No. 4 (2005), pp. 267–282.

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Theme-3 video-33

The Family Business: Successful Succession (Part 2)

Reluctant Parents and Ambitious Children

- Transfer/Types of Ownership
- Passing ownership of a family business to the next generation
  - ✓ Who will inherit the family firm? When?
  - ✓ should each heir receive an equal share?
  - ✓ Should ownership be transferred gradually?
  - ✓ How are tax considerations to be handled?
  - ✓ What to do with other wealth and assets of the founding entrepreneur?

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Theme-3 video-34

The Family Business: Teams

Family Roles and Relationships.

Husband–Wife Teams

- Opportunity to share more in each other's lives
- Business differences interfere with family life
- Work doesn't leave time for family life
- Sharing family responsibilities eases the load

Family Roles and Relationships….

Sons and Daughters

- ❑ Personal preferences different from the business
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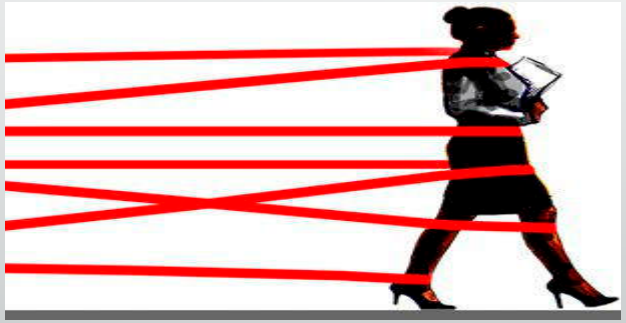

Family Roles and Relationships….

Sibling Cooperation, Sibling Rivalry

Best case: siblings work as a team, each contributing services according to his or her abilities

Worst case: siblings compete as rivals and disagree about their business roles.

Family Roles and Relationships (cont'd)

In-laws In and Out of the Business

- Disagreements about how to treat and reward in-laws and family members/children
- Assign to different branches or to different business roles

The Entrepreneur's Spouse

- Communication between entrepreneur and spouse is critical for their performance as an effective team for both the business and the family.

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Theme-4 video-35

Routes to Entrepreneurship: Franchising, and Characteristics of Successful Entrepreneurs

Agenda

1. Ways to entrepreneurship
2. Franchising
3. Alternative Franchising Systems

Ways to entrepreneurship

1. Creating your own business
2. Buying franchise
3. Buying an existing business
4. Joining family business

Franchising

- Franchising

  A marketing system revolving around a two-party agreement, whereby the franchisee conducts business according to the terms specified by the franchisor.

Franchising

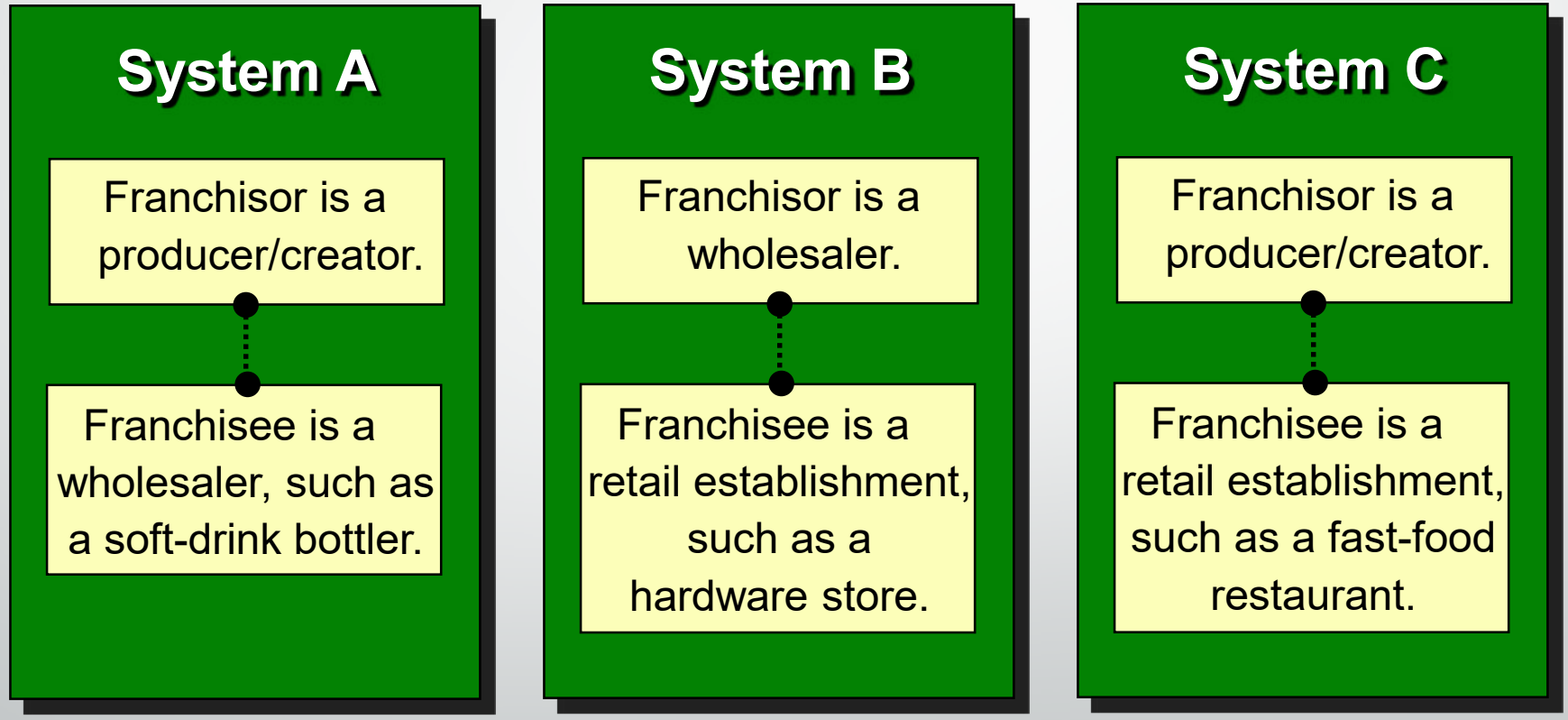
- Franchisor

  The party in the franchise contract that specifies the methods to be followed and the terms to be met by the other party.

- Franchisee

  An entrepreneur whose power is limited by a contractual agreement with a franchisor.

Alternative Franchising Systems



MGT602
video-36

Pluses and Minuses of Franchising

Pluses of Franchising

Pluses

+ Formalized training
+ Financial assistance
+ Proven marketing methods
+ Managerial assistance
+ Quicker startup time
+ Overall lower failure rates

Minuses of Franchising

Minuses

– Franchise fees

– Royalties

– Restrictions on growth

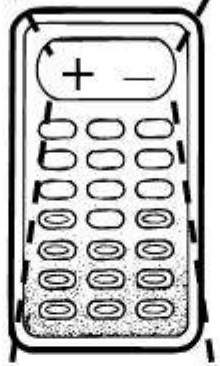
– Less independence in operations

– Franchisor may be sole supplier of some supplies

Pluses and Minuses of Franchising

Pluses

+ Formalized training
+ Financial assistance
+ Proven marketing methods
+ Managerial assistance
+ Quicker startup time
+ Overall lower failure rates



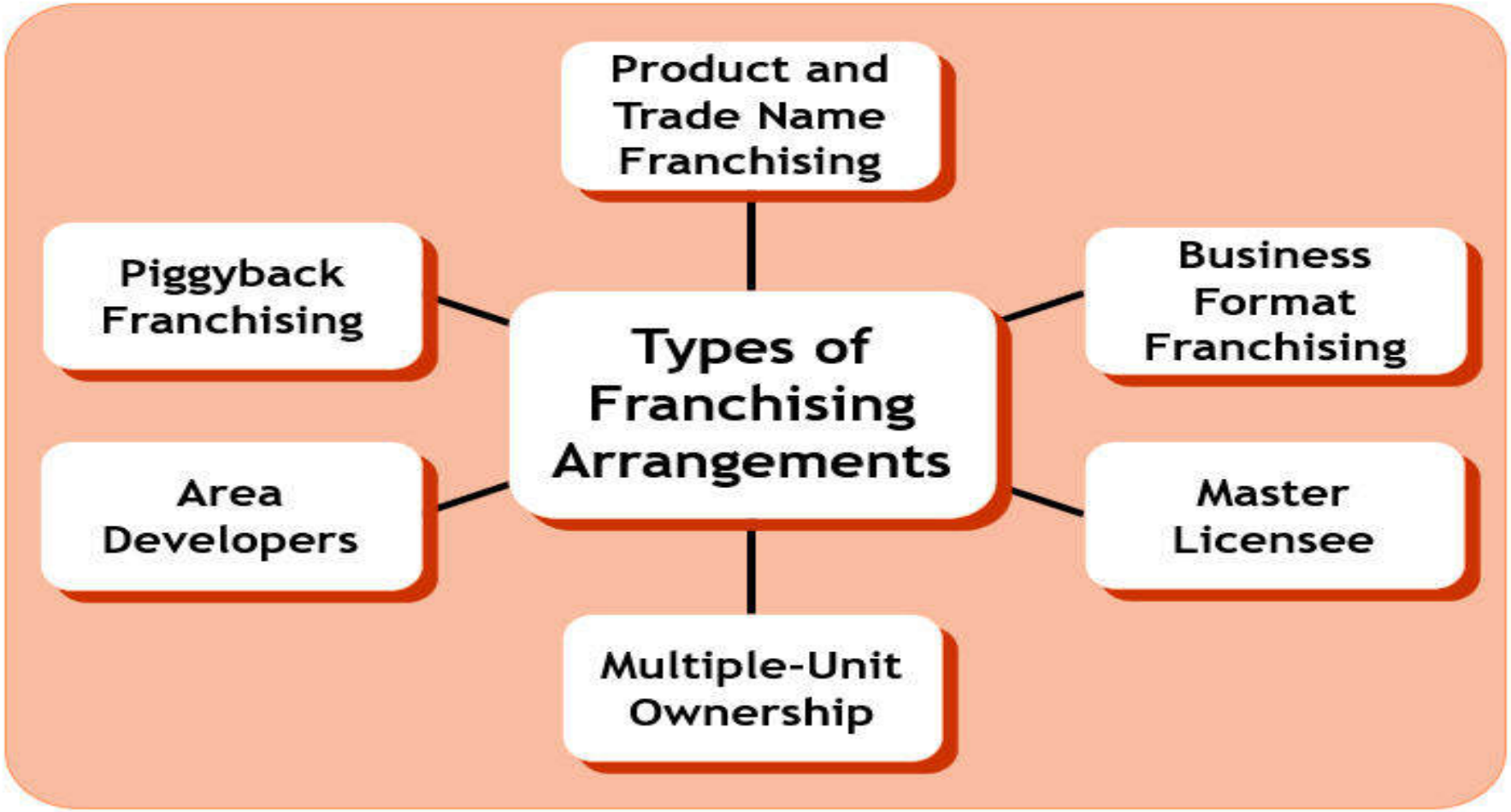
Minuses

– Franchise fees
– Royalties
– Restrictions on growth
– Less independence in operations
– Franchisor may be sole supplier of some supplies
– Termination/renewal clauses

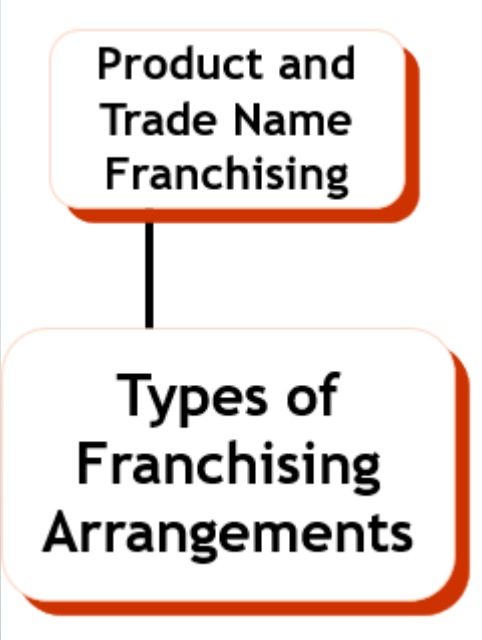
Franchising Options

Topic 37

Franchising Options



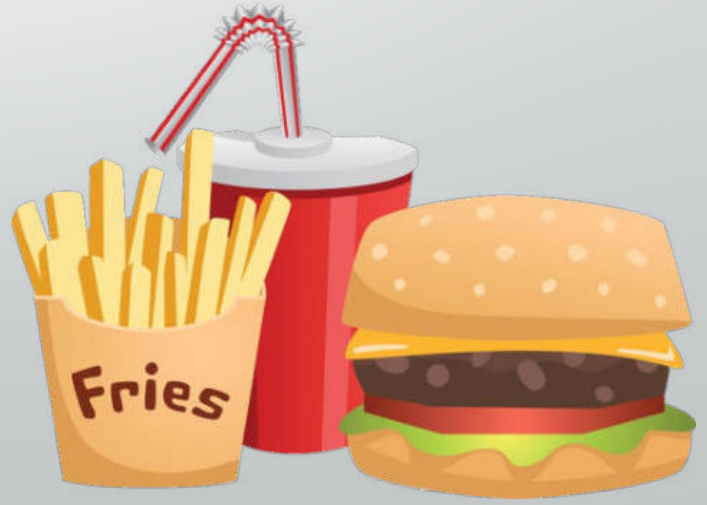
Franchising Options



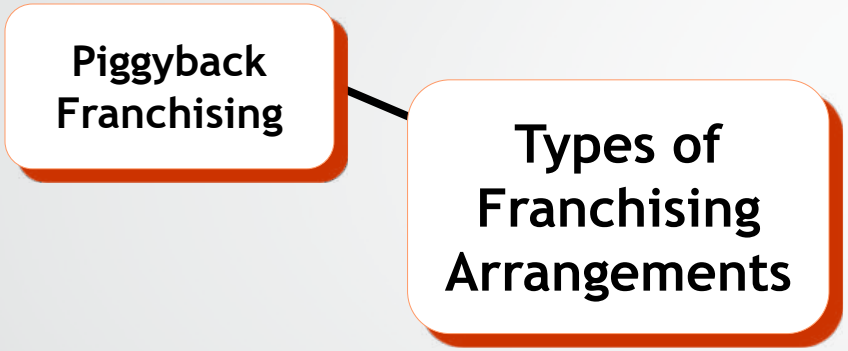
Franchising Options

Types of Franchising Arrangements

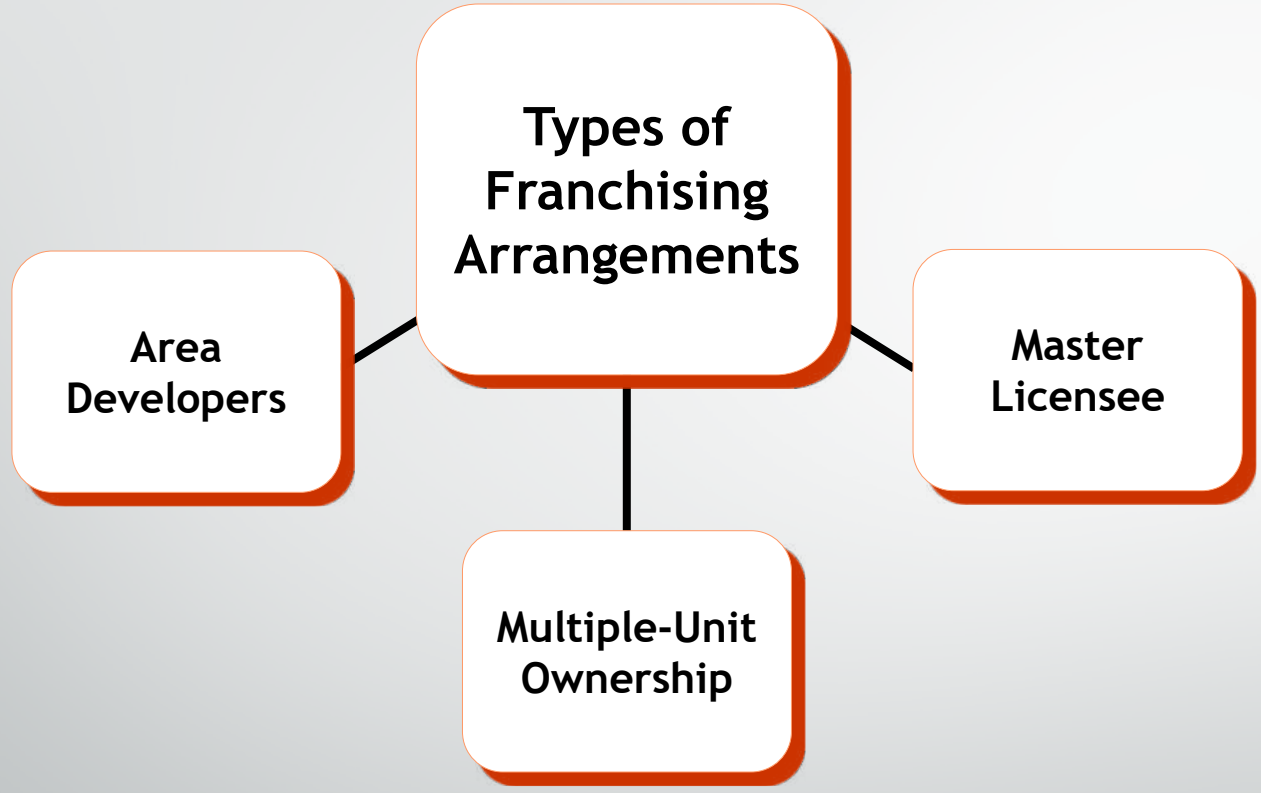
- **Business Format Franchising**



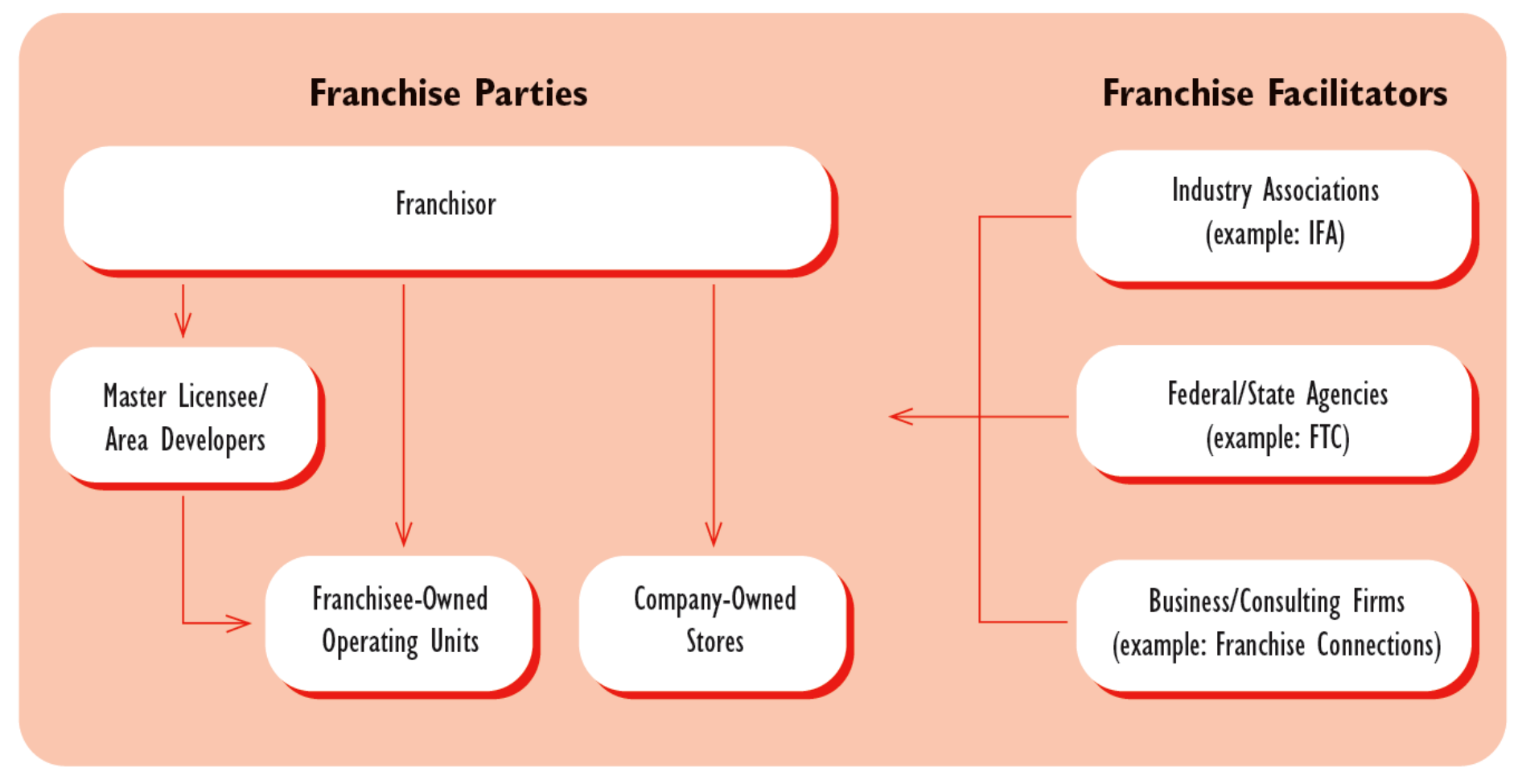
Franchising Options



Franchising Options



The Structure of Franchising



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Theme-4 video-38

Franchising Cost

Topic 38

Typical Components of Franchising Costs

1. Initial franchise fee

2. Cash investment

Typical Components of Franchising Costs

3. Royalty Payments

4. Advertising expenses

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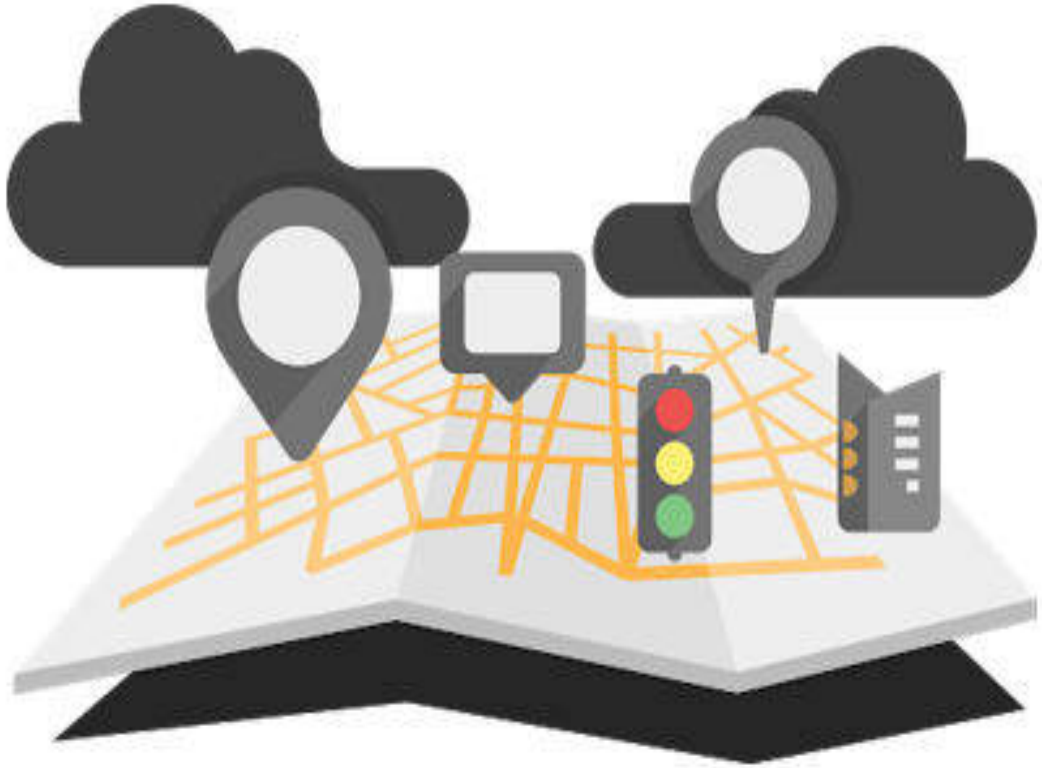
Theme-4 video-39

Franchisor Controls

Topic 39

Typical Franchisor Controls

1. Restriction of sales territory



2. Approval of site and facility's appearance

Typical Franchisor Controls

3. Restriction of goods/services to be sold

4. Required operating hours and advertising

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Theme-4 video-40

Evaluating Franchise Opportunities

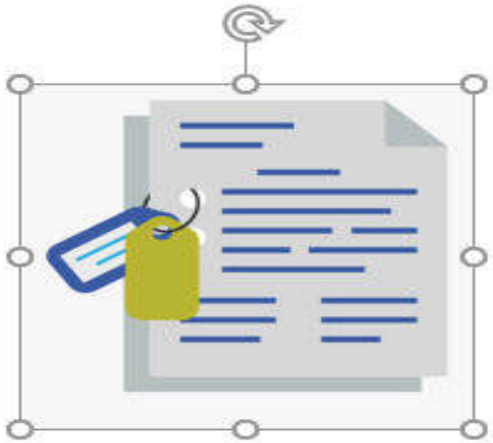
Topic 40

Evaluating Franchise Opportunities

- Selecting a Franchise Opportunity
  - Personal observation
  - Advertisements
    - Existing and previous franchisees

Evaluating Franchise Opportunities

- Investigating the Potential Franchise
  - Information sources
    - Independent, third-party sources
      - Federal Trade Commission
      - Internet
      - Franchise consultants
    - Franchisors themselves
      - Disclosure documents



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Theme-4 video - 41

Franchising _ Franchisor Franchisee Relationship

Topic 41

Key Elements of a Strong Franchisor Franchisee Relationship

- **Responsiveness**

- **Empathy**

Key Elements of a Strong Franchisor-Franchisee Relationship

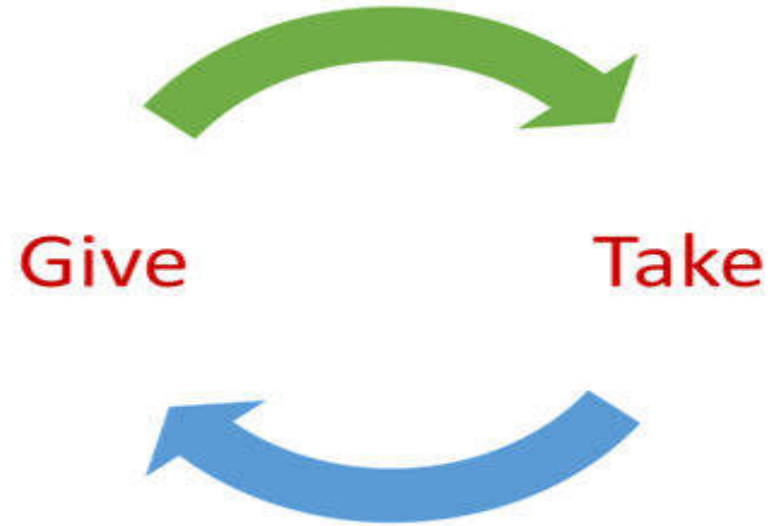
- **Communication**

- **Dependability**

Key Elements of a Strong Franchisor-Franchisee Relationship

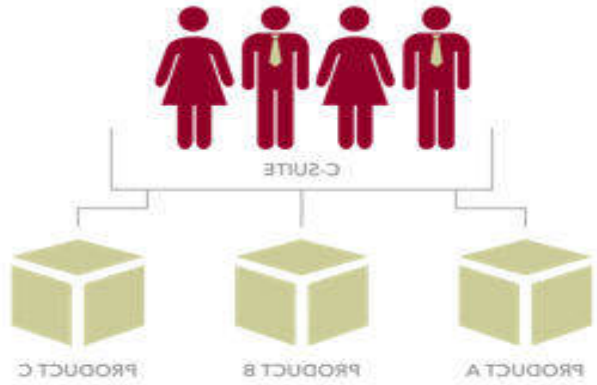
- **Accessibility**

- **Give and Take**



Key Elements of a Strong Franchisor Franchisee Relationship

- **Anticipation**
- **Structure**



- **Open-Mindedness**

Key Elements of a Strong Franchisor-Franchisee Relationship

- Responsiveness
- Empathy
- Communication
- Dependability
- Accessibility
- Give and Take
- Anticipation
- Structure
- Open-Mindedness

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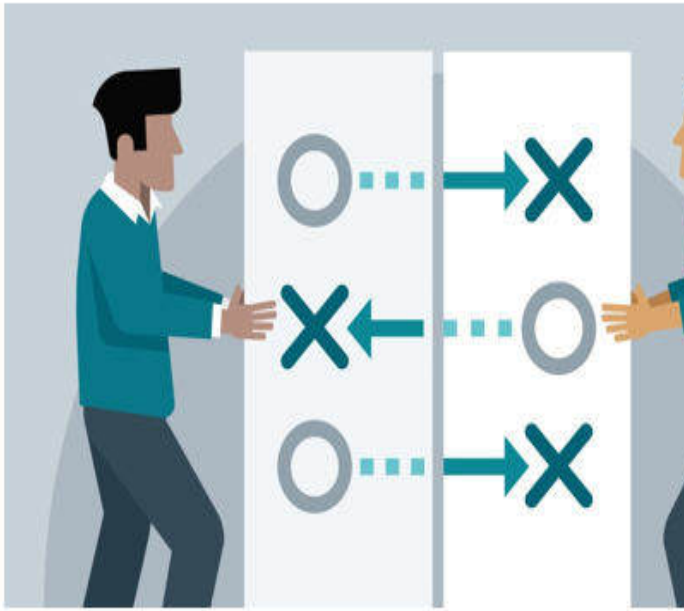
Theme-4 video-42



Topic 42

CO-ENTREPRENEURSHIP AND COPRENEURS

The agenda of this video

What is Co-entrepreneurship and who are copreneurs ?

What is meant by Co ?

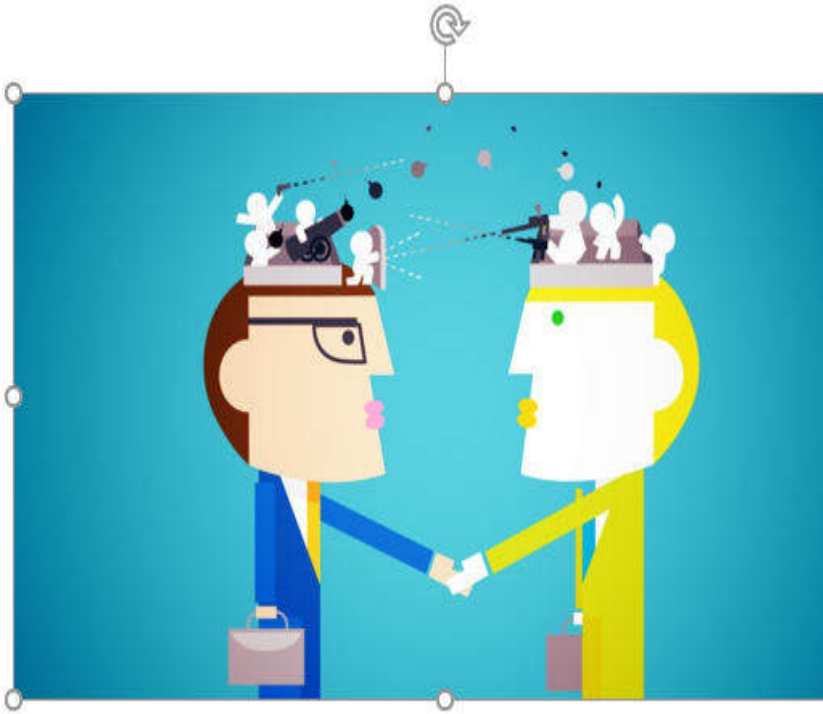
The literally meaning of Co is mutual, common, jointly

Co-education
Co-trainer
Co-host

An entrepreneur can work in a team and that is called co-entrepreneurship.

Who are Co-entrepreneurs?

Two or more than two venturing partners regardless of age, gender, marital status



Coprenurship as enterprising couples/partners who work in and share ownership of, commitment to, and responsibility for their business.

How to become copreneurs?

Co-founder

Advisor

Investor

Issues in Co-entrepreneurship

1. Personality conflicts

2. Risk taking behavior

Issues in Co-entrepreneurship

3. Personal life and commitments

4. Team conflicts

Issues in Co-entrepreneurship

5. Share of business and profit

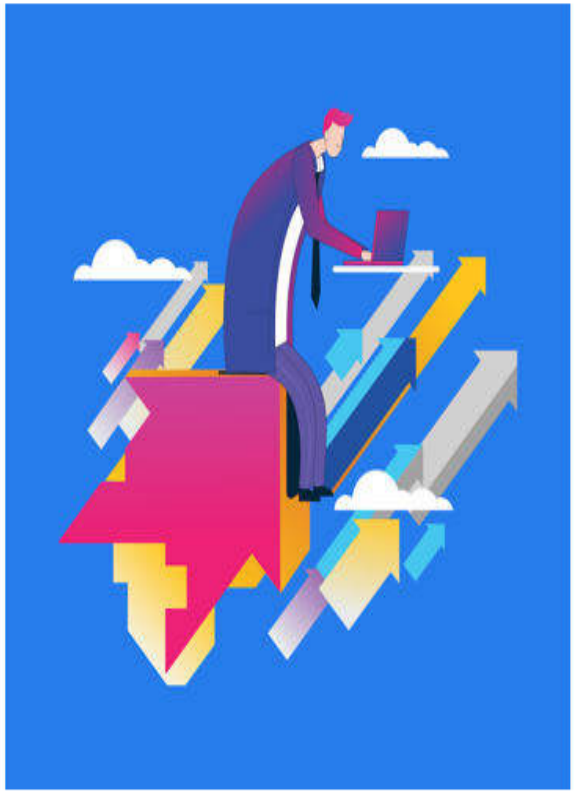
6. Partnership and dissolution

Issues in Co-entrepreneurship

7. Scale up issues

MGT602
Theme-4 video - 44

Topic 44



MINORITY AND SENIOR ENTREPRENEURS

The agenda of this video

Minority and senior entrepreneurs

Who are minorities ?

A group of people who experience relative disadvantage as compared to members of a dominant social group.

Minority group membership is based on some observable characteristics or practices such as:

Gender

Ethnicity

Race

Religion

Linguistic

Disability

Minorities in Pakistan

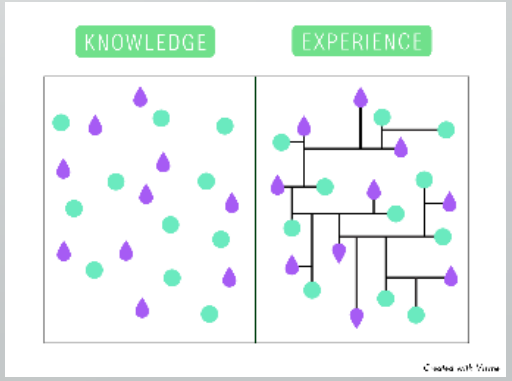
- Hindus
- Christians
- Sikhs
- Parsis
- Buddhists
- Others

There has been substantial increase in minority entrepreneurship in united states from 1996 to 2010.

Issues as minority entrepreneur

1. Dealing with Discrimination

2. Access to finance



Issues as minority entrepreneur

3. Additional competition

4. Misuse of emotions, language and/or religion

Senior Entrepreneurs - the fastest growing group of new entrepreneurs.

People who are starting their own venture after the age of 50 years

Members of the population who are:

1. Nearing in their retirement
2. Early retirement

Financial and non-financial motives for senior entrepreneurship

1. More knowledge and experience

2. Corporate downsizing

Financial and non-financial motives for senior entrepreneurship

2. More personal fulfillment or self-actualization

3. Growing worries for additional income

Financial and non-financial motives for senior entrepreneurship

5. Quality time and healthier life

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Theme-4 video-45

Part-time and home based entrepreneurs

The agenda of this video

Part-time and home based entrepreneurs

Approach 1: Full time entrepreneurs:

1. Financial risk

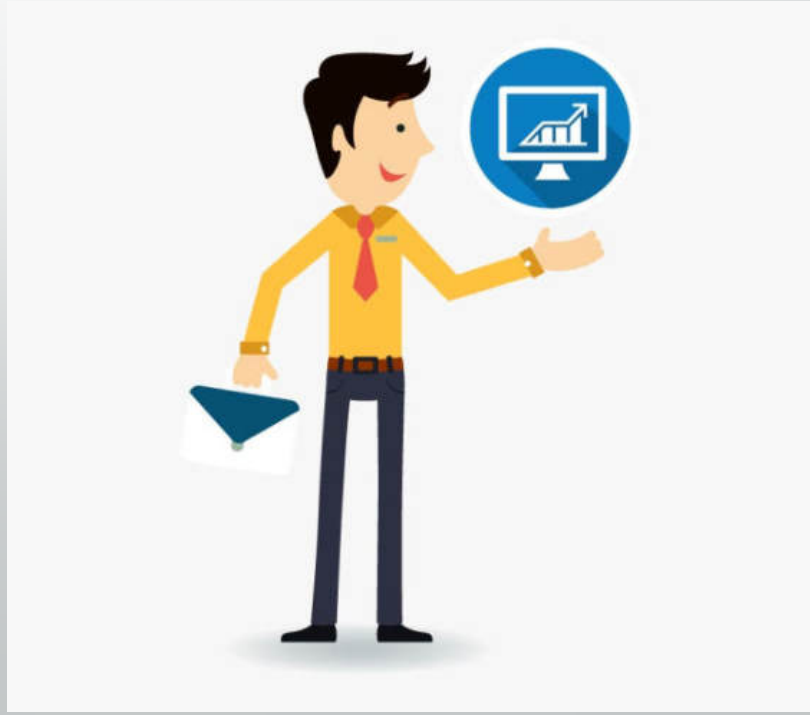
2. Over reliance on venture sustainability and income

3. More stress

Approach 2: as part-time entrepreneurs

What is part-time entrepreneur ?

An individual who is not practicing entrepreneurship as his/her main occupation.



Key considerations for part-time entrepreneurs

1. The role of financial motives and non-financial motives

2. Social pressure

3. You might burn out

Key considerations for part-time entrepreneurs

4. Main occupation might suffer

5. Over commitment

6. Risk and time management

What is home-based entrepreneurship ?

- A business whose primary office is in the owner's home.
- No separate business location
- Mostly found in rural areas
- Micro rather nano sized business
- Skill based entrepreneurship

Challenges of home-based entrepreneurship

1. Scale-up issues due to limited space

2. Financing

3. Work life balance

MGT602
Theme-4 video-46

Social entrepreneurs

The agenda of this video

Who is social entrepreneur and
What is social entrepreneurship ?

What is a Social Entrepreneur?

A social entrepreneur is a person who pursues novel applications that have the potential to solve community-based problems.

What is a Social Entrepreneur?
These individuals are willing to take on the risk and effort to create positive changes in society through their initiatives.

Crux: Doing business for a social cause

Source: https://www.investopedia.com/terms/s/social-entrepreneur.asp

According to web source, “managementstudyguide.com”

Social entrepreneurship is all about recognizing the social problems and achieving a social change by employing entrepreneurial principles, processes and operations.

The major portion of profit is donated for a special cause.

NGO (non-governmental organization) model is based on funding/donations only

Social entrepreneurship bring commerce and social cause together

Examples

Grameen Bank is a microfinance organization and community development bank founded in Bangladesh. It makes small loans to the ultra poor people without requiring collateral.

Examples

Akhuwat by Dr Amjad Saqib: Qarz e Hassan, education, program for eunuch, university

Challenge of social enterprises

1. Financial self-sufficiency

2. Operational self-sufficiency

Challenge of social enterprises

3. Business sustainability

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Theme-4 video-48

Who are Wantrepreneurs?

The agenda of this video

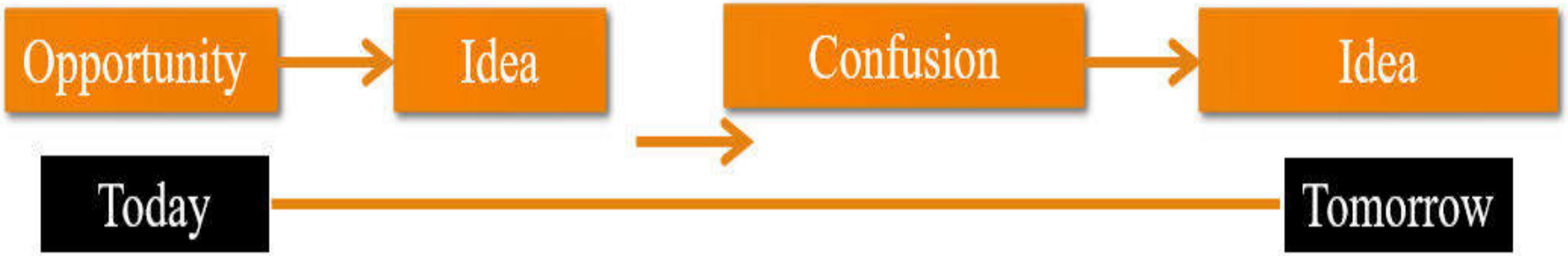
Wantrepreneurs

Wantrepreneurs If:

1. Waiting for perfect conditions
2. Aiming too high especially for money
3. Too big plans
4. Conflused
5. Following the passion of others
6. Too much worried about capital and personal image
7. Not willing to sacrifice
8. Keep complaining about failures
9. Do not take responsibilities of your actions
10. Easily get discouraged
11. Risk-averse
12. Day dreaming

Entrepreneur

Wantaprepreneur



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Theme-4 video-49

The pitfalls in the journey of entrepreneurship and how to avoid pitfalls?

The agenda of this video

Entrepreneurial advice

Pitfall: a hidden or unsuspected danger or difficulty

1. Lack of managerial skills
2. Lack of experience
3. Poor financial control
4. Weak marketing efforts
5. Failure to develop a strategic plan
6. Uncontrolled growth
7. Poor location
8. Improper inventory control
9. Incorrect pricing
10. Inability to make entrepreneurial transition

How to avoid Pitfall?

1. Self-awareness
2. Know your business in depth
3. Develop a solid business plan
4. Manage financial resources
5. Understand financial statement
6. Learn to manage people efficiently
7. Keep in tune with yourself
8. Marketing research and intelligence
9. Networking
10. Expert advice

MGT602
Theme-4 video-50

Characteristics of successful entrepreneurs (part a)

Agenda of video

Characteristics of successful entrepreneurs

Characteristics of successful entrepreneurs

- ✓ Passion for business
- ✓ Tenacity despite failure
- ✓ Execution Intelligence
- ✓ Disciplined

Passion is important for both:

For commercial business
For non-profit organization

To open a business is very easy; to keep it open is very difficult.

Characteristics of successful entrepreneurs

- ✓ Disciplined

MGT602
Theme-4 video-51

Characteristics of successful entrepreneurs (part b)

Agenda of video

Characteristics of successful entrepreneurs

Characteristics of successful entrepreneurs

- ✓ Passion for business
- ✓ Tenacity despite failure
- ✓ Execution Intelligence
- ✓ Disciplined

Characteristics of successful entrepreneurs

- ✓ Self starter
- ✓ Strong work ethic
- ✓ Open minded
- ✓ Self-assurance

Characteristics of successful entrepreneurs

- ✓ Self starter

Characteristics of successful entrepreneurs

- ✓ Strong work ethics

Characteristics of successful entrepreneurs

- ✓ Open Minded

- Judgmental
- Tolerance
- Religious, regional and cultural values
- Personal biases

Characteristics of successful entrepreneurs

- ✓ Self-assurance

MGT602
Theme-4 video-52

Characteristics of successful entrepreneurs (part c)

Agenda of video

Characteristics of successful entrepreneurs

Characteristics of successful entrepreneurs

- ✓ Passion for business
- ✓ Tenacity despite failure
- ✓ Execution Intelligence
- ✓ Disciplined

Characteristics of successful entrepreneurs

- ✓ Self starter
- ✓ Strong work ethic
- ✓ Open minded
- ✓ Self-assurance

Characteristics of successful entrepreneurs

- ✓ Empathy
- ✓ Vision
- ✓ Self-investment
- ✓ Optimistic
- ✓ Creative

Characteristics of successful entrepreneurs

- ✓ Empathy
- ✓ Vision
- ✓ Self-investment
- ✓ Optimistic
- ✓ Creative

MGT602
Theme-4 video-53

Key skills of successful entrepreneurs (Part a)

Agenda of video

Key skills of successful entrepreneurs

- ✓ Key skills of successful entrepreneurs

- ✓ Goal setting
- ✓ Information seeking
- ✓ Opportunity seeking
- ✓ Learning
- ✓ Persistence

Key skills of successful entrepreneurs

✓ Goal setting

Goals must be SMART.

S for Specific

M for measureable

A for achievable

R for realistic

T for time-bound

Key skills of successful entrepreneurs

Information seeking

Information is power.

Opportunity seeking

Learning

Learn how to unlearn

Persistence

Never give-up

MGT602
Theme-4 video-54

Key skills of successful entrepreneurs (Part b)

Agenda of video

Key skills of successful entrepreneurs

Key skills of successful entrepreneurs

- ✓ Goal setting
- ✓ Information seeking
- ✓ Opportunity seeking
- ✓ Learning
- ✓ Persistence

Key skills of successful entrepreneurs

- ✓Planning & Monitoring
- ✓Financial intelligence
- ✓Market intelligence
- ✓Persuasion & Influence

Key skills of successful entrepreneurs

- ✓ Planning & Monitoring
- ✓ Financial intelligence
- ✓ Market intelligence

  Market research

  Market trends

  Competitive intelligence

Key skills of successful entrepreneurs

- ✓ Persuasion & Influence

MGT602
Theme-4 video-55

Key skills of successful entrepreneurs (Part c)

Agenda of video

Key skills of successful entrepreneurs

Key skills of successful entrepreneurs

- ✓ Goal setting
- ✓ Information seeking
- ✓ Opportunity seeking
- ✓ Learning
- ✓ Persistence

Key skills of successful entrepreneurs

- ✓Planning & Monitoring
- ✓Financial intelligence
- ✓Market intelligence
- ✓Persuasion & Influence

Key skills of successful entrepreneurs

- ✓ Quality Assurance
- ✓ Efficiency
- ✓ Reading financial statements
- ✓ Marketing and sales
- ✓ Communication skills
- ✓ Networking
- ✓ Digital Marketing

Key skills of successful entrepreneurs

- ✓ Quality Assurance
- ✓ Efficiency

Smart use of available resources

Minimum wastage of resources

Key skills of successful entrepreneurs

✓ Reading financial statements

- Legers
- Trial balance
- Statement of cash flows
- Profit and loss accounts
- Balance sheet

Reading financial statements

Financial Ratios

- ✓ Liquidity ratios
- ✓ Leverage ratios
- ✓ Profitability ratios
- ✓ Activities ratios

Key skills of successful entrepreneurs

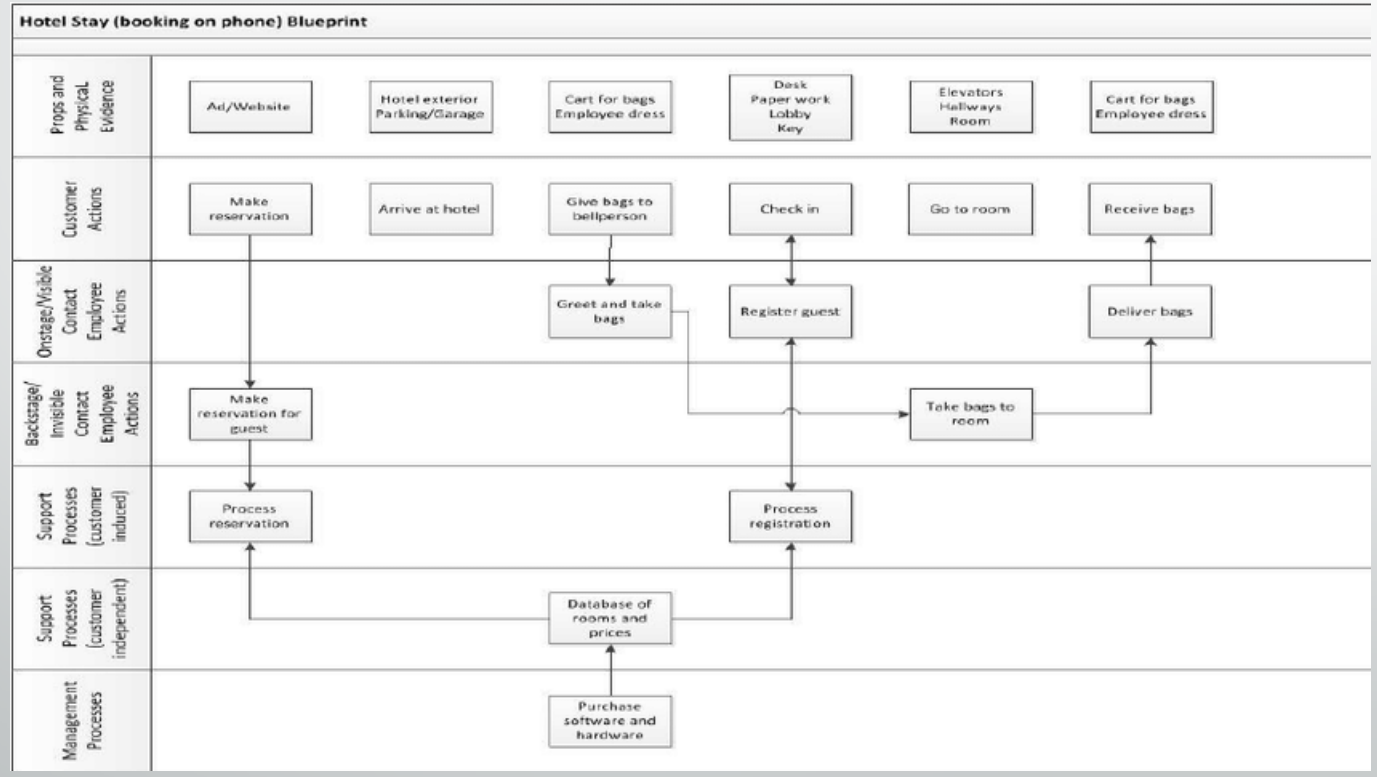
✓ Marketing and sales

- 7 Ps
- Product
- Price
- Place
- Promotion
- Physical evidence
- People
- process

Product design
Price

Place
Promotion

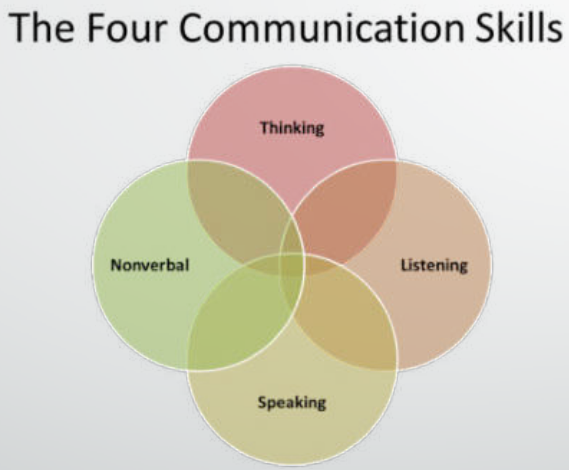
Physical Evidence



People
Process improvement

Key skills of successful entrepreneurs

- ✓ Communication skill



Key skills of successful entrepreneurs

✓ Networking

Your network is your net worth.

Key skills of successful entrepreneurs

- ✓ Digital Marketing

Theme-5

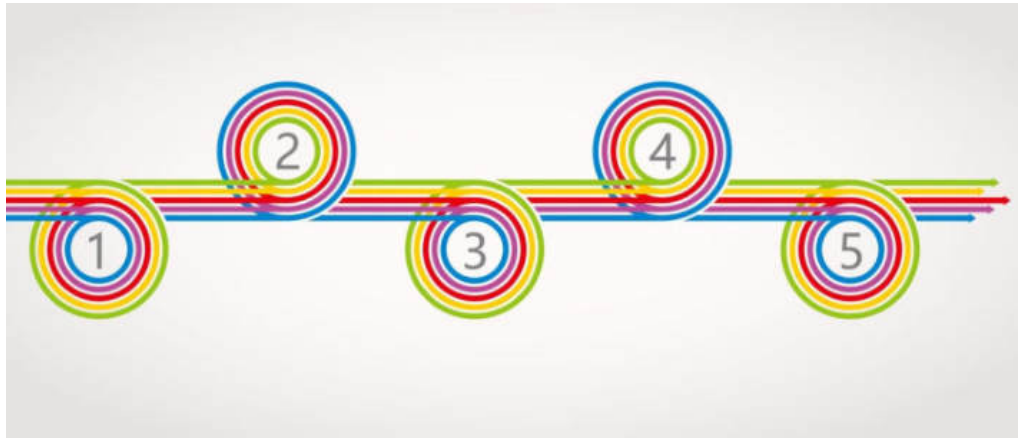
Topic 56

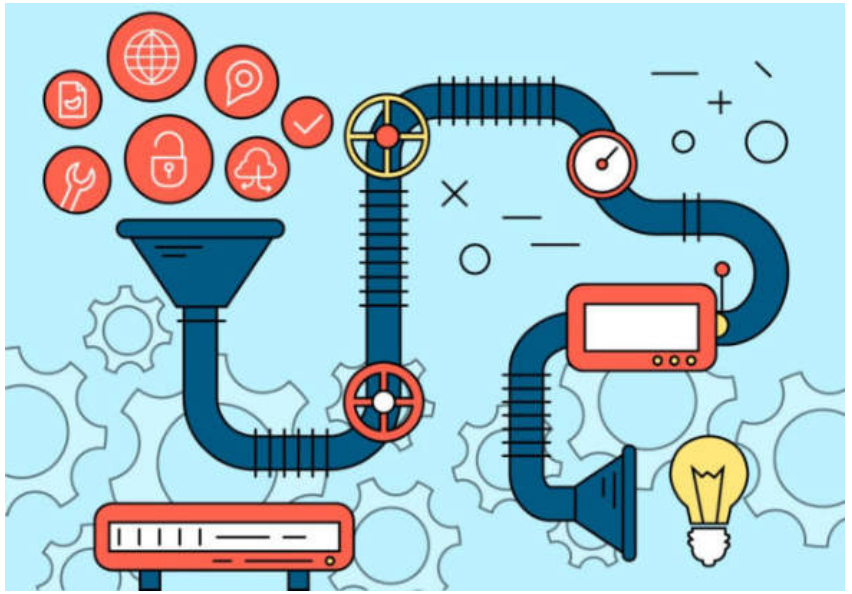
THE ENTREPRENEURIAL PROCESS

Efforts by: AARISH ALI

Agenda of video

Entrepreneurial process

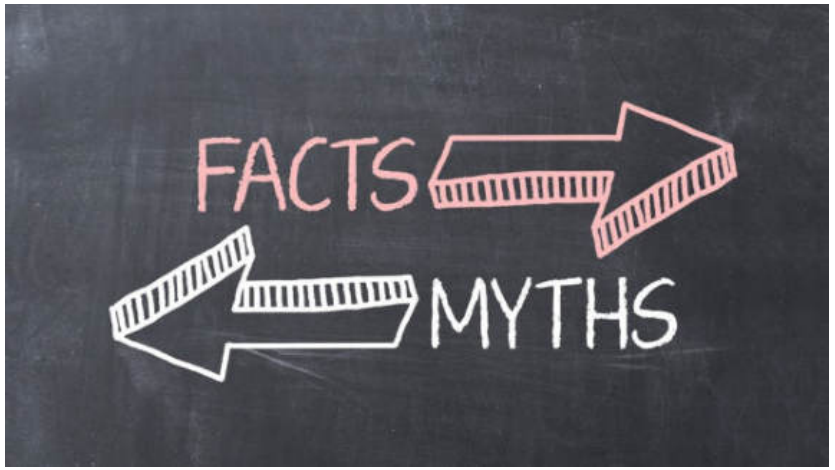




- ✓ History of entrepreneurship, its contemporary issues and its role in economic development

- ✓ Definition of entrepreneurship and entrepreneur

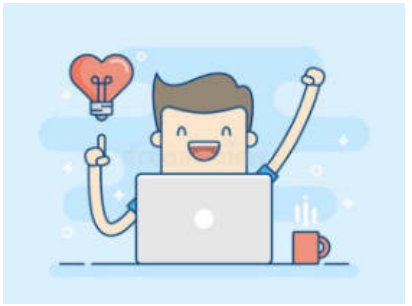
- ✓ Common myths of entrepreneurs, potential benefits and draw back



- ✓ How you can become entrepreneur ?

- ✓ Pitfalls to avoid in the journey of entrepreneurship

- ✓ Characteristics of successful entrepreneurs

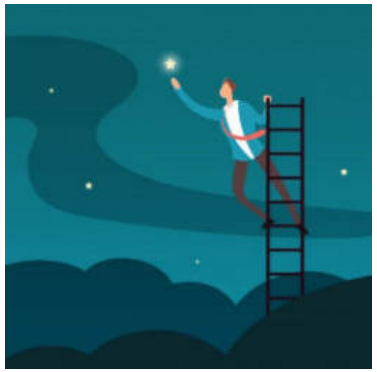


- ✓ Key skills required for entrepreneurs

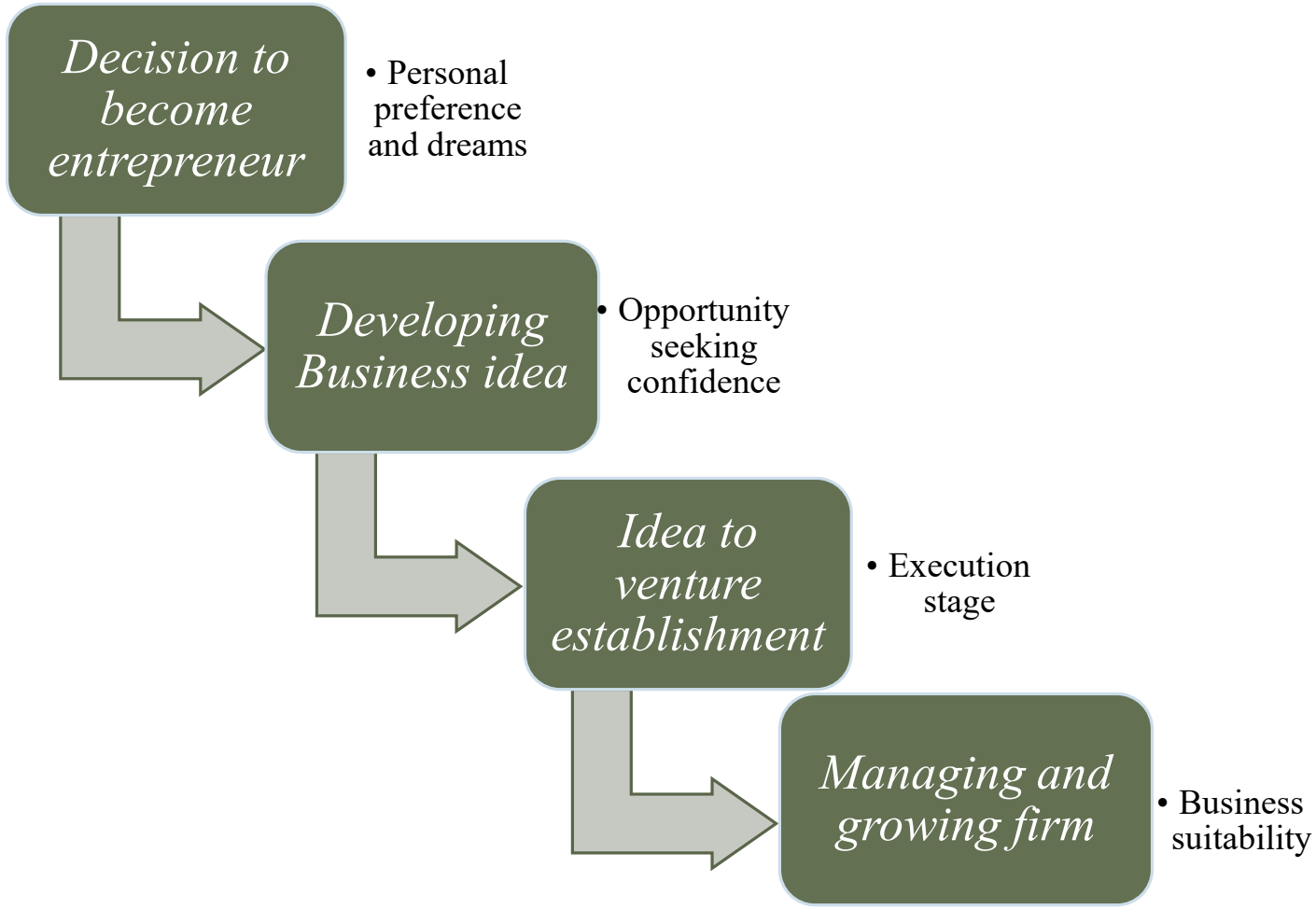
The **entrepreneurial process** includes all the functions, activities, and actions that are part of perceiving opportunities and creating organizations to pursue them

It is a long-term process and requires:

1. Hard and smart work
2. Personal commitment
3. Consistency and persistence



The entrepreneurial Process

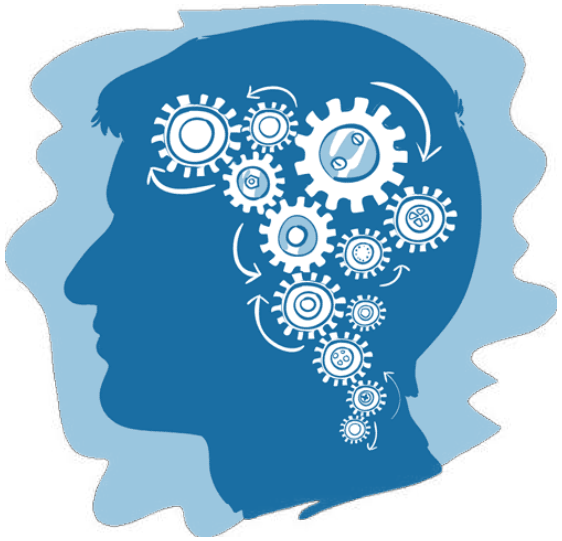


Source: Barringer and Ireland

The Entrepreneurial Traits

The Entrepreneurial Process

Knowledge and inspiration → Idea



The Entrepreneurial Traits

Dream
Desire
Inventiveness

The Entrepreneurial Process

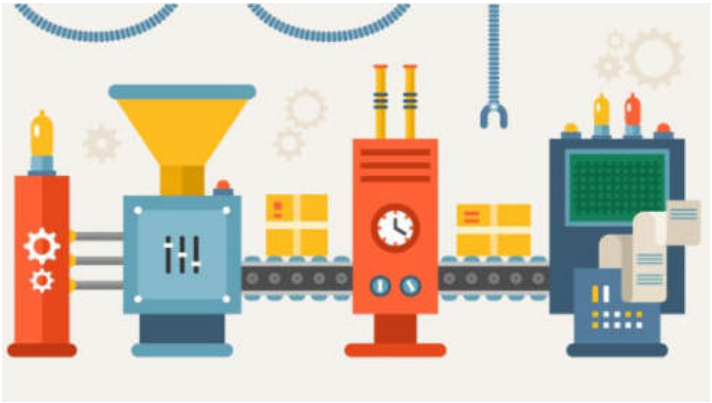
Venture Development

The Entrepreneurial Traits

Determination
Trail & Error
Productivity and efficiency

The Entrepreneurial Process

Production and operations

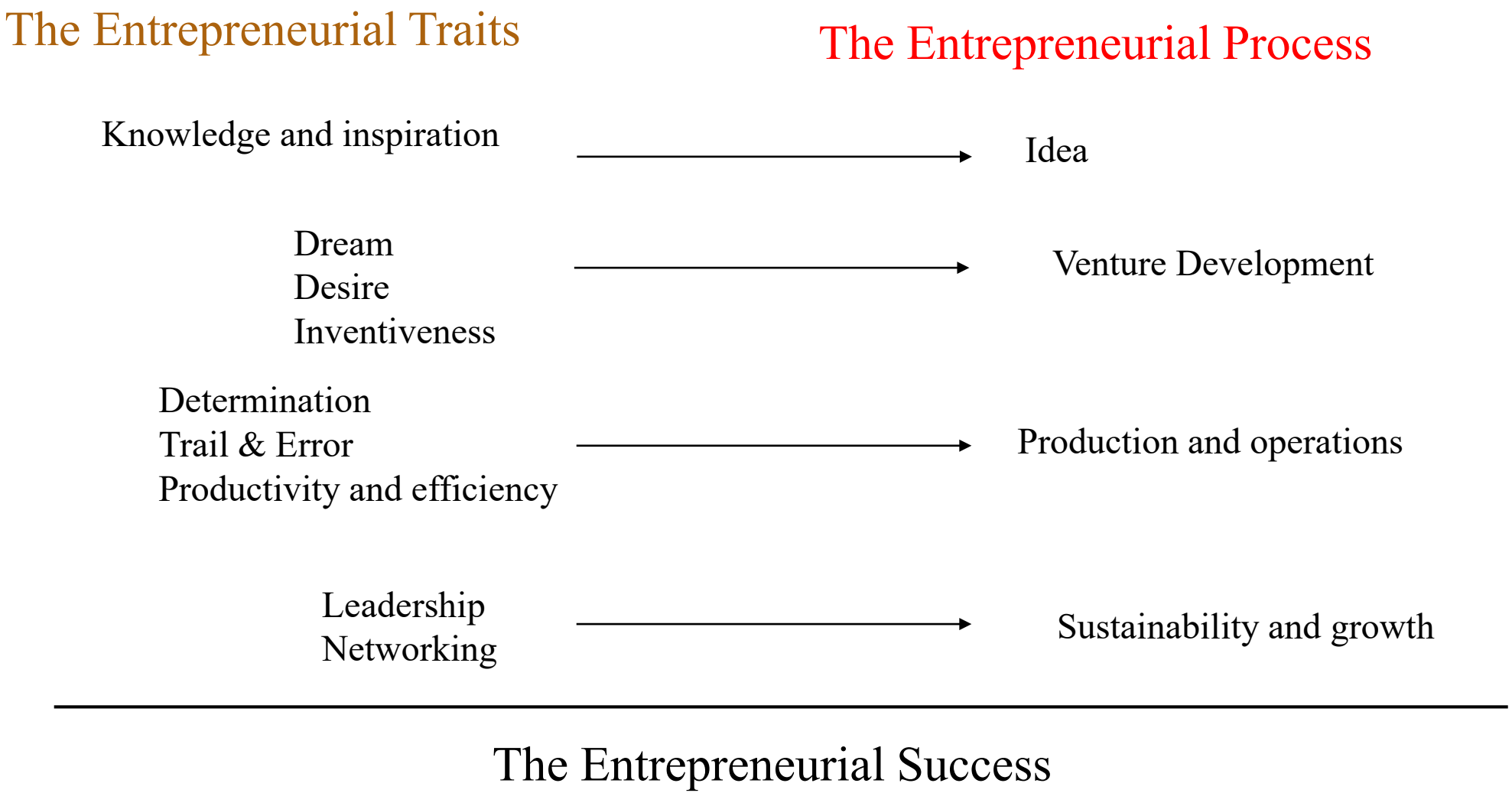


The Entrepreneurial Traits

Leadership
Networking

The Entrepreneurial Process

Sustainability and growth


The Entrepreneurial Traits
The Entrepreneurial Process
Knowledge and inspiration
Idea
Dream
Desire
Inventiveness
Venture Development
Determination
Trail & Error
Productivity and efficiency
Production and operations
Leadership
Networking
Sustainability and growth
The Entrepreneurial Success

The Entrepreneurial Process

The entrepreneurial process is a set of stages and events that follow one another. These entrepreneurial process stages are: the idea or conception of the business, the event that triggers the operations, implementation and growth. A critical factor that drive the development of the business at each stage as with most human behavior, entrepreneurial traits are shaped by personal attributes and environment.

William Bygrave, a professor at Babson College

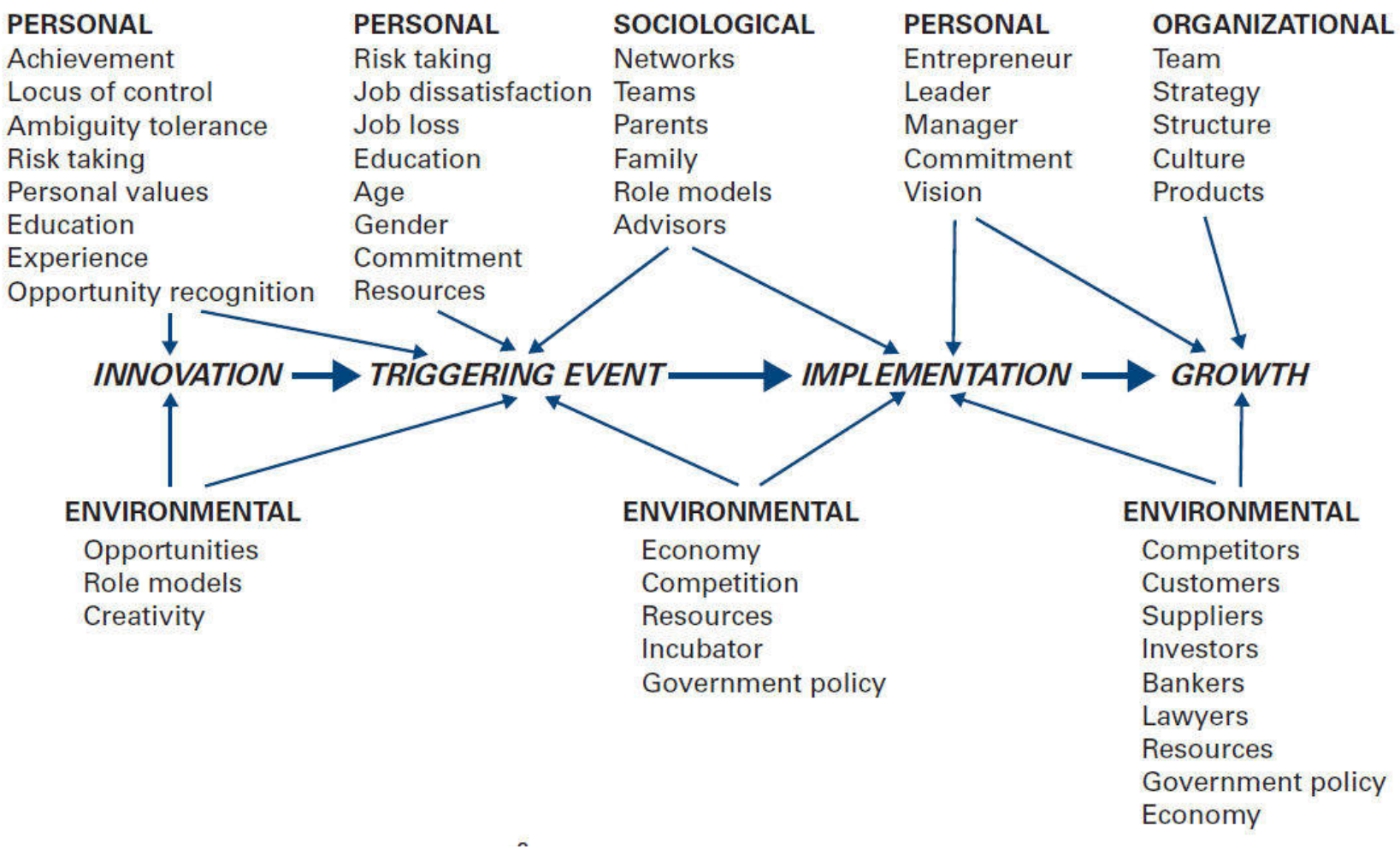
Source: https://www.barrazacarlos.com/entrepreneurial-process-stages/

Idea generation and opportunity seeking

Decision making and business planning

Business creation requires marketing, finance, operational capability

Management and control


PERSONAL
Achievement
Locus of control
Ambiguity tolerance
Risk taking
Personal values
Education
Experience
Opportunity recognition
PERSONAL
Risk taking
Job dissatisfaction
Job loss
Education
Age
Gender
Commitment
Resources
SOCIOLOGICAL
Networks
Teams
Parents
Family
Role models
Advisors
PERSONAL
Entrepreneur
Leader
Manager
Commitment
Vision
ORGANIZATIONAL
Team
Strategy
Structure
Culture
Products
INNOVATION
TRIGGERING EVENT
IMPLEMENTATION
GROWTH
ENVIRONMENTAL
Opportunities
Role models
Creativity
ENVIRONMENTAL
Economy
Competition
Resources
Incubator
Government policy
ENVIRONMENTAL
Competitors
Customers
Suppliers
Investors
Bankers
Lawyers
Resources
Government policy
Economy

Topic 61

IDENTIFYING AND RECOGNIZING OPPORTUNITIES

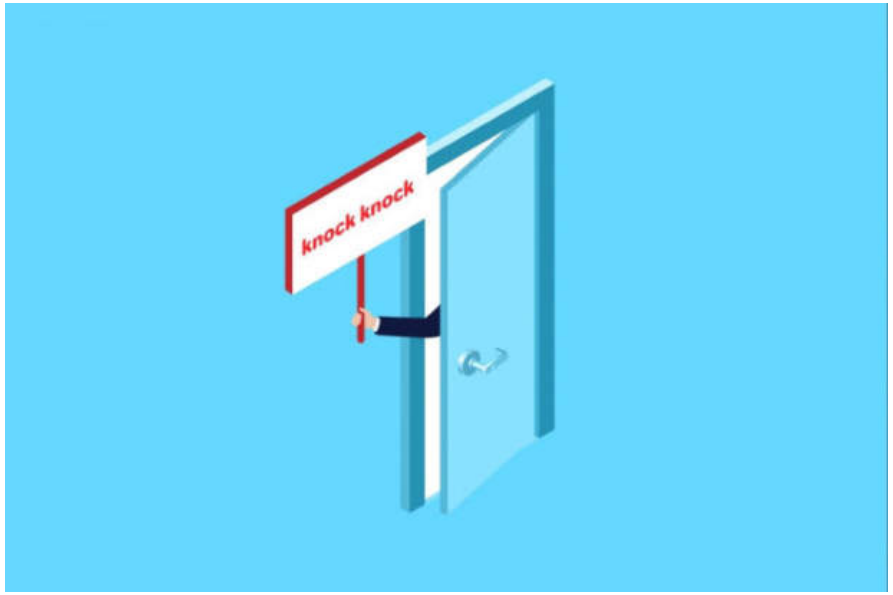
PART I

Agenda of the video

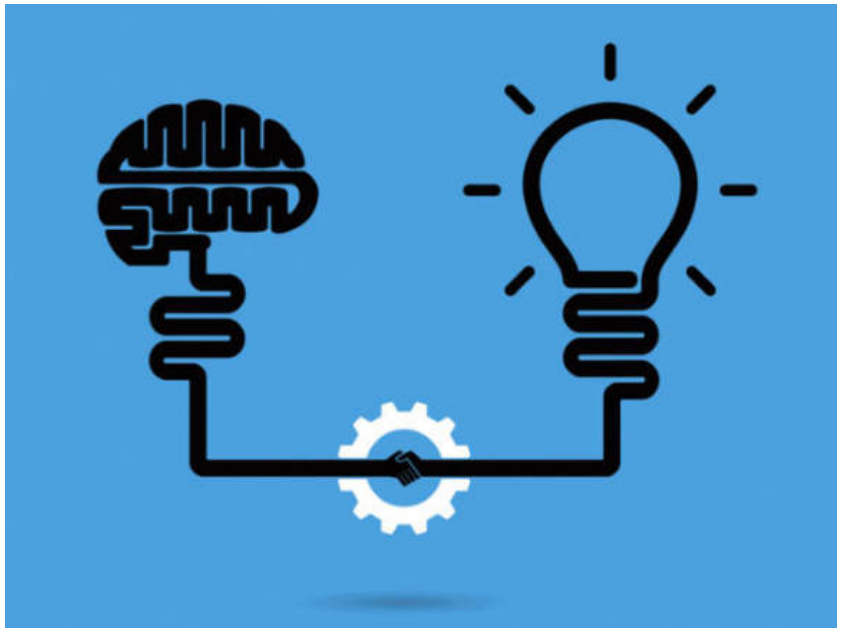
What is a business opportunity ?

An opportunity is a favorable set of circumstances that creates a need for a new product, service, or business.

A business opportunity represents a possibility for the entrepreneurs to successfully fill a large enough unsatisfied need that results in enough sales and profits.

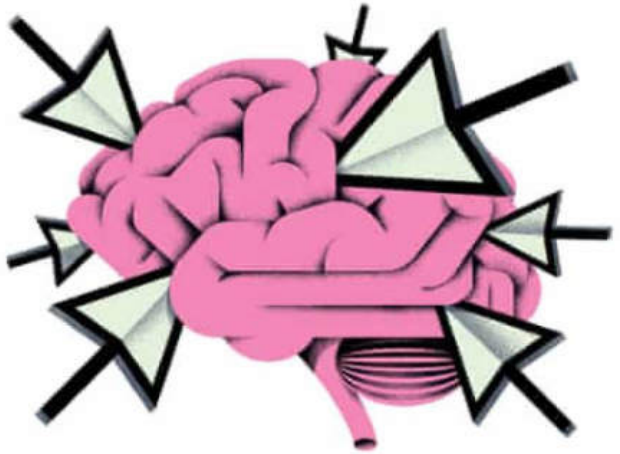


A misperception about opportunity is that it must be unique.



Developing the idea, implementing it, and building a successful business are the important things.

Opportunity can be externally stimulated.

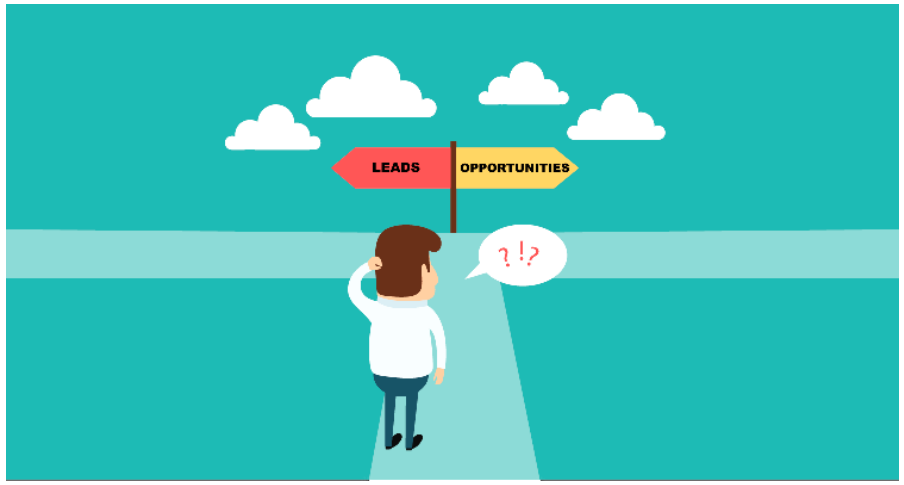


Opportunity can be internally stimulated.

Source: barringer and Ireland

Entrepreneur recognize a problem or an opportunity gap and creates a business to fill it.

Source: barringer and Ireland



Picking a currently available product or service and trying to build a business around a slightly better of it.

Source: barringer and Ireland

Topic 62

IDENTIFYING AND RECOGNIZING OPPORTUNITIES

PART II

Identifying business opportunities

Qualities of good opportunity

Attractive

Timely

Durable

Opportunity

Product or service that adds value for buyer or end-user

Window of opportunity

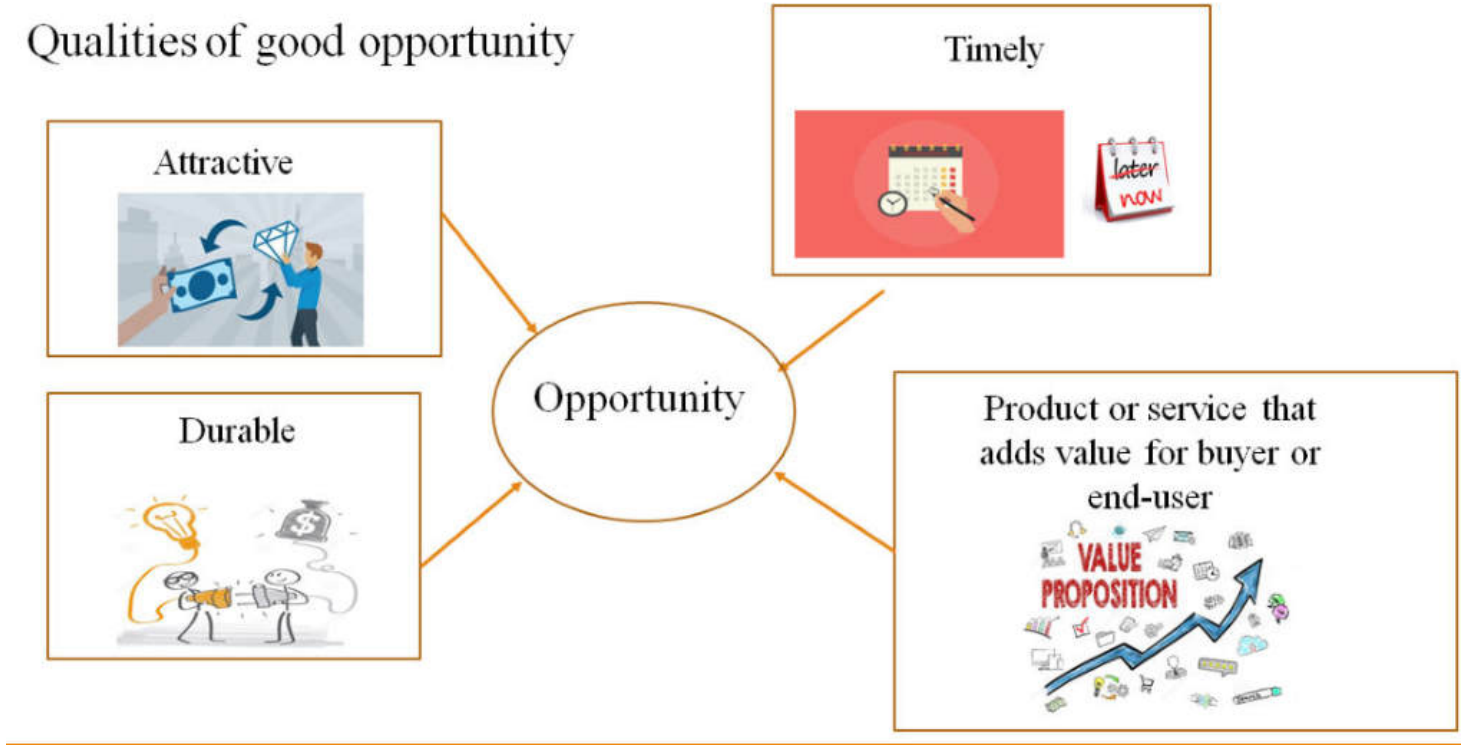
Difference between idea and opportunity

Idea is a thought, an impression, or a notion.

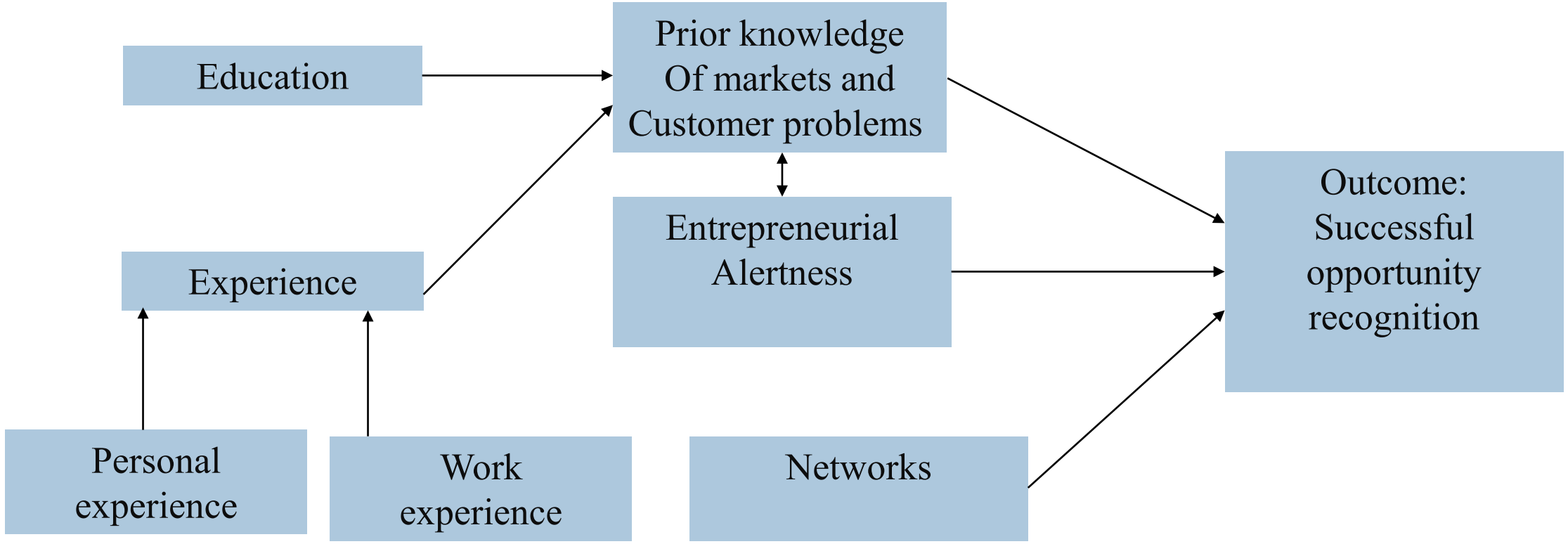
It may or may not meet the criteria of an opportunity.

Difference between idea and opportunity

Opportunity must possesses all four qualities i.e. attractive, durable, timely and value laden.



Model of the opportunity recognition process



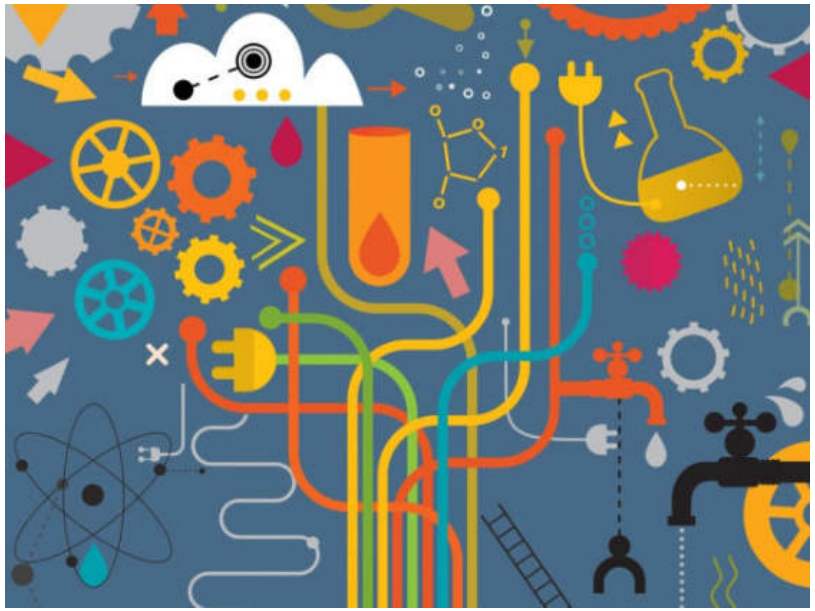
Sources: from the book of Hisrich, Peters, Shepherd

Topic 63

THE OPPORTUNITY SOURCES: OBSERVING TRENDS

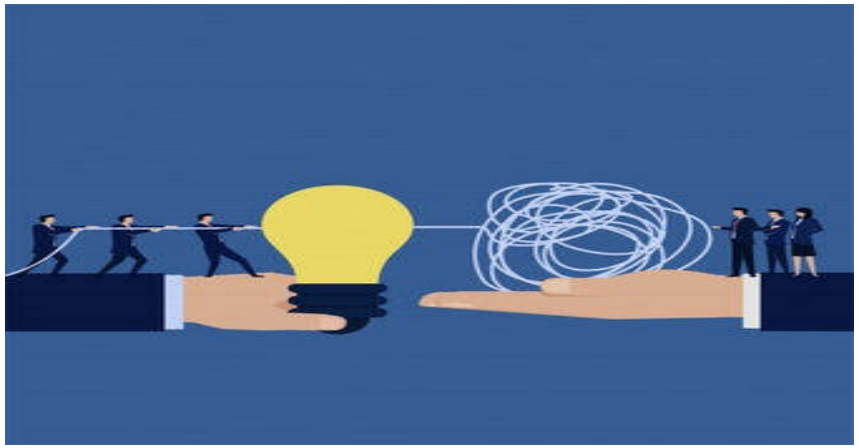
Three major ways of identifying an opportunity

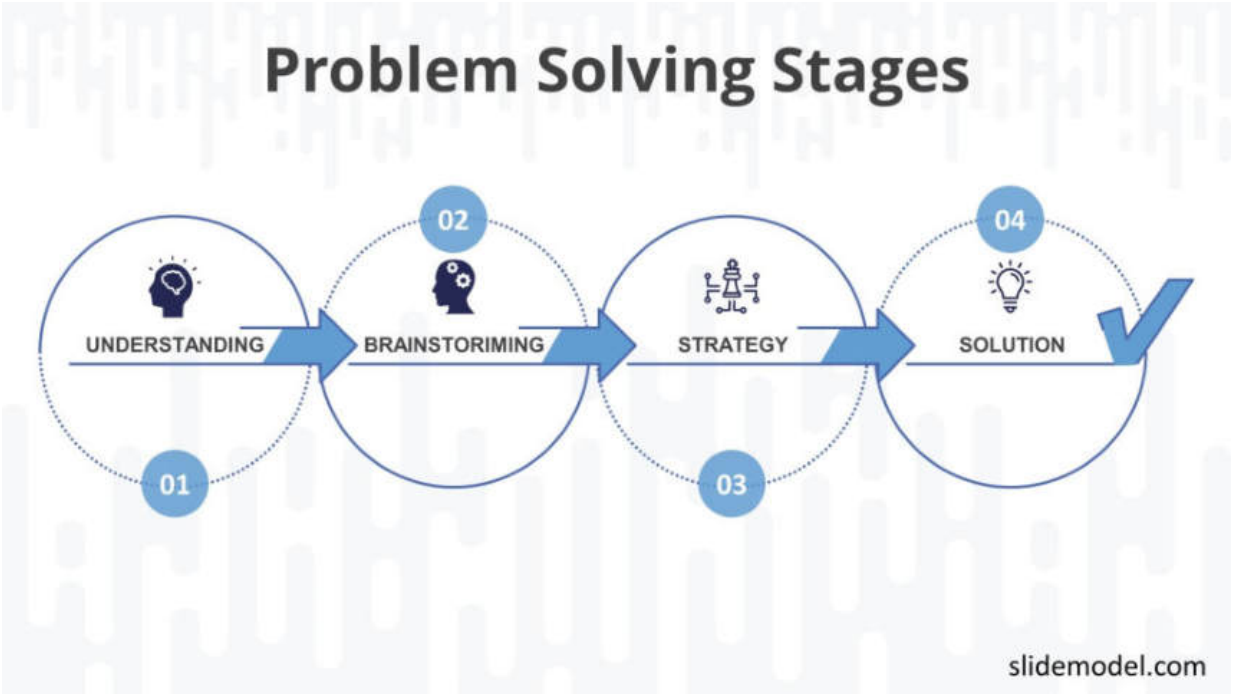
1. Observing trends



Three major ways of identifying an opportunity

2. Solving a problem





Three major ways of identifying an opportunity

3. Finding a gap in market place

Opportunity sources: Observing Trends

1. Green Trend

2. Clean Energy trend and global warming

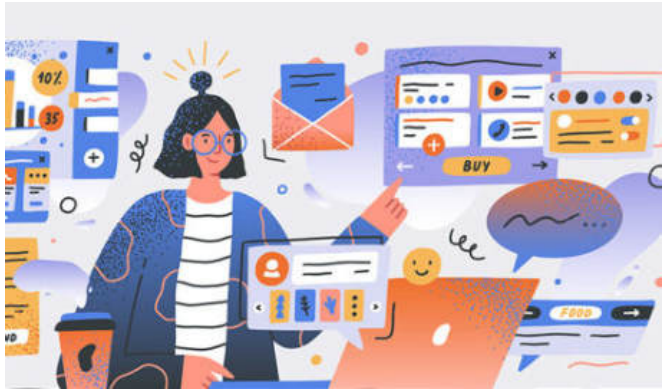
3. Organic orientation trend

4. Fitness and health trend

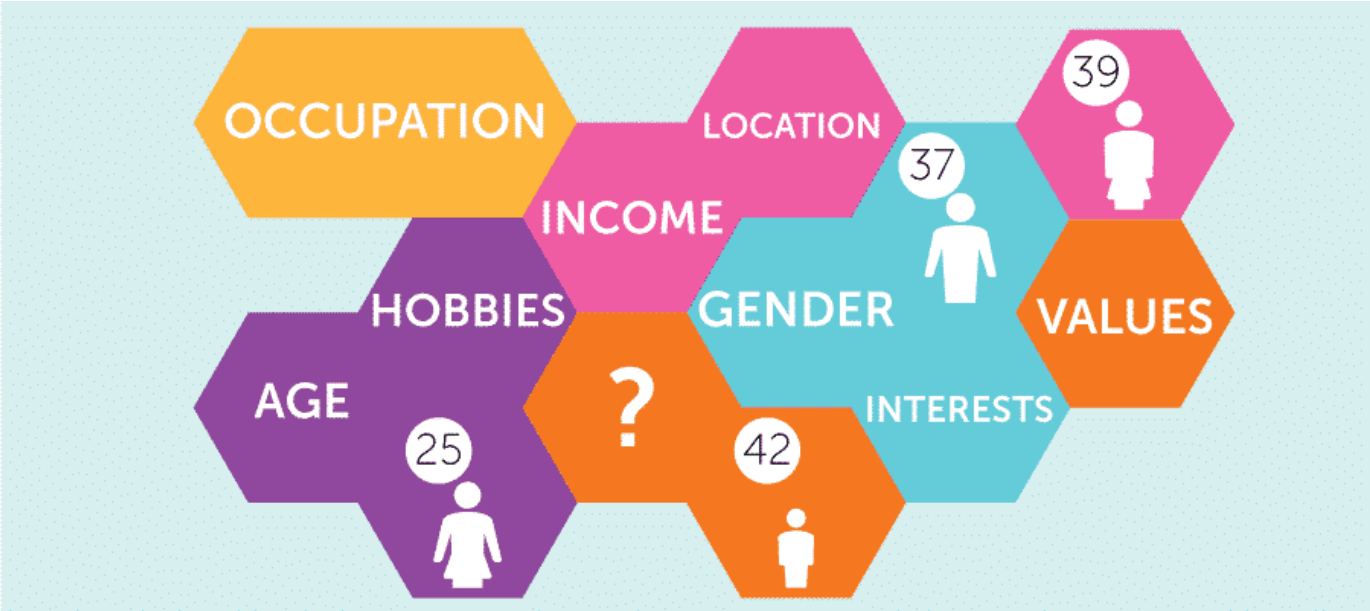
5. Social networking trend

6. Travel and adventure

7. Bloggers and virtual communities



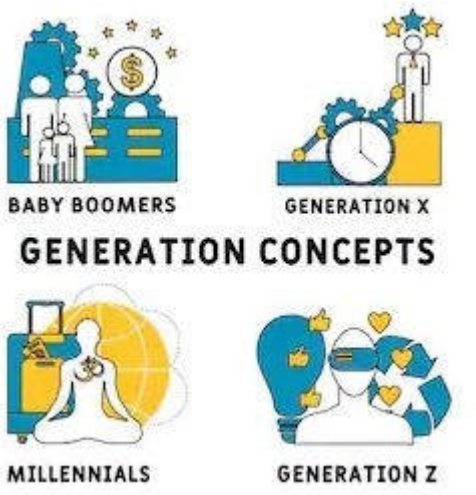
Topic 64



THE OPPORTUNITY SOURCES: DEMOGRAPHIC AND SOCIAL FORCES

Demographic: the statistical structure of populations

1. Aging

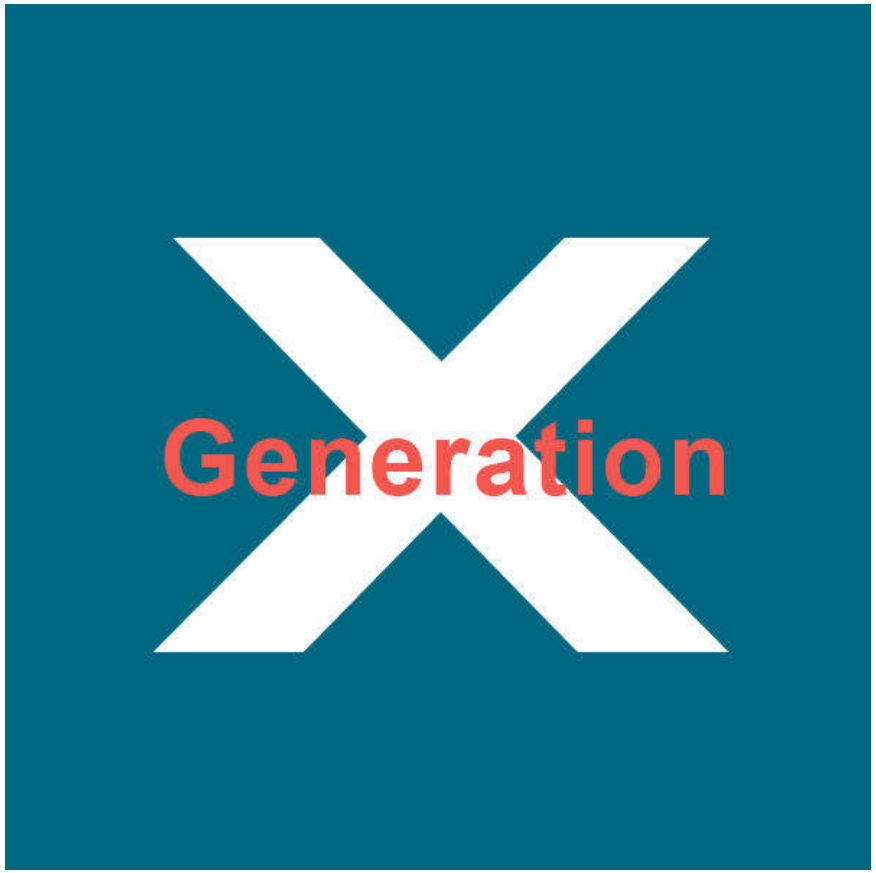


Baby boomers: Born 1946-1964

Demographic: the statistical structure of populations

1. Aging

Generation X: 1965-1980



Demographic: the statistical structure of populations

1. Aging

Millenials 1980-2000

Millennials, also known as Generation Y (or Gen Y)

- ✓ Early 1980s to the mid-1990s and early 2000s
- ✓ Buying power and influence on older generation
- ✓ They support cause
- ✓ Global shared values
- ✓ Social media lovers and virtual communities
- ✓ Early adopter of technology
- ✓ Travel and adventure

2. Working couples

3. Single parents

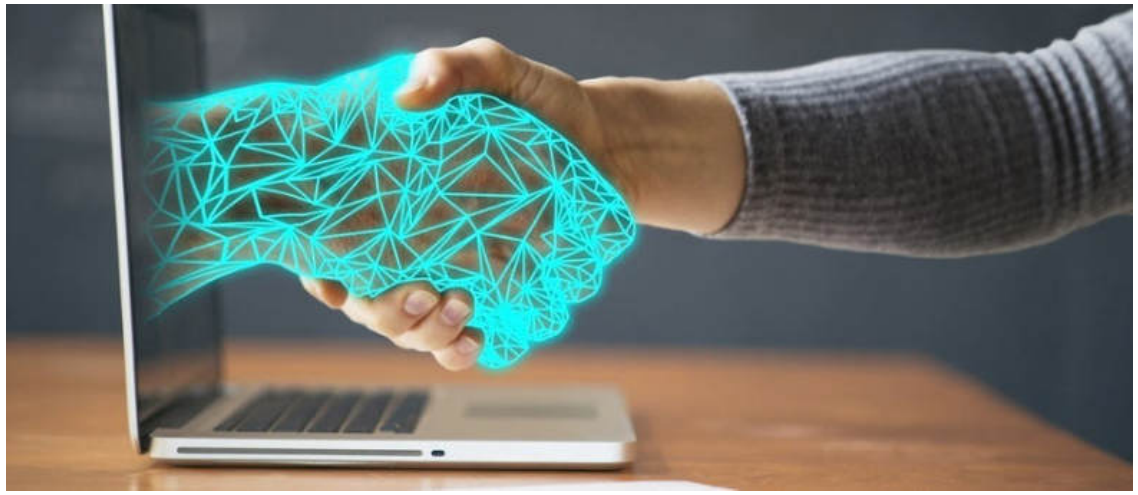
4. Region and ethnic groups

5. The diversity of workforce

Digital identity at social media

Facebook
Twitter
Instagram
Whatapp
Pintrest
Snapchat
Viber
LinkedIn

Sharing
Networking
Virtual communities
Opinion makers



Topic 65

THE OPPORTUNITY SOURCES: ECONOMIC AND TECHNOLOGICAL FORCES

Agenda of video

The opportunity sources: Economic and technological forces

The Types of Economies

Principal of scare production and distribution of resources

Command Economic System (planned economic system)

Market Economic System (Free market)

Mixed Economic System (mix of command and market economy)

Command Economic System (planned economic system)

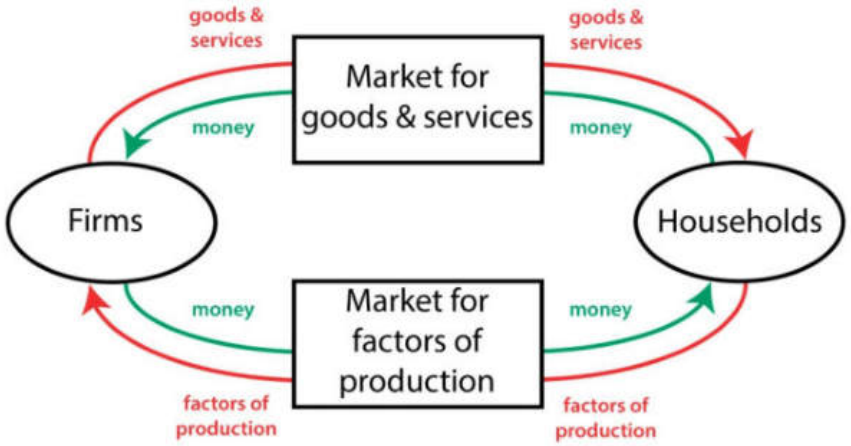
- ✓ Economic system is controlled by a centralized power

- ✓ Government is such a central feature of the economy

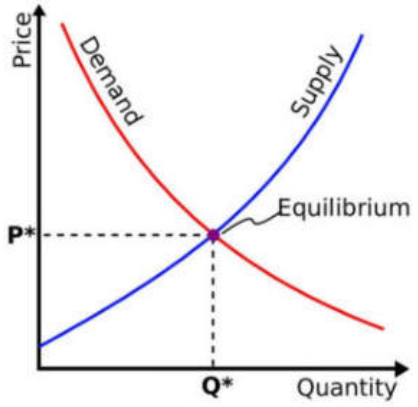
- ✓ Government mobilize resources on a massive scale

Market Economic System (Free market)

- ✓ Firms and households act in self-interest to determine how resources get allocated



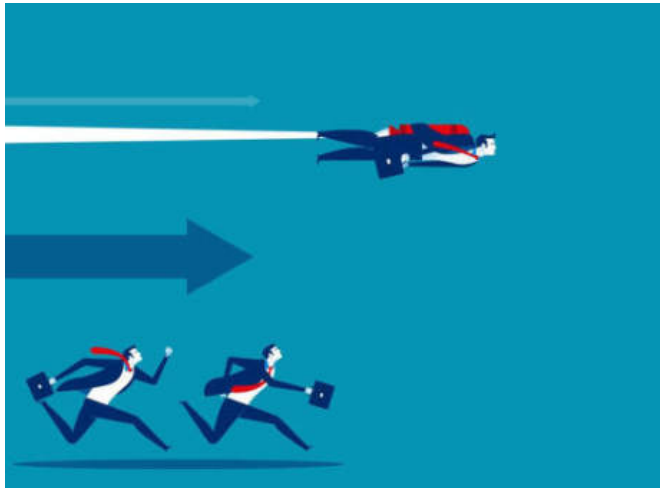
- ✓ Market forces i.e. supply and demand decide what to produce at what price



Market Economic System (Free market)

- ✓ There is least government intervention in a pure market economy

- ✓ Competition for resources leads to the most efficient use of scare resources

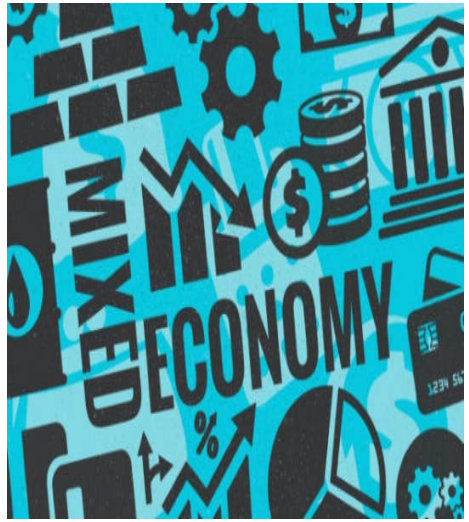


Market Economic System (Free market)

- ✓ Businesses invest heavily in research and development for innovation

Mixed Economic System (mix of command and market economy)

- ✓ A mixed economy is a combination of different types of economic systems



- ✓ Market is free with least government intervention except for a few key areas

Mixed Economic System (mix of command and market economy)

- ✓ Government is also usually involved in the regulation

- ✓ It is also called modern economic system

Economic indicators

- ✓ GDP Annual Growth Rate

- ✓ GDP per capita

- ✓ GDP per capita PPP

- ✓ Unemployment Rate

Economic indicators

- ✓ Inflation Rate

- ✓ Consumer Price Index CPI

- ✓ Food Inflation

- ✓ Foreign Exchange Reserves

Economic indicators

- ✓ Balance of Trade
- ✓ Corporate Tax Rate

- ✓ Personal Income Tax Rate

- ✓ Sales Tax Rate

Important data sources

https://data.worldbank.org/

http://www.pbs.gov.pk/

https://data.imf.org/?sk=4C514D48-B6BA-49ED-8AB9-52B0C1A0179B

https://www.enterprisesurveys.org/data

https://www.theglobaleconomy.com/download-data.php

Technological forces

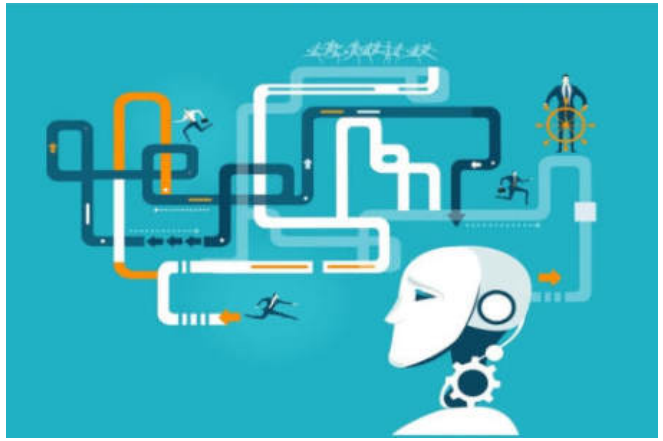
- ✓ Big data

- ✓ Cloud computing

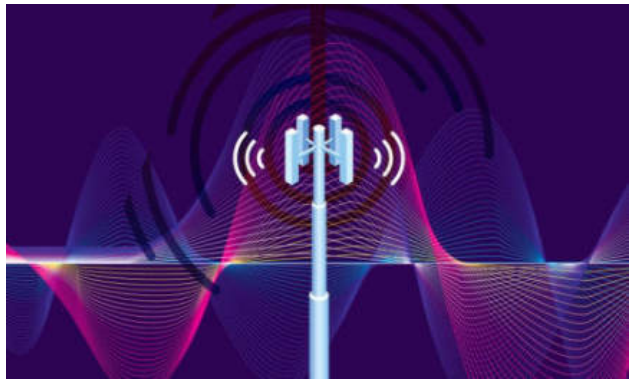
- ✓ Artificial intelligence and machine Learning

Technological forces

- ✓ Robotic Process Automation



- ✓ 5G and even 6 G



- ✓ Blockchain

Technological forces

- ✓ Digital Privacy

- ✓ E-governance

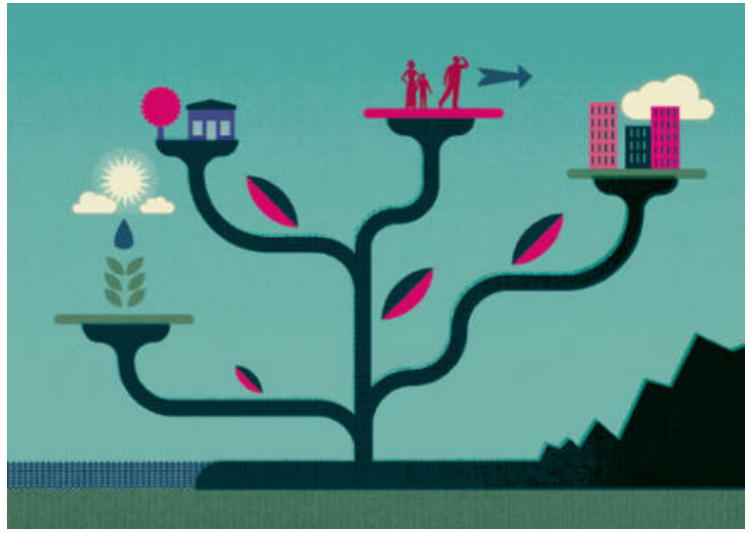
- ✓ Virtual space and Networking

Topic 66

THE OPPORTUNITY SOURCES: SOCIAL INNOVATION AND MARKET GAPS

World Economic Forum defines social innovation as “the application of innovative, practical, sustainable, market-based approaches to benefit society in general, and low-income or underserved populations in particular”.

Source: http://reports.weforum.org/social-innovation/why-social-innovation-matters-to-business/?doing_wp_cron=1566296386.4123868942260742187500

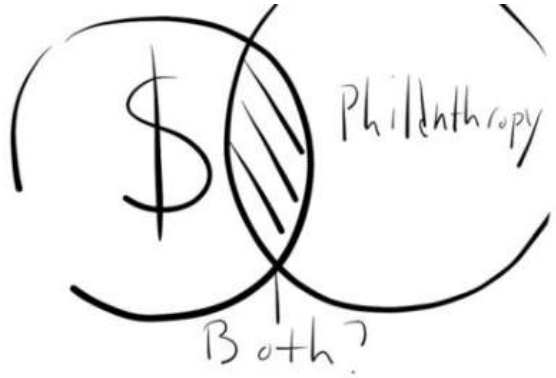


Difference between Corporate philanthropy and/or Corporate Social Responsibility and Social innovation

- ✓ Societal challenges create tangible business benefits
- ✓ Part of company's innovation agenda and business strategy
- ✓ Managed from within a firm's core operations
- ✓ Sustainable development of business and society
- ✓ Enhance business growth and long-term competitiveness
- ✓ New product development and environmental concerns

Who are is Social Entrepreneurs ?

Social entrepreneurs are individuals who recognize a social problem and use their entrepreneurial skills to create a program, business or process to find a solution.



Source: https://www.investopedia.com/terms/s/social-entrepreneur.asp

Who are is Social Entrepreneurs ?

A social entrepreneur is a person who pursues novel applications that have the potential to solve community-based problems. These individuals are willing to take on the risk and effort to create positive changes in society through their initiatives.

Source: https://www.investopedia.com/terms/s/social-entrepreneur.asp

Gap in the Market Idea

A gap in the market idea can have one or more of three attributes:

- ✓ It is something new and original.

- ✓ It improves on something that already exists.

- ✓ It takes something that exists and finds it a new market.

Market Research: Component of marketing research whereby a specific market is identified and its size and other characteristics are measured.

Source: http://www.businessdictionary.com

Market intelligence: Information compiled from internal and external sources about a target group of consumers. The type of market intelligence most useful to a marketing department might include data on existing clients, targeted consumer habits, product and market trends, and what the competition is doing.

Source: http://www.businessdictionary.com

Industry analysis: A market assessment tool designed to provide a business with an idea of the complexity of a particular industry. Industry analysis involves reviewing the economic, political and market factors that influence the way the industry develops. Major factors can include the power wielded by suppliers and buyers, the condition of competitors, and the likelihood of new market entrants.

Source: http://www.businessdictionary.com

Conclusion

The opportunity sources are:

1. Observing trends
2. Observing demographics and social trends
3. Observing economic and technological forces
4. Social innovation and finding market gaps

Topic 67

TECHNIQUES OF IDEA GENERATION: BRAIN STORMING AND MIND MAPPING

Brainstorming is a method for generating ideas to solve a problem in a group. It is usually conducted in a group with a moderator or facilitator.

It allows participants to be stimulated to greater activity by meeting in an organized group experience.

Brainstorming

Sometimes there are some rules to be followed while doing brainstorming:

1. No criticism or no negative comments in the beginning

2. All types of wild ideas are welcome

3. Quantity of ideas is desired

Brainstorming

4. Think out of the box

5. Combination of ideas brings improvement and may produce new ideas

Brainwriting

Writing all ideas on a paper or cards and circulating among participants.

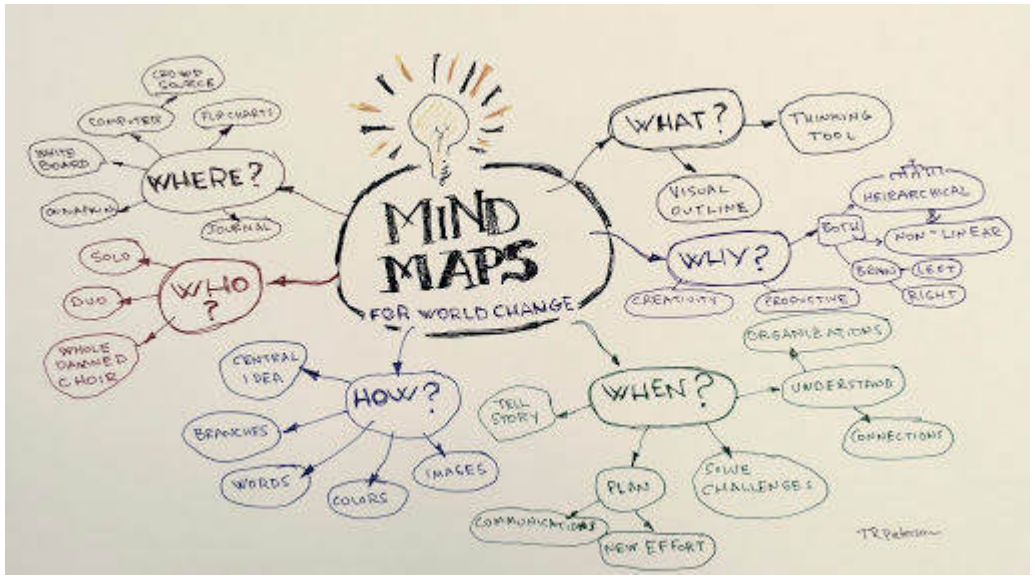
Problem Inventory Analysis

List of product, market or service related problems is provided to participants

Mind Mapping

A **mind map** is a graphical representation for organizing information.

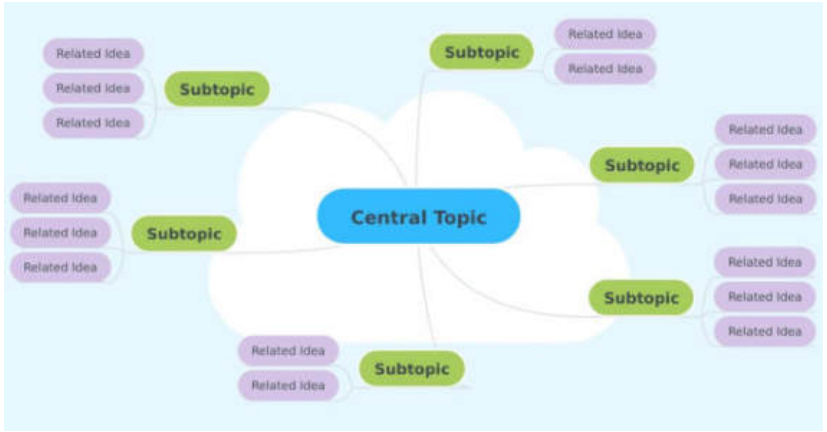
Mid mapping process starts with writing a central idea and coming up with new and associated **ideas** that branch out from the central **idea**.



Main features of Mind Mapping

Visualize

Structure

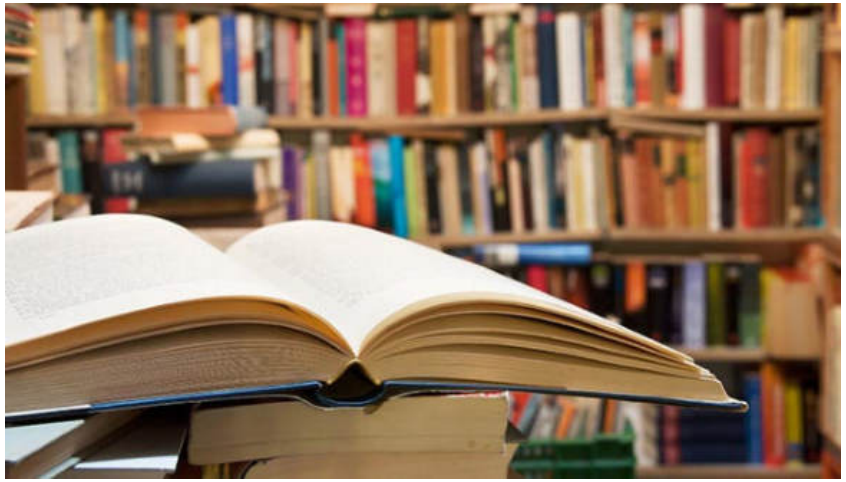


Classify ideas

Topic 68

TECHNIQUES OF IDEA GENERATION: LIBRARY, INTERNET AND INCUBATION CENTERS

- Habit of reading



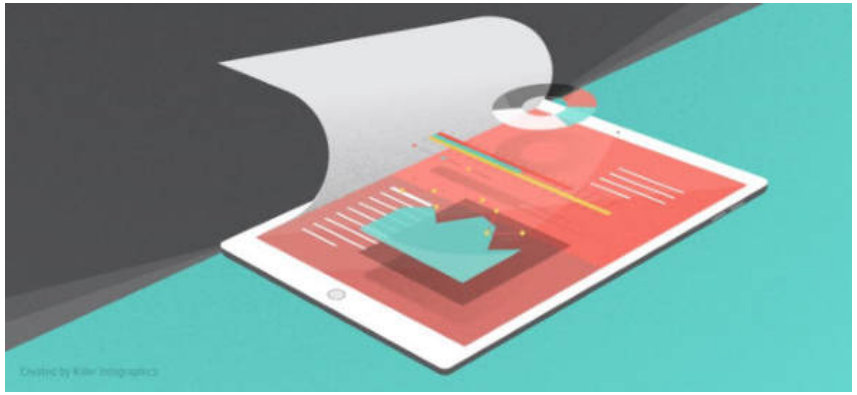
- Most underutilized resource

Sources of information

✓ Industry specific magazines

✓ Trade journals

✓ Industry reports



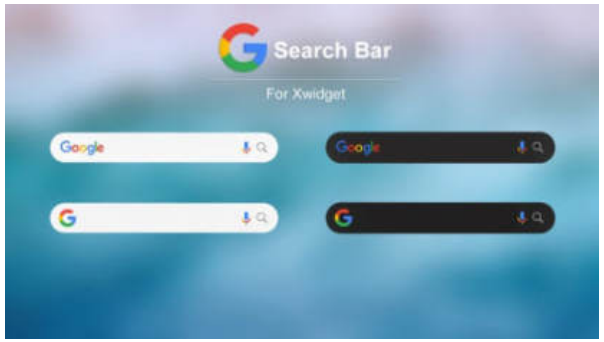
Sources of information

✓ Databases

✓ Market research reports

Internet

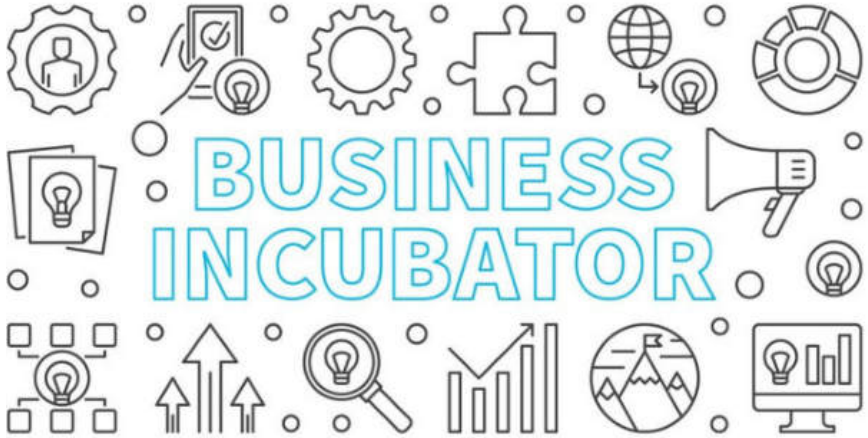
Social media sites e.g.



Facebook
Instagram
Twitter
YouTube
LinkedIn
Search engines like Google
Email alerts

Incubation Centers

International and local entrepreneurial competitions

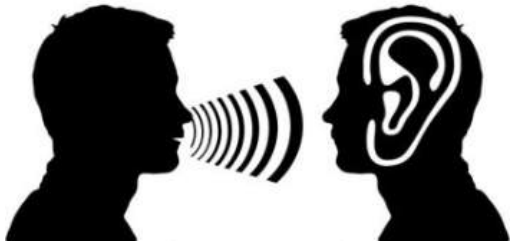


Topic 69

TECHNIQUES OF IDEA GENERATION: FRIENDS, EXPERTS AND INTUITIONS

Friends and Family

1. Good listeners



2. Honest advice

3. Experience

4. Future investors

Friends and Family

5. Know your capacity

6. Discouraging attitude

7. Sufferers

8. Family business wisdom

Expert opinion

Industry leaders' talk

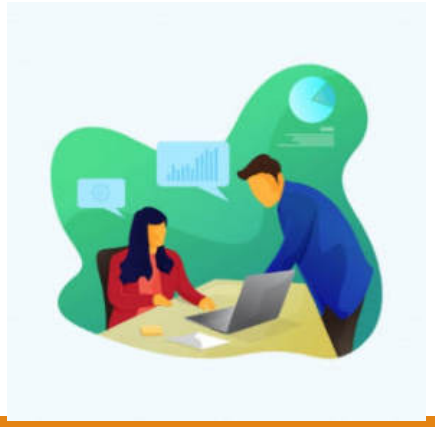
Stories of successful entrepreneurs

Expert opinion

Live sessions

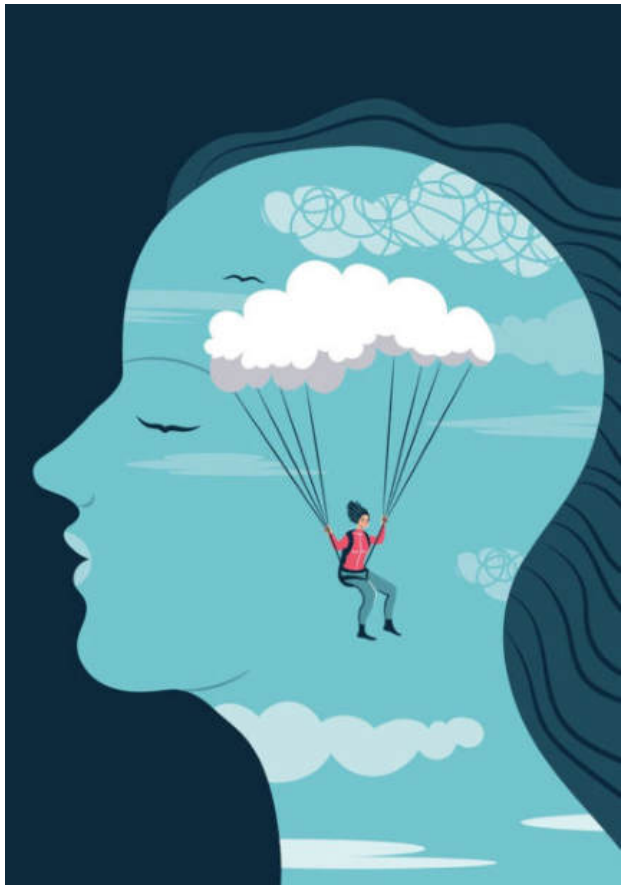
Networking

Personal meetings



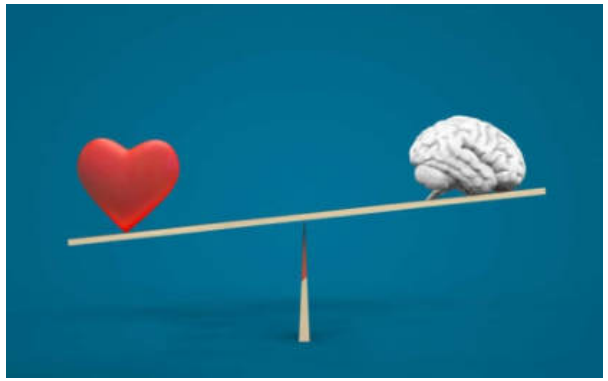
What is intuition ?

The ability to understand something instinctively, without the need for conscious reasoning.



Gut feeling

Instinct or intuition



Immediate or basic feeling

Theme-6

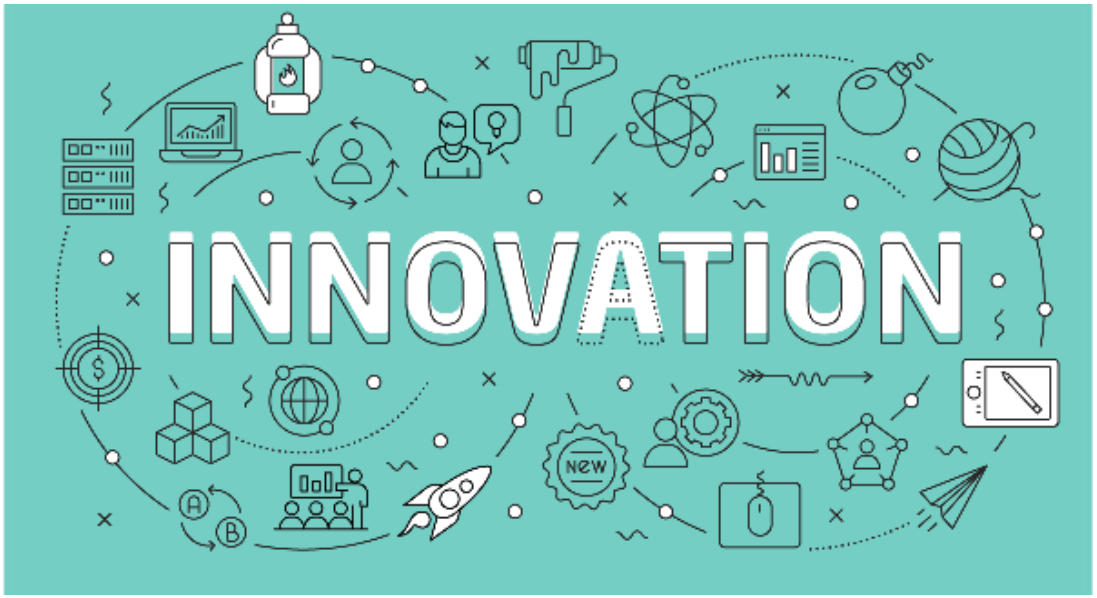
Topic 70

WHAT IS INNOVATION?

Efforts by: AARISH ALI

Innovation

The process of translating an idea or invention into a good or service that creates value for which customer will pay.



Innovation

Making a product or service better, faster, cheaper, greater satisfaction and/or greater value

The company’s capability to implement a range of coordinated actions and strategies for the purpose of developing and delivering new products and/or new services to the new or existing market in a manner that outperforms competitors.

Innovation has two critical components:

- Invention
- Commercialization

Types of innovation

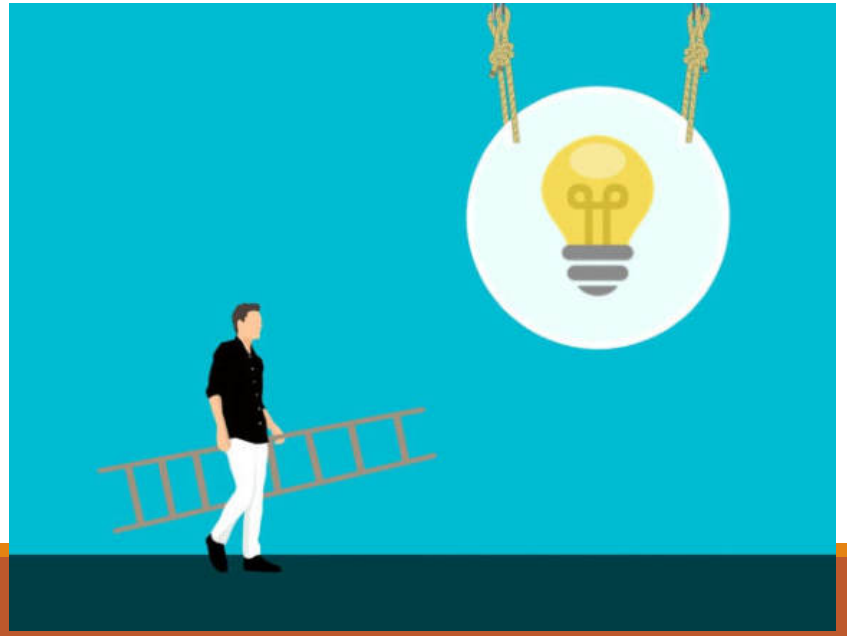
Incremental Innovation

Disruptive Innovation

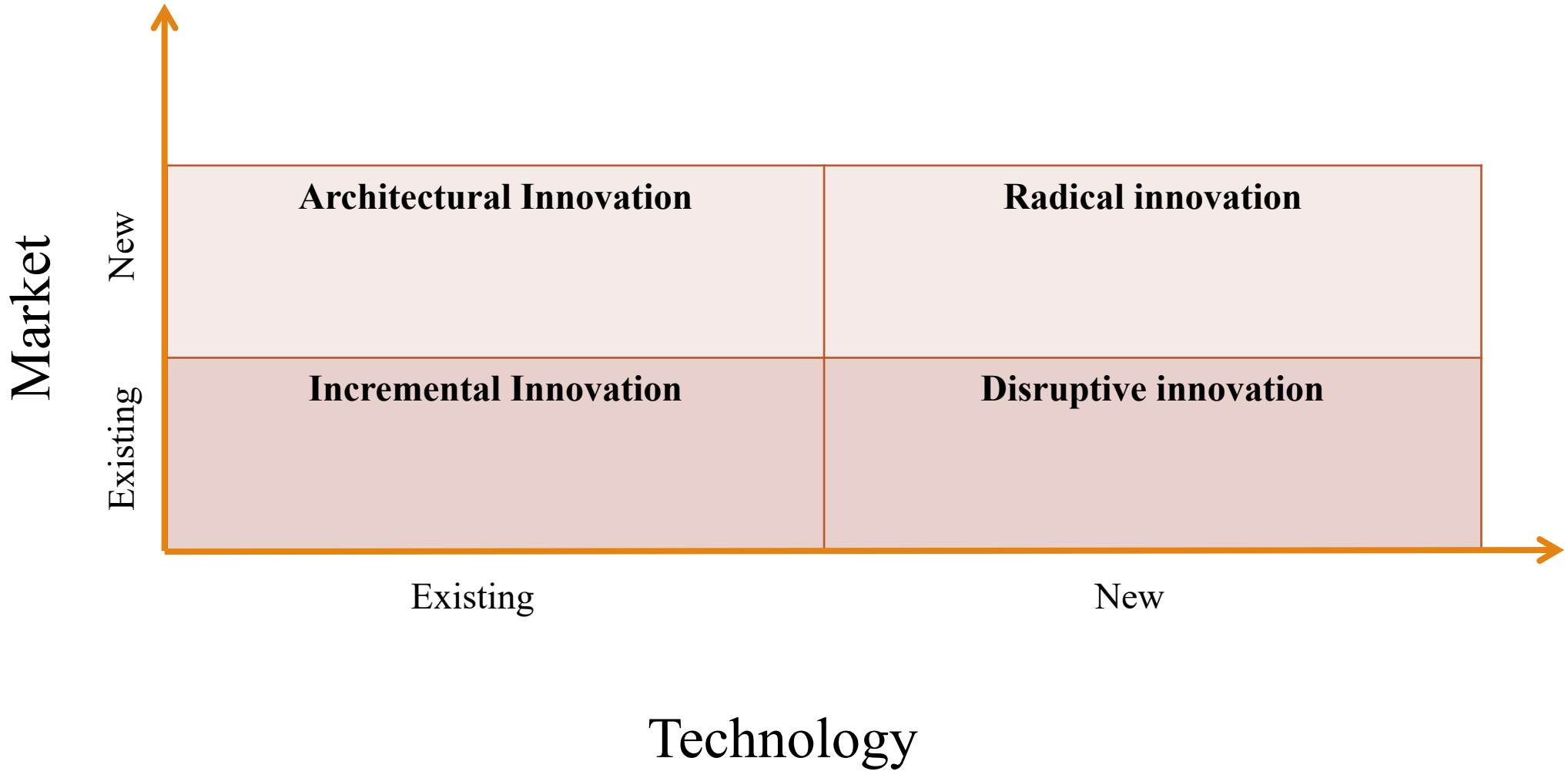
Types of innovation

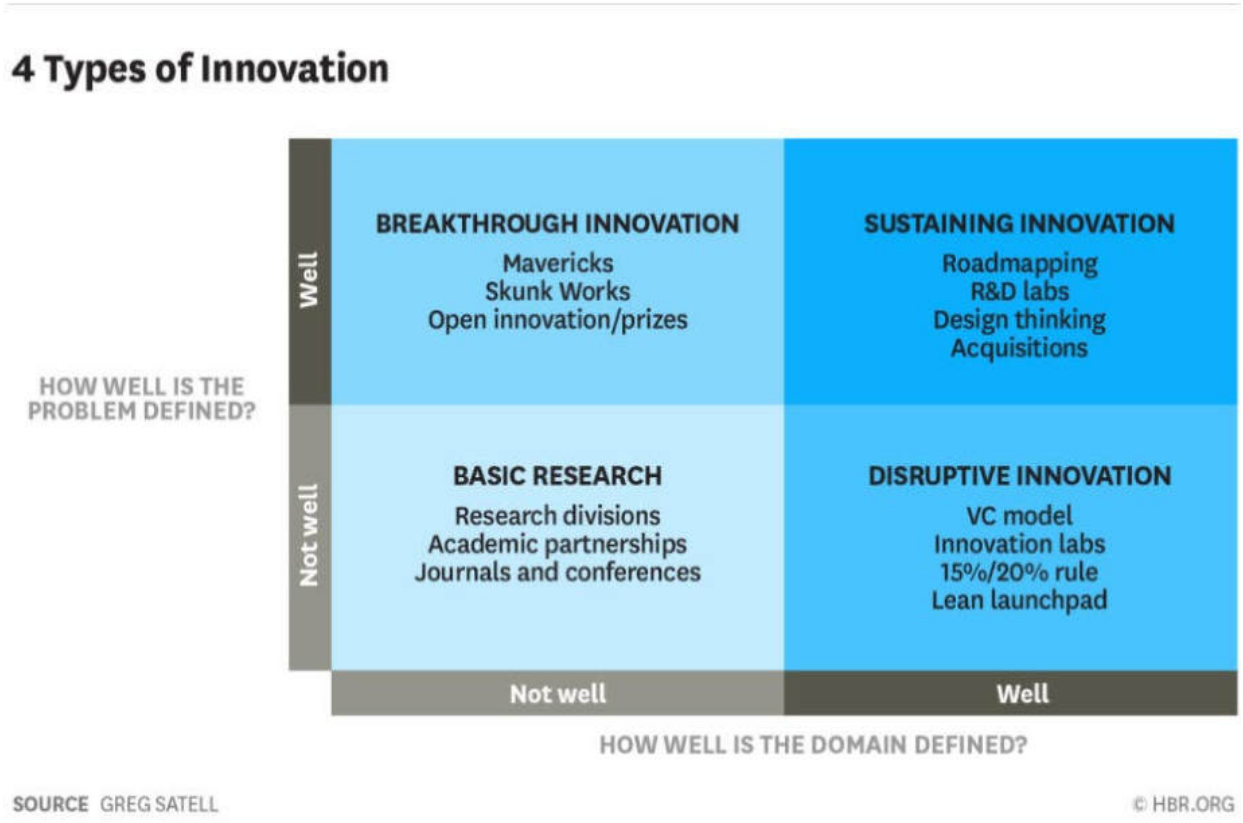
Architectural Innovation

Radical innovation



Types of innovation





Source: https://hbr.org/2017/06/the-4-types-of-innovation-and-the-problems-they-solve

Types of innovation

Product innovation: products and intangible services such as services that meet customer needs

Types of innovation

Business model innovation The business model is the way a company functions and earns money. The business model innovation encompasses innovations in strategy, marketing, supply chains, value creation, pricing or cost structures.

Types of innovation

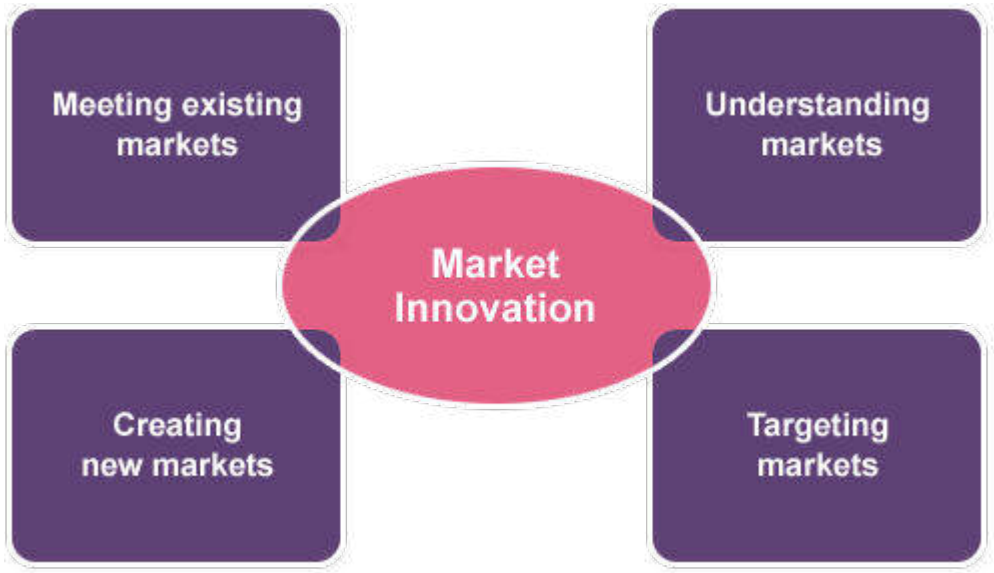
Process and technology innovation: making the process efficient or cost effective

Types of innovation

Social innovation: Social innovations are innovations where the benefit lies with society and the purpose is not primarily profit. Examples include innovation in education, poverty reduction, equal opportunities and health.

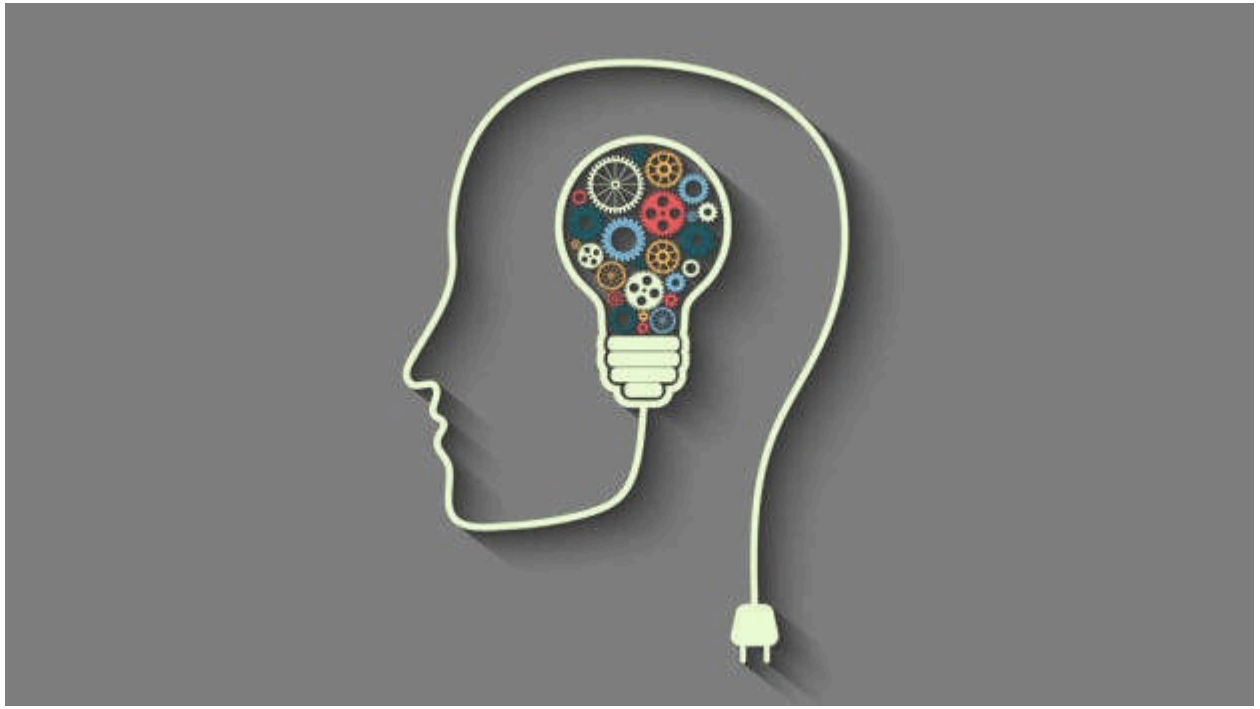
Types of innovation

Market pull innovation: originate from the market and are initiated by a specific customer request.



Types of innovation

Technology-push innovation: the result of new technologies for which suitable application possibilities are sought and implemented



Topic 71

WHAT IS CREATIVITY?

What is creativity?

Use of imagination

The ability to produce or use original and unusual ideas

Creativity

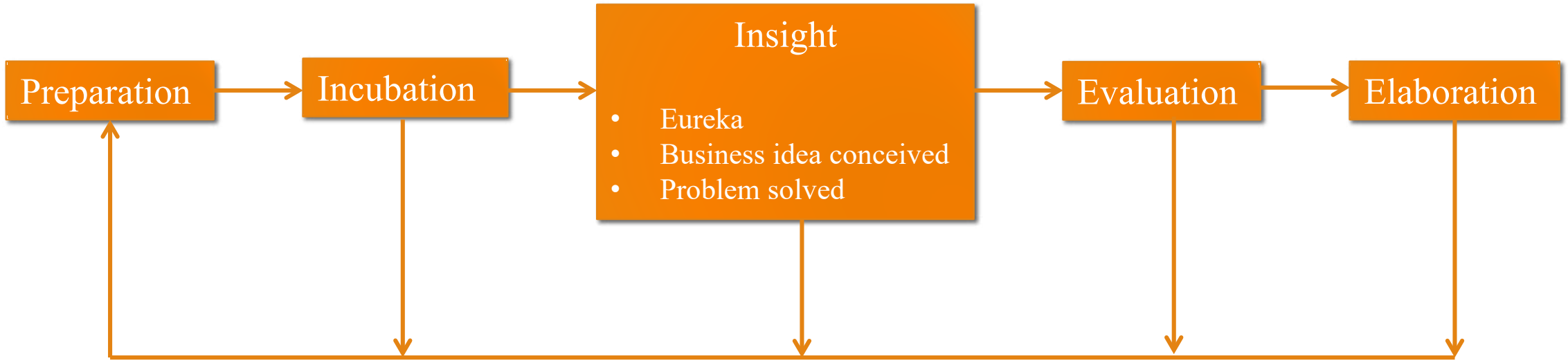
Mental characteristics that allows a person to think outside of the box, which results in innovative or different approaches to particular task.

Creativity: is the process of generating a novel useful idea.

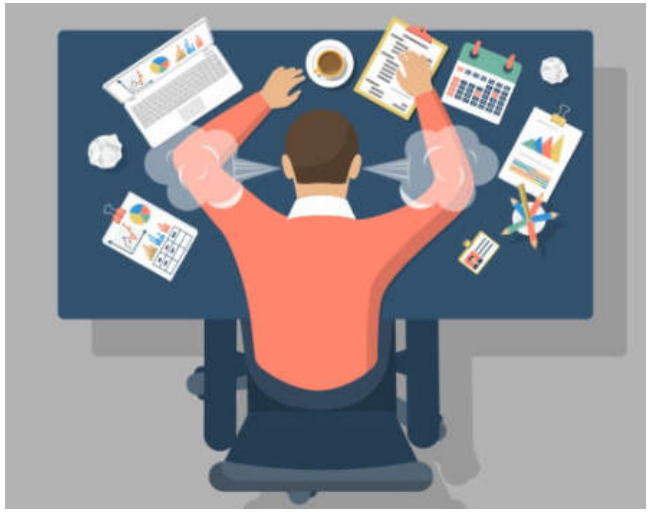
Opportunity recognition maybe, at least in part, is creative process.

Individual process of creativity can be broken into five stages.

1. Preparation
2. Incubation
3. Insight
4. Evaluation
5. Elaboration


Preparation
Incubation
Insight
Eureka
Business idea conceived
Problem solved
Evaluation
Elaboration

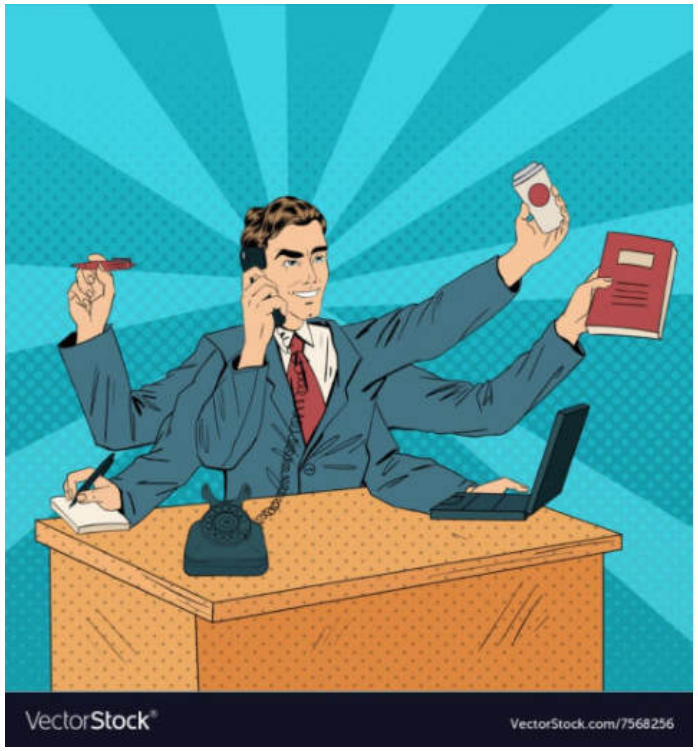
1. **Preparation**: background, experience and knowledge that an entrepreneurs brings to the opportunity recognition process



2. Incubation: work on an idea while solving a problem

3. Insight: when the idea is completely born and refined.

Eureka experience : a joy or satisfaction when someone finds something new



4. Evaluation: when idea is subjected to scrutiny and analyzed for its viability

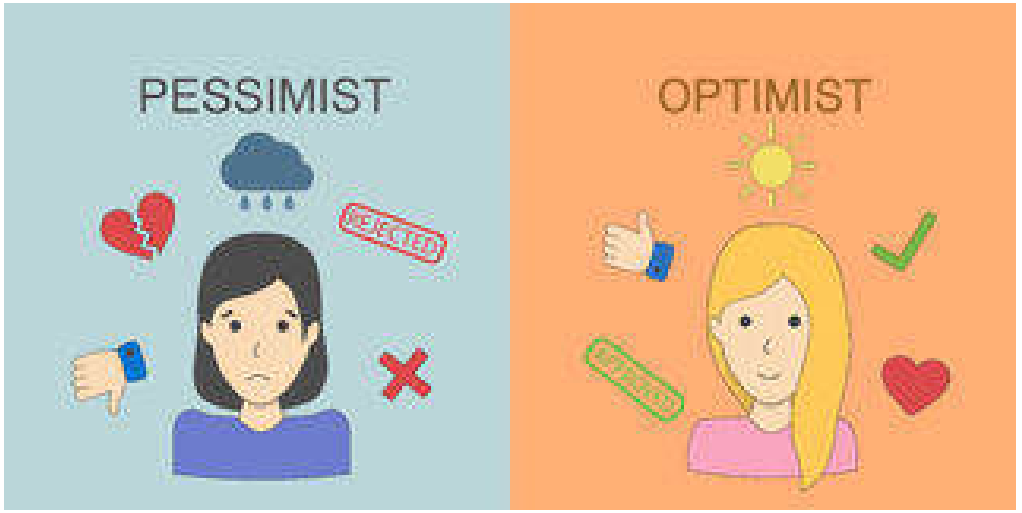
5. **Elaboration**: when idea is transformed into new product or service development

Topic 72

BARRIERS TO INNOVATION AND CREATIVITY

Personal barriers

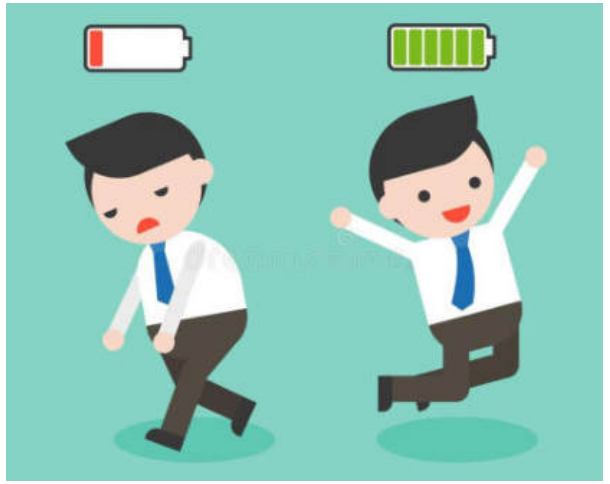
1. Personality and behavior



2. Social pressure

Personal barriers

3. Lack of passion

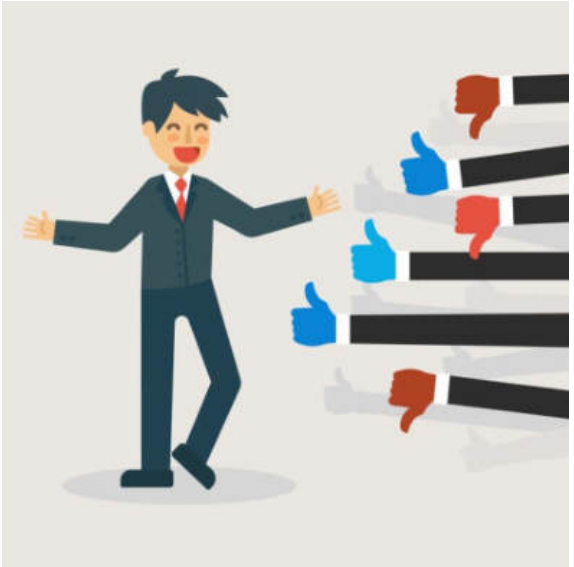


4. Lack of direction

Personal barriers

5. Fear of failure

6. Making prior assumptions



Cultural barriers

Culture is defined as the shared values, beliefs, and practices of the people.

Cultural barriers

1. Lack of training

2. Misguiding instruction

Cultural barriers

3. Lack of motivation

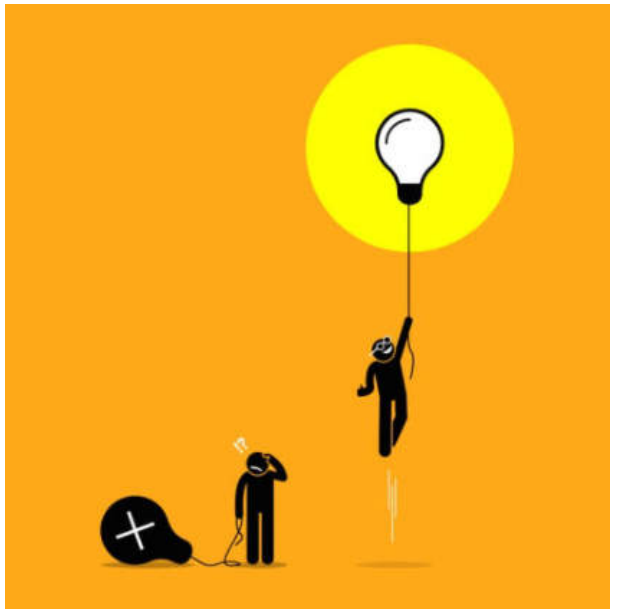
4. Lack of basic ability

Cultural barriers

5. Access to resources

The Feasibility Barrier

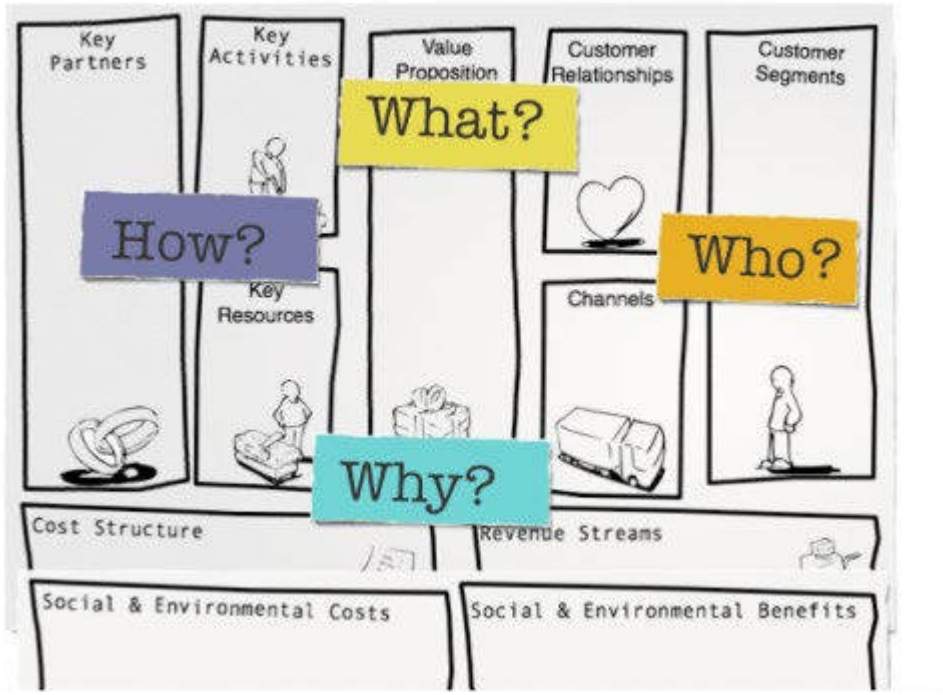
1. Blur ideas



2. Financial feasibility

The Feasibility Barrier

3. Business model feasibility



The Knowledge and experience barrier

1. Lack of prior knowledge

2 Lack of prior experiences

The Knowledge and experience barrier

3. Lack of access to information

The Regulatory and procedural barriers

1. Law and policies

2. Registration process

The Regulatory and procedural barriers

3. Access to raw material

4. Governmental policy

Topic 73

OPPORTUNITY, CREATIVITY, INNOVATION, AND ENTREPRENEURSHIP: THE LINK

Know Yourself

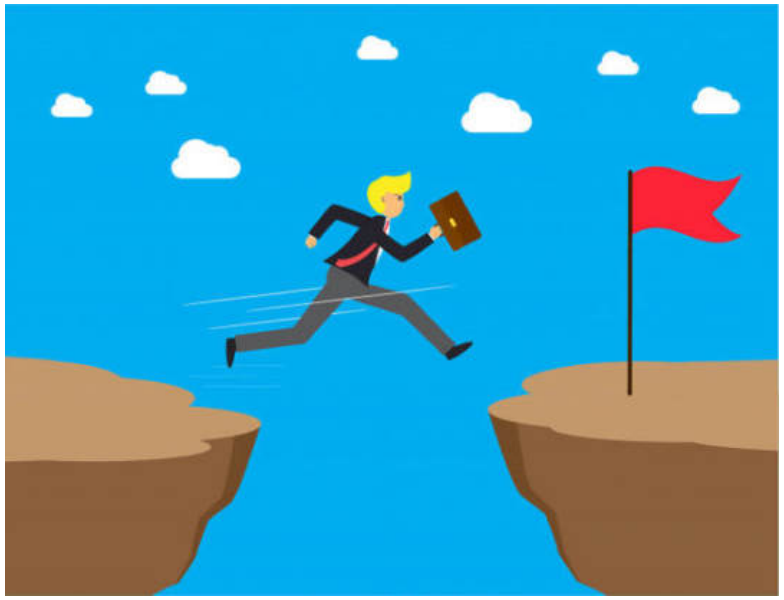
- Your passion

- Your Personality

Know Yourself

- Knowledge

- Experience



Know Yourself

- Observation

- Network

Know your role

As promoter

As opponent

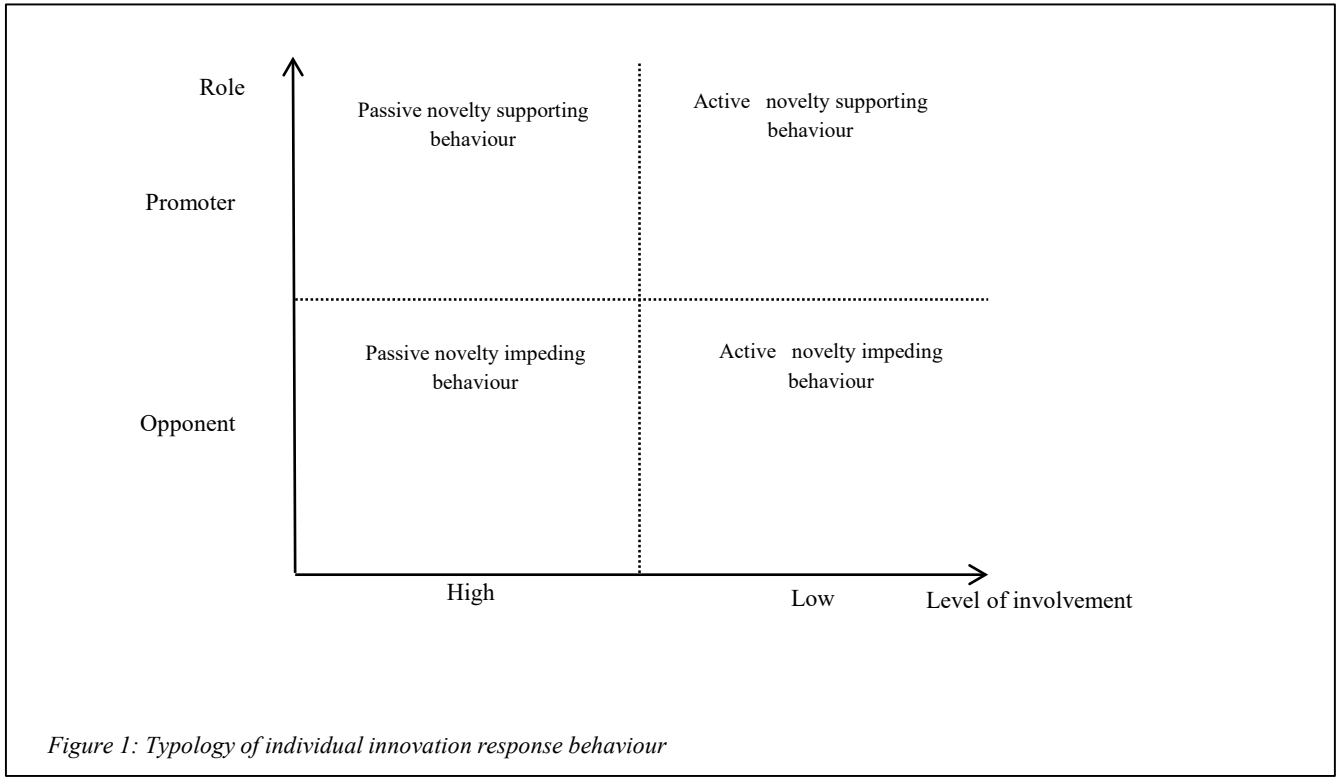


Figure 1: Typology of individual innovation response behaviour

Source: Goepel, M., Holzle, K., & Knyphausen-Aufseß, D. Z. (2012). Individual's Innovation Response behaviour; A Freamework of Antecedents and Opportunities for Future Research. Creativity and Innovation Management, 21(4), 412-426.

	IDEA GENERATION			CONVERSION		DIFFUSION
	IN-HOUSE Creation within a unit	CROSS-POLLINATION Collaboration across units	EXTERNAL Collaboration with parties outside the firm	SELECTION Screening and initial funding	DEVELOPMENT Movement from idea to first result	SPREAD Dissemination across the organization
KEY QUESTIONS	Do people in our unit create good ideas on their own?	Do we create good ideas by working across the company?	Do we source enough good ideas from outside the firm?	Are we good at screening and funding new ideas?	Are we good at turning ideas into viable products, businesses, and best practices?	Are we good at diffusing developed ideas across the company?
KEY PERFORMANCE INDICATORS	Number of high-quality ideas generated within a unit.	Number of high-quality ideas generated across units.	Number of high-quality ideas generated from outside the firm.	Percentage of all ideas generated that end up being selected and funded.	Percentage of funded ideas that lead to revenues; number of months to first sale.	Percentage of penetration in desired markets, channels, customer groups; number of months to full diffusion.

Source: The innovation value chain by Morten T. Hansen and Julian Birkinshaw
Harvard Business Review

WHAT MAKES ENTREPRENEURS ENTREPRENEURIAL?

Another perspective on entrepreneurship

Topic 77

The Problem

- What makes entrepreneurs entrepreneurial?

Or

- How do entrepreneurs become entrepreneurs?

Two Approaches

Causal Reasoning

Effectual Reasoning

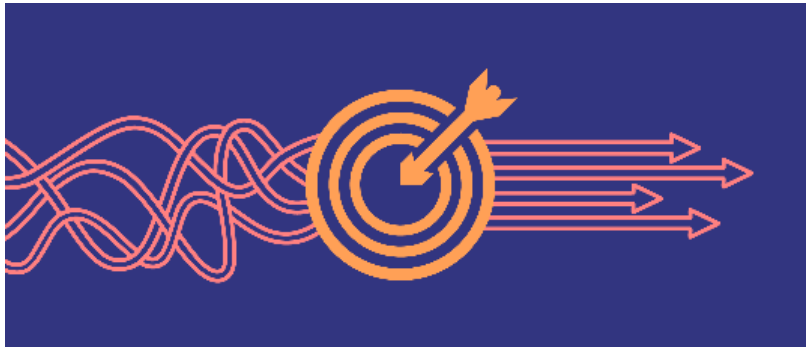
Saras D. Sarasvathy

AREAS OF EXPERTISE
Entrepreneurship
Cognitive Science
Behavioral Economics

Research
What makes entrepreneurs entrepreneurial?

Causal Reasoning

Causal rationality begins with a pre-determined goal and a given set of means, and seeks to identify the optimal – fastest, cheapest, most efficient, etc. – alternative to achieve the given goal.

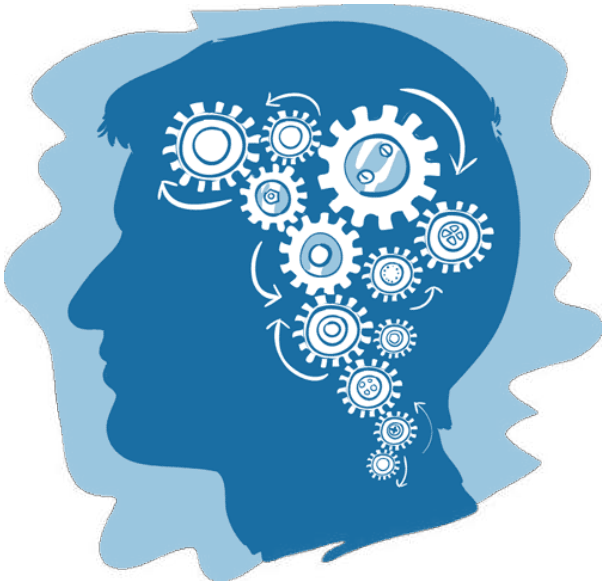


Causal Reasoning

The make-vs.-buy decision in production, or choosing the target market with the highest potential return in marketing, or picking a portfolio with the lowest risk in finance, or even hiring the best person for the job in human resources management, are all examples of problems of causal reasoning.

Effectual Reasoning

- Effectual reasoning, however, does not begin with a specific goal. Instead, it begins with a given set of means and allows goals to emerge contingently over time from the varied imagination and diverse aspirations of the founders and the people they interact with.



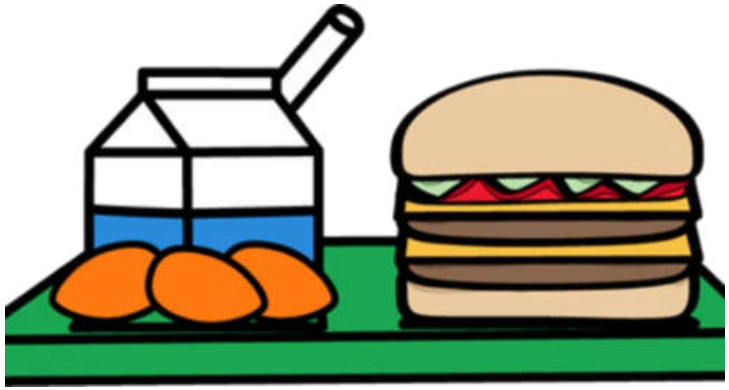
Effectual Reasoning

While causal thinkers are like great generals seeking to conquer fertile lands (Genghis Khan conquering two thirds of the known world), effectual thinkers are like explorers setting out on voyages into uncharted waters (Columbus discovering the new world).

Effectual Reasoning

While causal thinkers are like great generals seeking to conquer fertile lands (Genghis Khan conquering two thirds of the known world), effectual thinkers are like explorers setting out on voyages into uncharted waters (Columbus discovering the new world).

Business Idea

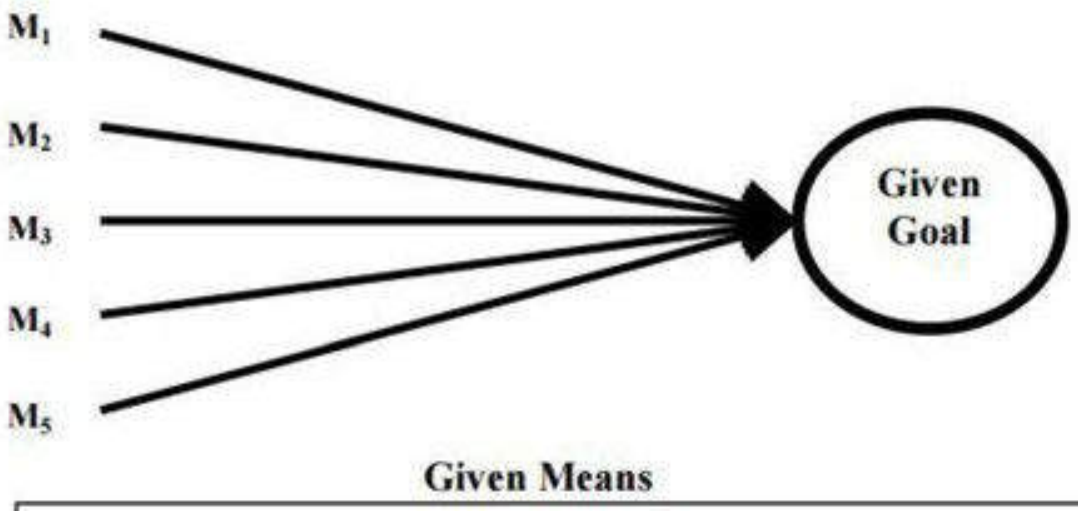


What Makes Entrepreneurs Entrepreneurial?

Managerial Thinking -- Causal Reasoning

Distinguishing Characteristic:

Selecting between given means to achieve a pre-determined goal

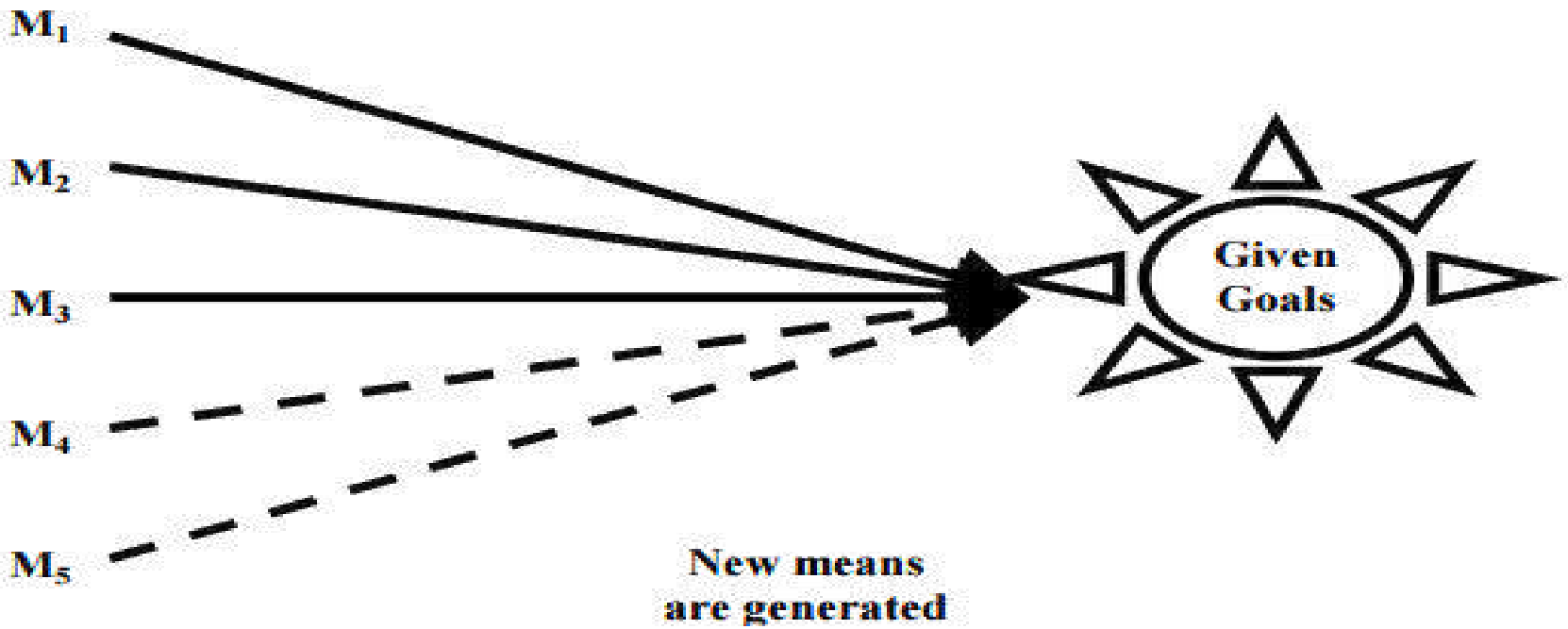


What Makes Entrepreneurs Entrepreneurial?

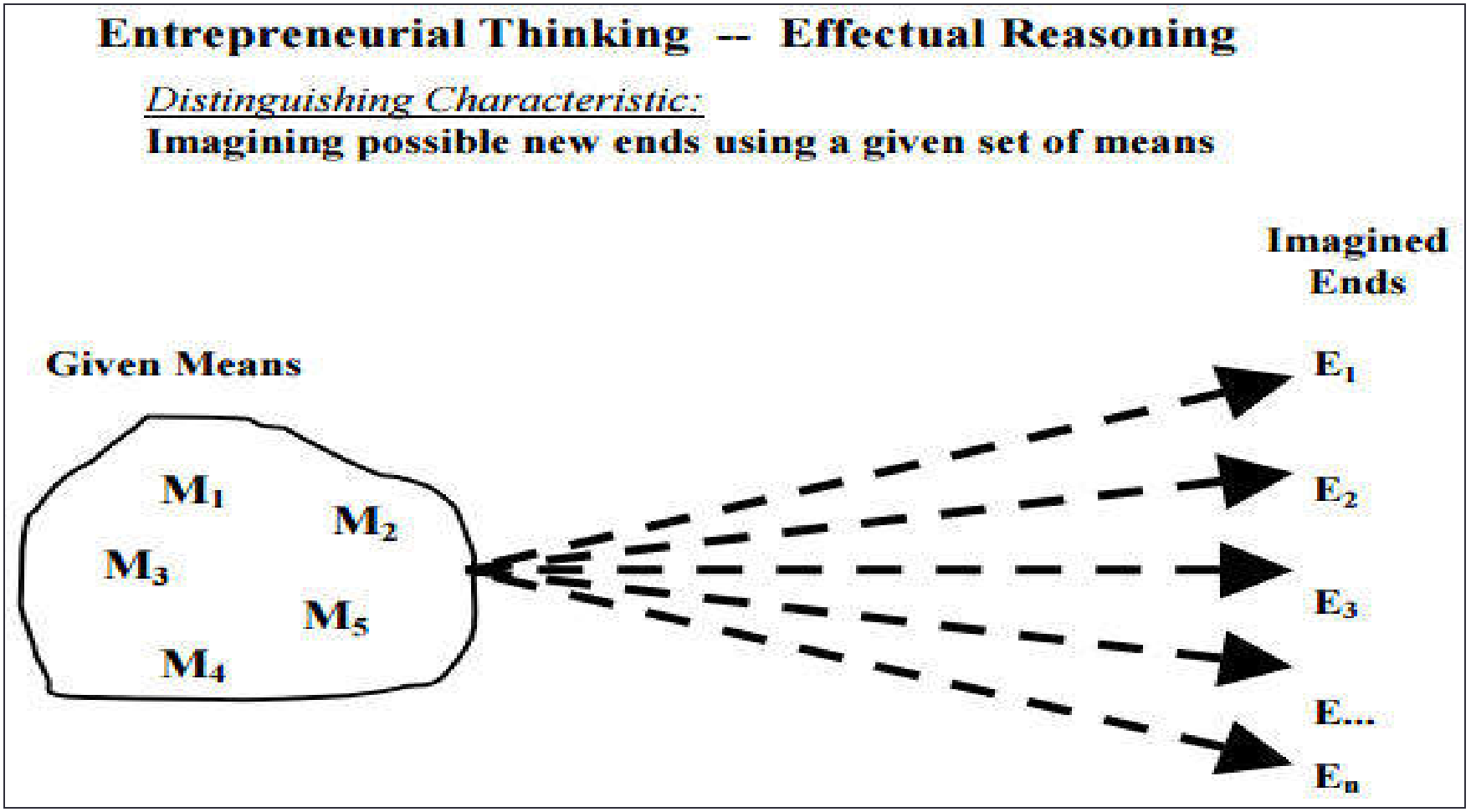
Strategic Thinking -- Creative Causal Reasoning

Distinguishing Characteristic:

Generating new means to achieve pre-determined goals



What Makes Entrepreneurs Entrepreneurial?



Cooking: Causation vs. Effectuation

By using causation, the client chooses a menu in advance and the chef prepares this menu by looking for the right ingredients and following the recipes to make the dishes.

Cooking: Causation vs. Effectuation

By using effectual process, the client would not ask for a specific menu, but he asks the chef to make something with the ingredients available. The chef chooses one of the many different meals he is able to make with the available ingredients.

Saras D. Sarasvathy

AREAS OF EXPERTISE
Entrepreneurship
Cognitive Science
Behavioral Economics

Research
What makes entrepreneurs entrepreneurial?

Financial and Nonfinancial Resources

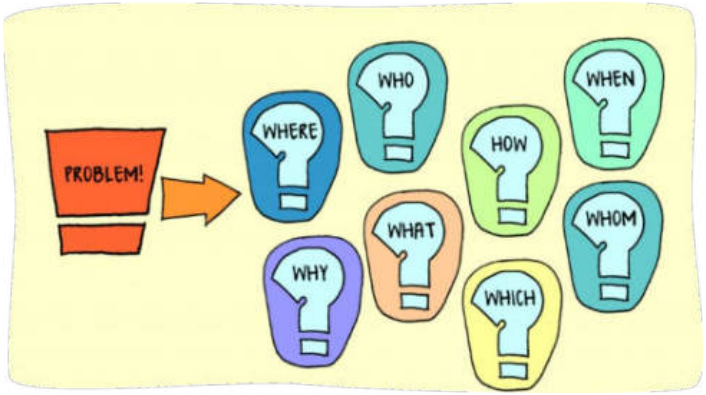
EFFECTUATION: THE PROCESS

Another perspective on entrepreneurship

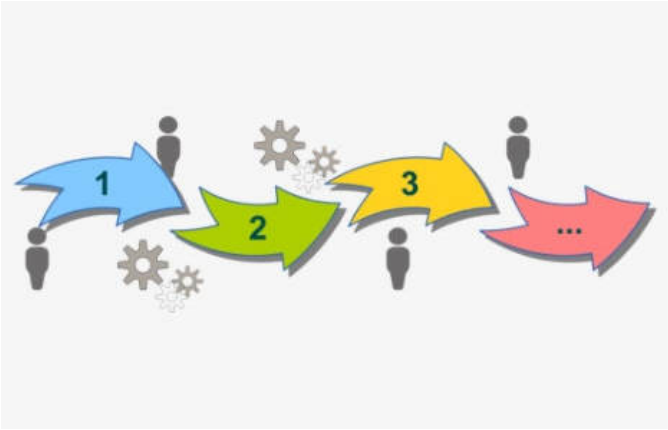
Topic 78

Effectuation Reasoning

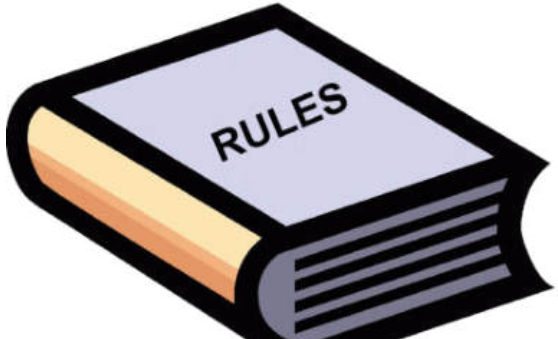
The Problem



The Process



The Principles



The Process

All entrepreneurs begin with three categories of means:

(1) Who they are – their traits, tastes and abilities;

The Process

All entrepreneurs begin with three categories of means:

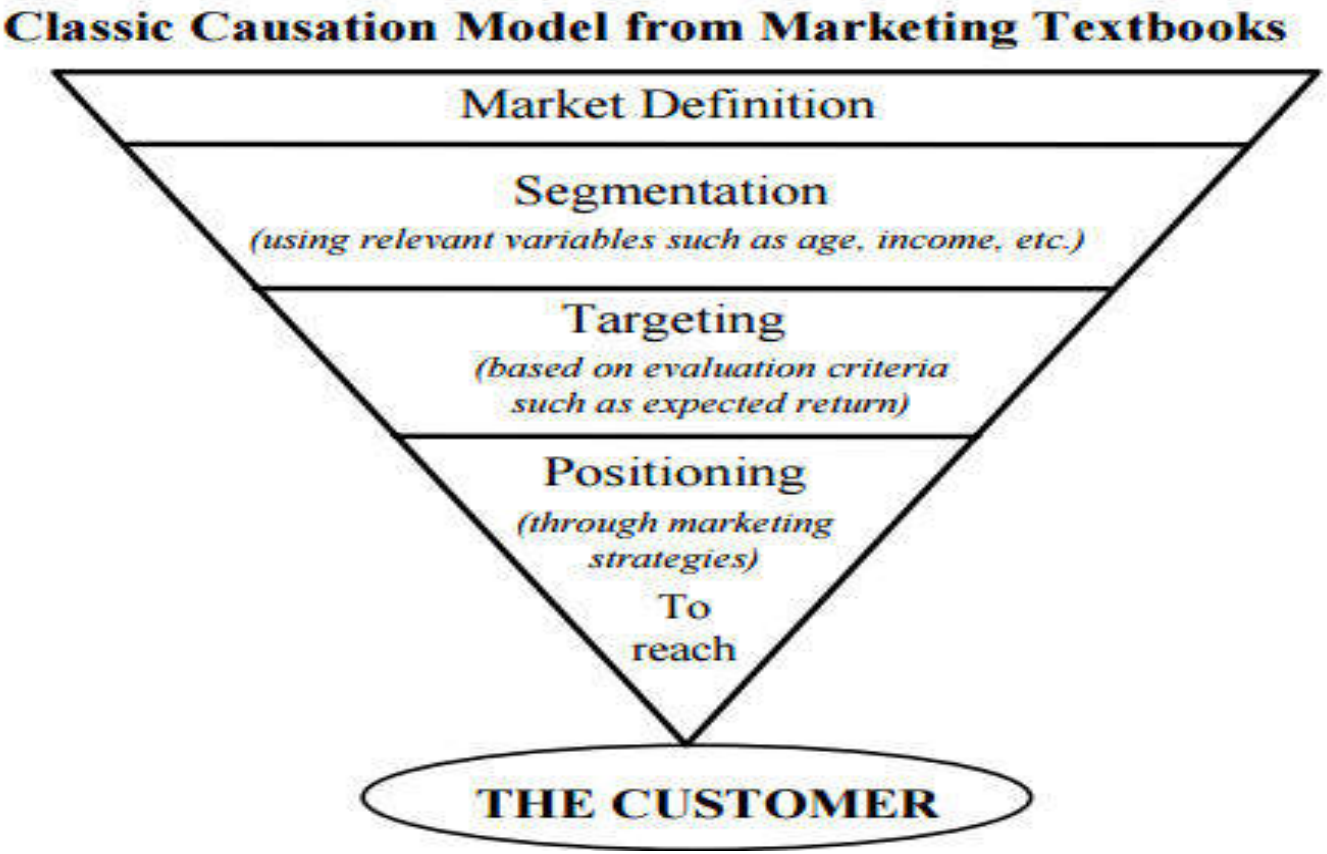
(2) What they know – their education, training, expertise, and experience; and,

The Process

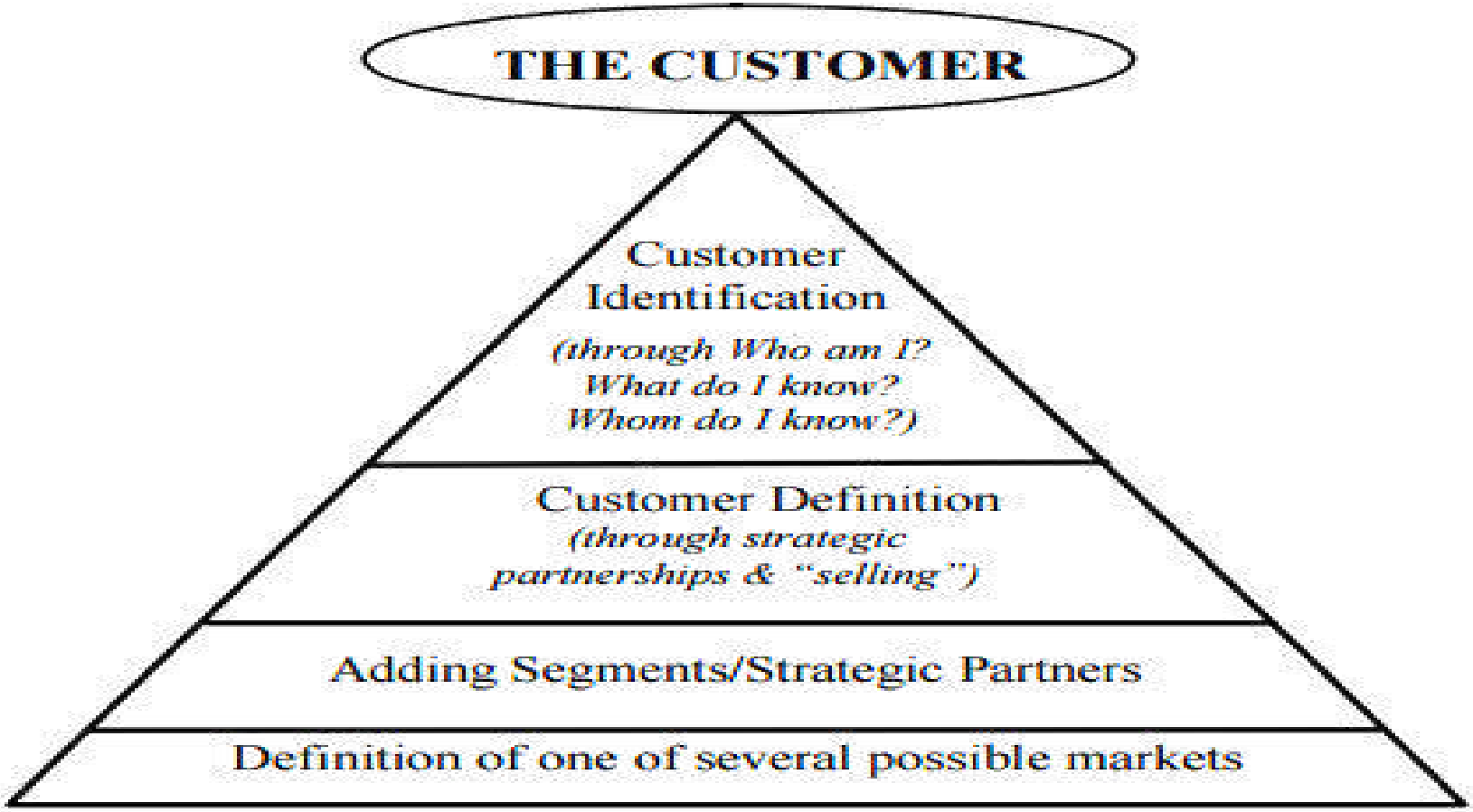
All entrepreneurs begin with three categories of means:

(3) Whom they know – their social and professional networks.

Finding Customers



Finding Customers



Process of Effectuation Used by Expert Entrepreneurs

EFFECTUATION: THE PRINCIPLES

Topic 79

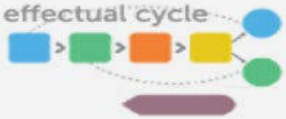
Effectuation Principles

+ Bird in Hand Principle

+ Lemonade Principle

+ Crazy Quilt Principle

+ Pilot-in-the-Plane Principle



+ Effectual Cycle

+ Affordable Loss Principle

http://www.effectuation.org/

EFFECTUAL REASONING PRINCIPLES1: THE BIRD IN HAND

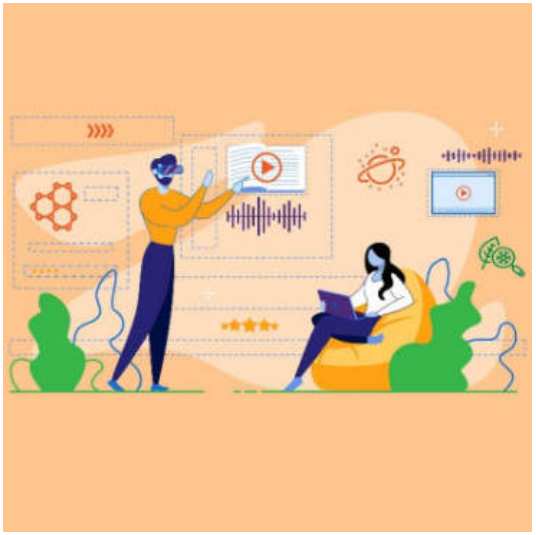
Topic 80

Effectuation Principles

Bird-in-Hand (Means)

Start with your means. *Work with what they have.*

1. Who I am—my traits, tastes, and abilities;



**http://www.effectuation.org/?page_id=4055&principle=bird-in-hand

Effectuation Principles

Bird-in-Hand (Means)

Start with your means. *Work with what they have.*

2. What I know—my education, training, expertise, and experience.

***http://www.effectuation.org/?page_id=4055&principle=bird-in-hand*

Effectuation Principles

Bird-in-Hand (Means)

Start with your means. *Work with what they have.*

3. Whom I know—my social and professional networks.

**http://www.effectuation.org/?page_id=4055&principle=bird-in-hand

EFFECTUAL REASONING PRINCIPLE 2 : THE AFFORDABLE LOSS

Topic 81

Effectuation Principles

Affordable Loss

Set affordable loss.

Causal reasoning focuses on expected return, effectual reasoning emphasizes affordable loss.

**http://www.effectuation.org/?page_id=4055&principle=bird-in-hand

Effectuation Principles

Affordable Loss

Set affordable loss.

Entrepreneurs tend to find ways to reach the market with minimum expenditure of resources, e.g., time, effort, and money.

**http://www.effectuation.org/?page_id=4055&principle=bird-in-hand

EFFECTUAL REASONING PRINCIPLE 3 : THE CRAZY QUILT PRINCIPLE

Topic 82

Effectuation Principles

Crazy Quilt (Partnerships)

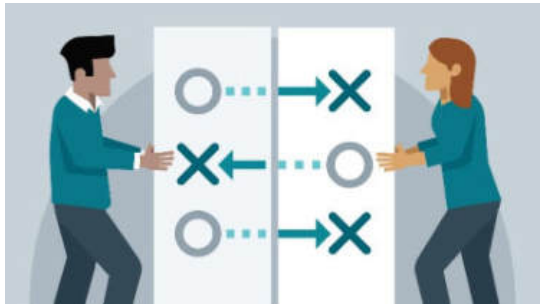
Form partnerships

**http://www.effectuation.org/?page_id=4055&principle=bird-in-hand

Effectuation Principles

Crazy Quilt (Partnerships)

Causal reasoning depends on competitive analyses, effectual reasoning is built upon strategic partnerships. Interact with stakeholders to obtain their commitments.



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EFFECTUAL REASONING PRINCIPLE 4 : THE LEMONADE PRINCIPLE

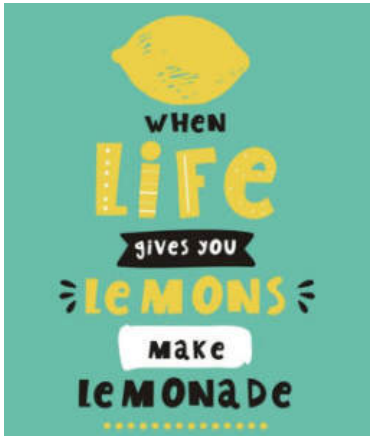
Topic 83

Effectuation Principles

Lemonade (Leverage Contingencies)

"If life deals you lemons, make lemonade"

Embrace surprises that arise from uncertain situations, remaining flexible rather than tethered to existing goals.



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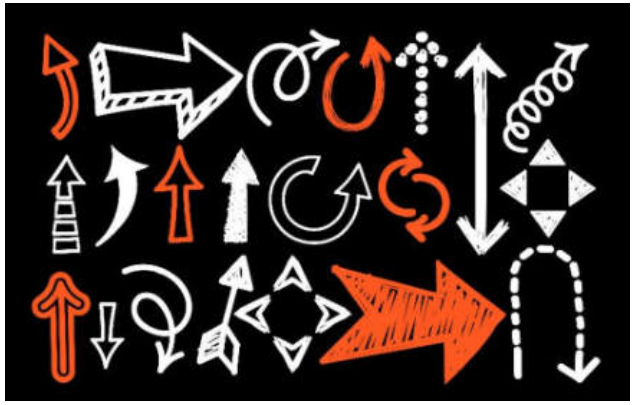
Effectuation Principles

Lemonade (Leverage Contingencies)

Causal reasoning urges the exploitation of pre-existing knowledge & prediction, effectual reasoning stresses the leveraging of contingencies.



**http://www.effectuation.org/?page_id=4055&principle=bird-in-hand

EFFECTUAL REASONING PRINCIPLE 5 : PILOT-IN-THE-PLANE

Topic 84

Effectuation Principles

Pilot-in-the-Plane (Control vs. Predict)

Control the controllable. Take actions to be in control.

**http://www.effectuation.org/?page_id=4055&principle=bird-in-hand

Effectuation Principles

Pilot-in-the-Plane (Control vs. Predict)

Control Your Own Destiny

By focusing on activities within their control, expert entrepreneurs know their actions will result in the desired outcomes. An effectual worldview is rooted in the belief that the future is neither found nor predicted, but rather made.

**http://www.effectuation.org/?page_id=4055&principle=bird-in-hand

EFFECTUATION: THE WORKSHOP ACTIVITY

Topic 85

Workshop Activity

Take pen and paper and write

Write down your resources.

1. Who are you ?
2. What have you acquired so far ?
3. What are your skills ?
4. What is your network including your family, friends, colleagues etc.
5. What is your financial strength ?

Workshop Activity

Take pen and paper and write

1. Generate the business idea with your available resources
2. Which is more suitable and viable business idea ?

Theme-07

Topic 87

STRATEGIC MANAGEMENT IN ENTREPRENEURSHIP

AARISH ALI

Agenda of this video

The strategic management and its role in entrepreneurship

Strategy is an action plan that synchronizes the tangible and intangible resources and for achieving a set target for superior performance.

Strategic management is a branch of management. It is essential for managing organizational tangible and intangible resources to achieve its long term and short term goals and objective for sustainable competitive advantage in industry.

Three main phases of strategic management:

1. Strategy formulation

2. Strategy implementation

3. Strategy evaluation and control

Strategic management covers the following areas:

1. Business vision and mission

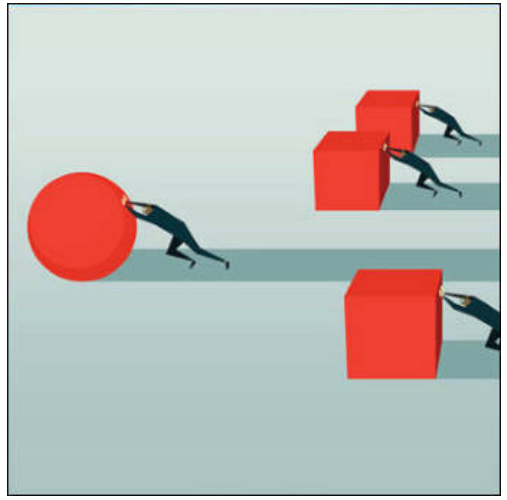
2. Internal and external environmental scanning

3. Strategies formulation

Strategic management covers the following areas:

4. Analyzing the multiple strategies

5. Sustainable competitive advantage for sustainable growth



Strategic management covers the following areas:

6. Implementation and operational execution of strategies

7. Strategies review, measures and control

Strategy Formulation

- Vision
- Mission
- Long term and short term goals and objectives
- Environmental scanning
- Strategies analysis and choices
- Business models
- Competitive advantage

Strategy Implementation

- Developing structures, designs and polices
- Managing and allocating resources
- Functional areas e.g. marketing, finance, R&D and HR
- Putting strategies into real time operations

Strategy Evaluation

- Strategy review
- Performance indicator
- Quality and control
- Corrective measures
- Revisiting strategies

Over lapping areas of strategic management and with entrepreneurship

Creation and growth

Diversification

Performance of firms

Over lapping areas of strategic management and with entrepreneurship

Industry dynamics

Competitive advantage

Product ecosystems

Over lapping areas of strategic management and with entrepreneurship

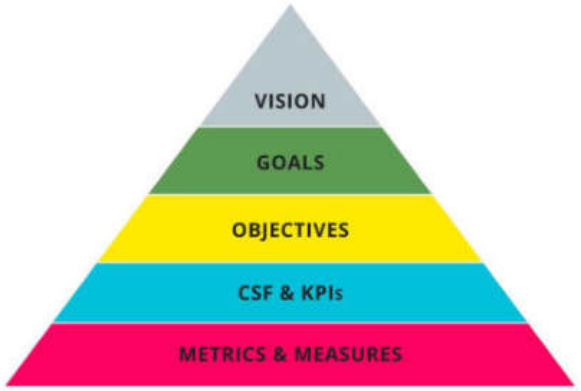
Mergers, acquisitions, alliances

Innovation

Competitive advantage for new ventures

Strategic management process

Vision and mission of new ventures



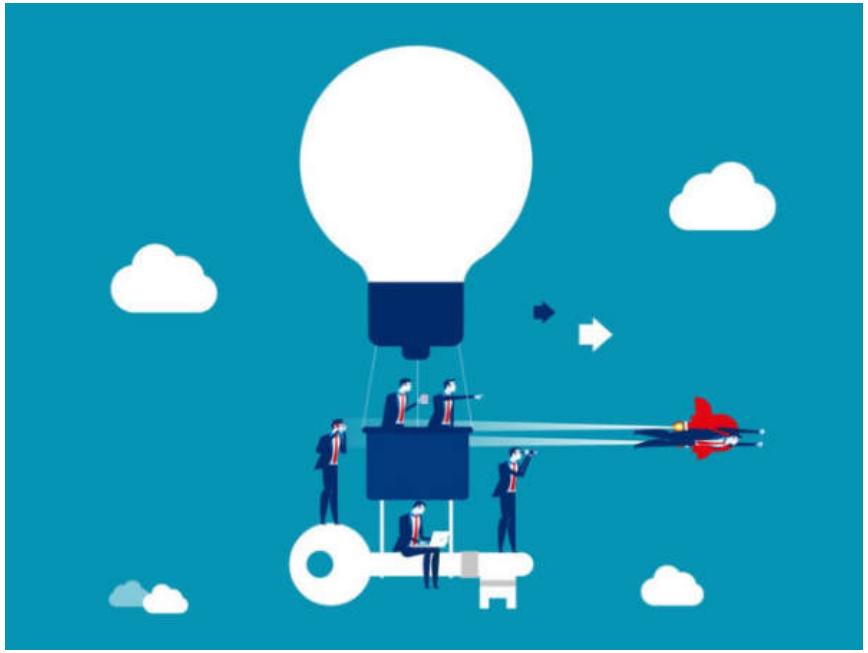
Create short term and long term goals and objectives

Assessment of strength and weakness of yourself and ventures (internal assessment)

Assessment of potential threats and opportunities (external assessment)

Key success factors being competitive

Analyzing competition



Select appropriate strategies

Establish accurate controls

1. Competitive advantage for new ventures
2. Strategic management process
3. Vision and mission of new ventures
4. Create short term and long term goals and objectives
5. Assessment of strength and weakness of yourself and ventures (internal assessment)
6. Assessment of potential threats and opportunities (external assessment)
7. Key success factors being competitive
8. Analyzing competition
9. Select appropriate strategies
10. Establish accurate controls

Topic 88

STRATEGIC MANAGEMENT PROCESS

Agenda of this video

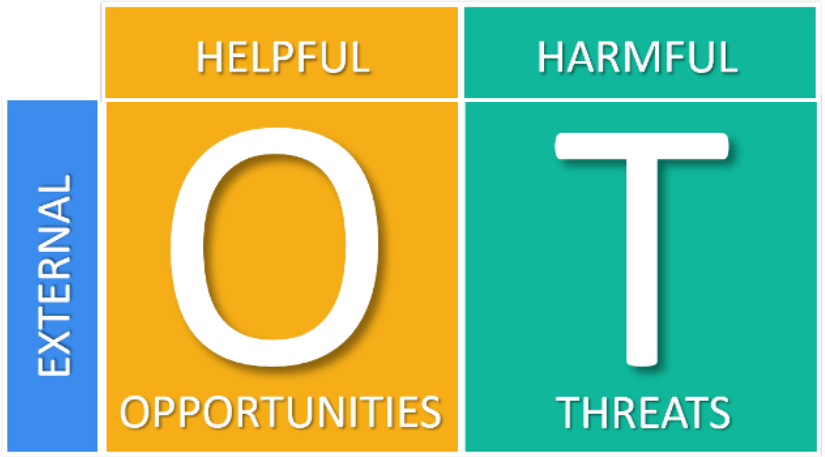
Discuss the strategic management process in entrepreneurship

Strategic management process is a method by which entrepreneurs assess their idea's viability and implement a appropriate strategy that can ensure to a sustainable competitive advantage of venture.

Components of Strategic Planning Process

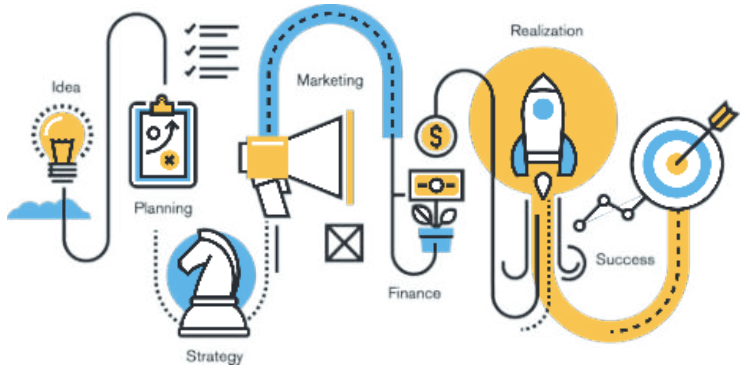
1.Initial Assessment
(Vision & Mission)

2. Situation Analysis
(Environmental scanning)

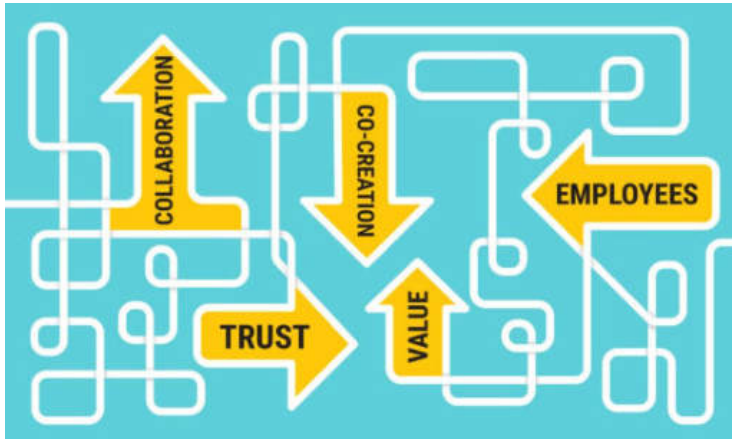


Components of Strategic Planning Process

3. Strategy Formulation
(Objectives, Business level, Corporate level, and Global strategy selection)



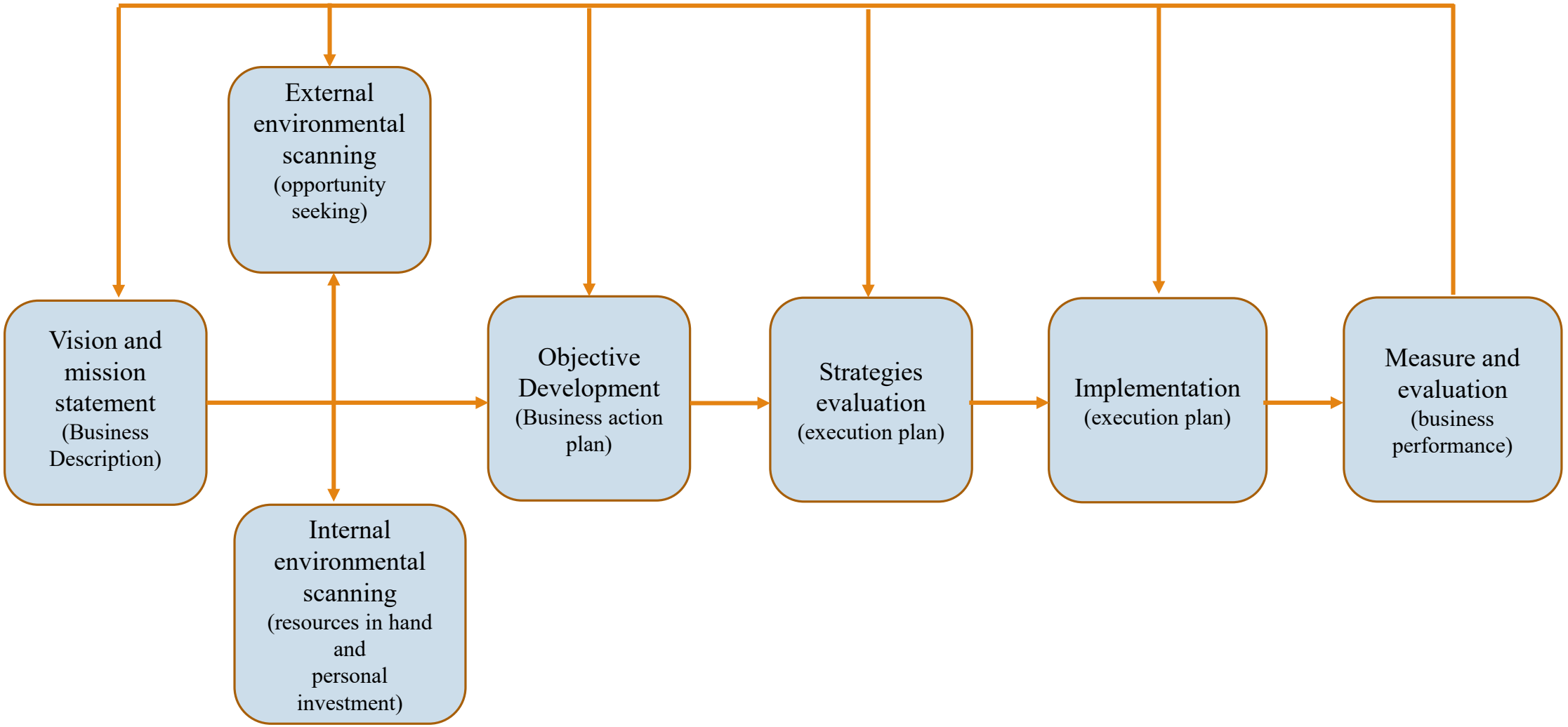
4. Strategy Implementation
(Policies, Resource Allocation, Change Management, Organizational chart and structure)



Components of Strategic Planning Process

5. Strategy Monitoring
(Measuring Company's Performance and controls, Linking Performance and Reward)

Strategic Planning Process

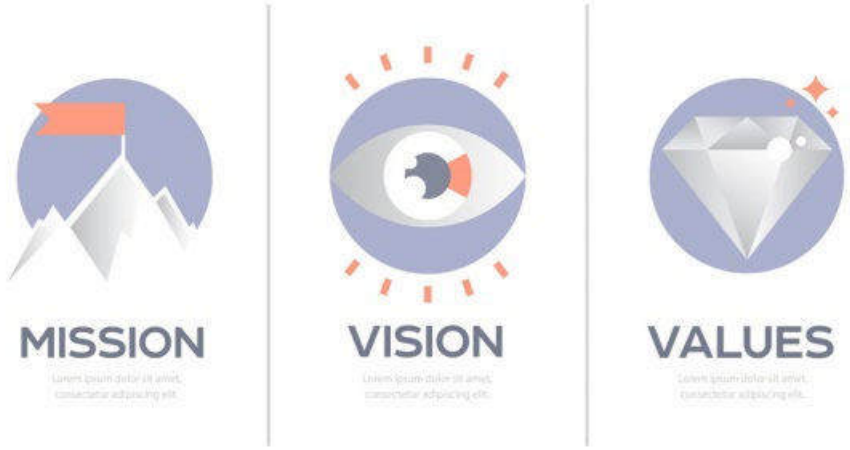


Topic 89

CLEAR VISION AND MISSION OF BUSINESS VENTURE

Agenda of this video

Why vision and mission is so important for your venture ?



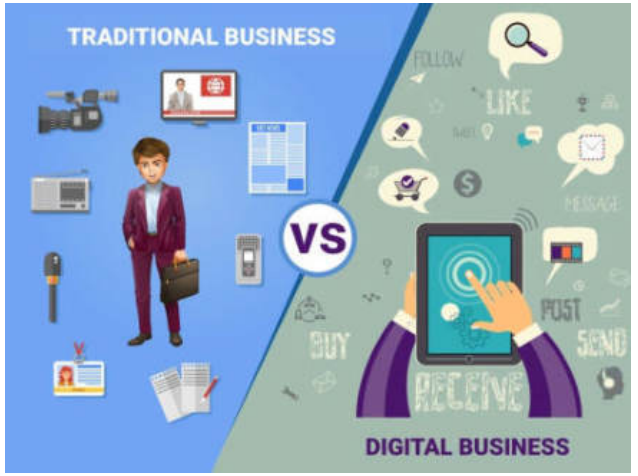
What is your business ?

Generally, vision statement defines the anticipated future orientation of the business venture.

What do we want to become ?

A mission statement outlines the company’s business, objectives and its approach to reach those objectives.

What is our business ?



Characteristics of good vision and mission statement

1. Philosophy

2. Aligned vision and mission statement

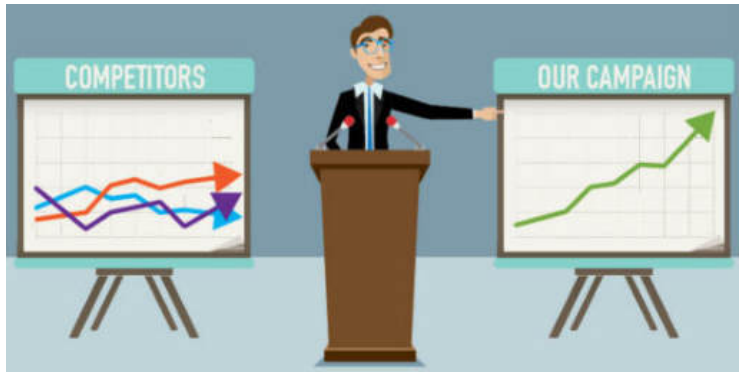
3. Customer orientation

Characteristics of good vision and mission statement

4. Market

5. Technology

6. Competitive advantage



Characteristics of good vision and mission statement

7. Concern for society

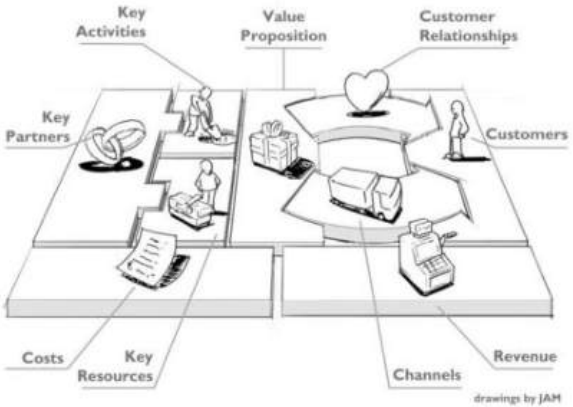
8. Concern for employees

9. Future orientation

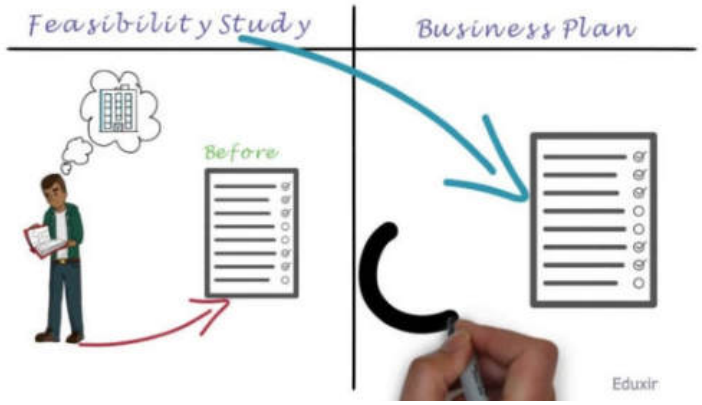
Business plan main questions

What is your general business description ?

What is your business model ?

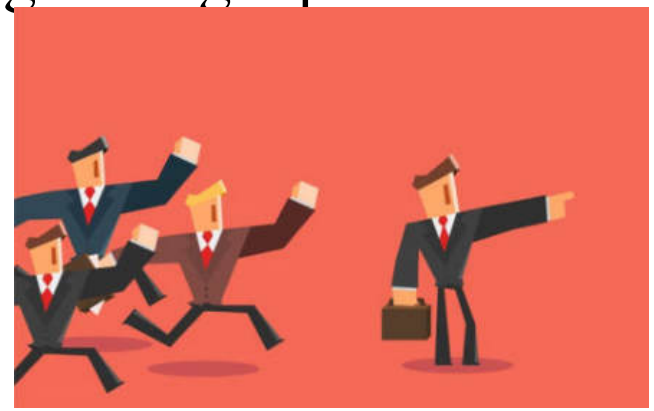


Is it sustainable viable business idea ?

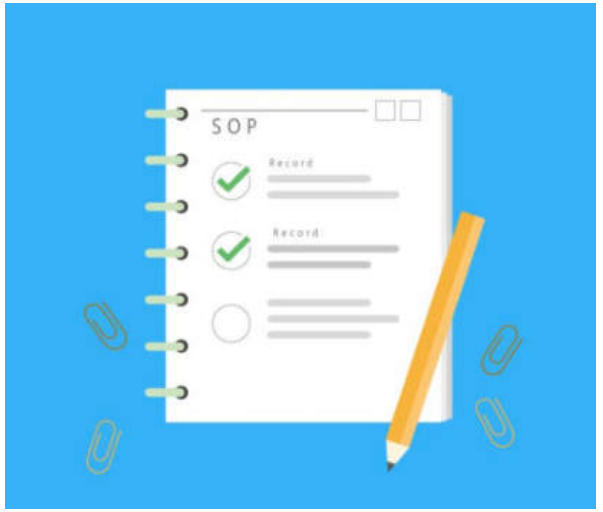


Benefits of Vision and Mission Statements

1. Brings unanimity of purpose and direction among strategic partners (owner and employees)



2. Provide standards and procedures for execution plan



Benefits of Vision and Mission Statements

3. Bring focus in allocation of resources

4. Establish a culture and tone of your venture

Benefits of Vision and Mission Statements

5. Serve as a direction and quality standard

6. Set rule to deter those strategic partners who cannot from participate for further growth

Benefits of Vision and Mission Statements

7.Facilitate in translating the long-term and short-term goals and objectives into a work structure

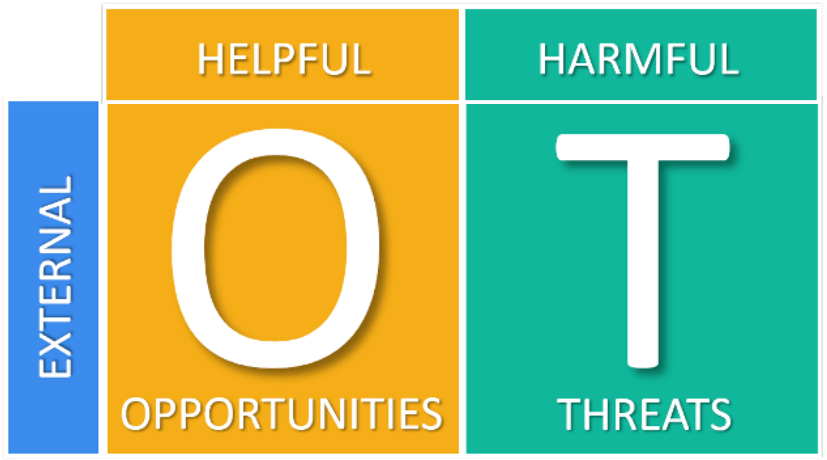
8. Motivates for future growth

Topic 90

ASSESSMENT OF STRENGTH AND WEAKNESS OF YOURSELF AND VENTURE

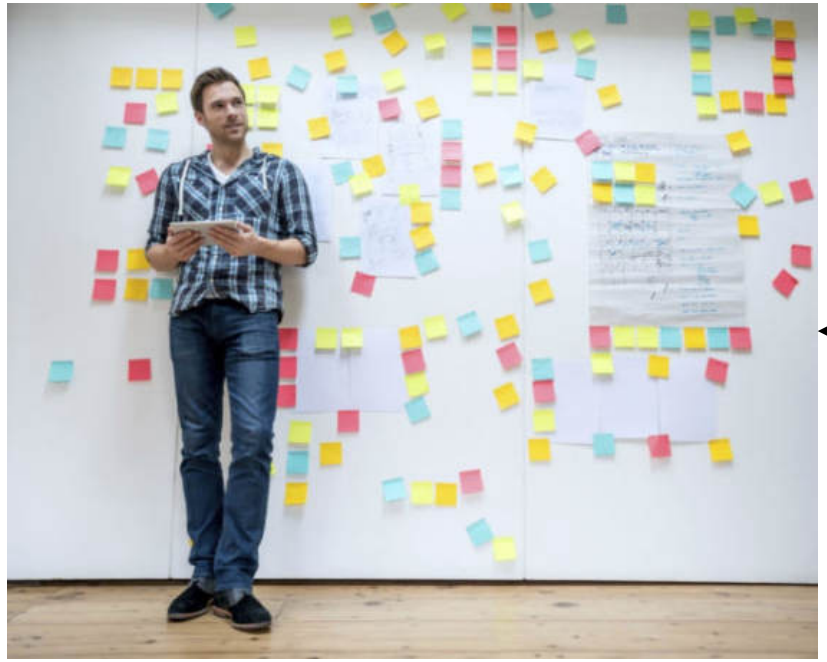
Agenda of video

The Internal Assessment:
Strength and weakness of yourself and venture

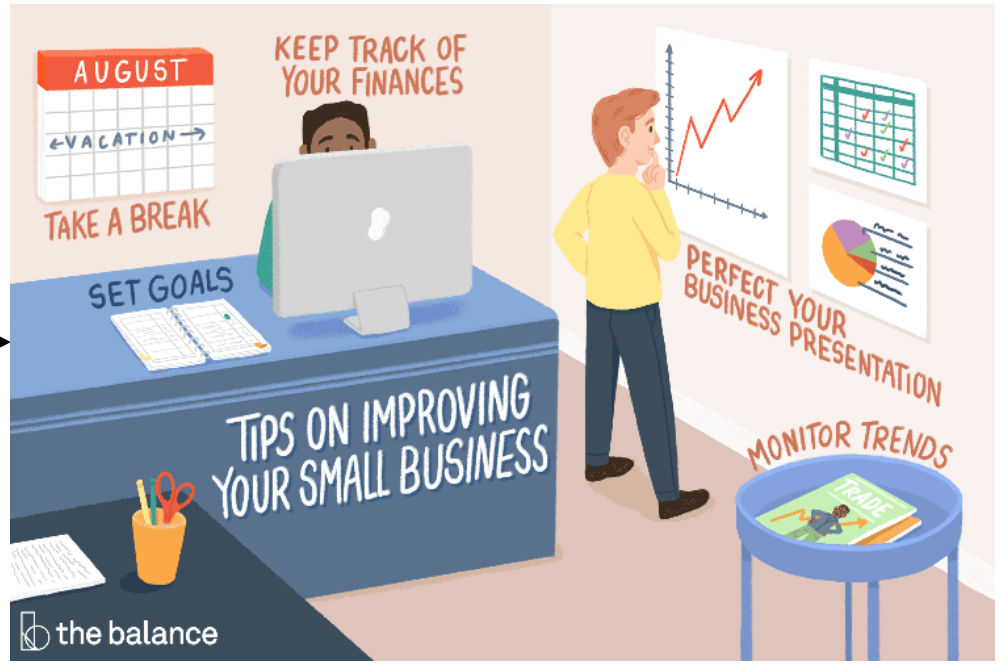


Strengths and weaknesses of yourself as an entrepreneur

Strengths and weaknesses of individual



Strengths and weaknesses of venture



Strengths are the positive internal factors that a business venture can use to achieve its vision, mission, goals and objectives.

Weaknesses are the negative internal factors that inhibit the business venture's capability to achieve its vision, mission, goals and objectives. It adversely affect the sustainable competitive advantage of a venture.

Internal Audit (self-assessment check list example)

My strength and weakness being an entrepreneur

1. Am I clear about my destination ?

2. Are my skills sufficient for kick start or growth?

3. What are my limitations ?

Internal Audit (self-assessment check list example)

My strength and weakness being an entrepreneur

4. In which area I am lacking that could adversely/positively affect my venture establishment or growth?

5. Is my network worthy for establishment/growth?

6. What level of commitment I can bring in my venture ?

Internal Audit (Venture assessment check list example)

Is venture’s objectives and goals measurable ?

Is venture’s objectives and goals well communicated to strategic partners ?

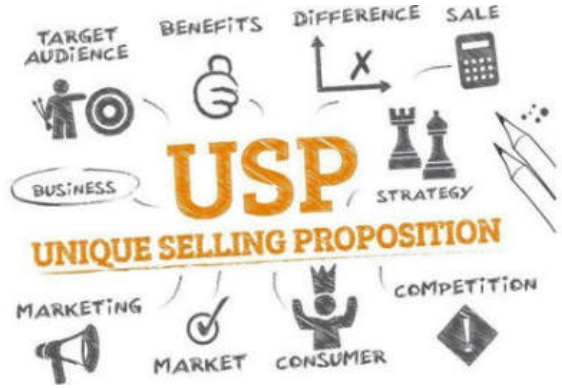
Is product/service design competitive?

Internal Audit (Venture assessment check list example)

Is selected target market is well thought and planned ?

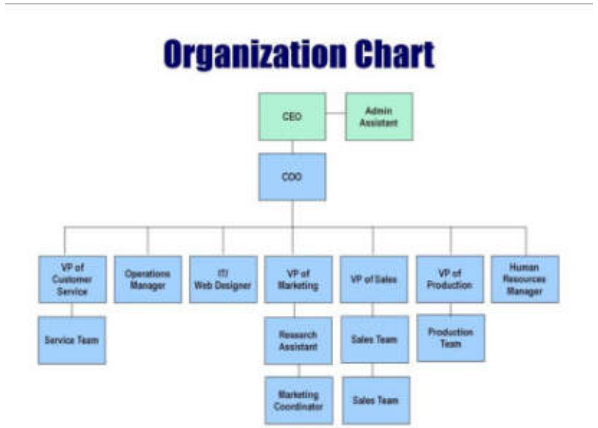
Is my pricing strategy competitive ?

Are my unique selling proposition well communicated to target market?



Internal Audit (Venture assessment check list example)

Is customer orientation well crafted?



Is the venture’s structure appropriate ?

Are jobs and requirements clear to all strategic partners?

Internal Audit (Venture assessment check list example)

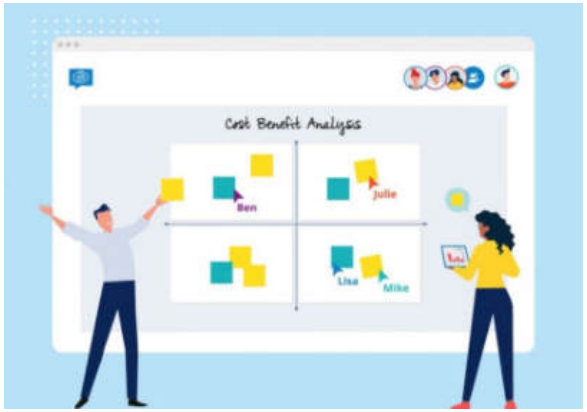
Is strategic partners morale high?

Are employee's absenteeism and/or turnover low?

Are reward and control mechanisms effective?

Tools for internal audit (strength and weakness)

Cost/Benefit Analysis



Financial Ratios

Production and operation assessment

Strengths	Weaknesses
S1:	W1
S2:	W2
S3:	W3
S4:	W4
S5:	W5

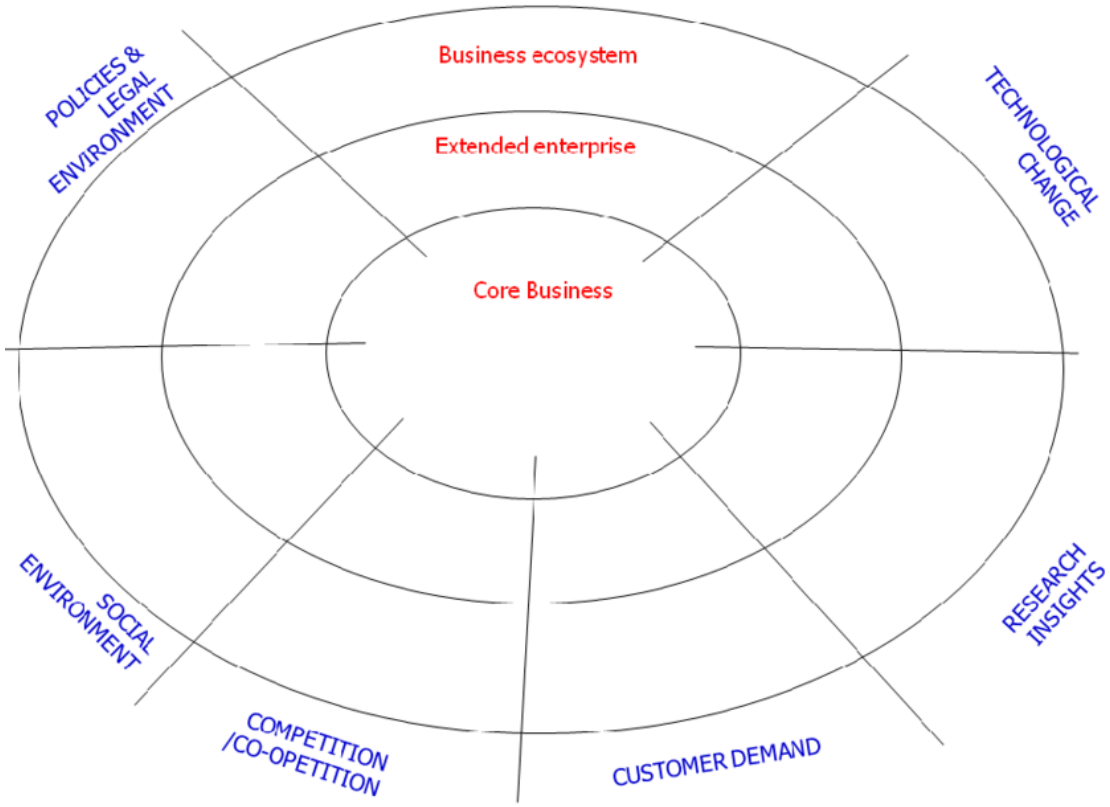
Topic 91

SCAN THE ENVIRONMENT FOR POTENTIAL THREATS AND OPPORTUNITIES

Agenda of video

The External Assessment:
Opportunities and threats (environmental scanning)

Business Ecosystem



SWOT Analysis

Opportunities are potential options available in the external environment that a venture/entrepreneur can exploit to achieve its vision, mission, goals and objectives

Threats are negative forces available in the external environment that inhibit the business venture's capability to achieve its vision, mission, goals and objectives.

Broad categories of external forces

Economic forces

Social, cultural and demographic forces

Natural environment forces

Broad categories of external forces

Political and governmental forces

Legal forces

Technological forces

Broad categories of external forces

Competitive forces

Sources of External Information

Tools for External Environment Audit

Marketing intelligence

Scenario planning

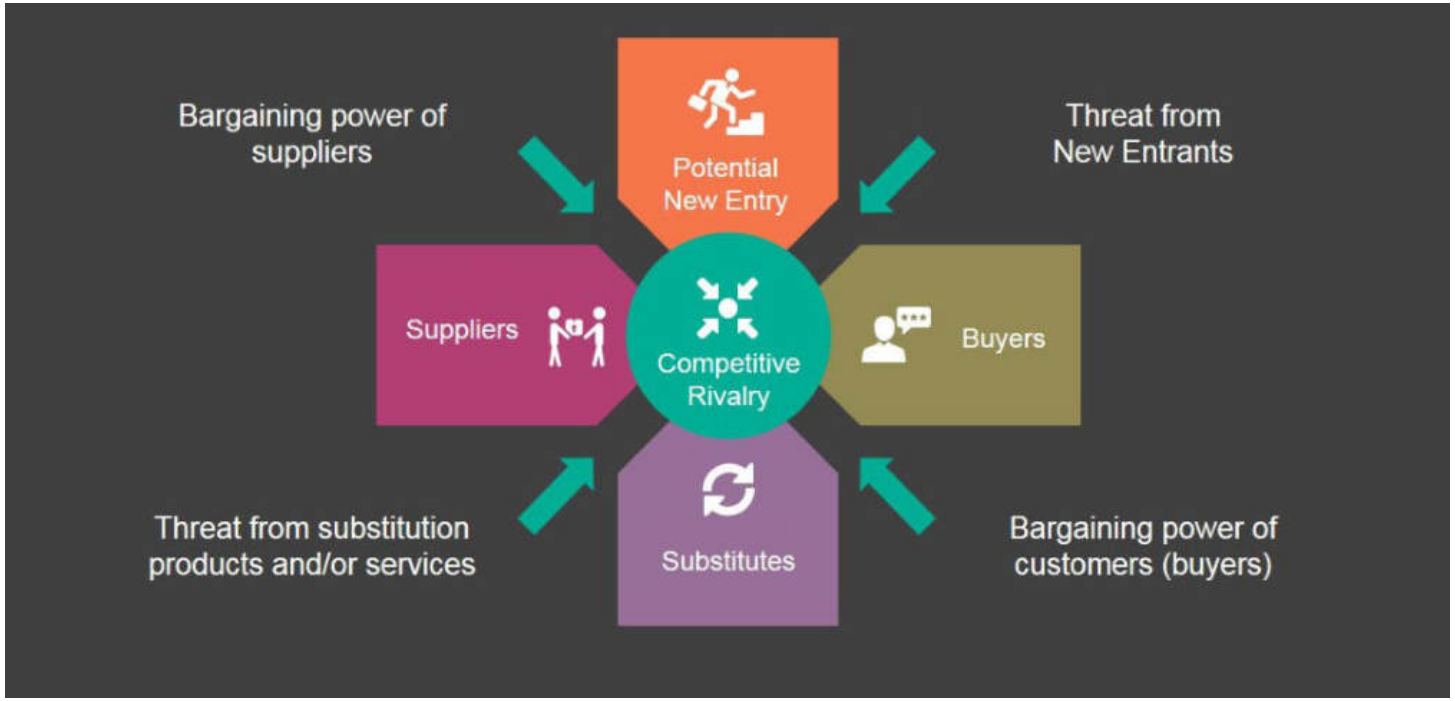
Tools for External Environment Audit

PEST Analysis
(political, economic, social and technological analysis)

Tools for External Environment Audit

Porter's five forces model

(Competition in the industry, new entrants, Power of suppliers, Power of customers, substitute products)



Opportunities	Threats
O1:	T1
O2:	T2
O3:	T3
O4:	T4
O5:	T5

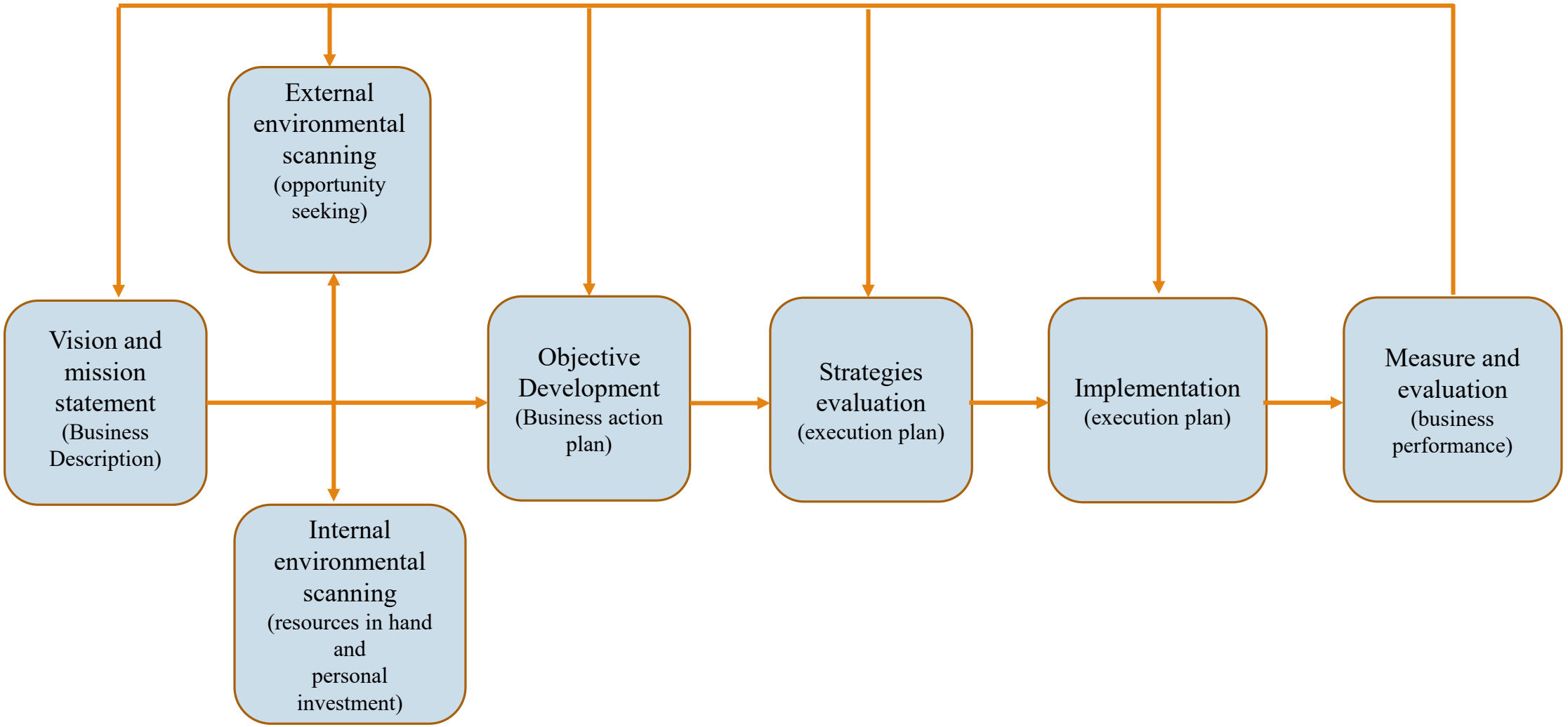
Topic 92

CREATE SHORT TERM AND LONG TERM GOALS AND OBJECTIVES

Agenda of this video

Discussion on goals and objectives

Strategic Planning Process



Goals are the broad long-range attributes that a business seeks to accomplish; Goals tend to be general and sometimes even abstract.

Objectives are more specific, precise and quantifiable plan of performance addressing areas such as profitability, productivity, growth and other key aspects of a business.

Areas of objectives

Product design

Innovation

Market development/diversification/penetration

Productivity

Areas of objectives

Cost efficiency

Profitability

Financial resources

Growth

Areas of objectives

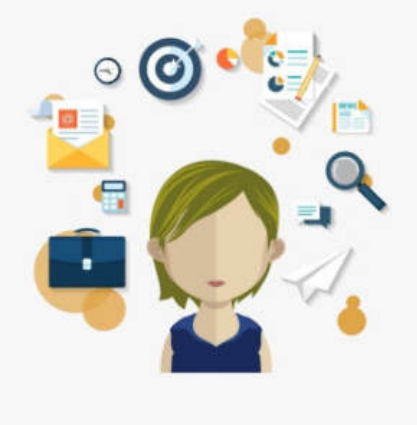
Physical infrastructure development

Team/venture restructuring

Venture/employees performance

Areas of objectives

Customer service

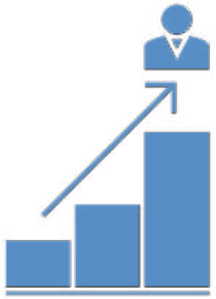


Social responsibility

Characteristics of good objectives

1. Specific

2. Measurable



3. Assignable

Characteristics of good objectives

4. Specific

5. Realistic

6. Attainable

7. Time bound

8. Written

SMART Model

Specific

Measurable

Aggressive but Attainable

Results-Oriented

Timeframe

Short-term goals and objectives

Long-term goals and objectives

Long-term objectives: within a time frame of five to ten years

What you want to accomplish being an entrepreneur ?

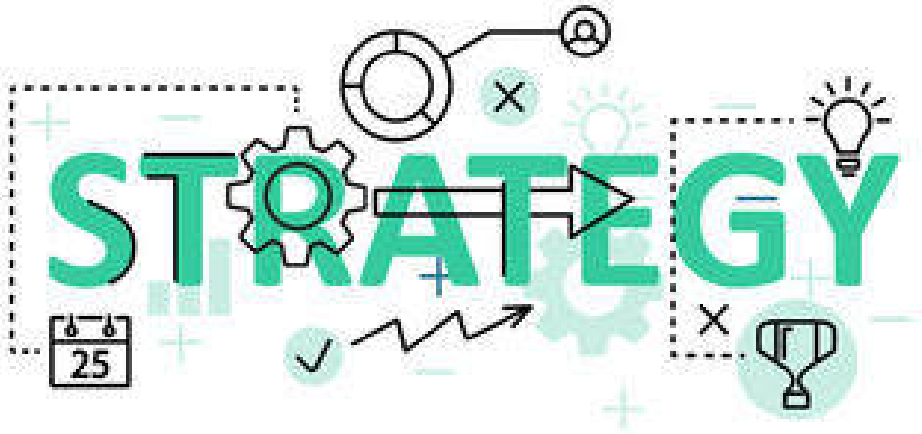
Short-term objectives: yearly plan of action

Topic 93

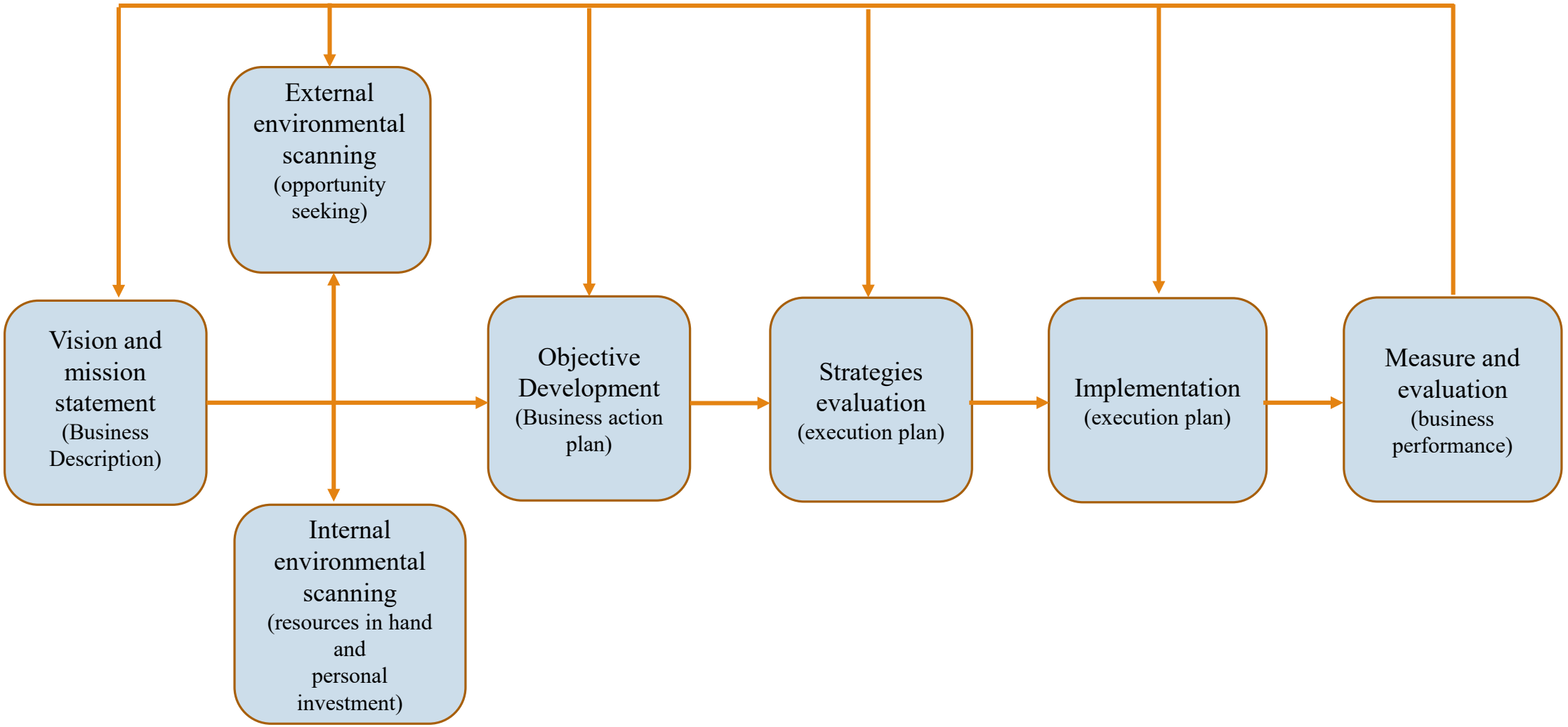
SELECT APPROPRIATE STRATEGIES

Agenda of this video

The selection of appropriate strategy



Strategic Planning Process

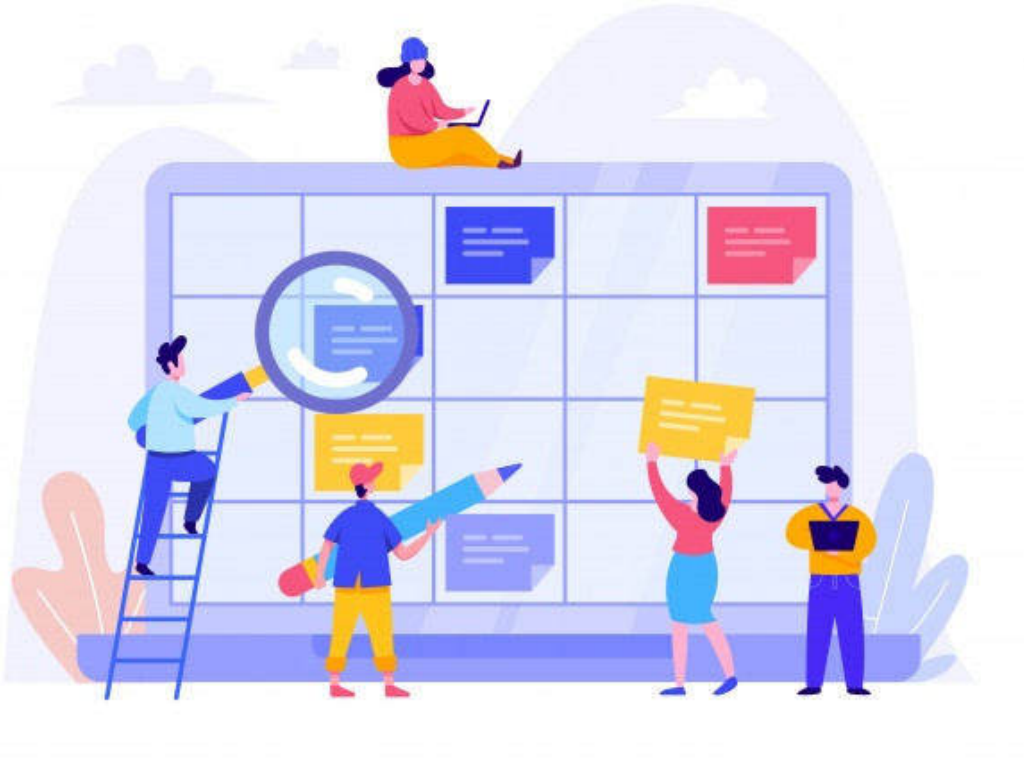


Strategy is an action plan that synchronizes the tangible and intangible resources and for achieving a set target for superior performance.

Strategy is road of action an entrepreneur draws up to attain the venture vision, mission, goals and objectives.

It is a master plan.

Strategy must be based on entrepreneur and company's core competencies while considering strengths and weaknesses.



A successful strategy must be comprehensive, well thought and well integrated ensuring the key success factors to win the market share.

Three possible strategic options

1. Cost leadership strategy

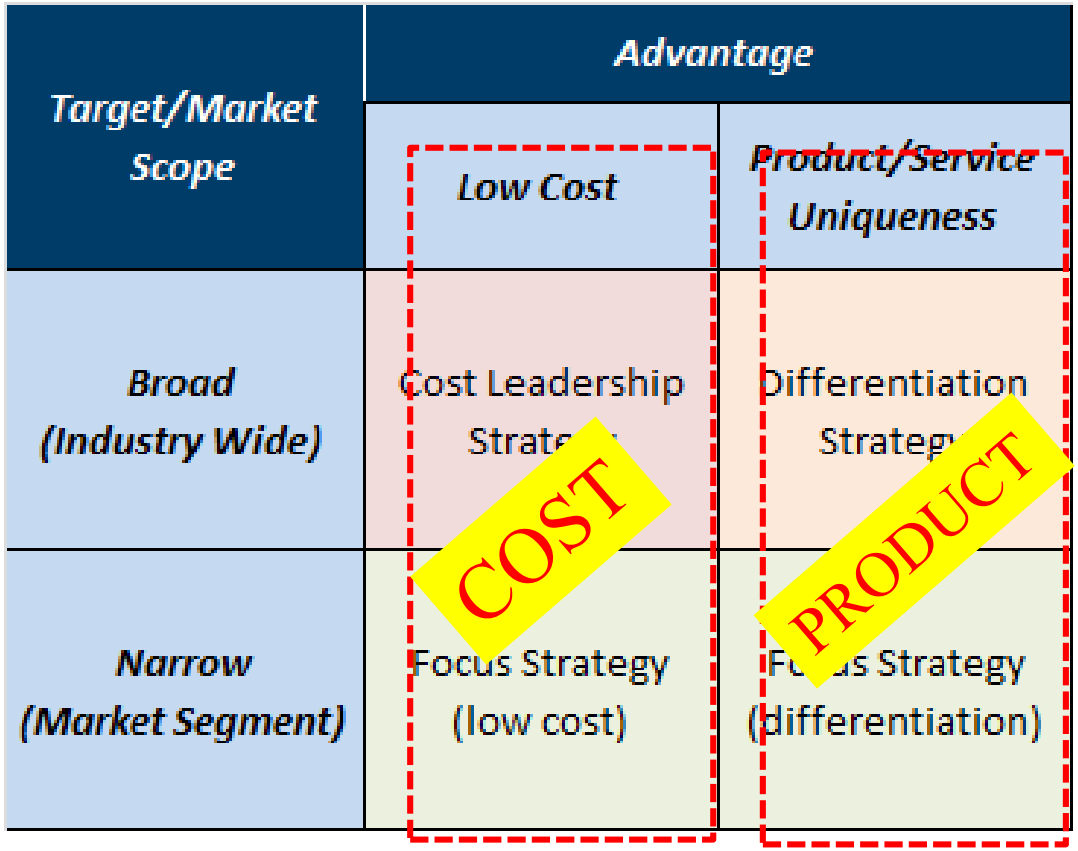
2. Differentiation strategy

3. Focus strategy

Porter Generic strategic positioning

Target/Market Scope	*Advantage*	
	Low Cost	*Product/Service Uniqueness*
Broad (Industry Wide)	Cost Leadership Strategy	Differentiation Strategy
Narrow (Market Segment)	Focus Strategy (low cost)	Focus Strategy (differentiation)

Porter Generic Strategic Positioning



Cost leadership strategy-a strategy in which an entrepreneur strives to be low-cost producer relative to its competitors in the industry.

Objective: low cost operator

COST-SAVING

Cost leadership strategy involves mass production, quality compromise, or technological break through.

It may trigger price war in the industry.

When to apply cost leadership strategy

- ✓ If selling similar product/services
- ✓ If customers are not brand conscious
- ✓ If customers are price conscious and ready to compromise on quality
- ✓ If the industry is price focuses

Differentiation strategy in which the entrepreneur seeks to build customer base by positioning its product or service in a unique or different fashion and where the customers also value its differentiation.

When to apply differentiation strategy

- ✓ If customers value and demand for differentiation
- ✓ If customers are brand conscious
- ✓ If customers are not price conscious
- ✓ If customers are not ready to compromise on quality
- ✓ Integrated marketing campaign

Focus strategy where an entrepreneur selects one or more narrow (niche) market segment to serve. He/she identifies the market segment's special need, wants, interest and approaches them with customized product or service.

Porter Generic strategic positioning

Target/Market Scope	*Advantage*	
	Low Cost	*Product/Service Uniqueness*
Broad (Industry Wide)	Cost Leadership Strategy	Differentiation Strategy
Narrow (Market Segment)	Focus Strategy (low cost)	Focus Strategy (differentiation)

Topic 94

BUILDING A COMPETITIVE ADVANTAGE FOR NEW VENTURES

Agenda of this video

Building a competitive advantage for new ventures

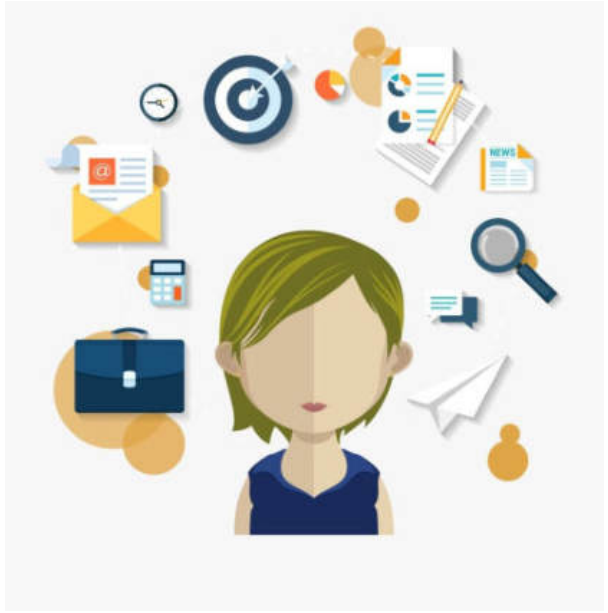
Competitive advantage is defined as unique advantage over the competitors an entrepreneur gained by offering consumers greater value either in terms of cost or differentiation of product or services.

- Superior cost/production efficiency

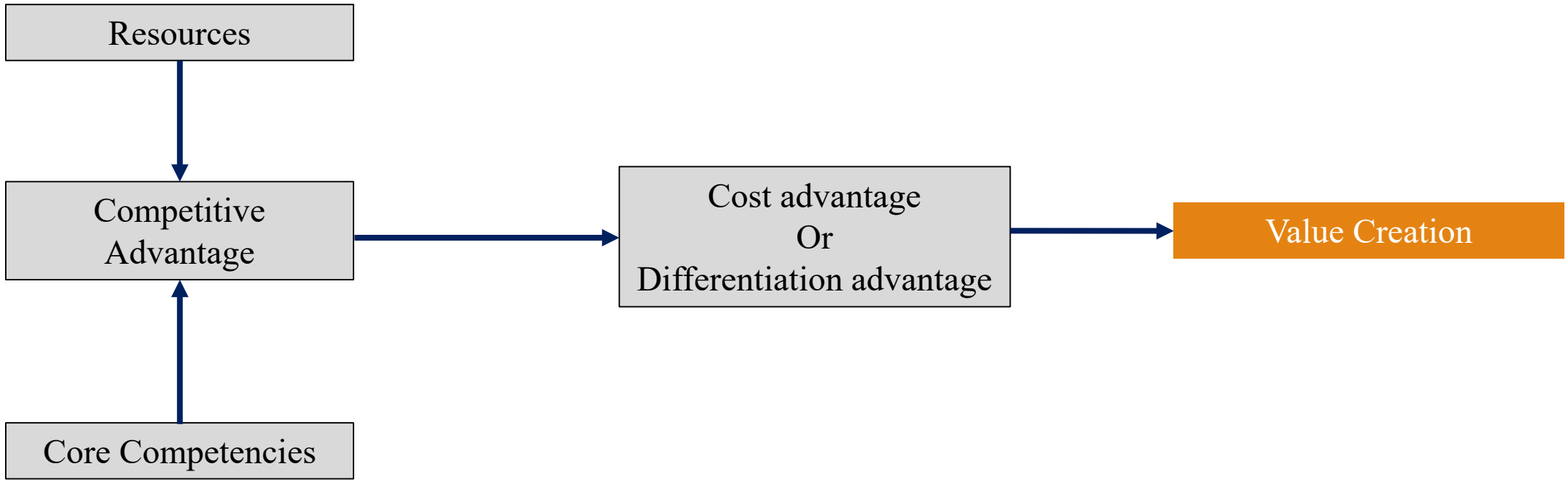
- Superior good and/or service quality

- Superior innovation and up-gradation

- Superior customers engagement



Competitive Advantage Model



Global Competitive Advantage

1. Local market adaptation

2. Economies of scale

3. Common global culture

4. Tapping the optimal location for activities and resources

Global Competitive Advantage

5. Knowledge management and sharing

6. Technology transfer

COST-SAVING

7. Cost efficiency

8. Technological efficiency

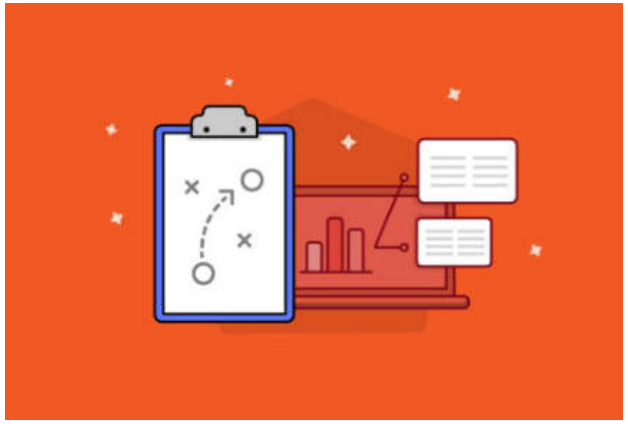
Competitive Positions

Market Leader

Market Challenger

Competitive Positions

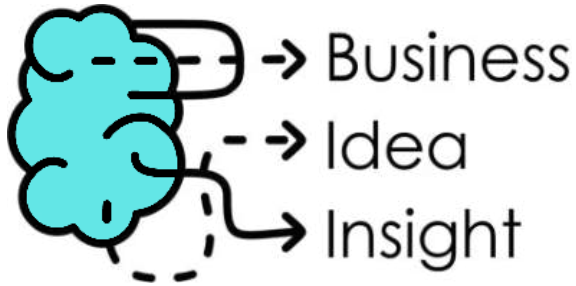
Market Follower



Market Nicher

Characteristics of competitive advantage

Valuable



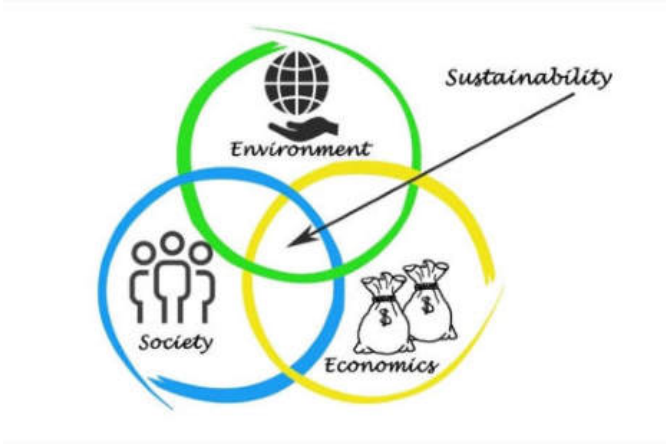
Rare

Inimitable

Characteristics of competitive advantage

Non-substitutable

Sustainable



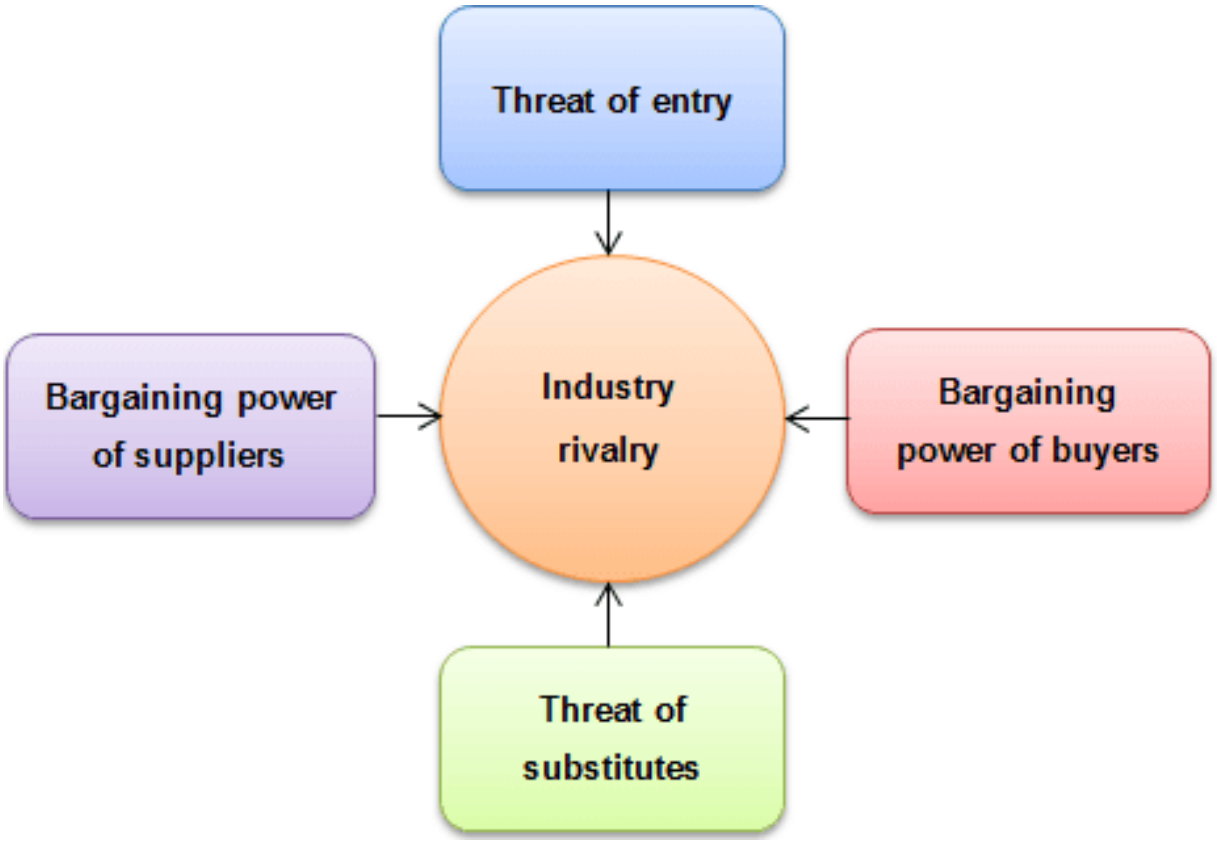
Topic 95

ANALYZE COMPETITION

Agenda of this video

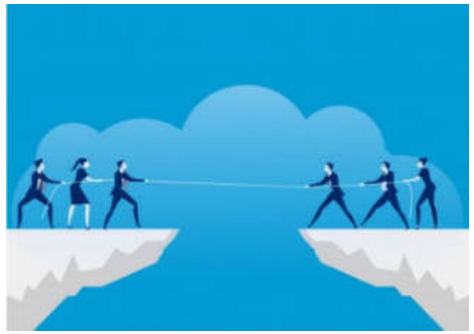
How to analyze the competition ?

Five Forces Model (porter)



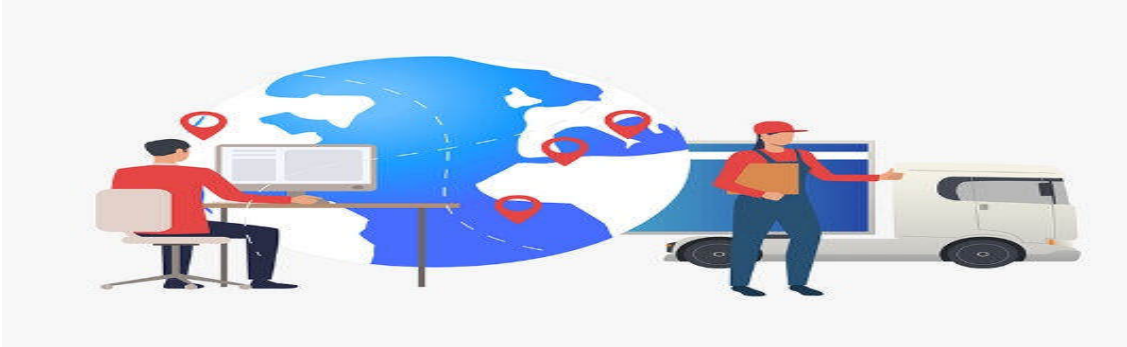
Industry Rivalry

- Number of competitors
- Rate of industry growth
- Intermittent industry overcapacity
- Exit barriers
- Diversity of competitors
- Informational complexity
- Brand equity
- Level of advertising expense



Threat of New Entry

- Barriers to entry
- Economies of scales
- Brand equity
- Switching costs
- Access to distribution
- Absolute cost advantages
- Learning curve advantages
- Government policies



Supplier Power

- Supplier switching costs relative to firm switching costs

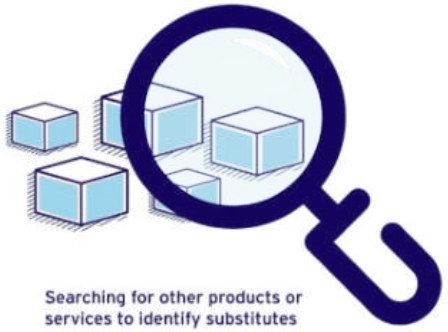
- Degree of differentiation of inputs
- Price of inputs
- Uninterrupted supplies of input

Buyer Power

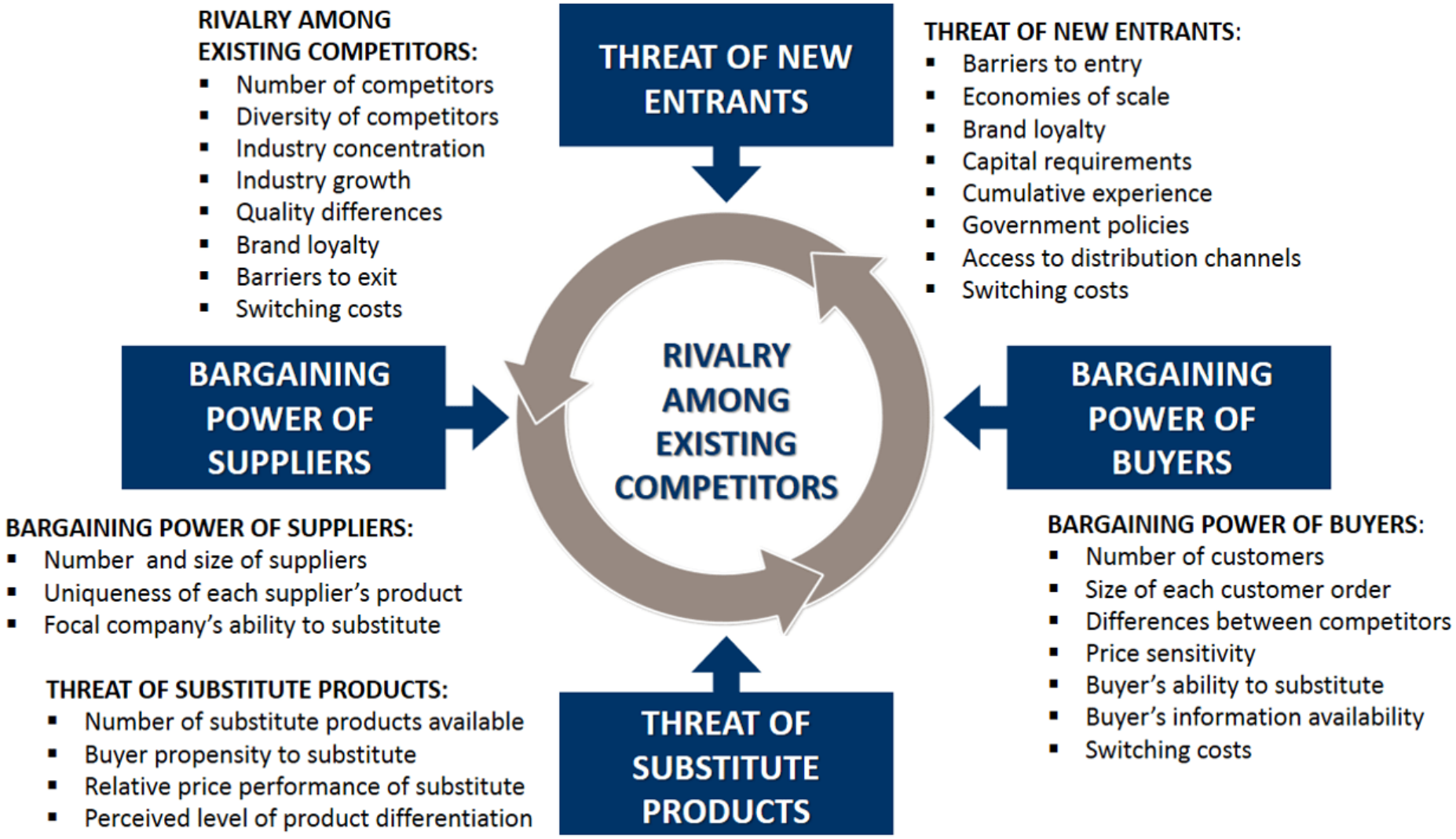
- Bargaining leverage and volume
- Buyer switching costs
- Trends and preferences
- Buyer information availability

Threat of substitution

- ✓ Buyer propensity to substitute



- ✓ Relative performance of substitutes

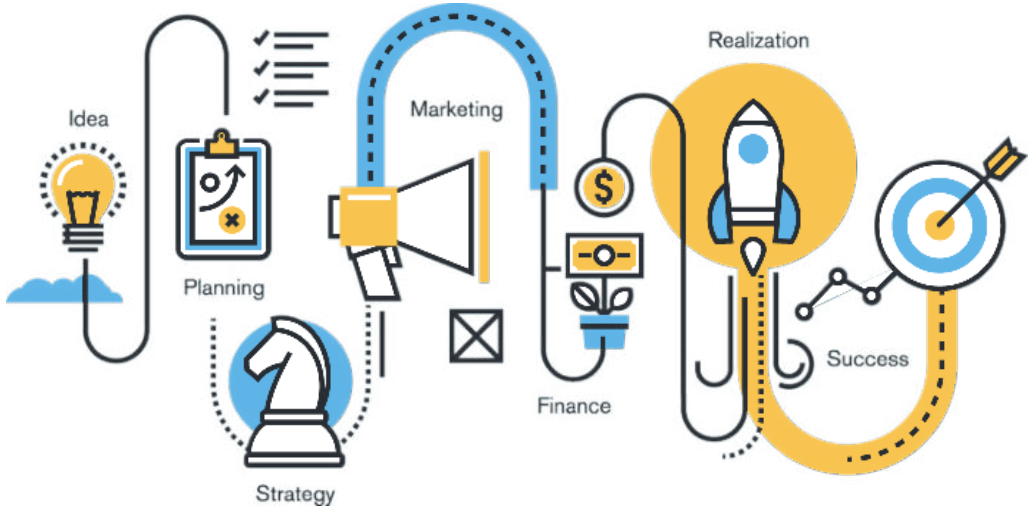

RIVALRY AMONG EXISTING COMPETITORS:
Number of competitors
Diversity of competitors
Industry concentration
Industry growth
Quality differences
Brand loyalty
Barriers to exit
Switching costs
THREAT OF NEW ENTRANTS
THREAT OF NEW ENTRANTS:
Barriers to entry
Economies of scale
Brand loyalty
Capital requirements
Cumulative experience
Government policies
Access to distribution channels
Switching costs
BARGAINING POWER OF SUPPLIERS
RIVALRY AMONG EXISTING COMPETITORS
BARGAINING POWER OF BUYERS
BARGAINING POWER OF SUPPLIERS:
Number and size of suppliers
Uniqueness of each supplier's product
Focal company's ability to substitute
BARGAINING POWER OF BUYERS:
Number of customers
Size of each customer order
Differences between competitors
Price sensitivity
Buyer's ability to substitute
Buyer's information availability
Switching costs
THREAT OF SUBSTITUTE PRODUCTS:
Number of substitute products available
Buyer propensity to substitute
Relative price performance of substitute
Perceived level of product differentiation
Switching costs
THREAT OF SUBSTITUTE PRODUCTS

Topic 96

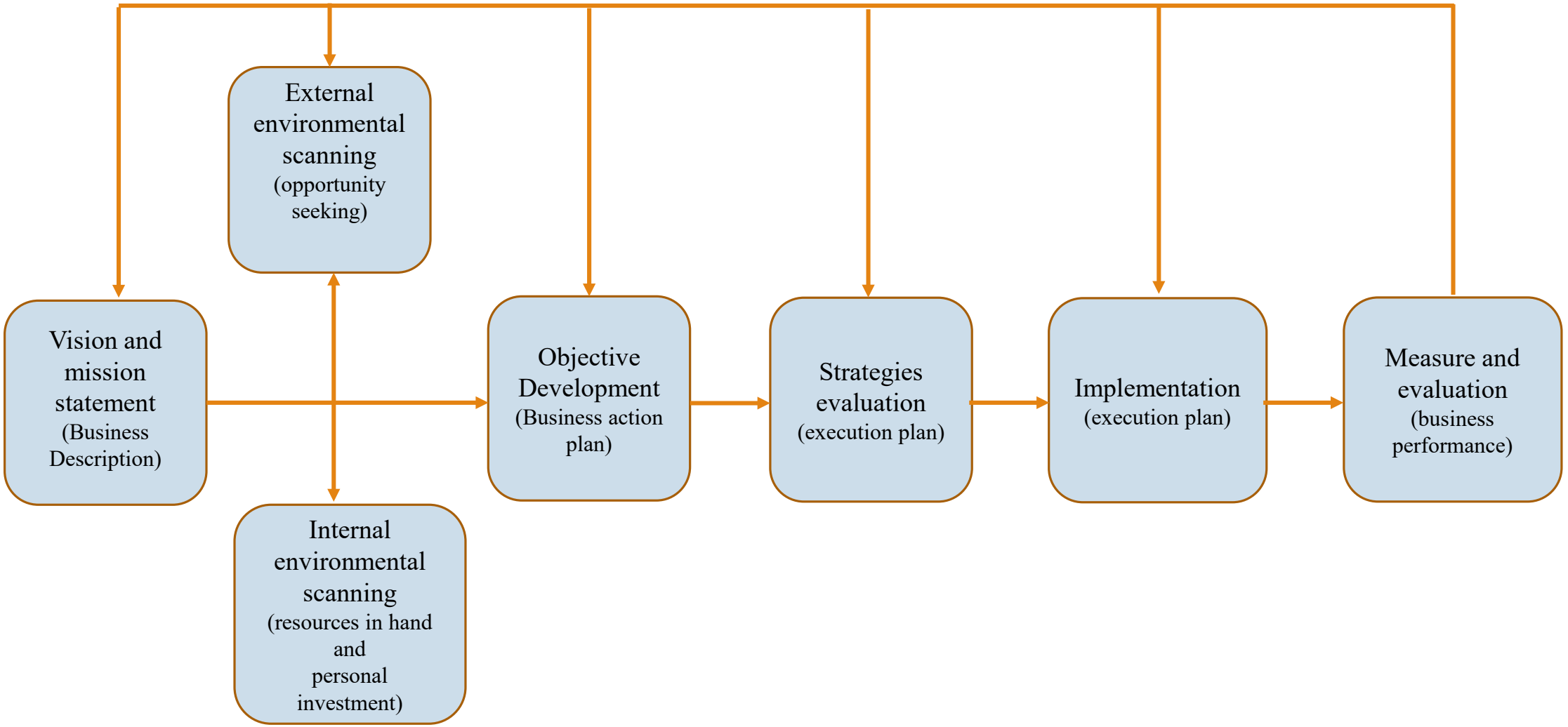
STRATEGY REVIEW, EVALUATION AND CONTROL

Agenda of this video

Strategy review, evaluation and control



Strategic Planning Process



Criteria for Evaluating Strategies

Consistency

A strategy should not present inconsistent goals and policies

Consonance

Consonance refers to the need for strategists to examine *sets of trends*

adaptive response to the external environment

Feasibility

Physical, human, and financial resources of the enterprise

Criteria for Evaluating Strategies

Advantage

maintenance of a competitive advantage

Check List of Evaluation

Competitors reaction to strategies

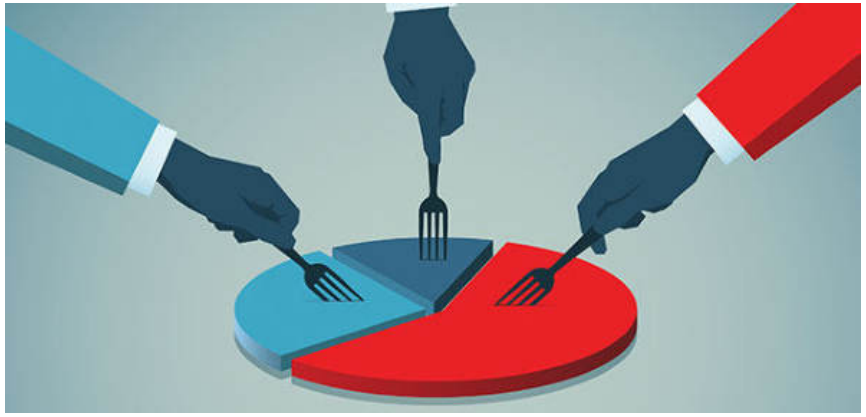
Competitors’ strategies change

Competitors’ strengths and weaknesses change

Check List of evaluation

Competitors strategic changes and success

Competitors satisfaction with their present market positions and profitability



Financial Review

Return on investment (ROI)
Return on equity (ROE)
Profit margin
Market share
Debt to equity
Earnings per share
Sales growth
Asset growth

TABLE 9-6 An Example Balanced Scorecard

Area of Objectives	Measure or Target	Time Expectation	Primary Responsibility
Customers			
1.			
2.			
3.			
4.			
Managers/Employees			
1.			
2.			
3.			
4.			
Operations/Processes			
1.			
2.			
3.			
4.			
Community/Social Responsibility			
1.			
2.			
3.			
4.			
Business Ethics/Natural Environment			
1.			
2.			
3.			
4.			
Financial			
1.			
2.			
3.			
4.			

Policy Audit

Human Audit

Corporate Social Responsibility

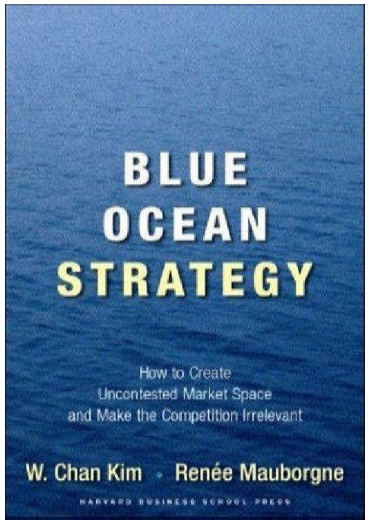
Ethical Responsibility

Topic 97

BLUE OCEAN STRATEGY PART 1

Agenda of the Video

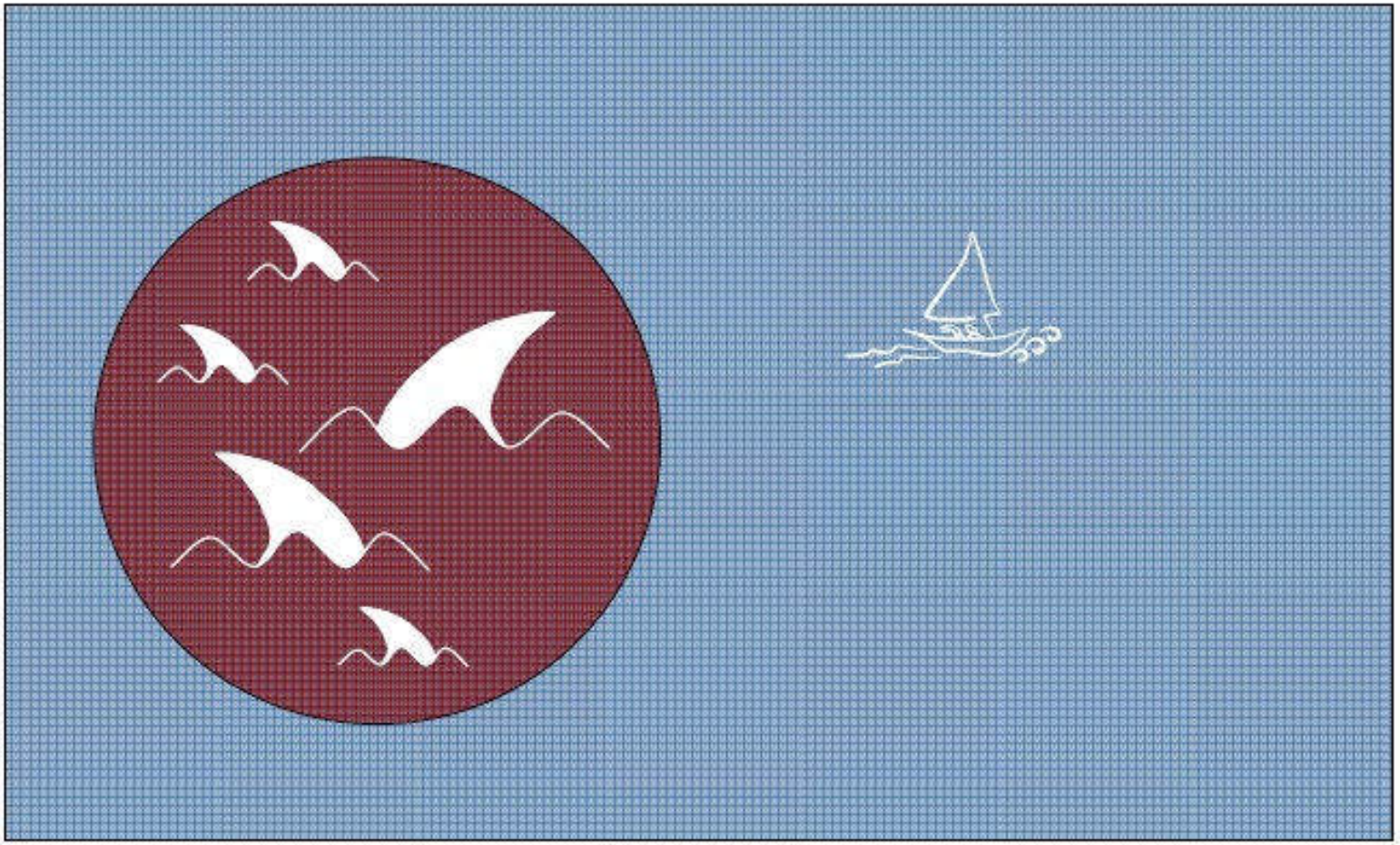
Blue Ocean Strategy



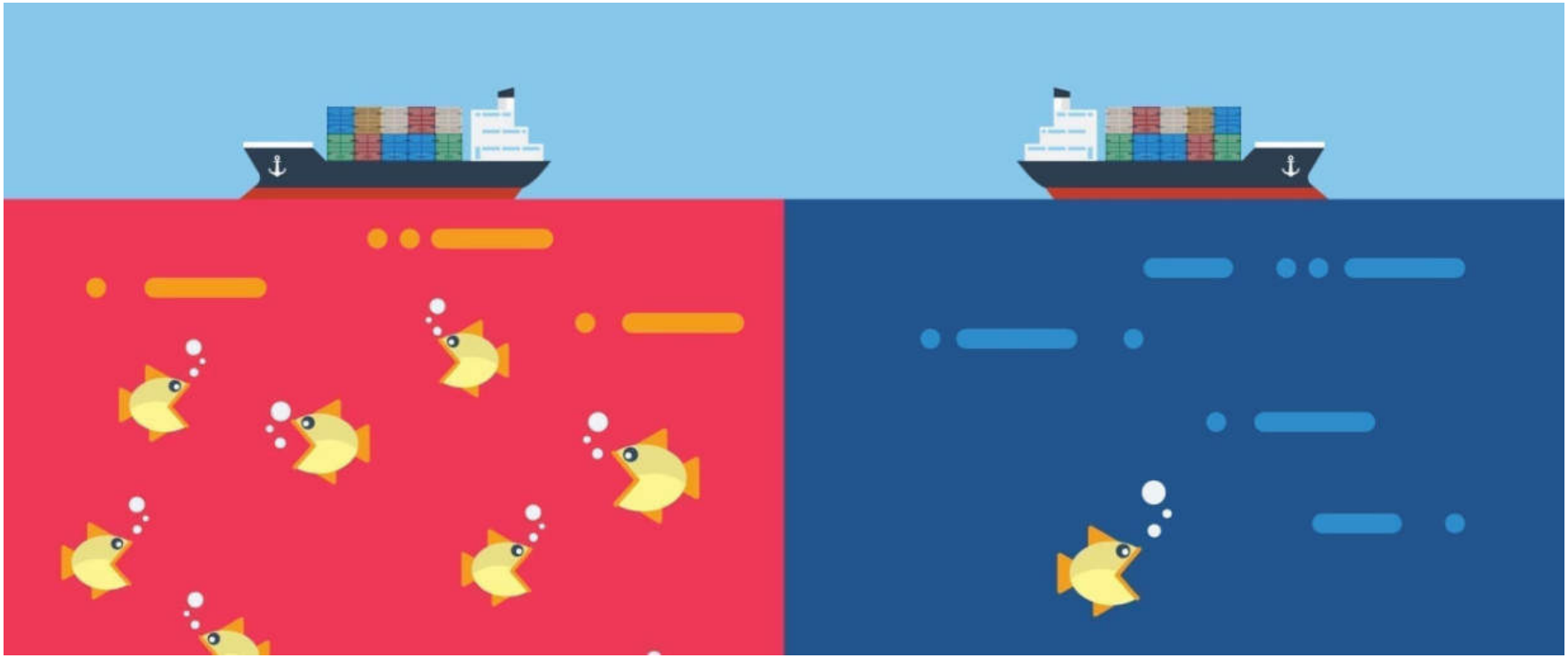
Blue Ocean Strategy

How to create uncontested market space and make the competition irrelevant

Two worlds …



Two worlds ...

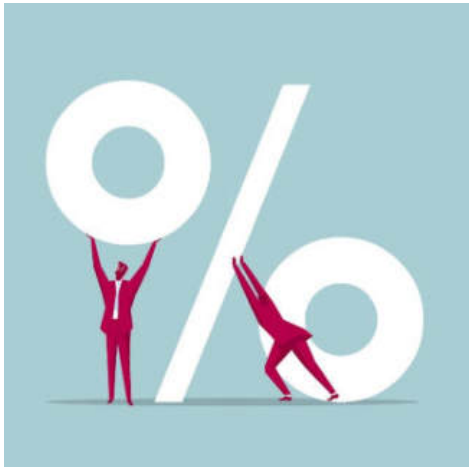


Read Ocean

Head to head competition

Blue Ocean

Uncontested market



Red Ocean Strategy

Compete in existing market space

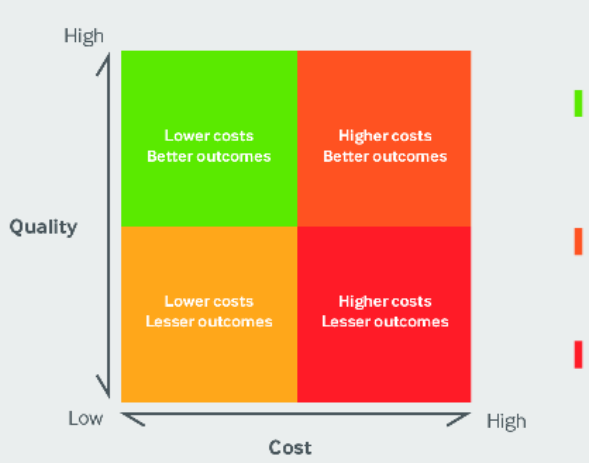
Beat the competition

Exploit existing demand

Red Ocean Strategy

Make the value-cost trade-off

Align the whole system of a strategic firm's activities with its choice *of* differentiation or low cost.



Blue Ocean Strategy

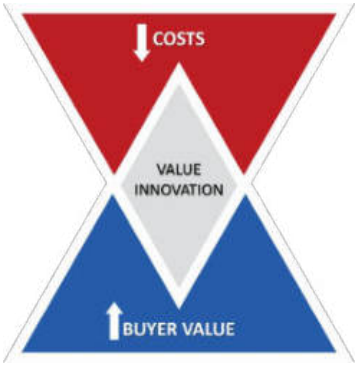
Create uncontested market space

Make the competition irrelevant

Create and capture new demand

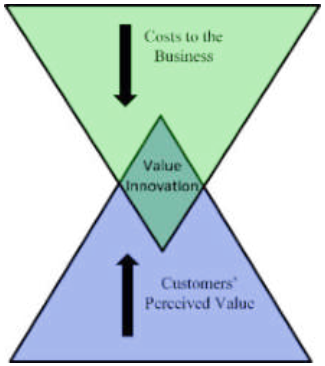
Blue Ocean Strategy

Break the value-cost trade-off



Align the whole system of a firm's activities in pursuit of differentiation *and* low cost.

VALUE INNOVATION



Topic 98

BLUE OCEAN STRATEGY PART 2

Blue Ocean Strategy

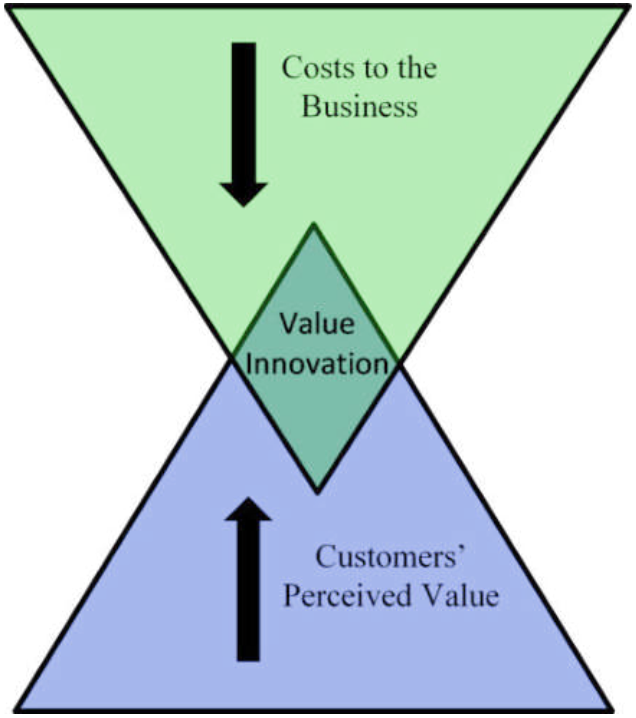
How to create uncontested market space and make the competition irrelevant

Value Innovation

The cornerstone of Blue Ocean Strategy

Value-cost trade-off
(Conventional Believe)

Differentiation and Low cost simultaneously
(Blue Ocean Strategy)



The rising Imperative of Creating Blue Oceans

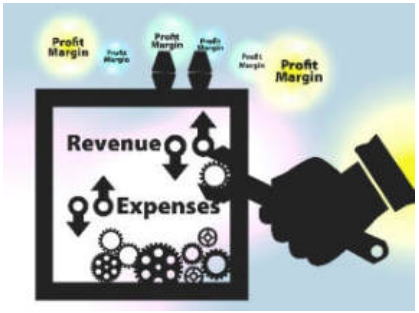
Supply exceeds demand

Globalization

Increasing price wars

The rising Imperative of Creating Blue Oceans

Shrinking profit margins



Brands are becoming more similar select based on price

BOS Logic: The Core Principles

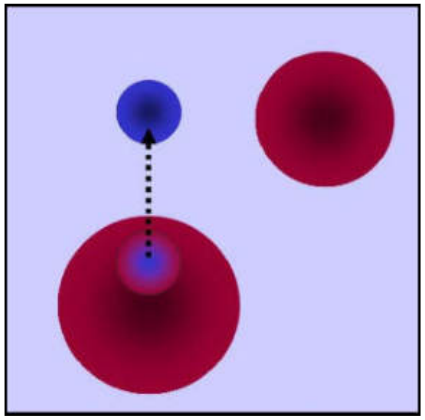
1. Reconstruct Market Boundaries

… overcome believes.

BOS Logic: The Core Principles

2. Reach beyond existing Demand

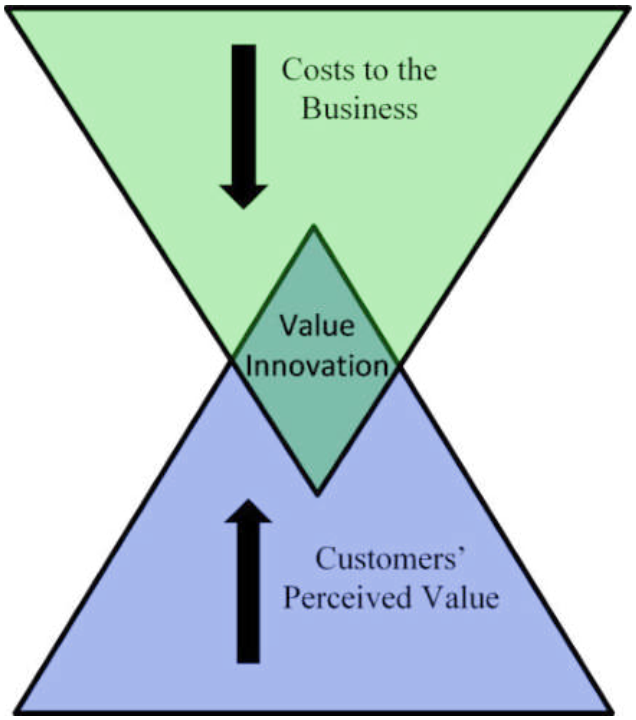
… go for uncontested space.



BOS Logic: The Core Principles

3. Get the strategic sequence right

… value innovation first.



Topic 99

BLUE OCEAN STRATEGY PART 3

Blue Ocean Strategy

How to create uncontested market space and make the competition irrelevant

BOS Logic: 1. Reconstruct market boundaries

Boundaries of Competition

Industry

Strategic Group

Buyer Group

Scope of Product and Service Offerings

Functional-emotional Orientation of an Industry

Time/Trends

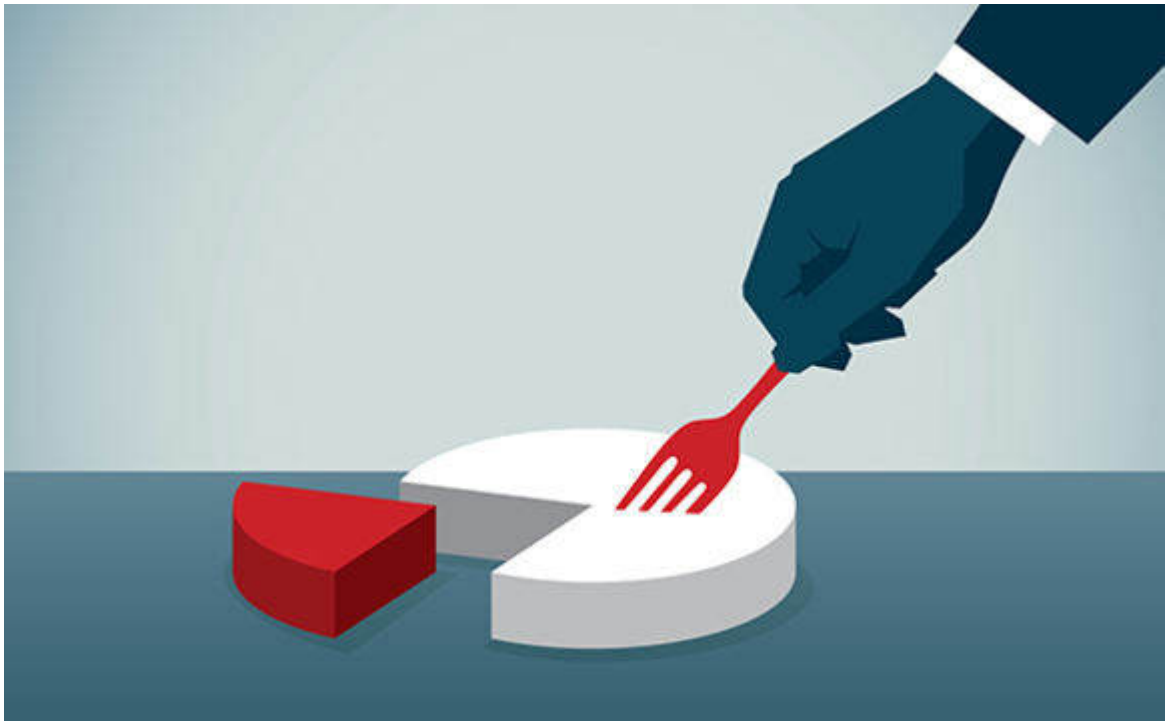
BOS Logic: 1. Reconstruct market boundaries

Boundaries of Competition	Head-to-Head Competition
Industry	Focuses on rivals within its industry
Strategic Group	Focuses on competitive position within strategic group
Buyer Group	Focuses on better serving the buyer group
Scope of Product and Service Offerings	Focuses on maximizing the value of product and service offerings within the bounds of its industry
Functional-emotional Orientation of an Industry	Focuses on improving price-performance with the functional or emotional orientation of this industry
Time/Trends	Focuses on adapting to external trends as they occur

BOS Logic: 1. Reconstruct market boundaries

Boundaries of Competition	**Creating New Market Space**
Industry	Looks across alternative industries
Strategic Group	Looks across strategic groups within its industry
Buyer Group	Redefines the buyer group of the industry
Scope of Product and Service Offerings	Looks across to complementary product and service offerings that go beyond the bounds of its industry
Functional-emotional Orientation of an Industry	Rethinks the functional-emotional orientation of its industry
Time/Trends	Participation in shaping external trends over time

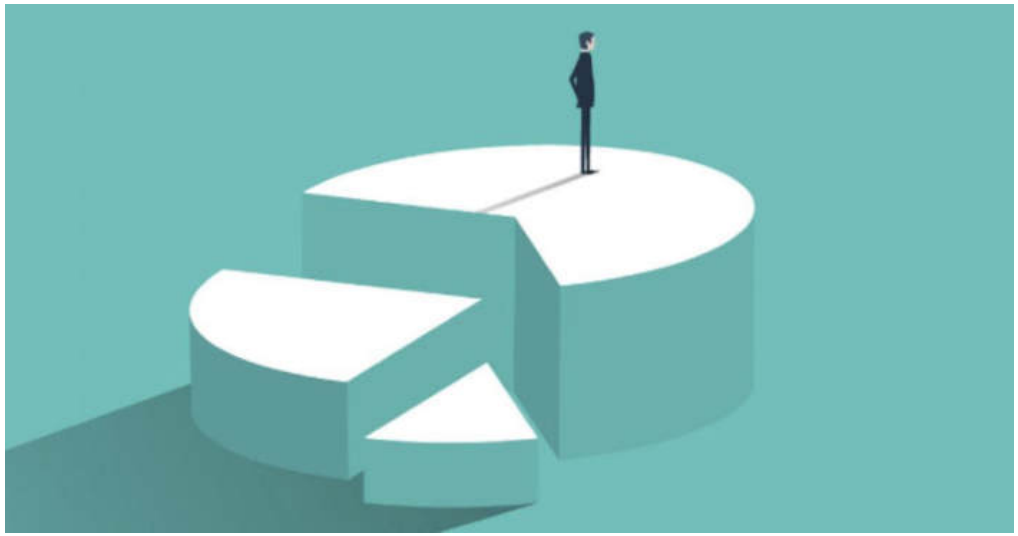
BOS Logic: 1. Reconstruct market boundaries



BOS Logic: 2. Reach Beyond Existing Demand

Reach beyond existing Demand

… go for uncontested space.



BOS Logic: 2. Reach Beyond Existing Demand

Challenge two conventional strategy practices:

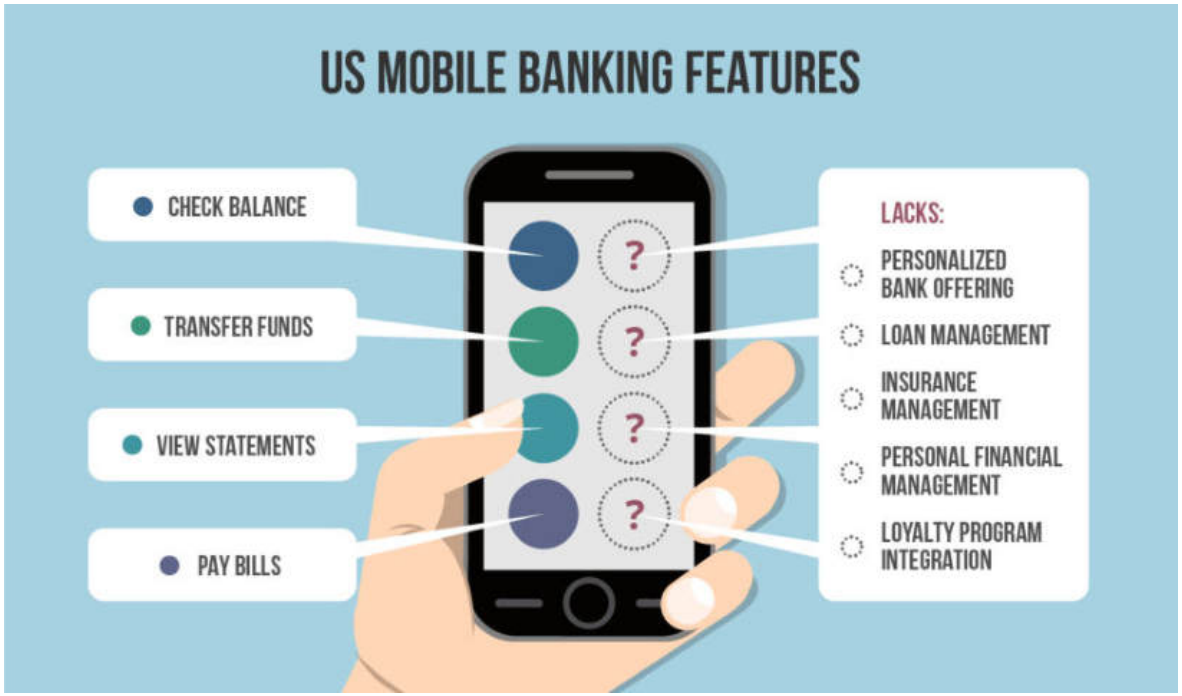
1. Focus on existing customers.

BOS Logic: 2. Reach Beyond Existing Demand

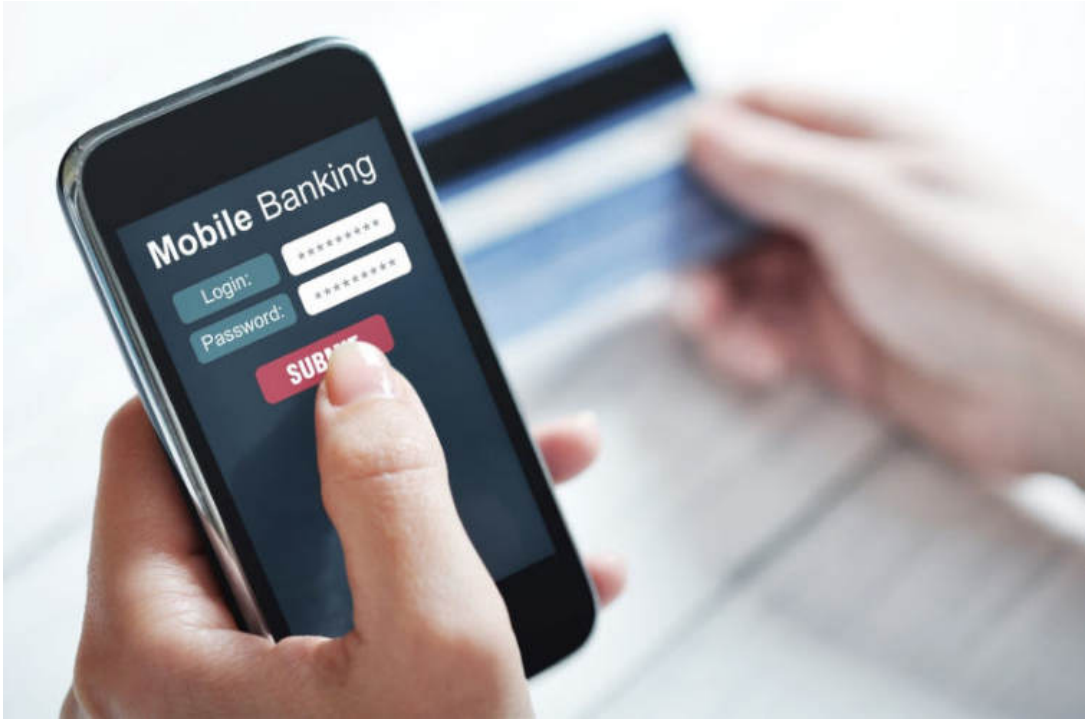
Challenge two conventional strategy practices:

2. Drive for finer segmentation to accommodate buyer differences.

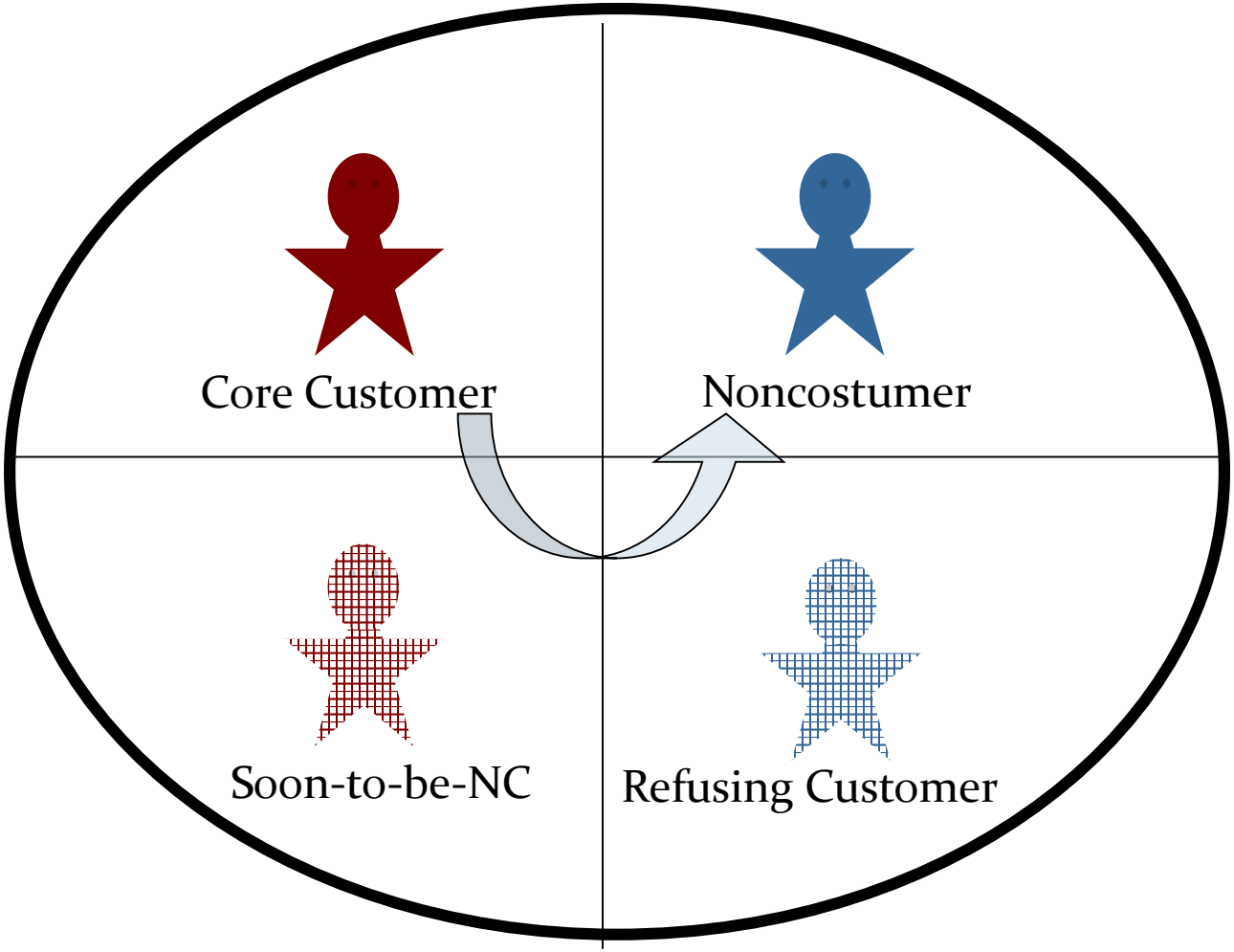
BOS Logic: 2. Reach Beyond Existing Demand



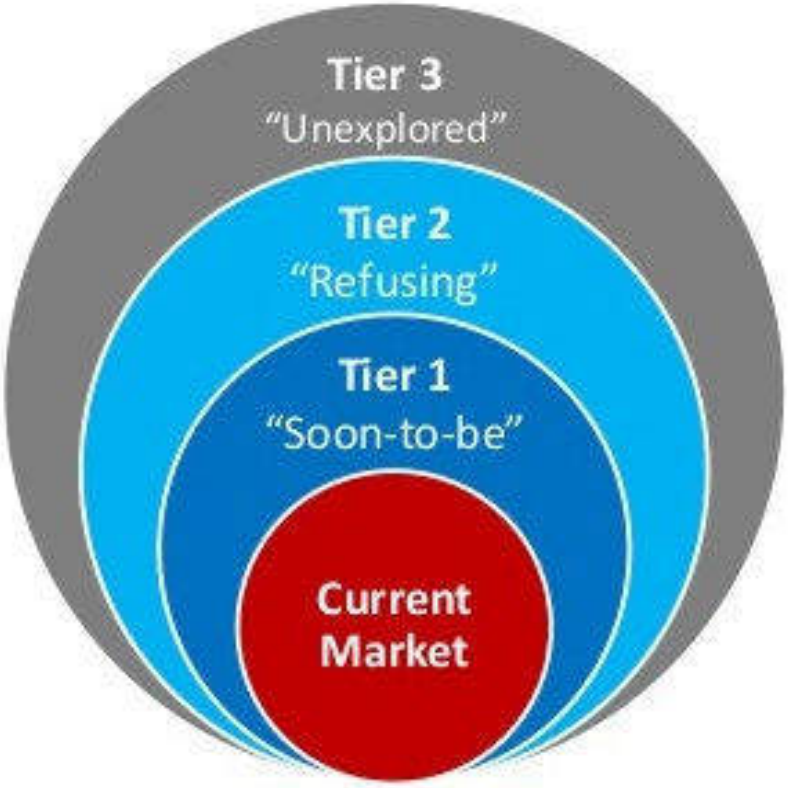
BOS Logic: 2. Reach Beyond Existing Demand



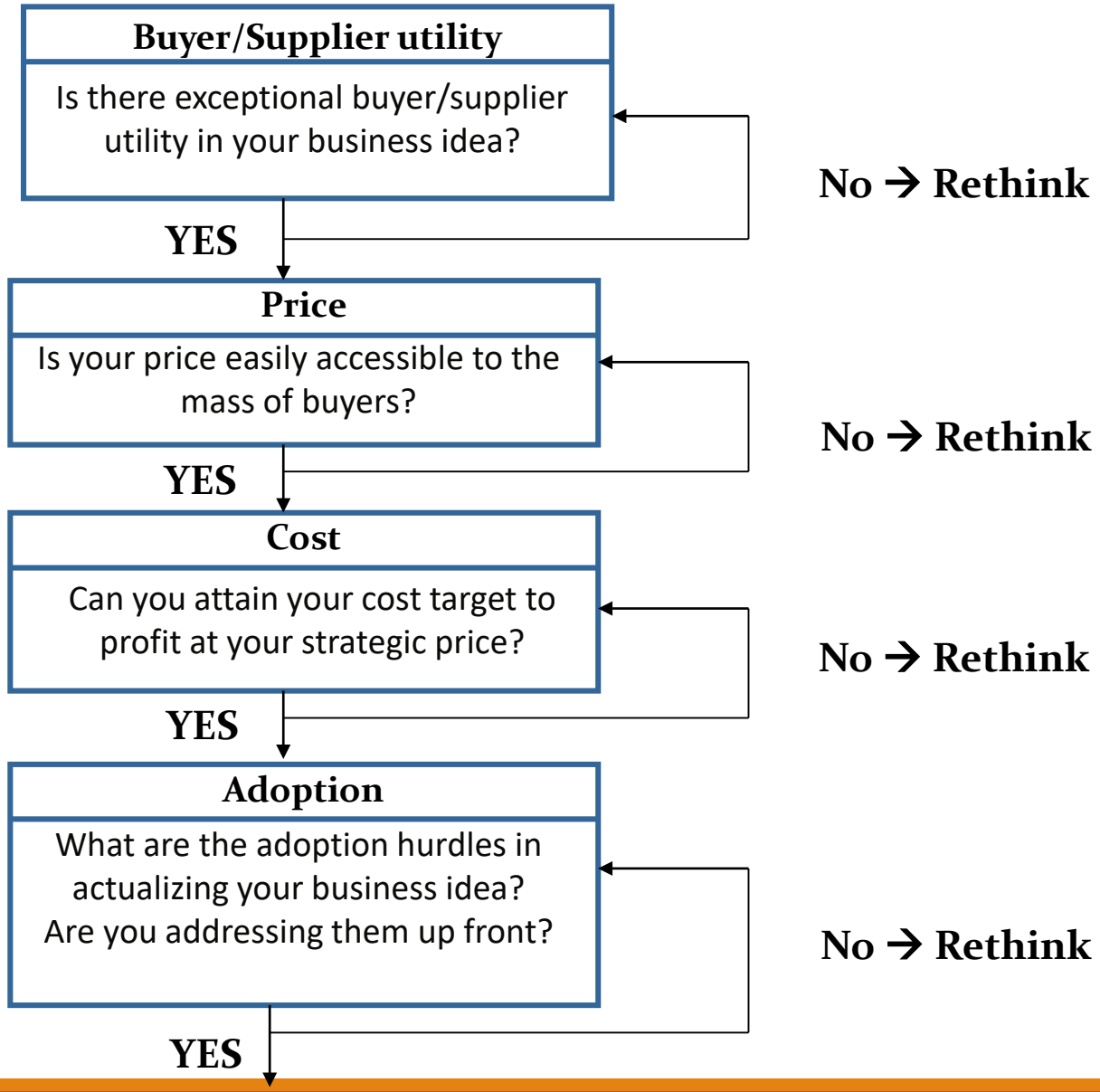
BOS Logic: 2. Reach Beyond existing Demand



Three Tiers of Noncustomers

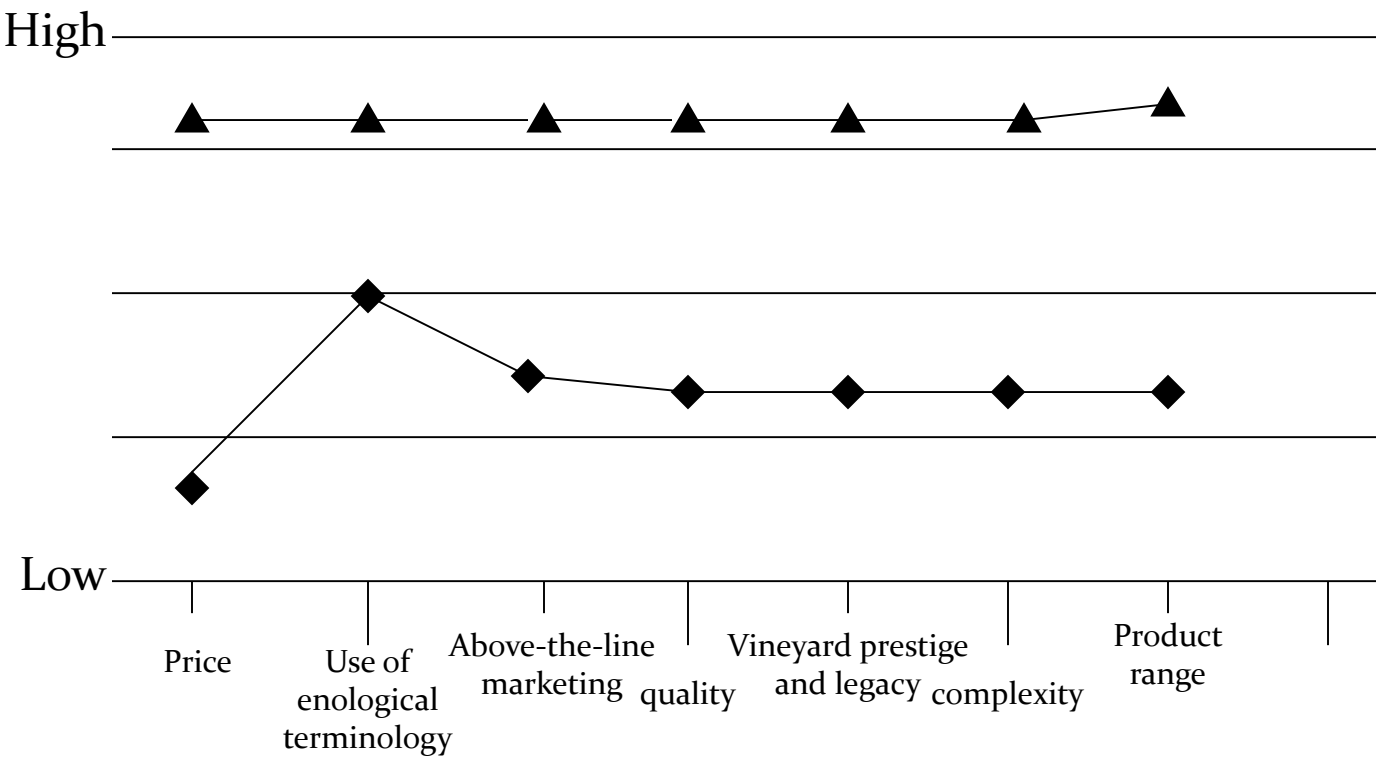


BOS Logic: 3. Get the Strategic Sequence right



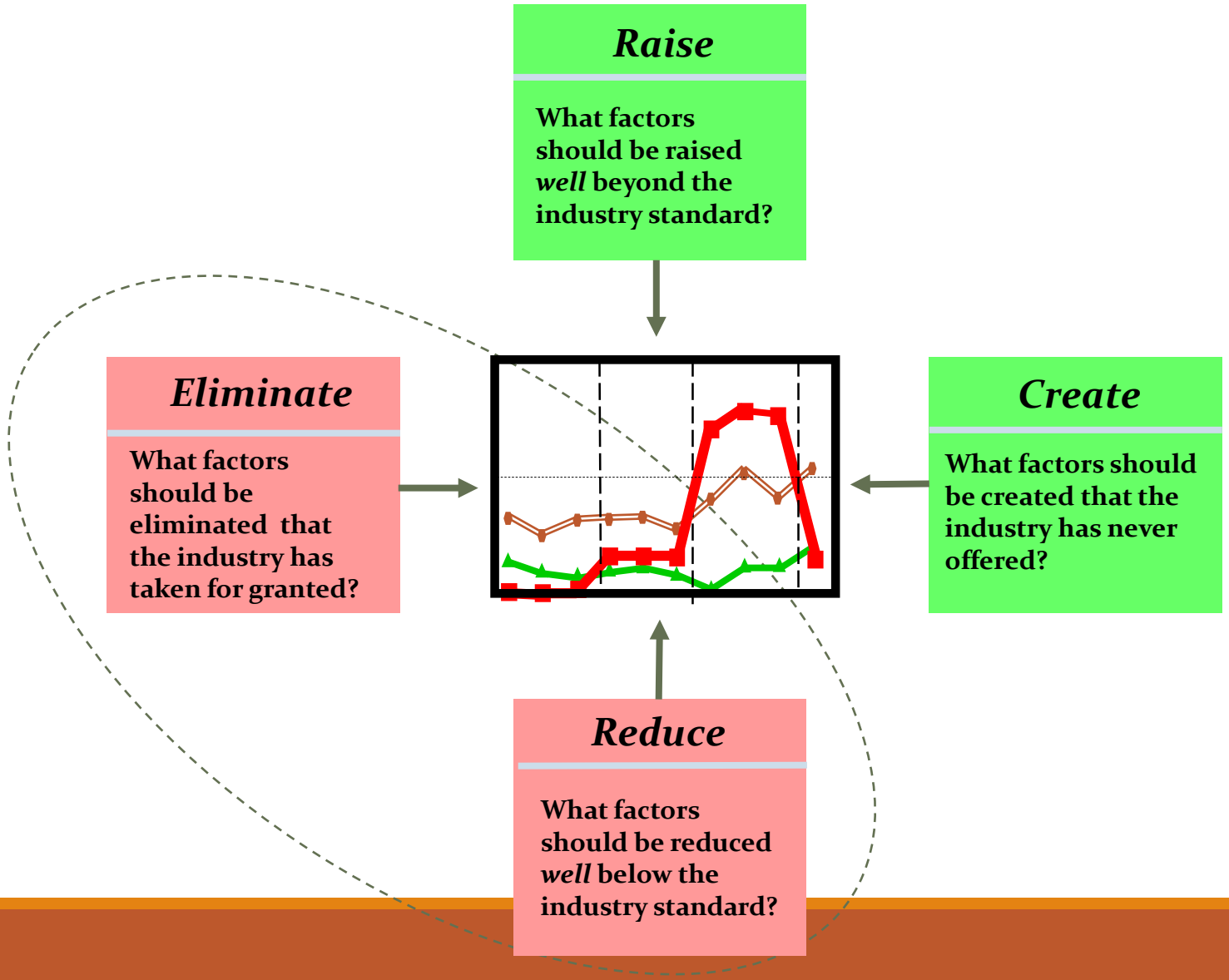
A commercially viable Blue Ocean Strategy

Strategy Canvas



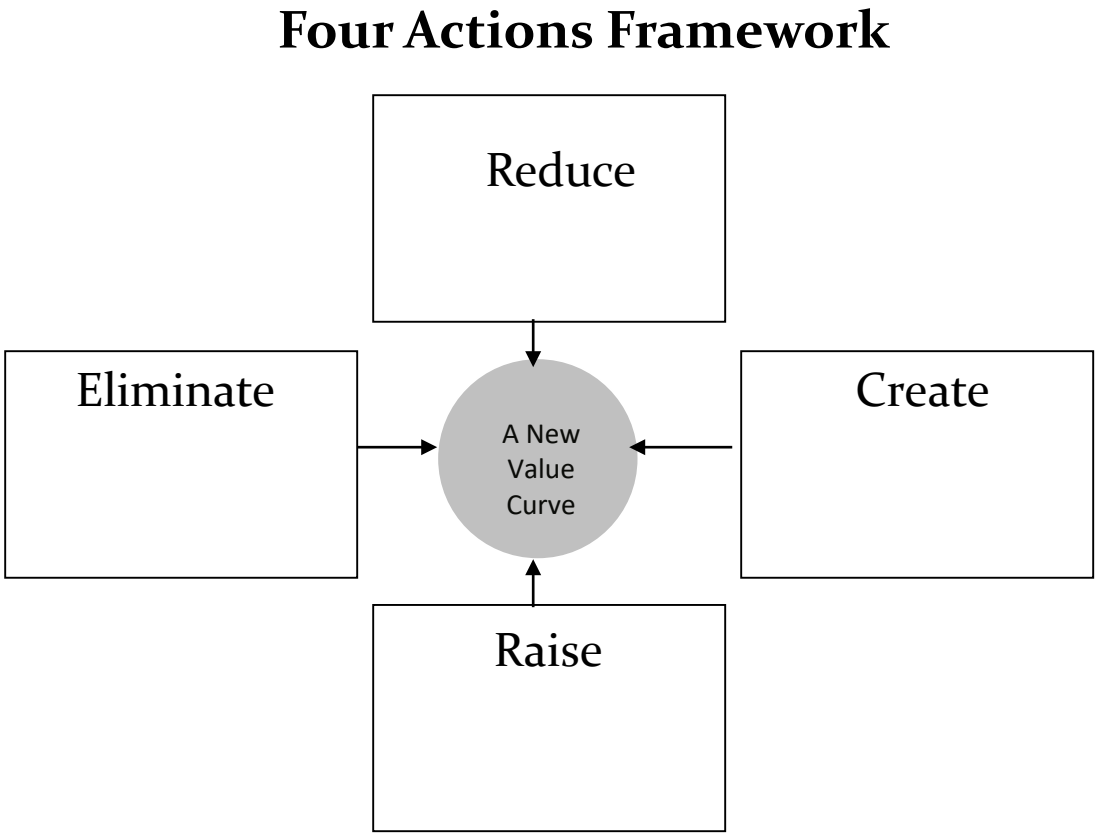
Factors the industry currently competes on

Four Actions to create a Blue Ocean



BOS & Career Development

Application



MGT602
Theme-08 videos105-114

Business Idea and Business Plan

Basic Questions to be considered

- 1. What is a Business Plan?
- 2. Why Business Plan is prepared?
- 3. For whom Business Plan is prepared?
- 4. What is the extent of Business Plan?
- 5. What are Features of a Business Plan?
- 6.What is strategic arrangement of Business Plan? or What are its Contents?

Basic Questions to be considered

- How a Business Plan shoud practically be prepared? Or How to write a Business Plan?

1. What is a Business Plan?

- Its made of two words
- a. Business
- b. Plan

a. Business

- “Any economic activity undertaken to earn profit by combining resources to deliver value to society in response of whose unmet need it is started”

b. Plan

- Product or Result of Planning
- What is Planning?
- All about:
- 1. Where am I? (Situation Analysis)
- 2. Where do I want to go? (Destination)
- 3. How will I get there? (Road Map/Way Out)

b. Plan

- “A document which contains all the necessary information required to start, run ,grow and shut down the venture profitably”.

- “A mega document which contains different but related documents covering different aspects of a new venture”.

2. Why Business Plan is prepared?

- It guides an entrepreneur to put his dream to practice.

- Model

3. For whom Business Plan is prepared?

- A. Internals:
- a. Entrepreneur
- b. Potential employees
- B. Externals
- a. Potential Customers
- b. Potential Suppliers
- c. Potential Investors

4. What is the extent of Business Plan?

- Following factors determine the extent of Business Plan:
- a. Entrepreneurs orientation, ability and preference
- b. Complexity of business
- c. Level of Competition
- d. Level of uncertainty
- e. Available time & money resources

5. What are Features of a Business Plan?

- Comprehensive
- Communication
- Guidance
- Formal Planning Process

6.What is strategic arrangement of Business Plan? (Contents)

- A. Title/Cover Page
- B. Table of Contents
- C. Executive summary
- D. General Business Description
- E. Management Plan
- F. Total Product & Service Plan

6.What is strategic arrangement of Business Plan? (Contents)

- G. Marketing Plan
- H. Operations & Production Plan
- i. Financial Plan
- J. Appendix

A. Title/Cover Page

- Name of the venture
- Logo
- Nature of business
- Legal status//Type of ownership
- Name of key entrepreneur
- Amount of purposed investment
- Statement of confidentiality
- Location & address

B. Table of Contents

- Things to remember:
- It must match with internal arrangement of the document

C. Executive summary

Things to remember:

- Prepared in the end attached in the beginning
- Must be originally written
- Review at least three times and test
- Must be paragraphed
- Length 2 to 3 pages

D. General Business Description

- a. Introduction & rationale of opportunity
- b. History of the venture if existing otherwise background of the entrepreneurial team
- c. Industry analysis
- Demand
- Supply

D. General Business Description

- Number of players
- Growth trends
- Stage of development
- Major threats and opportunities
- d. SWOT of the venture
- e. Legal status of the business
- f. Legal issues and requirements
- Location (Is it a strategic location?)

E. Management Plan

- 1.Introduction of the entrepreneurial team
- a. Name and address
- b. Qualification
- c. Experience
- d. Current responsibilities & why
- 2. Hierarchy
- 3.Total number of jobs
- a. Job descriptions

E. Management Plan

- b. Job specifications
- 4.Human Resource Policies
- a. Hiring process
- b. Training & Development
- c. Evaluation and Reward System

F. Total Product & Service Plan

- Product Mix in detail

G. Marketing Plan

- 1.Analysis Phase
- a. Customer analysis
- b. Competitor analysis
- c. Supply chain analysis
- d. Sales forecasting

G. Marketing Plan

- 2. Action/Strategic phase
- a. Product Plan
- b. Pricing Plan
- c. Promotion Plan
- d. Placement Plan

3. Implementation & Control Phase

H. Operations & Production Plan

- 1.Input/Supply/Purchase Plan
- a. List of raw materials
- b. List of suppliers and reason of selection
- c. Supply schedule & payment plan
- d. Storage facilities required
- e. Transportation system

H. Operations & Production Plan

- 2. Production Plan
- a. Plant lay out
- b. Machines, tools and plant
- c. Capacity
- d. Facilities
- 3. Total quality management system
- 4. Out bound logistics plan

i. Financial Plan

- 1. How much finance is required?
- 2. Where to get finance from?
- 3. Utilization and recording of financial results?

J. Appendix

- Resumes of Entrepreneurs
- Legal documents
- Pictures
- Location map

Theme 9 - Slides

Business Model Canvas

(Framework to elaborate business ideas)

Definition

Business Model Canvas is a strategic management template for developing new or documenting existing business models. It is a visual chart with elements describing a firm's or product's value proposition, infrastructure, customers, and finances.

Wikipedia

Important Questions?

1. How do you acquire customers?

2. After you have landed a new customer, how do you plan to relate to that customer and manage the relationship

3. How do you charge your customers? What is your revenue model?

4. How much do you charge your customers? Can you calculate your revenues for the next month, quarter and year?

5. What assets are available to you or under your control?

Important Questions?

6. Who are your key partners?

7. What key activities do you need to engage in to deliver your value proposition?

8. What are your fixed costs?

9. What are your variable costs? Can you calculate your total cost for the next month, quarter and year?

10. Does your revenue forecast demonstrate increased profitability towards the end of the forecast period?

The Business Model Canvas for ***Vagi-Fresh***

Key Partners
- Who are our key partners?
- Who are our key suppliers?
- Which key resources are we acquiring from our partners?
- Which key activities do partners perform?

Key Activities
- What key activities do our value propositions require?
- Our distribution channels?
- Customer relationships?
- Revenue streams?

Key Resources
- What key resources do our value propositions require?
- Our distribution channels?
- Customer relationships?
- Revenue streams

Value Proposition
- What value do we deliver to the customer?
- Which one of our customers' problems are we helping to solve?
- What bundles of products and services are we offering to each segment?
- Which customer needs are we satisfying?
- What is the minimum viable product?

Customer Relationships
- How do we get, keep and grow customers?
- Which customer relationships will we established?
- How they will be integrated with the rest of our business model?
- How costly they will be?

Channels
- Through which channels do our customer segments will to be reached?

Customers
- How do we get, keep and grow customers?
- Which customer relationships will we established?
- How they will be integrated with the rest of our business model?
- How costly they will be?

Cost Structure
- What are the most important costs inherent to our business model?
- Which key resources are most expensive?
- Which key activities are most expensive?

Revenue Streams
- For what value are our customers really willing to pay?
- For what do they currently pay?
- What is the revenue model?
- What are the pricing tactics?

The Business Model Canvas for ***Vagi-Fresh***

KEY PARTNERS

1.Wholesellers of vegetable
2. Suppliers of packaging material
3. Management of shelter homes for the provision of vegetable washing, cutting and packing services
4. Designer and manufacturer of bicycle based retail outlet
5. Operators of mobile outlets
6. IT services provider

KEY ACTIVITIES

1. Online order taking
2. Buying of vegetables from wholesale market
3. Washing, cutting, boiling and packing of vegetables
4. Sale/supply of vegetables to customers

KEY RESOURCES

1.Cash
2.Bicycle based outlets
3.Vagitable cutting and packing tools
4. Supplies of packing material
5. Two Laptops
6. Five Mobile sets and connections for communication
7. Supplies of vagitables

VALUE PROPOSITIONS

Bicycle based mobile outlet of vegetables having cool box installed in it ,for keeping the vegetable fresh through out the day, offering fresh whole vegetables, fresh cut vegetables and fresh boiled vegetables ready to be cooked. Outlet will work under the brand name Vagi-fresh and be supported by a website where customers, working women, may order fresh vegetables of choice 24 hours before the delivery to be made at the door steps.

CUSTOMER RELATIONSHIPS

Communicating with customers using personalized mediums such as personal visits, telephone, WhatsApp, social media , website, mobile outlets etc.

Keep relationship building by delivering customized value.

CHANNELS

Communicating with customers using personalized mediums such as personal visits, telephone, WhatsApp, social media , website, mobile outlets etc.
Product delivery through mobile outlets.

CUSTOMER SEGMENTS

1.Working women having monthly income above Rs 40000/=.

2. Restaurants

3. Households having monthly income above Rs 75000/=

4. Girls and boys hostels of colleges and universities.

5. Office mess/cafeterias.

COST STRUCTURE

Main investment is required for having mobile outlets and managing supplies.
Cost plus pricing model will be followed to set prices.

REVENUE STREAMS

Sale of vegetables.
Advertisement on the website and mobile outlets.
Customers can pay 15% as premium over competitors prices owing to unique service.

NABC (Theme 9)

(Need, Approach, Benefit & Competition)

Framework to structure & present Business Ideas

(Working Example)

Vagi-Fresh

(Everyday Fresh Vegetables Conveniently and Affordably)

(Branded Bicycle Based Mobile Outlet)

NABC------The Need

- **What is the important customer and market need?**

Answer:

Unavailability of fresh and cut vegetable at competitive rates at the door step.

Issue of managing buying of fresh vegetable and cutting it for meal preparation as faced by the working women. (As reported by working women)

Total population has exceeded 200 million with women about 49%

There are 32 million households in Pakistan.

About 24% of women are the part of workforce.

NABC------The Approach

- **What is the unique approach to addressing this need?**

Answer:

Bicycle based mobile outlet of vegetables having cool box installed in it ,for keeping the vegetable fresh through out the day, offering fresh whole vegetables, fresh cut vegetables and fresh boiled vegetables ready to be cooked. Outlet will work under the brand name Vagi-fresh and be supported by a website where customers, working women, may order fresh vegetables of choice 24 hours before the delivery to be made at the door steps.

Vagi-Fresh will start as one outlet aiming at the chain of outlets.

NA**B**C------**The Benefit**

- What are the specific benefits resulting from the approach?

Answer:

a. *Availability of fresh and hygienic vegetables to working women throughout the day (Quality/Standard Product)*

b. *Availability at the door step in desired form, whole/cut/boiled (Convenience)*

c. *At competitive prices (Affordability/Low Cost for Customer)*

- Why must we win?

Answer:

Because we are offering what the target market exactly wants.

NABC ------ The Competition

- How/Why are the offered benefits superior to the competition/alternatives?

Answer:

Standardized quality, availability at the door step, in the desired form and at affordable prices make our offering superior to the competition.

- Everyone has alternatives. We must be able to tell our client or partner why our solution represents the best value.

Answer:

Conventional vegetable shops offer heterogeneous quality and usually do not suit to the working women owing to their work-life schedule. Our solution offers utmost convenience with quality and affordability.

HOOK……

Every day fresh vegetable available at:

a. Standardized Quality

b. Door step

c. Affordable price

What else one can desire……

(THEME 9) NABC

(NEED, APPROACH, BENEFIT & COMPETITION)

FRAMEWORK TO STRUCTURE & PRESENT BUSINESS IDEAS

NABC------THE NEED

- What is the important customer and market need?
- A need should relate to an important and specific client or market opportunity, with market size and end customers clearly stated.
- The market should be large enough to merit the necessary investment and development time.

NABC------THE NEED

- Different methods should be used to provide the evidence of the need.
- Different research techniques such as surveys, observations may be employed to find out the evidence of the need.

NABC------THE APPROACH

- What is the unique approach to addressing this need?
- Draw it, simulate it or make a mockup to help convey your vision.
- As the approach develops through iterations, it becomes a full proposal or business plan, which can include market positioning, cost, staffing, partnering, deliverables, a timetable and intellectual property (IP) protection.

NABC------THE BENEFIT

- What are the specific benefits resulting from the approach?
- Each approach to a client's need results in unique client benefits, such as low cost, high performance or quick response.
- Success requires that the benefits be quantitative and substantially better - not just different.
- Why must we win?

NABC ------ THE COMPETITION

- How are the offered benefits superior to the competition/alternatives?
- Why are our benefits significantly better than the competition?
- Everyone has alternatives. We must be able to tell our client or partner why our solution represents the best value.

NABC ------ THE COMPETITION

- To do this, we must clearly understand our competition and our client's alternatives.
- Our answer should be short and memorable.

WHAT IS NABC?

An important client or market need addressed by a unique approach with compelling benefits when compared against the competition or alternatives.

(Source: Stanford Research Institute)

Theme 10 - Slides

Topic 125

MARKETING ASPECTS OF ENTREPRENEURIAL VENTURE

Agenda of the video

What is Marketing?

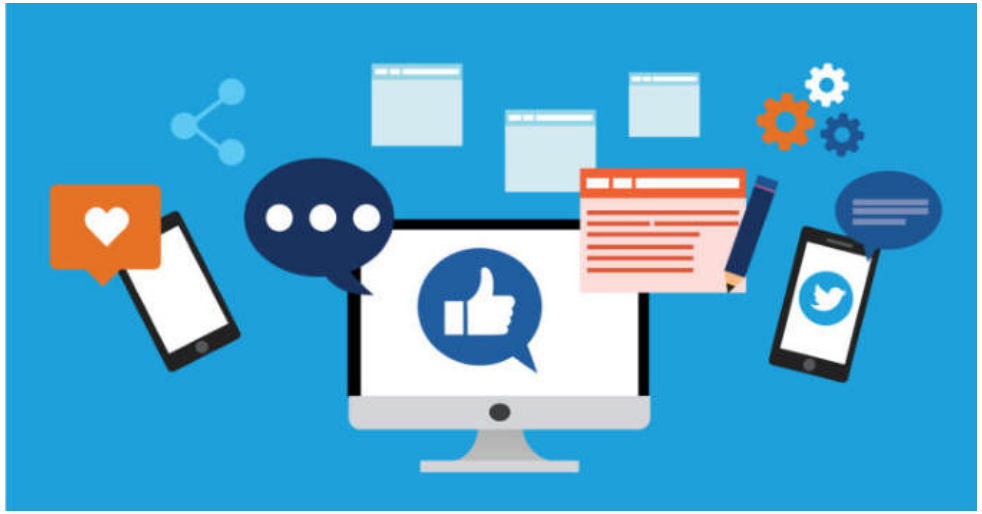
Understanding Customer Needs

Understanding Marketplace

Marketing

The process by which companies create value for customers and build strong customer relationships in order to capture value from customers in return.

Source: Kotler and Armstrong, Principles of marketing 14e



Process

Value for customer

Customer relationship

Good will and profit

Needs

States of felt deprivation.

Source: Kotler and Armstrong, Principles of marketing 14e

Wants

The form human needs take as they are shaped by culture and individual personality.

Source: Kotler and Armstrong, Principles of marketing 14e

Demands

Human wants that are backed by buying power.

Source: Kotler and Armstrong, Principles of marketing 14e

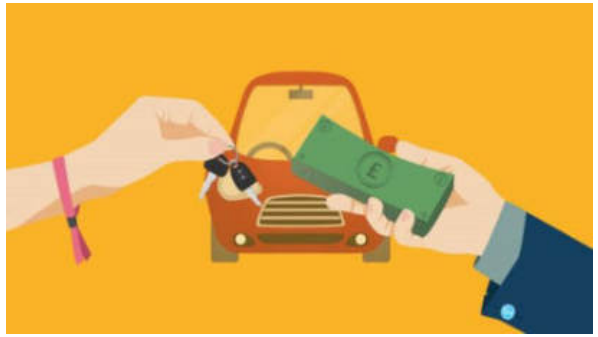
Market offerings

Some combination of products, services, information, or experiences offered to a market to satisfy a need or want.

Source: Kotler and Armstrong, Principles of marketing 14e

Market offerings

Products

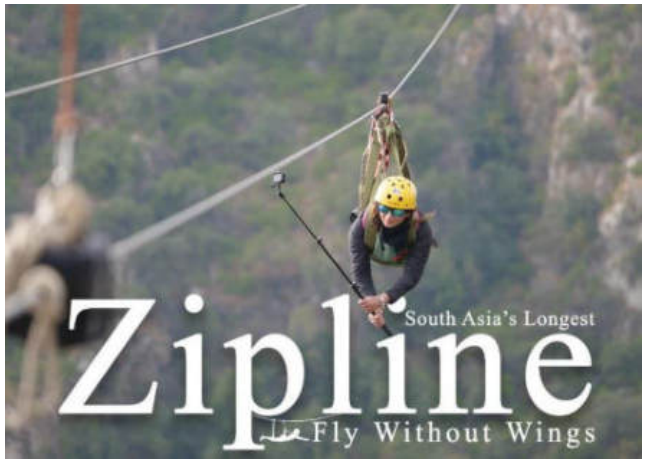


Services

Market offerings

Information

Experiences



Visa Consultancy

Extreme adventurous sports

P’s of Marketing

Product
Price
Place
Promotion

P’s of Marketing

Product
Price
Place
Promotion
Process
People
Physical Evidence

Market

The set of all actual and potential buyers of a product or service.

Source: Kotler and Armstrong, Principles of marketing 14e

Business markets

Customer markets

Online markets

Marketing Strategy

1. Identify the customer need

2. Choose your value proposition

3. Design a consistent brand and message

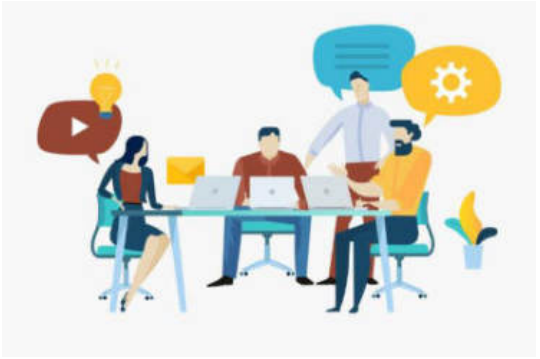
4. Select your target audience

5. Select the marketing/social channel for your startup

6. Build you referral network

7. Assemble smart marketing team

8. Become your product’s loyal user



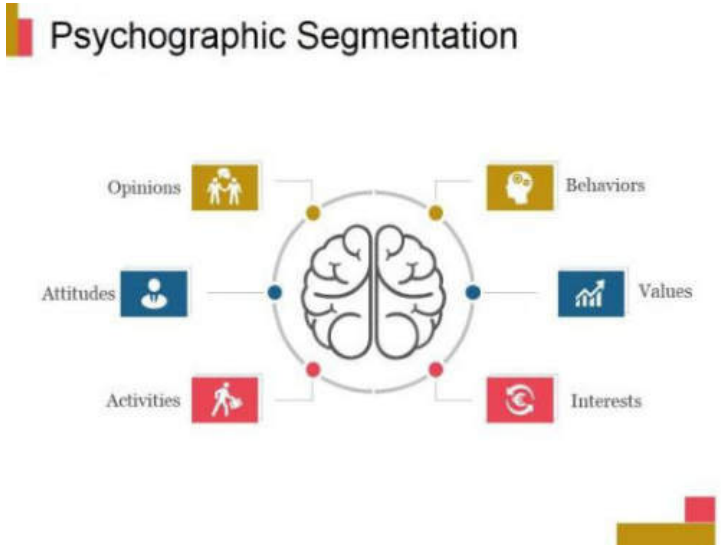
9. Be vigilant to customer’s feedback

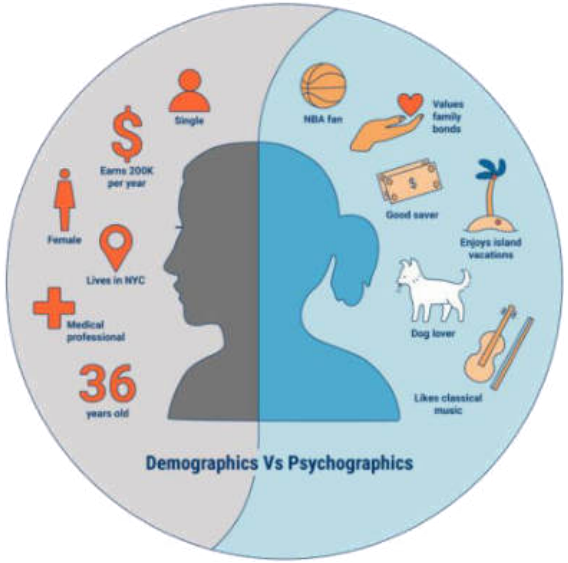
10. Relationship marketing

Psychographic Segmentation

Dividing a market into different segments based on social class, lifestyle, or personality characteristics.

Source: Kotler and Armstrong, Principles of marketing 14e

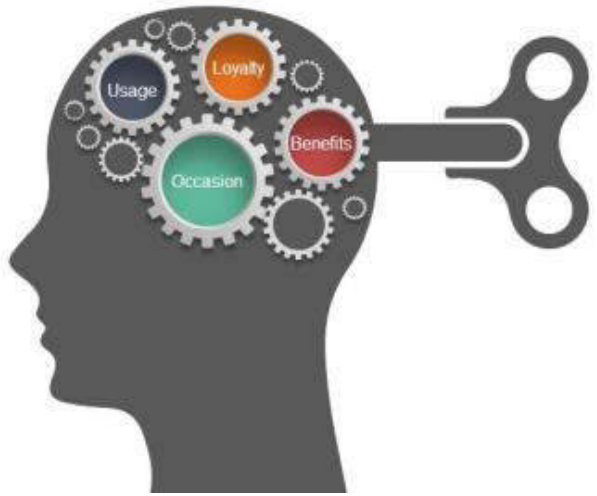




Behavioral Segmentation

Dividing market into segments based on their knowledge, attitudes, uses, or responses to a product, service or experience

Source: Kotler and Armstrong, Principles of marketing 14e



Market Targeting (targeting)
The process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

Source: Kotler and Armstrong, Principles of marketing 14e

Segmentation Attractiveness

1. Number of customers

2. Less competition

3. Demand in long run

Topic 126

RELATIONSHIP MARKETING

Agenda of the video

Customer Relationship Marketing

Customer Relationship Management

The overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction.

Source: Kotler and Armstrong, Principles of marketing 14e

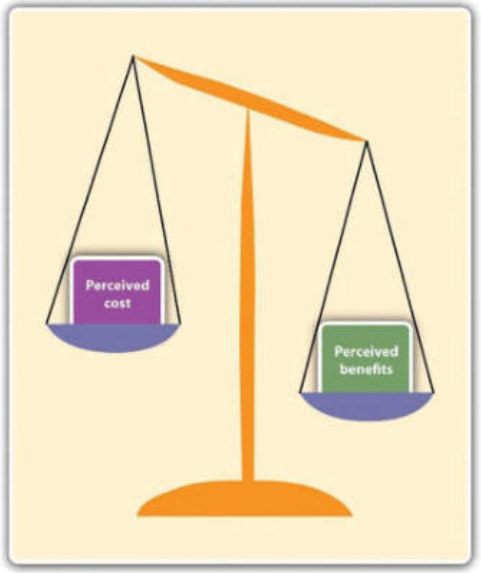
Customer Relationship Building Blocks

1. Deliver Customer Value

Understand Customer-perceived value

The customer's evaluation of the difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

Source: Kotler and Armstrong, Principles of marketing 14e



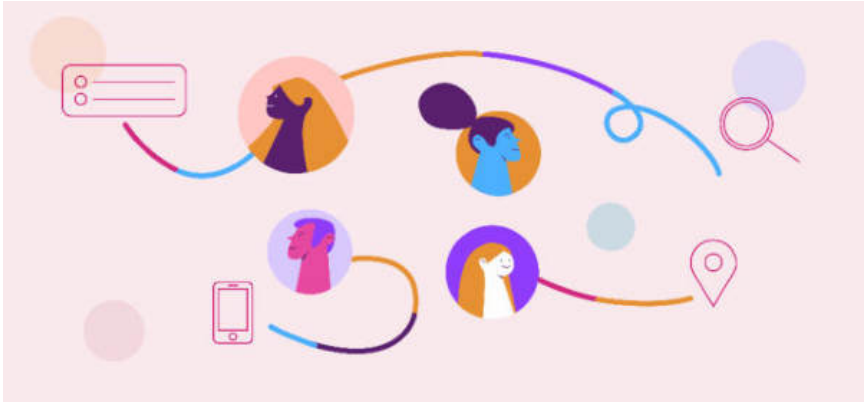
Customer Relationship Building Blocks

2. Delight your customer

Exceeding his or her expectations through:

- Customer experience

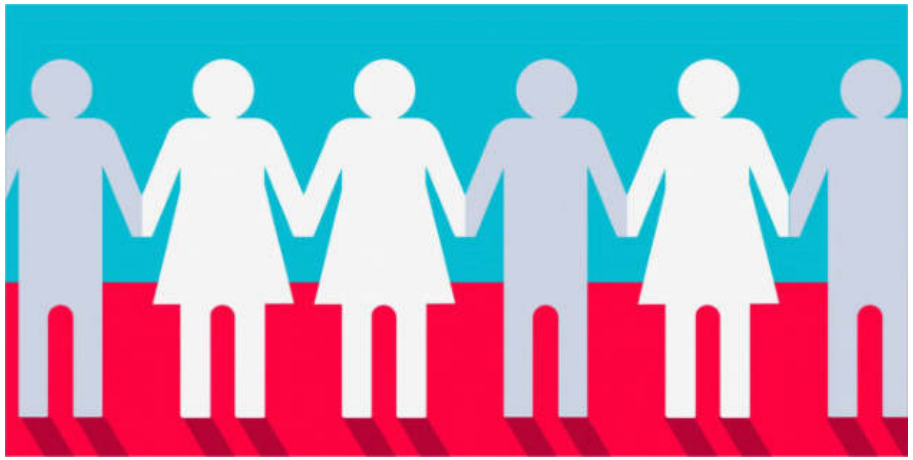
- Customization and personalize communication



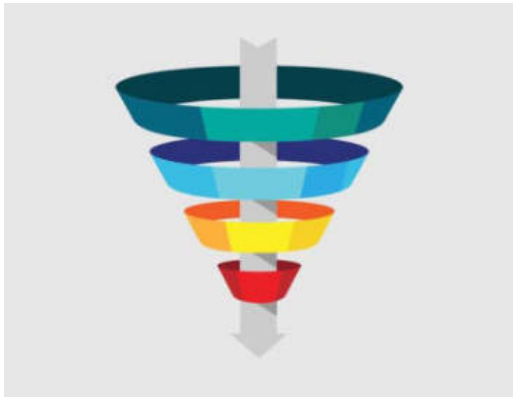
- Feedback mechanism

- Relationship marketing

- Build/join communities



Customer Classification



Bases

1. Potential profitability

2. Projected loyalty

Customer Classification

Strangers

Butterflies

Customer Classification

True friends

Barnacles

Customer Classification
Base: Potential profitability and projected loyalty

Strangers
Low potential profitability and little projected loyalty.

Little fit between the company's offerings and their needs.

Strategy : Don't invest anything in them

Customer Classification
Base: Potential profitability and projected loyalty

Butterflies
Potentially profitable but not loyal.

Good fit between the company's offerings and their needs

Strategy: capture as much of their business as possible in the short time during

Customer Classification

Base: Potential profitability and projected loyalty

True friends

Profitable and loyal

Strong fit between their needs and the company's offerings

Strategy: continuous relationship investments to delight these customers and nurture, retain, and grow

Customer Classification
Base: Potential profitability and projected loyalty

Barnacles

Highly loyal but not very profitable

Limited fit between their needs and the company's offerings

Strategy: fired problematic customers

Topic 127

BUZZ MARKETING

Agenda of the video

Buzz Marketing

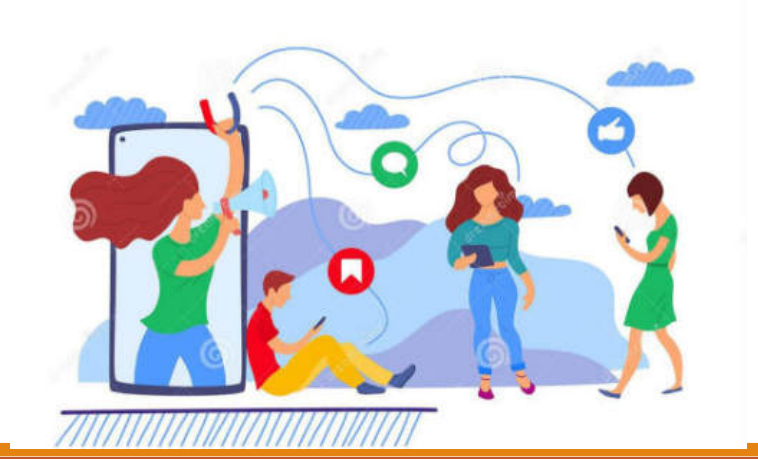
Buzz Marketing

Creating a Word-of-mouth or talk around product, service or experience that consumers view as authentic.

Buzz Marketing

Using entertainment or news that gets people's instant attention about the brand.

Generally, a marketing company pays celebrities, opinion leaders, and influencers to use a product visibly and convincingly at public places.



Buzz marketing is also known as

Viral Marketing
Undercover marketing
Diffusion marketing
Product seeding

When to use Buzz Marketing ?

- ✓ Market entry

- ✓ Product, service or experience launch

- ✓ Opening new outlet

When to use Buzz Marketing ?

- ✓ Business expansion

- ✓ Change in market segment

- ✓ Promotional campaign

Topic 128

GUERRILLA MARKETING

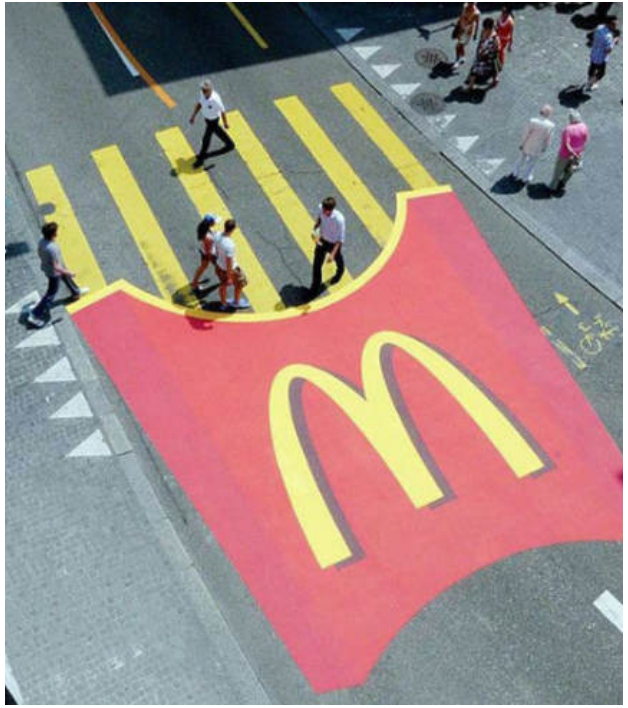
Agenda of the video

Guerrilla Marketing

Guerrilla Marketing

Strategy that focuses on low-cost unconventional marketing tactics that yield maximum results

CHOCOLATE BENCH

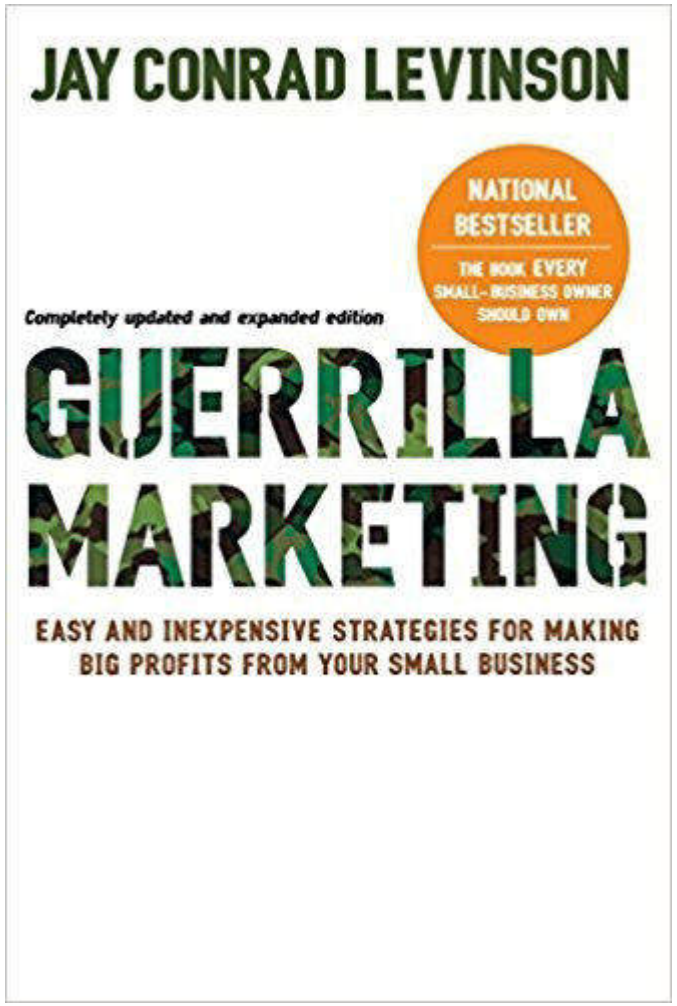


Guerrilla Marketing Examples

Guerrilla Marketing

Low-cost unconventional marketing tactics

Maximum customer engagement



The original term was coined by Jay Conrad Levinson in his 1984 book Guerrilla marketing.

Inspired by guerrilla warfare which is a form of irregular warfare and relates to the small tactic strategies used by armed civilians

Ambush

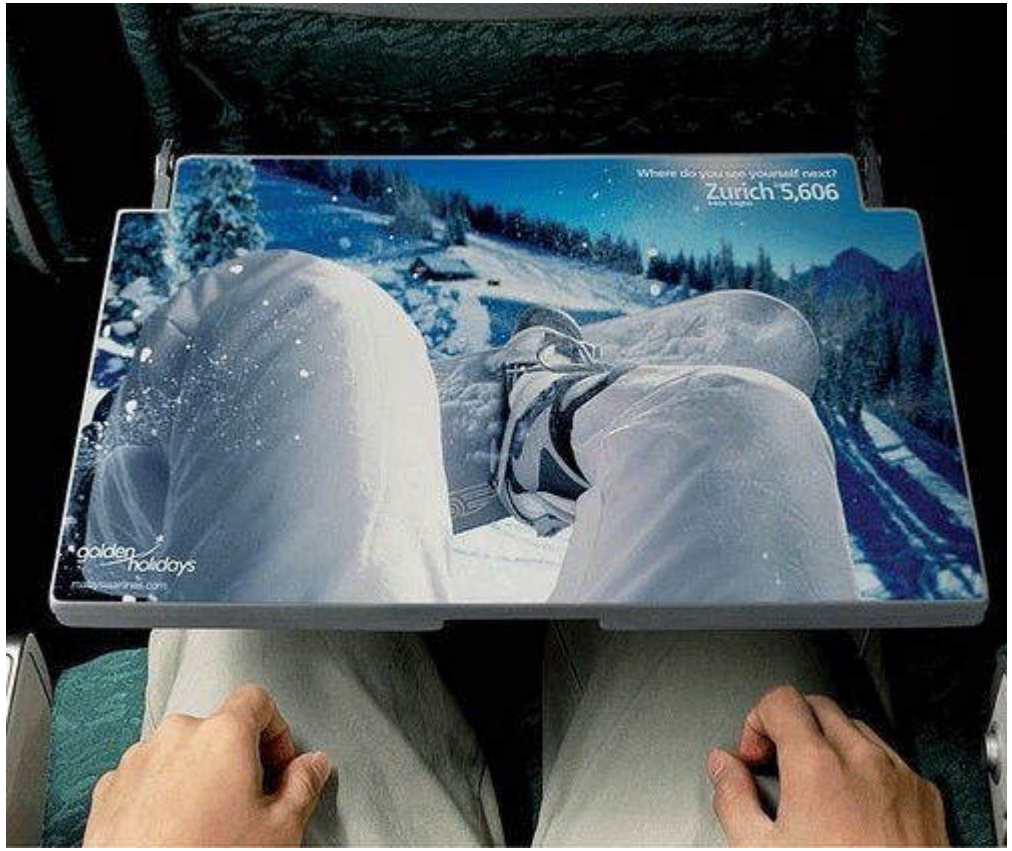
Sabotage

Raid

Surprise

Memorable experience for customer

Guerrilla marketing creates more valuable impression and engagement with customers in comparison to traditional forms of marketing.



Types of Guerrilla Marketing

Outdoor Guerrilla Marketing

Indoor Guerilla Marketing

Types of Guerrilla Marketing

Event Ambush Guerilla Marketing

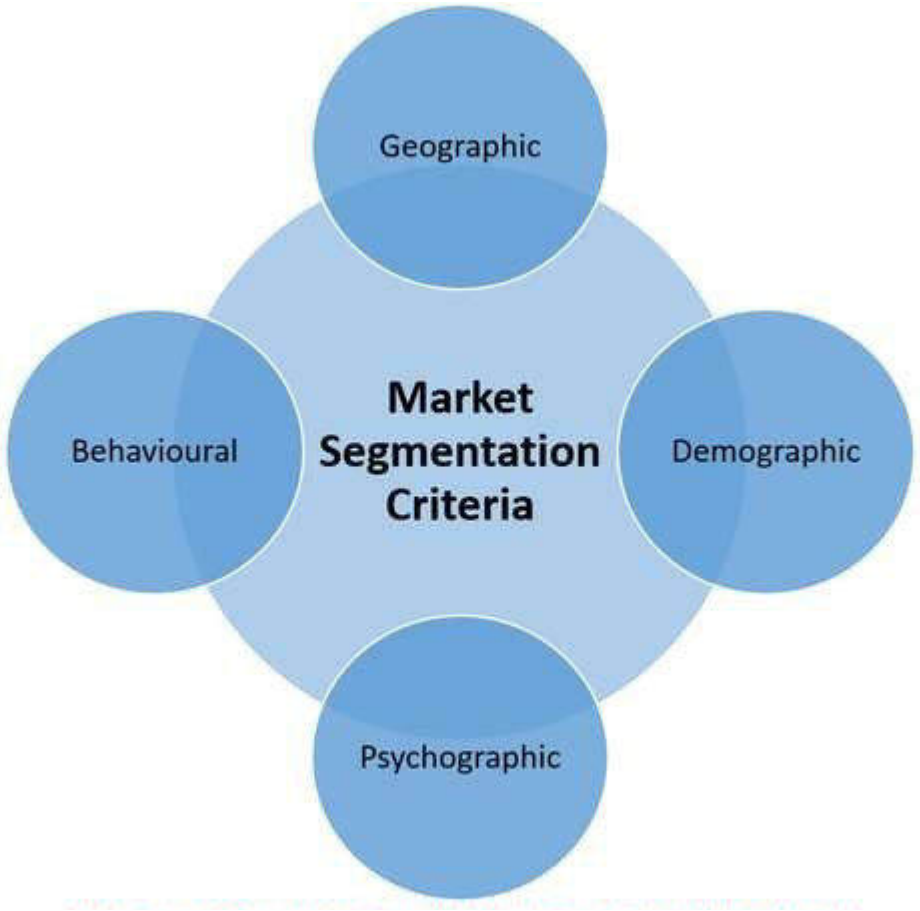
Experiential Guerilla Marketing

Topic 129

CHOOSING THE RIGHT CUSTOMER TO SERVE

Agenda of the video

Market segmentation



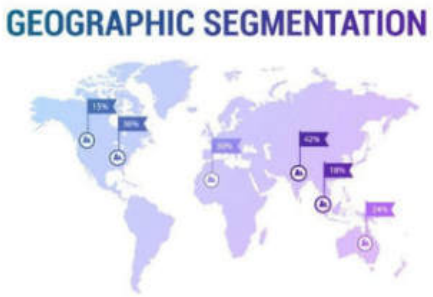
Market Segmentation

Dividing a market into smaller segments with distinct needs, characteristics, or behavior that might require separate marketing strategies or mixes.

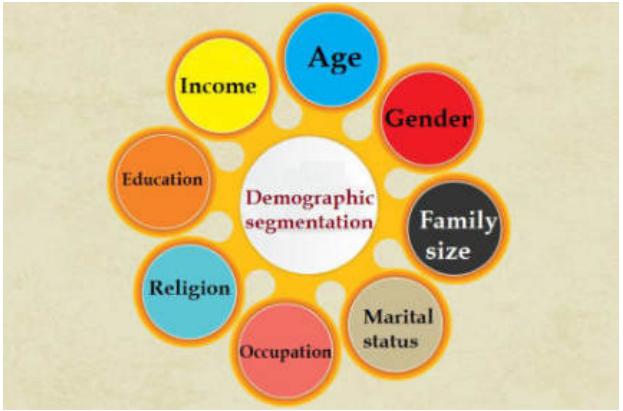
Source: Kotler and Armstrong, Principles of marketing 14e

Market Segmentation

Geographic Segmentation

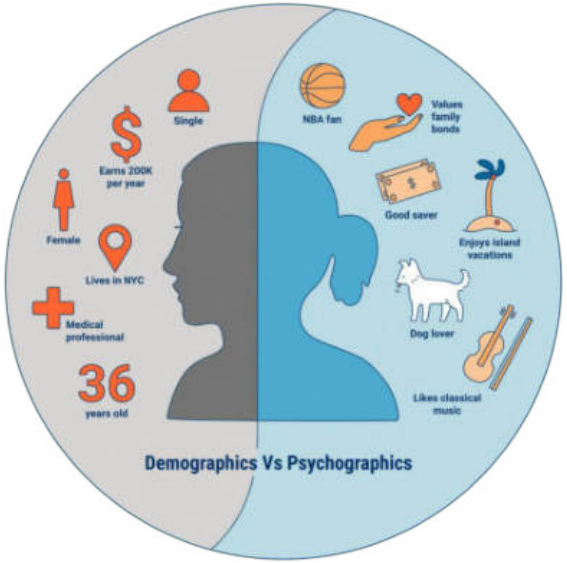


Demographic Segmentation

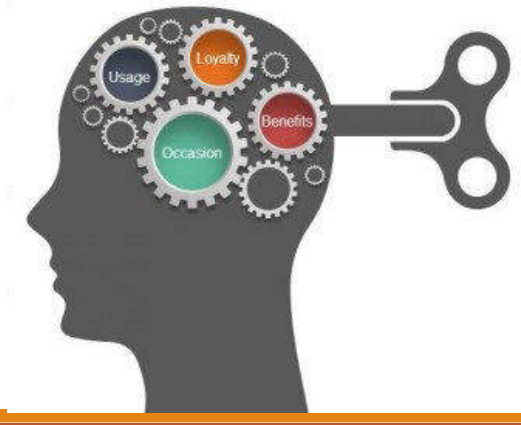


Market Segmentation

Psychographic Segmentation



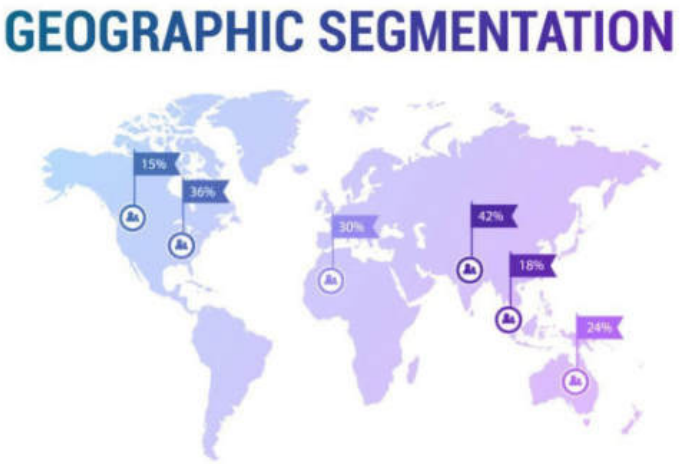
Behavioral Segmentation

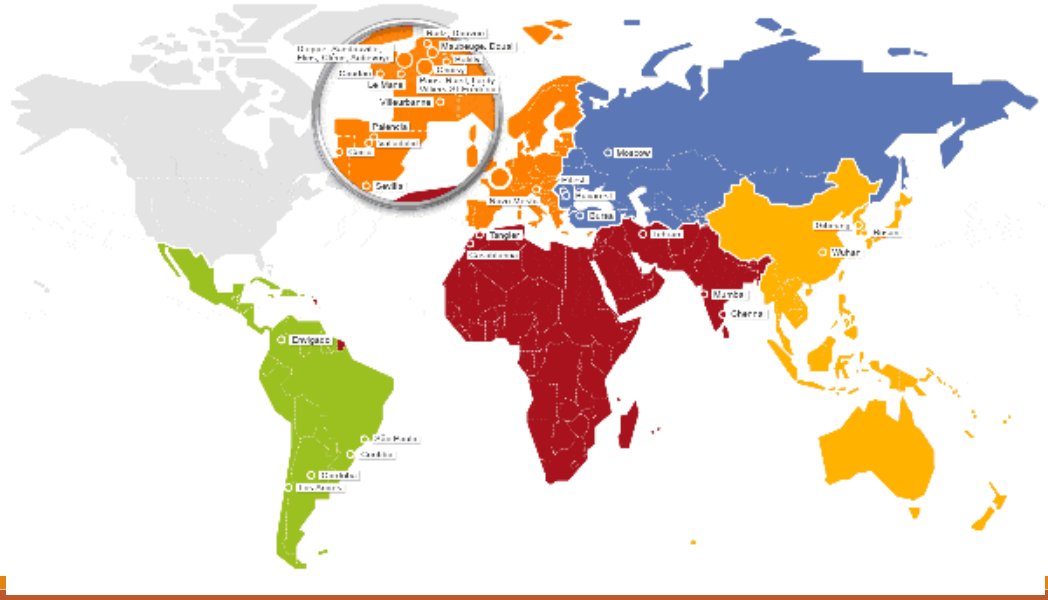


Geographic Segmentation

Dividing a market into different geographical units, such as nations, states, regions, counties, cities, or even neighborhoods.

Source: Kotler and Armstrong, Principles of marketing 14e

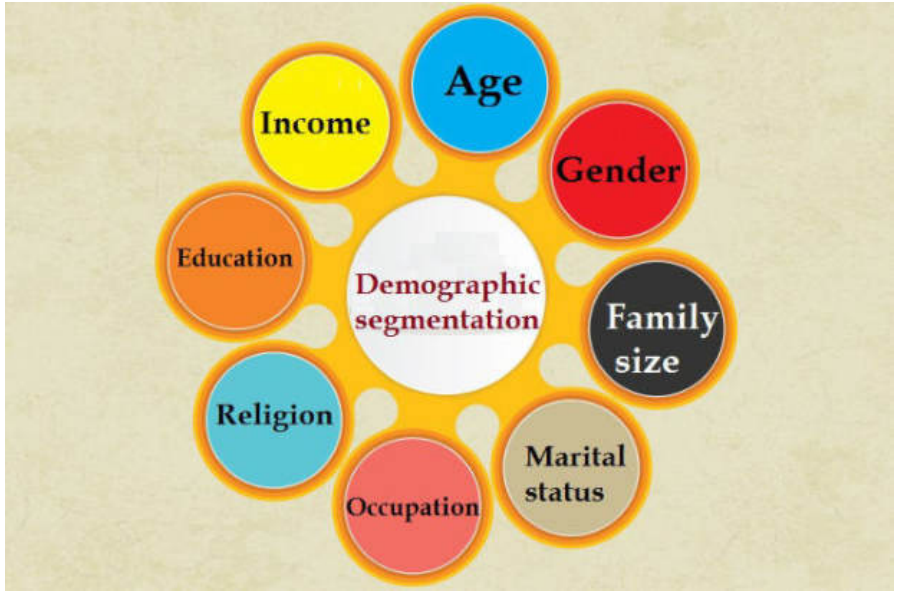


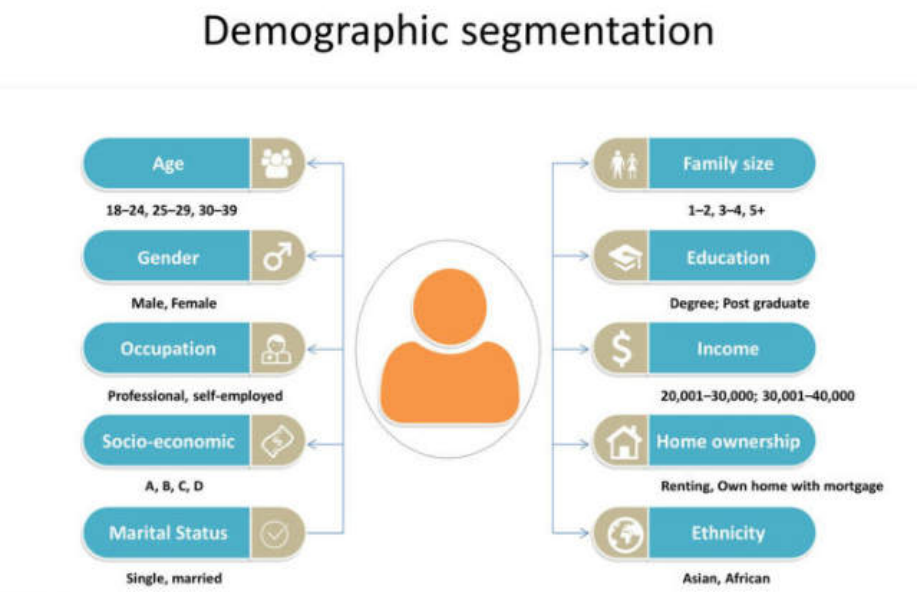


Demographic Segmentation

Dividing the market into segments based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, generation, and nationality.

Source: Kotler and Armstrong, Principles of marketing 14e





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Dividing a market into different segments based on social class, lifestyle, or personality characteristics.

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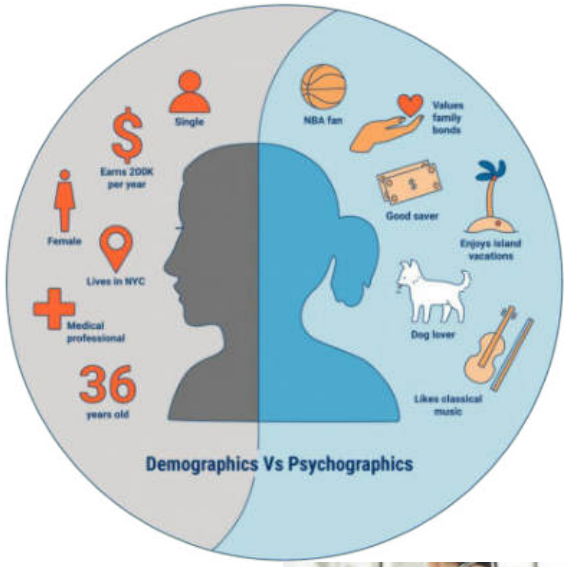
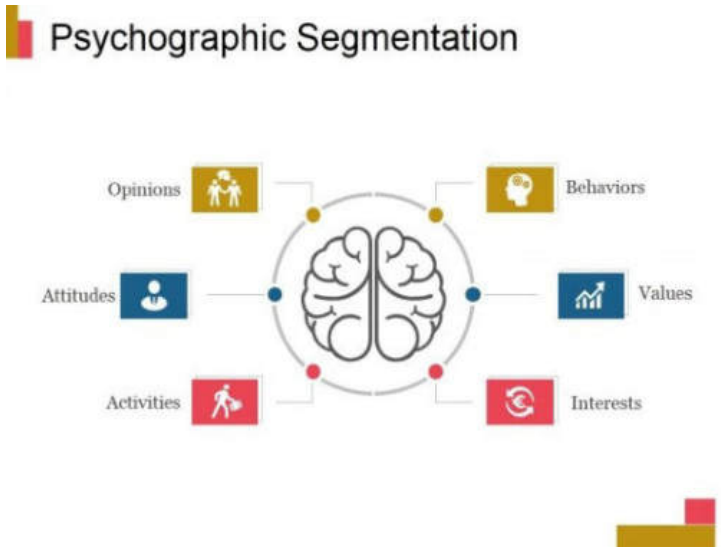
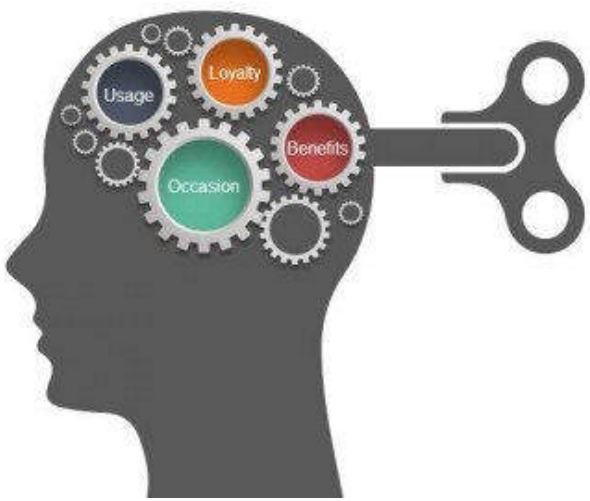




Behavioral Segmentation

Dividing market into segments based on their knowledge, attitudes, uses, or responses to a product, service or experience

Source: Kotler and Armstrong, Principles of marketing 14e



Market Targeting (targeting)
The process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

Source: Kotler and Armstrong, Principles of marketing 14e

Segmentation Attractiveness

1. Number of customers

2. Less competition

3. Demand in long run

Topic 130

CHOOSING THE RIGHT CUSTOMER TO SERVE : IDENTIFY THE NEEDS AND WANTS OF YOUR CUSTOMERS

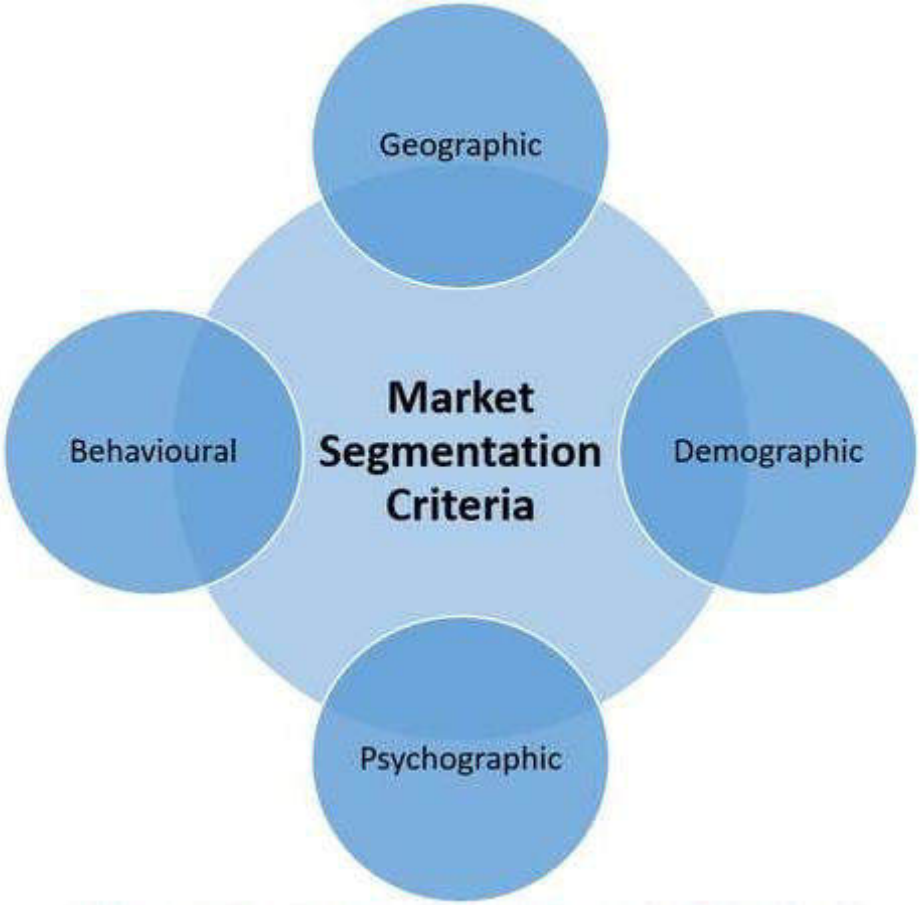
Agenda of the video

Market Targeting Strategies

Market Segmentation

Dividing a market into smaller segments with distinct needs, characteristics, or behavior that might require separate marketing strategies or mixes.

Source: Kotler and Armstrong, Principles of marketing 14e


Geographic
Behavioural
Market Segmentation Criteria
Demographic
Psychographic

Market Targeting

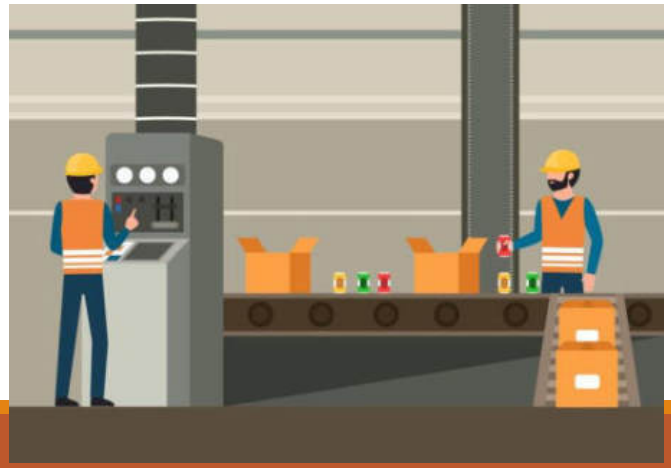
Choosing the right customer to serve while Identifying needs and wants of your customers.

Market Targeting: Choosing the right customer to serve

Evaluating the market segmentation

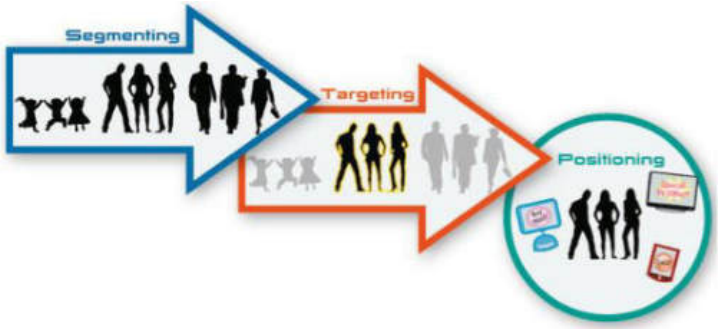
1. Segment's attractiveness

2. Firm's objective and resources



Evaluating the market segmentation

Segment's attractiveness



Size and growth

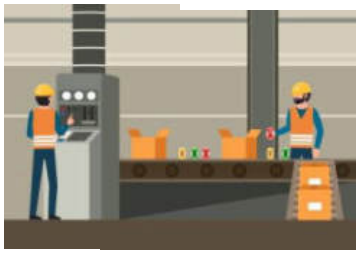
Profitability

Scale of economies

Competition

Evaluating the market segmentation

Firm's objective and resources



Long run objectives

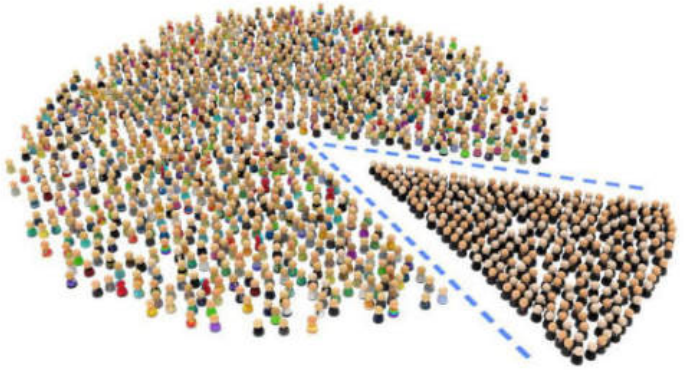
Production capacity

Physical and nonphysical resources

How to target a market ?

Marketing Targeting Strategies

✓ Single segment concentration



✓ Multisegment coverage strategy

- ✓ Product specialization and multisegment coverage

- ✓ Full market coverage strategy

- ✓ Multiple segmentation invasion plan

To whom you are going to sell your product or service ?

To whom you are going to serve ?

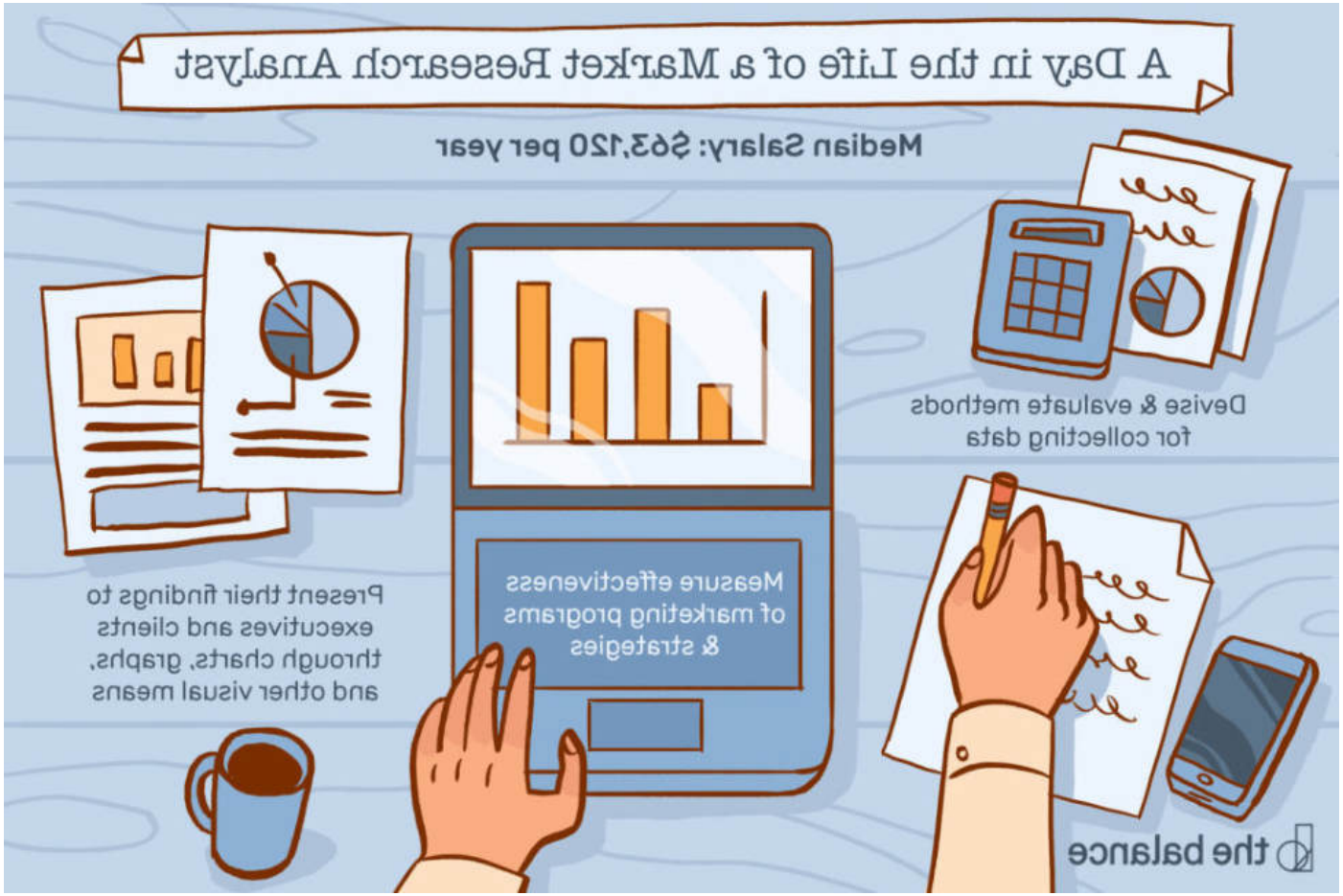
Topic 131

HOW TO CONDUCT A MARKET RESEARCH?

Lacking area of young entrepreneur?

Market research

Information and knowledge is an important resource.



Marketing Research

Marketing research is systematic design, collection, analysis, and reporting of data and findings relevant to specific marketing situation facing by company.

Source: Marketing Management by Philip Kotler

Situations where information is required

Business opportunity

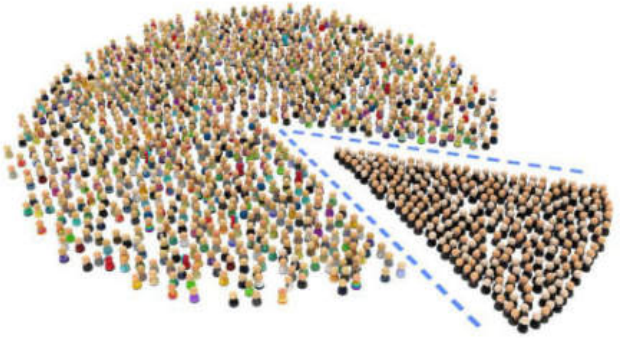
Market growth

Competition

Why Marketing Research?

1. To identify problem

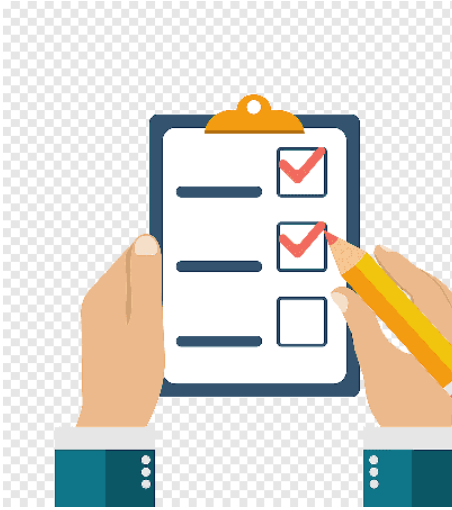
2. To evaluate segment attractiveness



3. To evaluate a business opportunity

Why Marketing Research?

4. Market survey for customers' preference



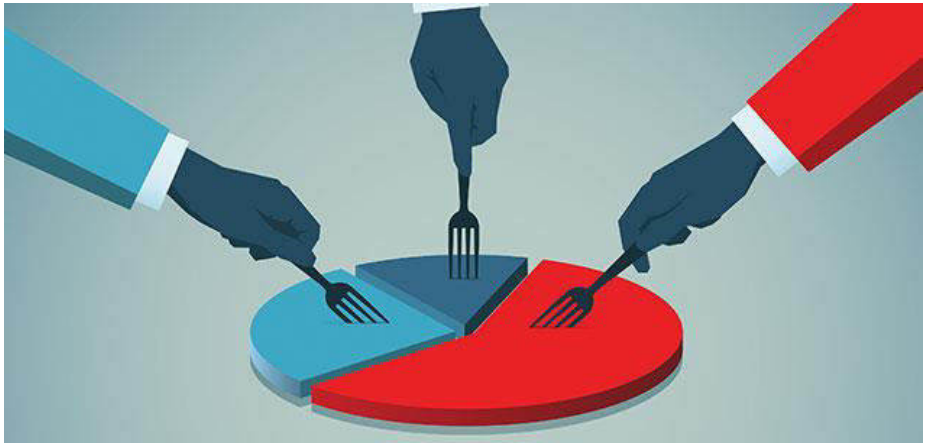
5. Product preference test

6. Sales forecasting

Why Marketing Research?

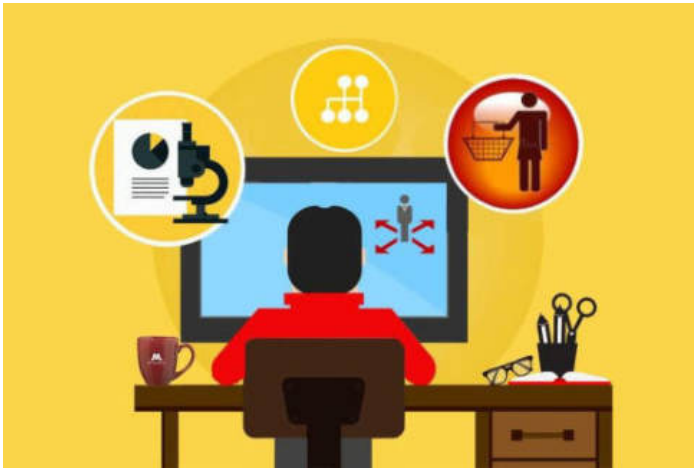
7. Integrated marketing communication strategies evaluation

8. Evaluation competition



Why Marketing Research?

9. Product and/or market expansion

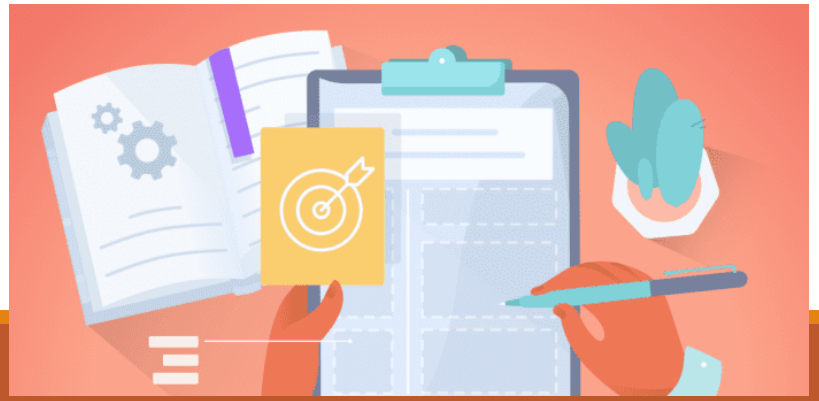


10. Price change

Marketing Research Process

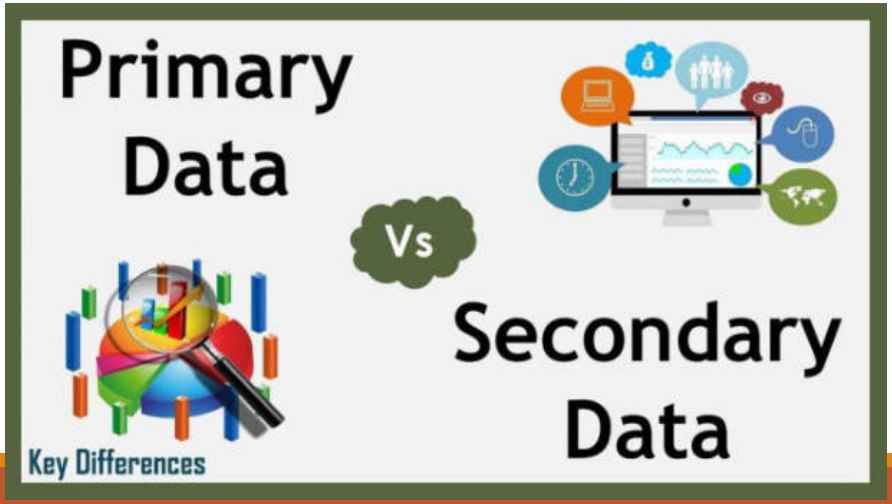
Step1: Define the problem/opportunity

Step2: Define the objectives of marketing research

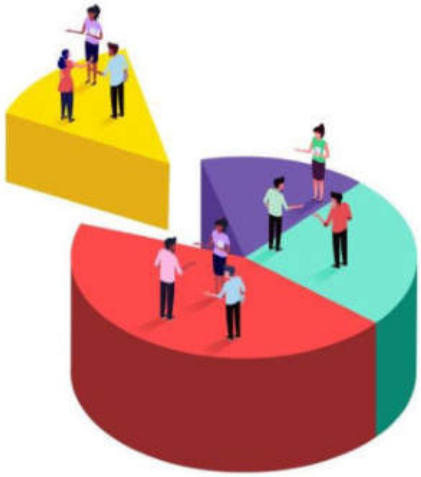


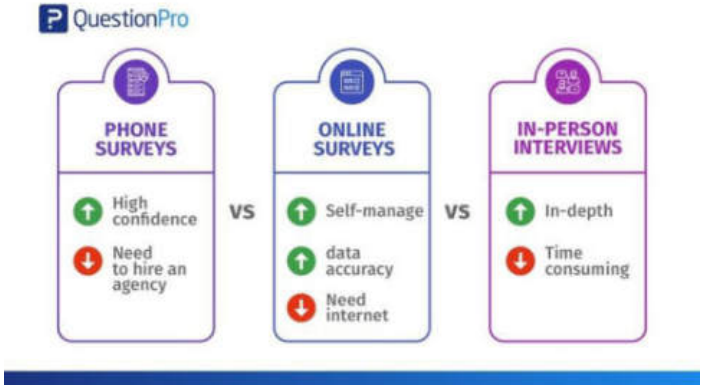
Step3: Develop a complete research plan

Step4: Identify data sources

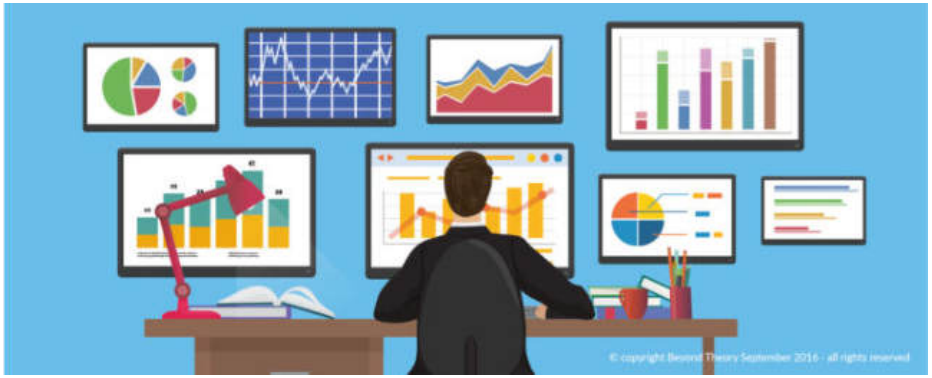


Step5: Selecting of sampling method and data collection





Step6: Analyze the collected data



Step7: Present the findings

Step8: Make an informed decision

Marketing Intelligence

Primarily external data collected and analyzed by a business about markets that it anticipates participating in with the intention of using it in making decisions.

Source: http://www.businessdictionary.com/definition/marketing-intelligence.html

Marketing Intelligence

Marketing intelligence can be used to assess market entry opportunities and to formulate market development plans and penetration strategies.

Source: http://www.businessdictionary.com/definition/marketing-intelligence.html

Marketing Intelligence System

A set of procedures and sources used by the management to obtain everyday information about development in the marketing environment.

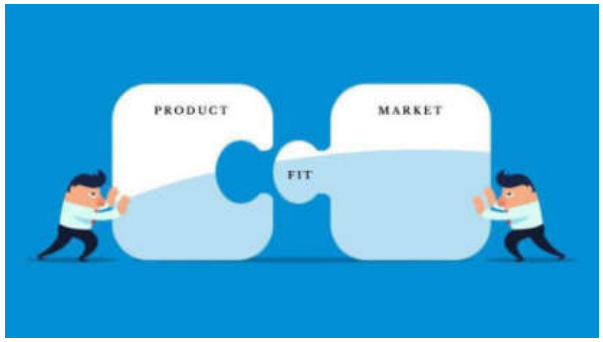
Source: Marketing Management by Philip Kotler

Topic 132

DESIGN YOUR MARKET OFFERING(S)

Agenda of the video

Design your market offering(s)

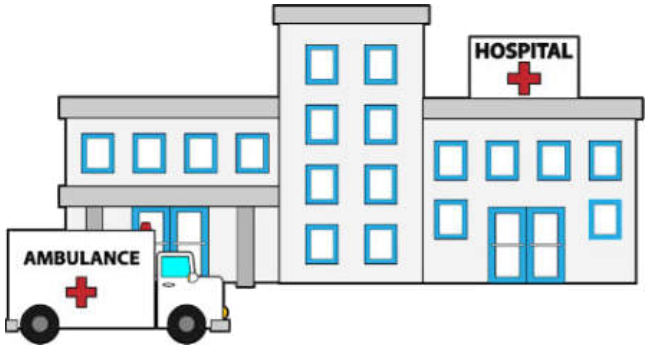


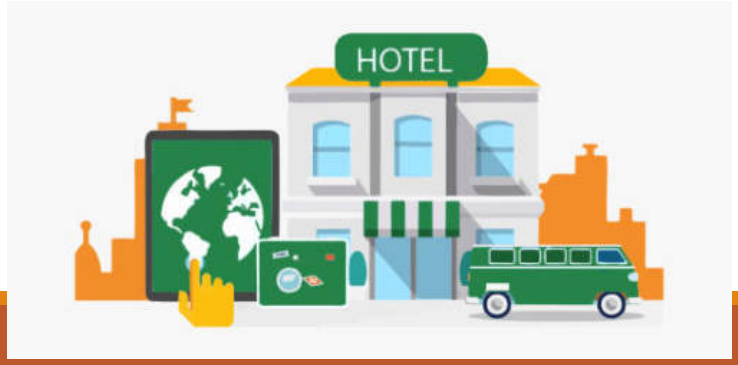
Product: anything that can be offered to market for attention, acquisition, use or consumption that might satisfy a need or want.

Source: Principles of Marketing by Philiph Kotler and Gary Armstrong

Service: anything or benefit that one party can offer to another that is essentially intangible and does not result in any ownership of anything.

Source: Principles of Marketing by Philiph Kotler and Gary Armstrong





Examples

Psychiatrist

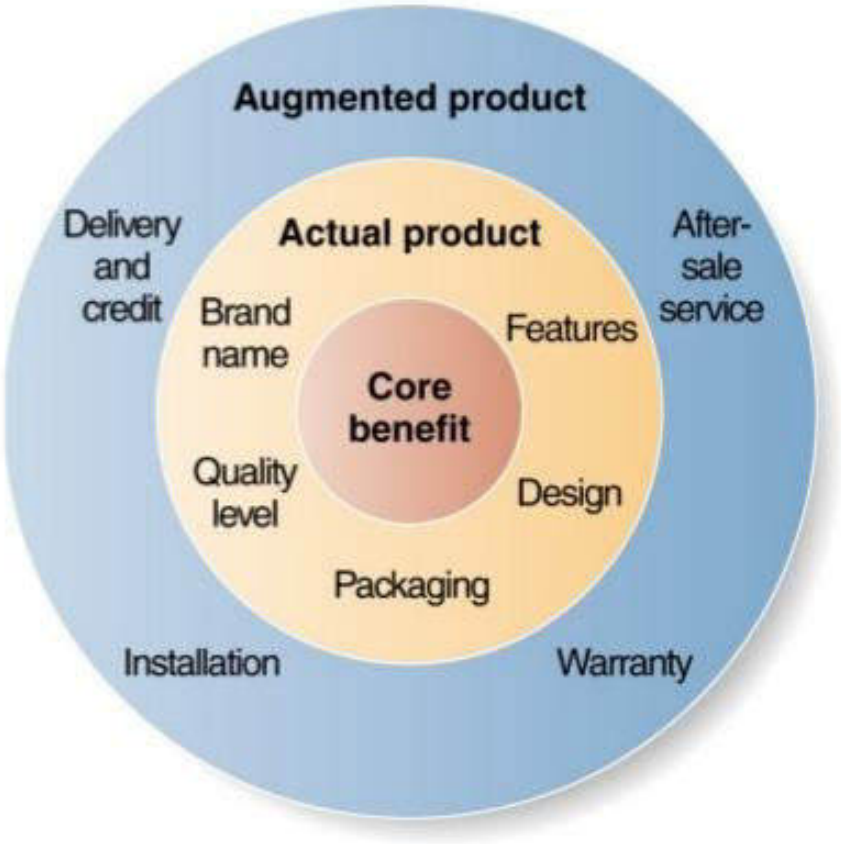
Tourism experience

Level of product and services

1. Core benefit

2. Actual product

3. Augmented product



Source: Principles of Marketing by Philiph Kotler and Gary Armstrong

Core benefit

Actual product

- Brand name
- Quality level
- Packaging
- Design
- Features

Augmented product

Delivery and credit
Installation
Warranty
After sale service

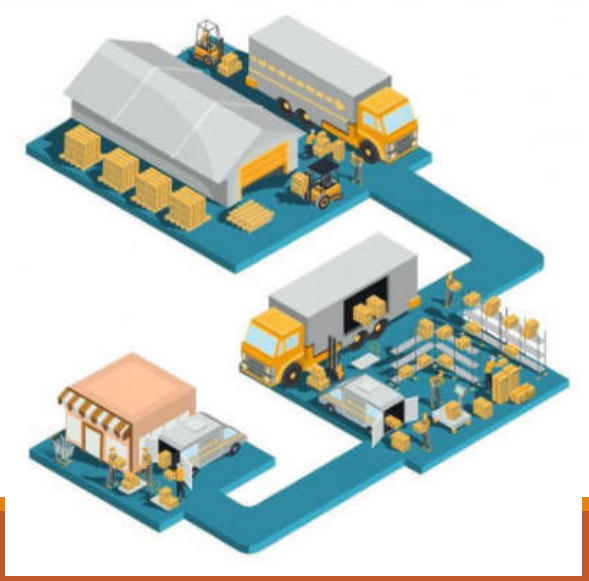
Product and Service Classification

Consumer Products

(offered to final consumer including convenience, shopping and specialty product)

Industrial Product

(offered to firms for further processing or for use in conducting the business



Product and Service Attributes

1. Product Quality

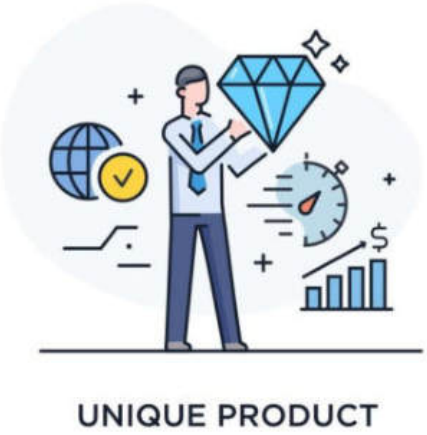
2. Product Features

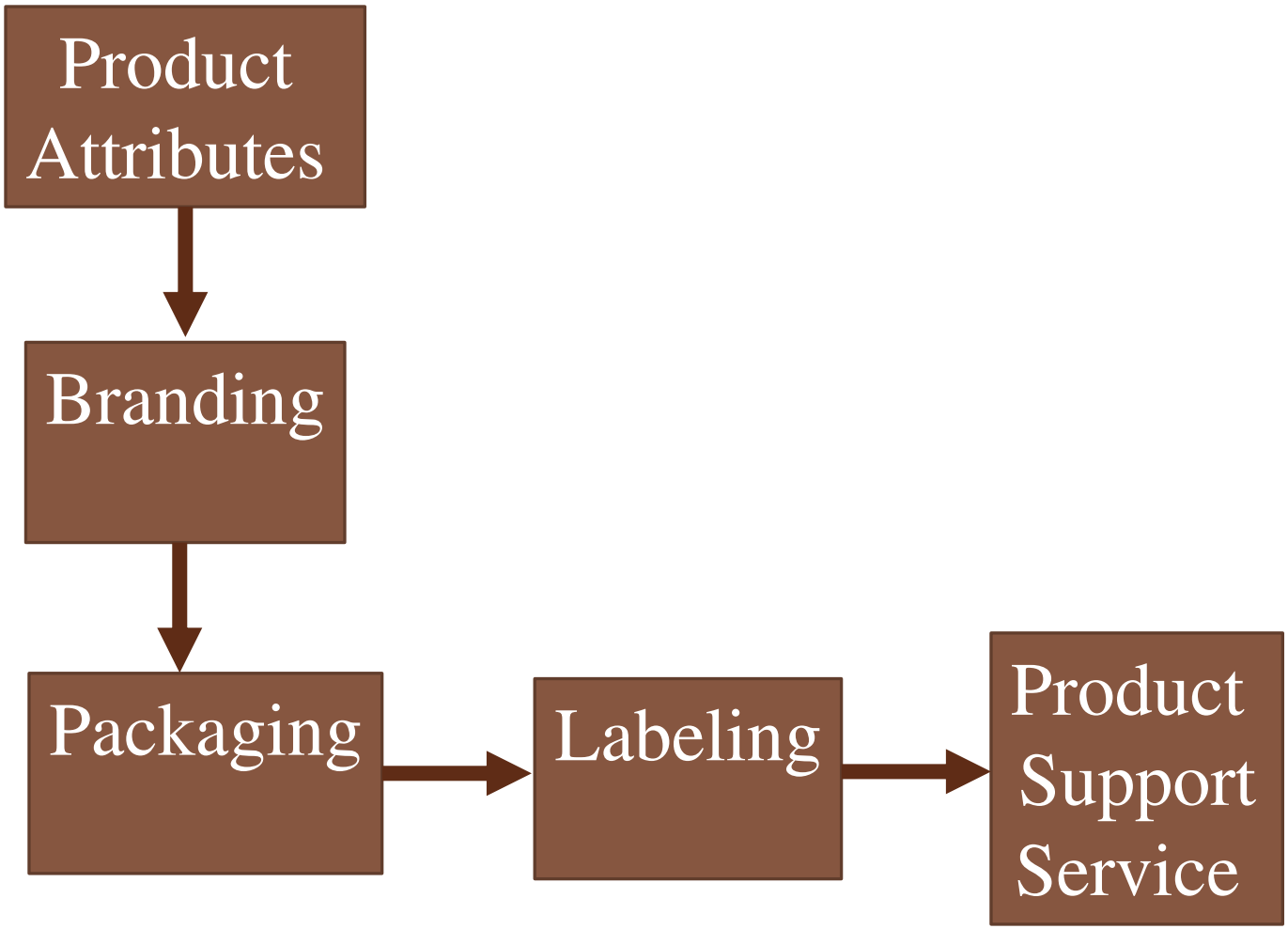
3. Product style and design

Unique Selling Proposition (USP)

The factors or consideration presented by a seller as the reason that one product or service is different from better than that of the competitors.

Source: https://www.entrepreneur.com/encyclopedia/unique-selling-proposition-usp





Source: Principles of Marketing by Philiph Kotler and Gary Armstrong

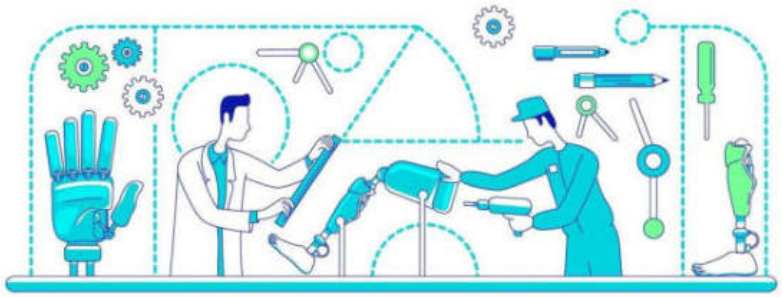
Topic 133

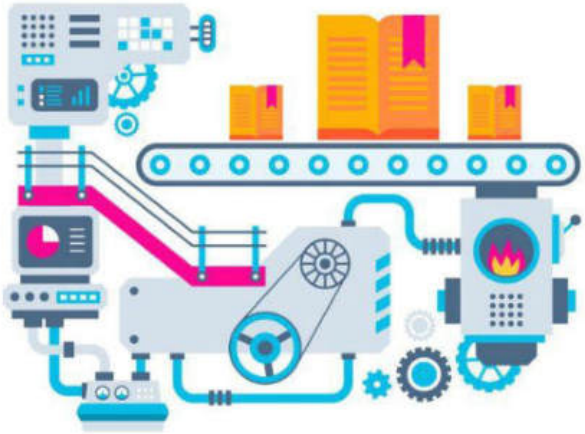
PRODUCT DESIGN AND QUALITY

Product quality

Product quality is defined as zero defect product or service.

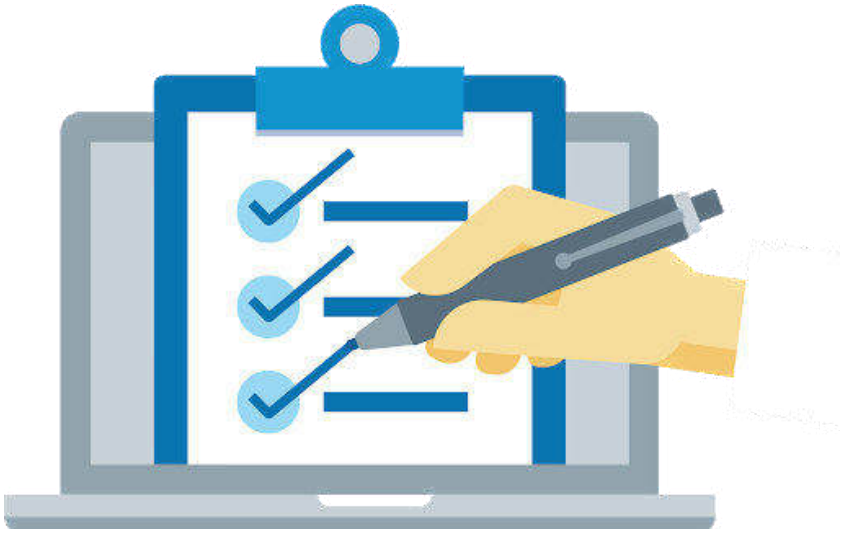
Source: Principles of Marketing by Philiph Kotler and Gary Armstrong





The American Society for Quality defines quality as characteristics of product or service that bear on it ability to satisfy stated or implied customer needs.

Source: Principles of Marketing by Philiph Kotler and Gary Armstrong



Product Quality

The leading positioning tool

Directly related to performance of product or service

Directly linked with value for customer

Product Quality

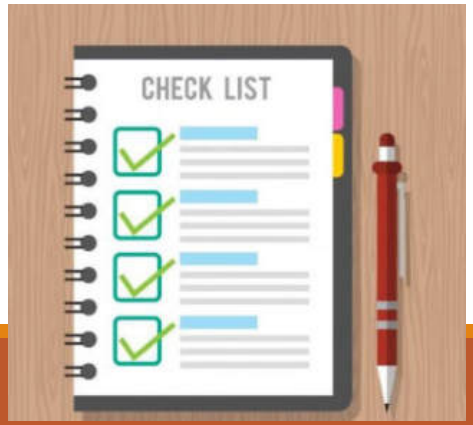
Directly related to customer satisfaction

Ensure long term relationship with customer

Dimension of product quality

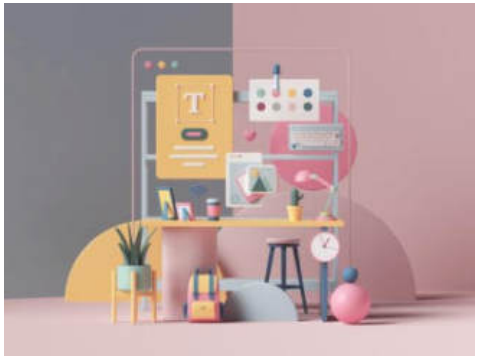
1. Level of quality (performance quality)

2. Consistency and commitment with quality (conformance quality)



Performance
Features
Reliability
Conformance
Durability
Serviceability
Aesthetics
Perceived Quality
Quality

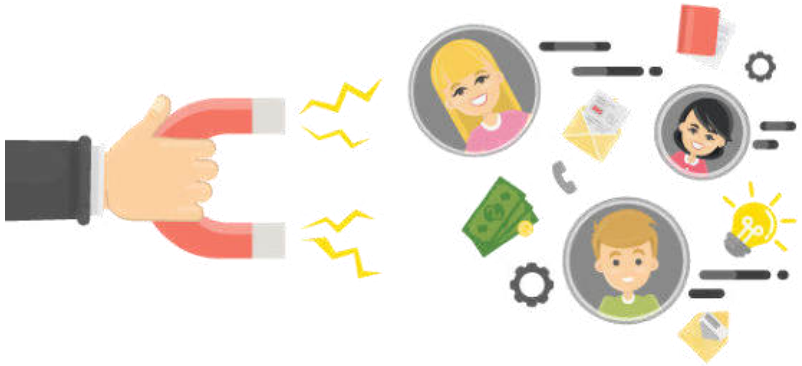
Design of Product and Service



Directly linked with customer value and satisfaction

Design of Product and Service

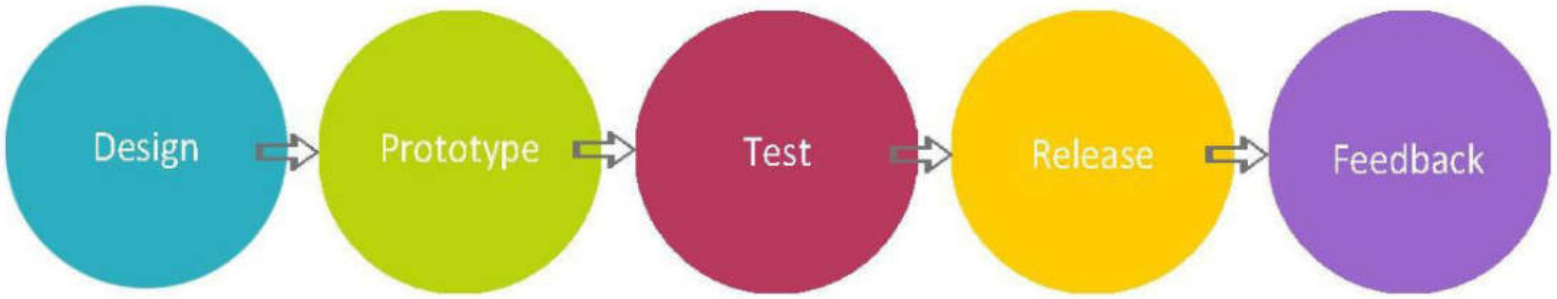
Ensure long term relationship with customers



Design of Product and Service

Directly linked with product-use-experience

The Product Design Process



Source: http://hboyer.com/product-design-process/

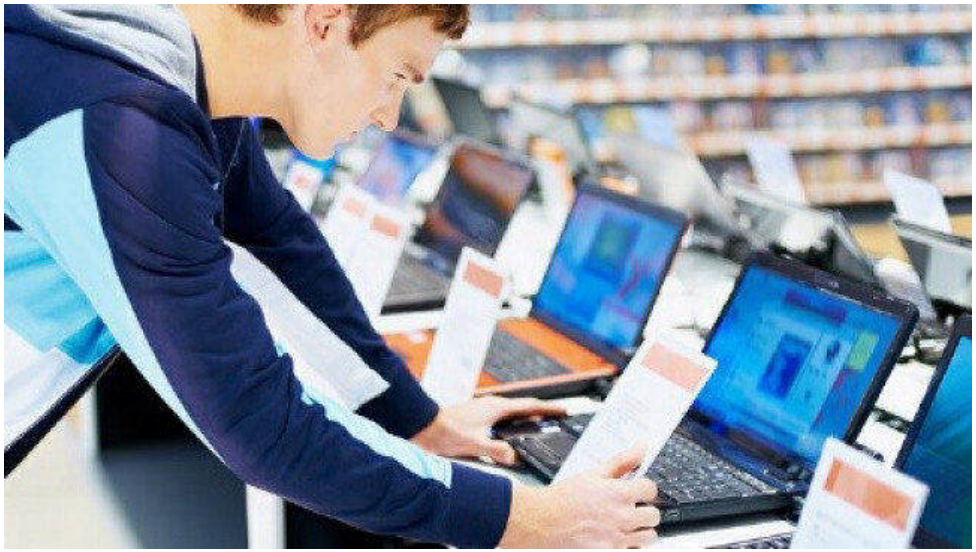
Topic 134

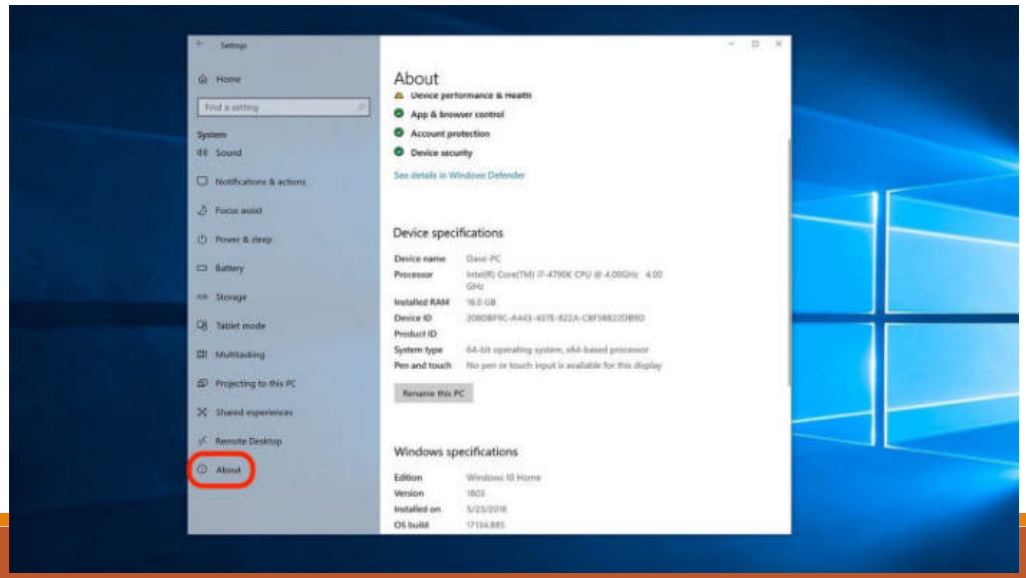
PRODUCT OR SERVICE SPECIFICATIONS

Agenda of Video

Product or Service Specifications

Computer Specification Example





Computer Specification Example

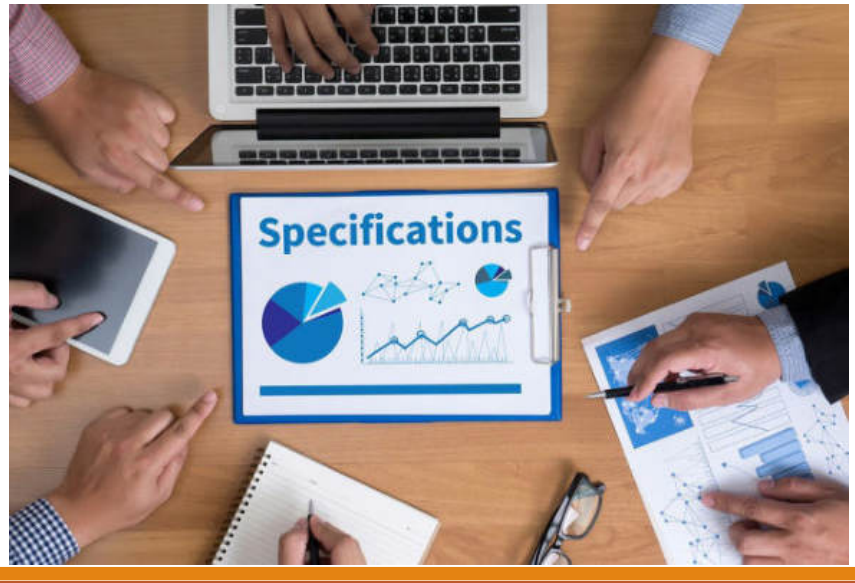
PROCESSOR / CHIPSET	CPU	Intel Core i7 (8th Gen) 8550U / 1.8 GHz
	Max Turbo Speed	4 GHz
	Number of Cores	Quad-Core
	Cache	8 MB
	64-bit Computing	Yes
	Features	Hyper-Threading Technology, Intel Turbo Boost Technology 2.0
CACHE MEMORY	Installed Size	8 MB
STORAGE	Interface	Serial ATA
	Optical Drive	DVD-Writer
RAM	Memory Speed	2400 MHz
	Memory Specification Compliance	PC4-19200
	Configuration Features	2 x 8 GB
	Technology	DDR4 SDRAM
	Installed Size	16 GB
	Rated Memory Speed	2400 MHz
MEMORY	Technology	DDR4 SDRAM
	Speed	2400 MHz / PC4-19200
	Form Factor	SO-DIMM 260-pin
DISPLAY	LCD Backlight Technology	WLED backlight
	Resolution	1920 x 1080 (Full HD)

16MP+5MP
Dual Rear
Camera & 24MP
Front Camera
Processor
Qualcomm
Snapdragon 626
Face Access
Smarter, Safer
Unlocking
FullView™ Display
19:9
FHD+ Display
12:00
Android Oreo
8.1
4GB RAM
64GB ROM &
Expandable Upto
256 GB
Smart Split 3.0
Easy
Multi-Tasking
AR Stickers
Fingerprint
Sensor
Triple Card Slot
Dual Sim
+
Micro SD Card
4K
4K Video
Recording
A.I.
Face Beauty

Product Specification

Written statement of an item's required characteristics documented in a manner that facilitate its procurement or production and acceptance.

Source: http://www.businessdictionary.com/definition/product-specification.html



Product or Service Type

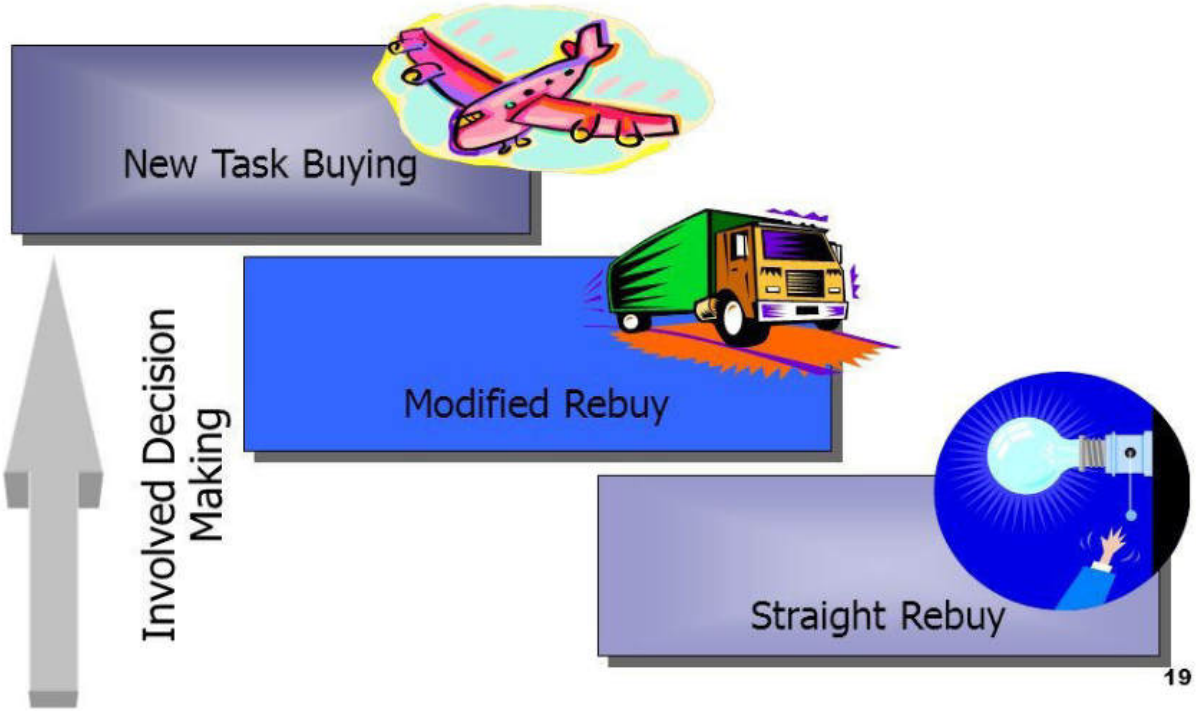
Consumer Product

Industrial Product

Product Specification

The stage of the business buying process in which the buying organization decides on and specifies the best technical product characteristics for a needed item.

Major Types of Buying Situations



Business Buying Situations

A business buying situation in which the buyer routinely reorders something without any modifications called ***Straight rebuy.***

Source: Principle of Marketing by Kotler and Armstrong

Business Buying Situations

Business buying situation in which the buyer wants to modify product specifications, prices, terms, or suppliers called ***Modified rebuy.***

Source: Principle of Marketing by Kotler and Armstrong

Business Buying Situations

A business buying situation in which the buyer purchases a product or service for the first time called **New task.**

Source: Principle of Marketing by Kotler and Armstrong

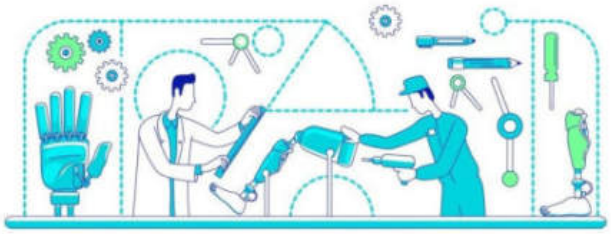
Business Buying Situations

Buying a packaged solution to a problem from a single seller, thus avoiding all the separate decisions involved in a complex buying situation called **Systems selling (or solutions selling)**

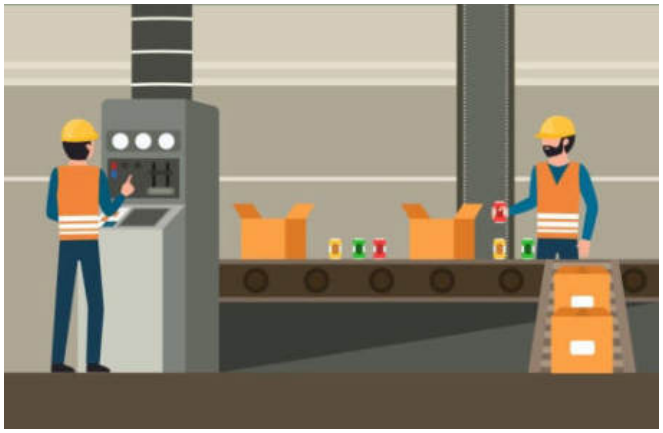
Source: Principle of Marketing by Kotler and Armstrong

Product Specification helps:

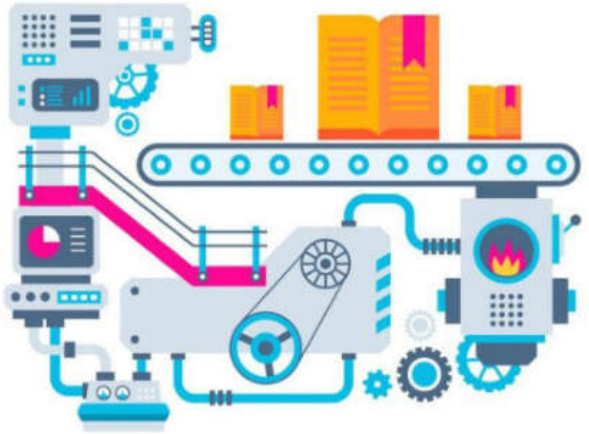
Redesigned



Standardized



Less costly methods of production



Topic 136

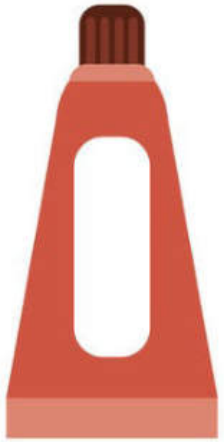
PACKAGING AND LABELING

Agenda of video?

Packaging and labeling

Packaging and labeling

Toothpaste Example



What is Packaging ?

The wrapping material around a consumer item that serves to contain, identify, describe, protect, display, promote and otherwise make the product marketable and keep it clean.

Source: https://www.entrepreneur.com/encyclopedia/packaging

Packaging involves designing and producing the container or wrapper for a product.

Source: Principle of Marketing by Kotler and Armstrong

The product might have multiple layers of packaging.

Primary package

Secondary package

Shipping or third package

Packaging is known as the product's face.

Packaging Concerns

- ✓ Product container

- ✓ Packaging design and functionality

Packaging Concerns:

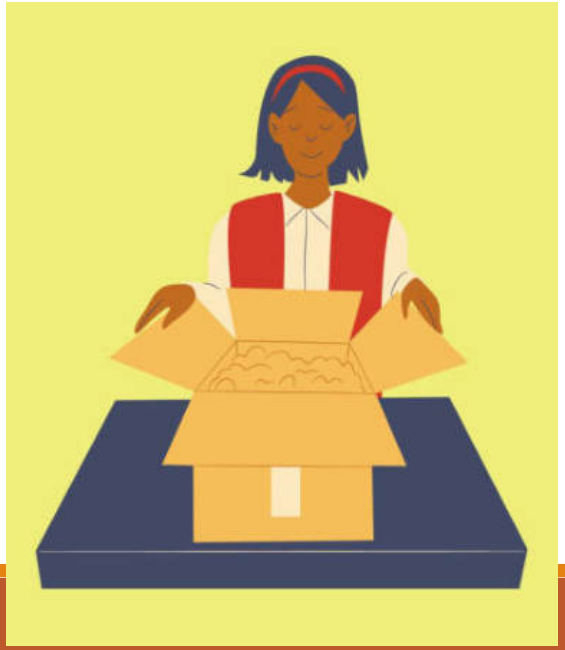
- ✓ Packaging color and quality

- ✓ Packaging size

Packaging Concerns:

- ✓ Packaging durability

- ✓ Packaging cost



Candy Packaging Ideas

Packaging is important because:

Consumer influence

Ensure product quality

Brand recognition

Packaging is important because:

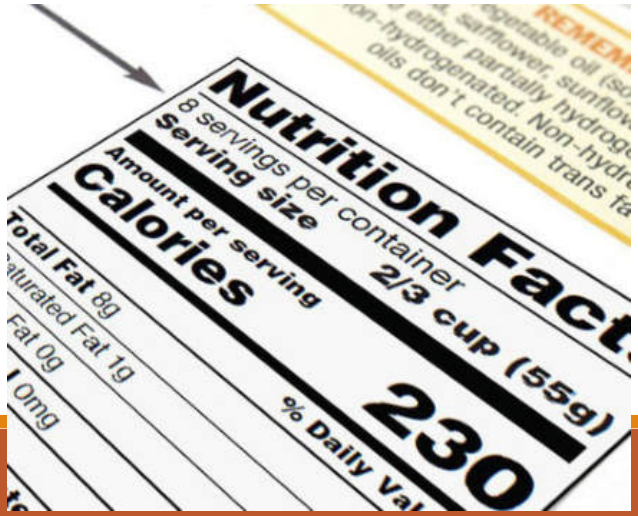
Brand reinforcement

What is labeling ?

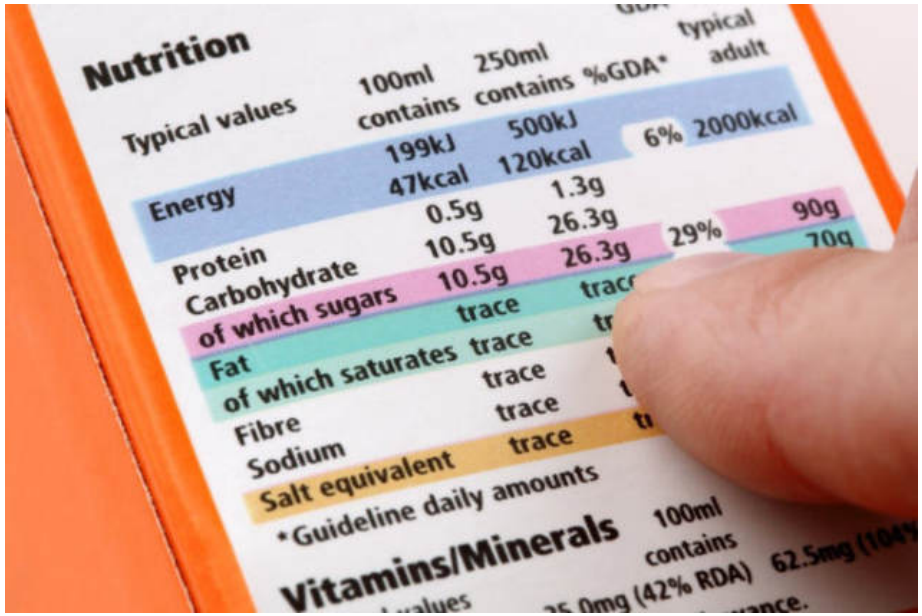
Display of information about a product on its container, packaging, or the product itself.

For several types of consumer and industrial products, the type and extent of information that must be imparted by a label is governed by the relevant safety and shipping laws.

Read more: http://www.businessdictionary.com/definition/labeling.html



Labeling is a part of the packaging.



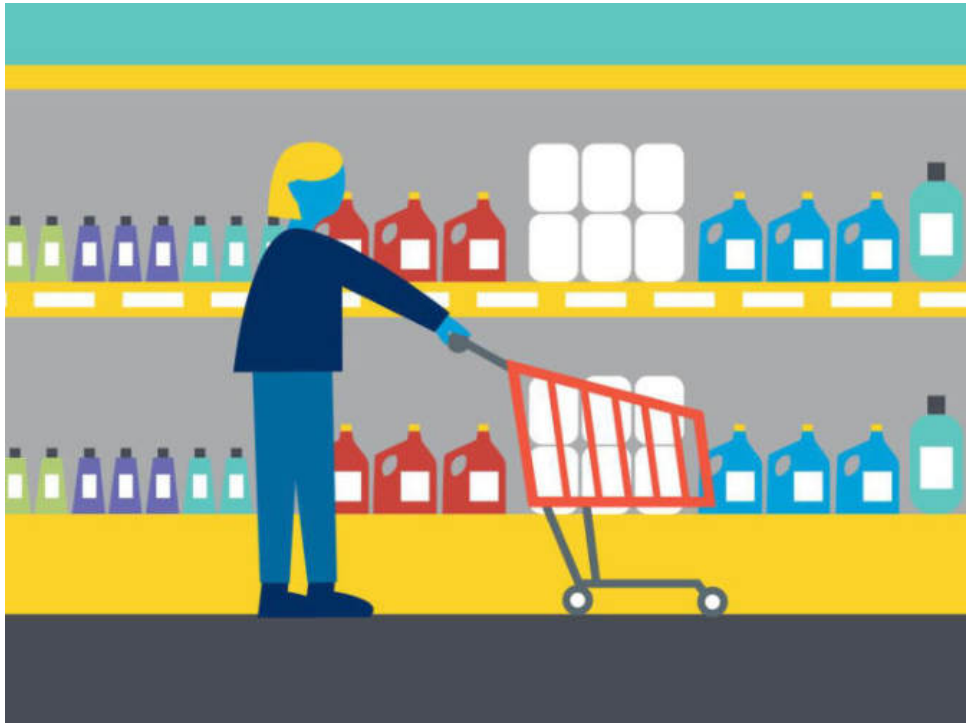
Labeling ranges from simple tags to complex graphics

Topic 137

WHERE TO SELL AND WHAT? THE DISPLAY MATTERS

Agenda of video?

Placement of product and/or service



Place
Price
People
Promotion
Process
The 7Ps
Marketing Mix
Product
Physical
evidence

RESTAURANT

FOOD DELIVERY
FOOD
DELIVERY

Place/Access: What new distribution options are there for customers to experience our product, e.g. online, in-store, mobile etc.

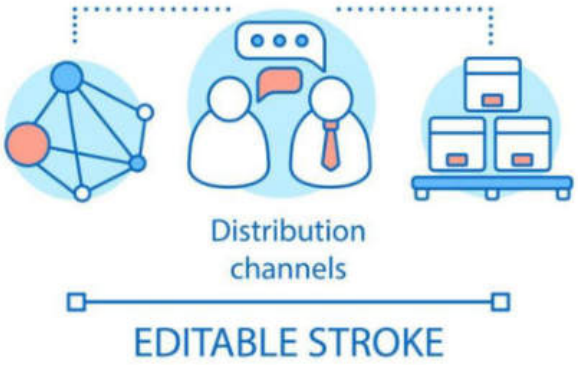
Placement includes:

Supply Chain Management

Geographical locations

Placement includes:

Distribution Channels



Display

Types of Markets and product placement

Consumer Markets

Industrial Markets

Government Markets

Types of Markets and product placement

Global Markets

Virtual Market

Important Product Placement Questions

From where to buy the raw material ?

In which market to sell ?

Important Product Placement Questions

How to reach the final customer ?

How to sell ?

Important Product Placement Questions

What distribution channels are better, faster and cheaper ?

How to maintain the inventory ?

Important Display Questions

✓How to get dominating shelf space?

✓Where to display the product e.g. own display center or shopping mart, departmental store or convenience shop

Important Display Questions

✓What are shelf plan to maintain the inventory ?

✓ What is the shelf life of the product ?

Topic 139

WHAT IS PRICE ?

Agenda of the video

Price: source of revenue

Price: The definition

The amount of money which is required and given in payment for buying something including product, service or experience.

Price: The definition

A value that will purchase a finite quantity, weight, or other measure of a good or service.

Read more: http://www.businessdictionary.com/definition/price.html

Consumer Psychology and Pricing

Consumers quickly process the price information.

Consumer Psychology and Pricing

Previous purchases (Last paid price)

Market survey

Consumer Psychology and Pricing

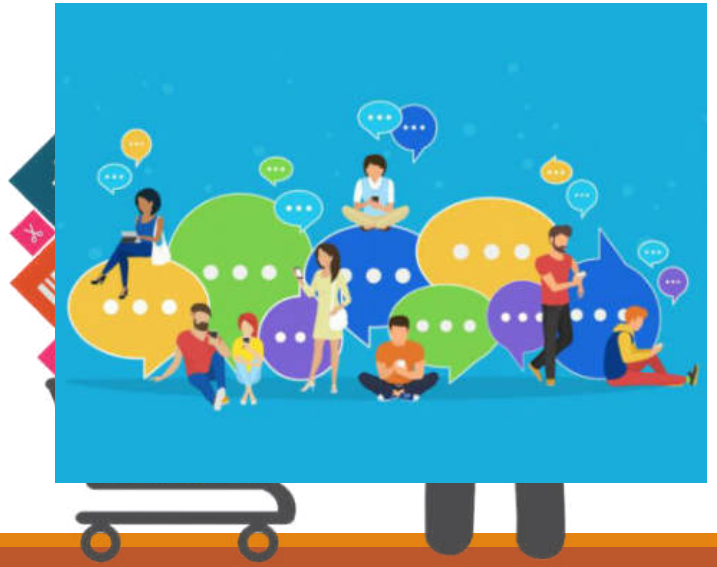
Formal communication

Informal communication

Consumer Psychology and Pricing

Online sources

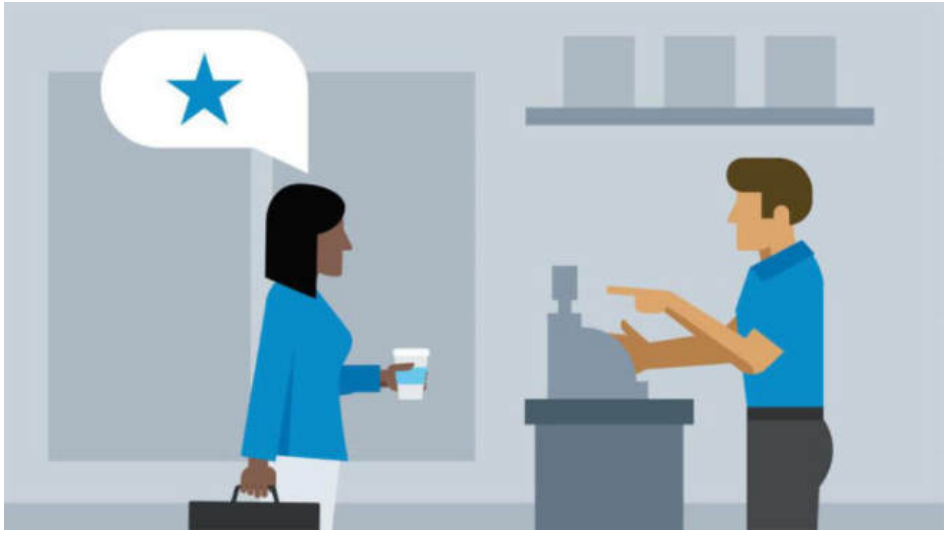
Competitors' price



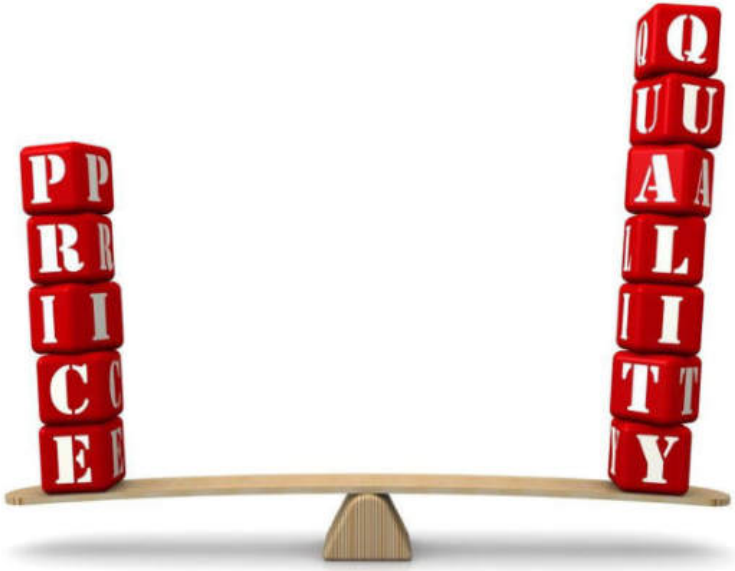
Consumer Psychology and Pricing

Expected future price

Price sensitive customers



Price is an indicator of quality.



Example

What price you will charge for your product or service ?

Topic 140

PRICING STRATEGIES

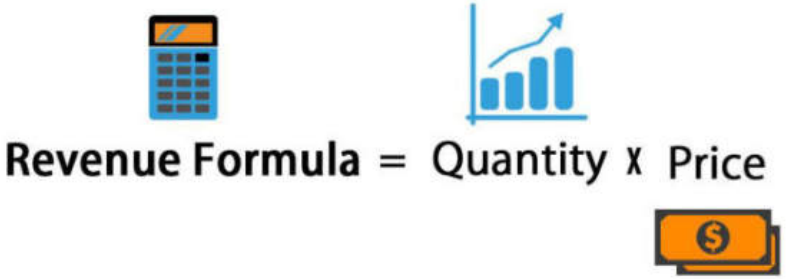
Agenda of the video

Pricing Strategies

Price Objectives

Survival

Maximum current profit



Price Objectives

Maximum market share (market penetration)

New product pricing

Price Objectives

Product quality leadership

Partial cost recovery

Price strategies usually depends on

Product, service or experience

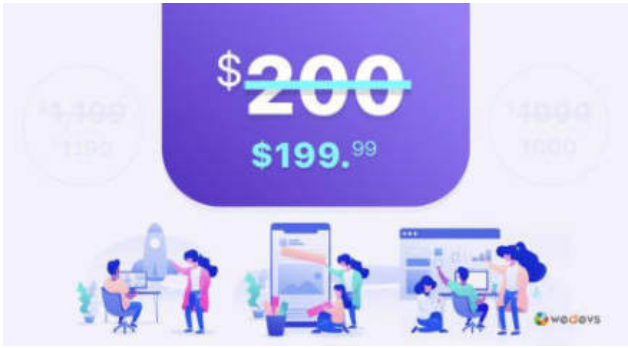
Target market

Competitors' price of similar and alternate products

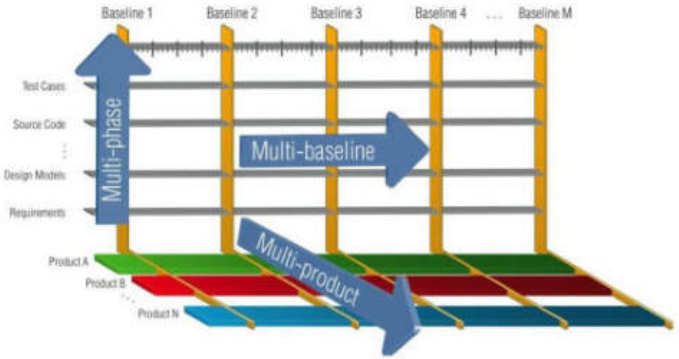
Pricing Strategies

New Product Pricing Strategies

Psychological Pricing



Product-Line Pricing Strategies

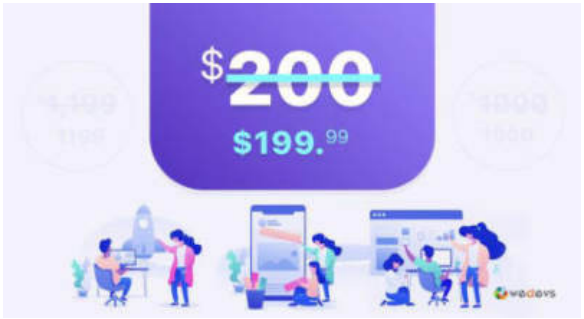


1. New Product Pricing Strategies

Market-skimming pricing

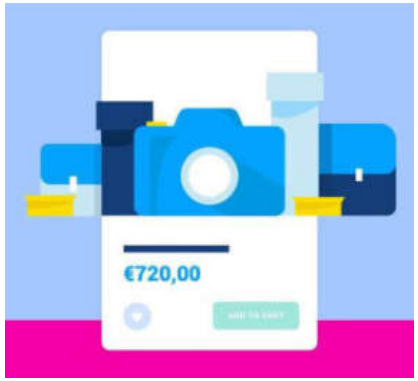
Market-penetration pricing

2. Psychological Pricing



Reference pricing

Bundle pricing



2. Psychological Pricing

Multiple unit pricing

Every day low pricing

3. Product-Line Pricing Strategies

Captive –products that must be used along with the main product

Main product in a product line priced at low while related product and/or line of product price higher

Main Product

Captive Product

3. Product-Line Pricing Strategies

Premium – pricing different model at different prices depending on their quality and features

Topic 139

WHAT IS PRICE ?

Agenda of the video

Price: source of revenue

Price: The definition

The amount of money which is required and given in payment for buying something including product, service or experience.

Price: The definition

A value that will purchase a finite quantity, weight, or other measure of a good or service.

Read more: http://www.businessdictionary.com/definition/price.html

Consumer Psychology and Pricing

Consumers quickly process the price information.

Consumer Psychology and Pricing

Previous purchases (Last paid price)

Market survey

Consumer Psychology and Pricing

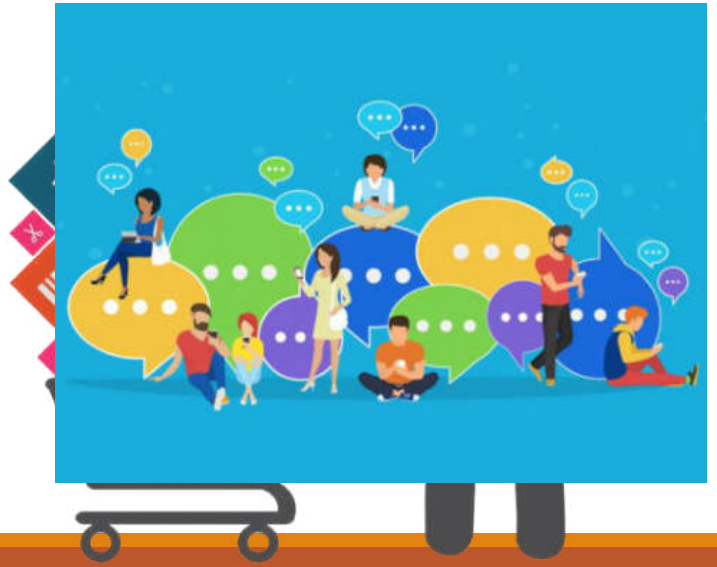
Formal communication

Informal communication

Consumer Psychology and Pricing

Online sources

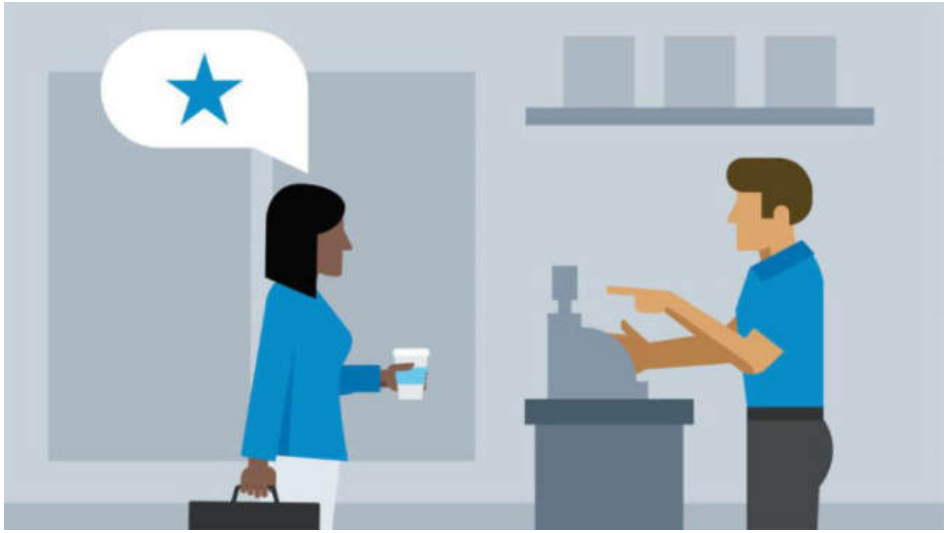
Competitors' price



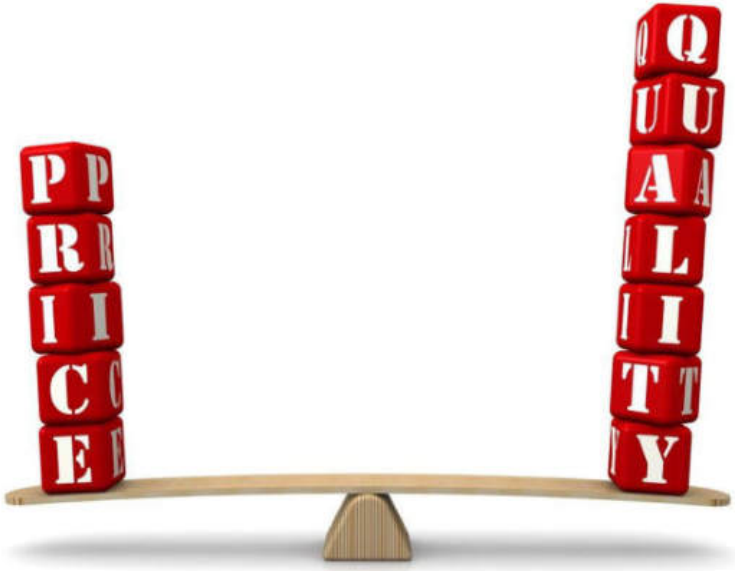
Consumer Psychology and Pricing

Expected future price

Price sensitive customers



Price is an indicator of quality.



Example

What price you will charge for your product or service ?

Topic 140

PRICING STRATEGIES

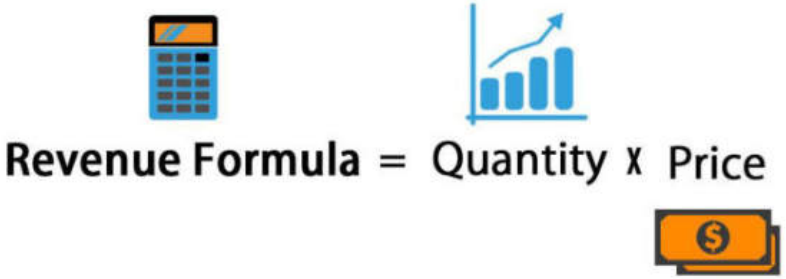
Agenda of the video

Pricing Strategies

Price Objectives

Survival

Maximum current profit



Price Objectives

Maximum market share (market penetration)

New product pricing

Price Objectives

Product quality leadership

Partial cost recovery

Price strategies usually depends on

Product, service or experience

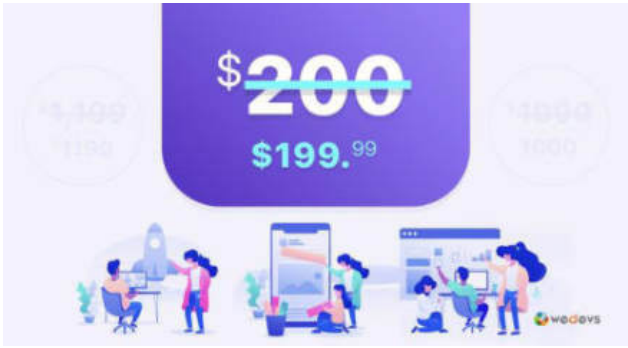
Target market

Competitors' price of similar and alternate products

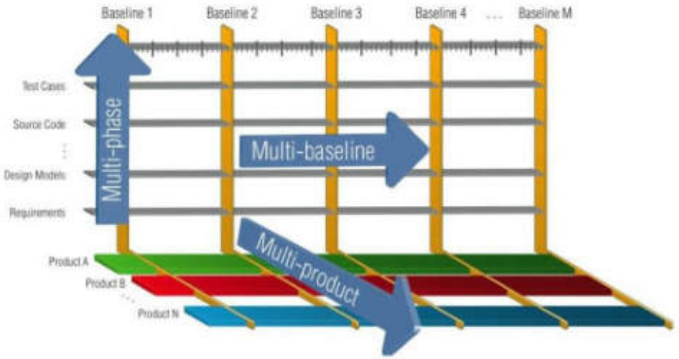
Pricing Strategies

New Product Pricing Strategies

Psychological Pricing



Product-Line Pricing Strategies

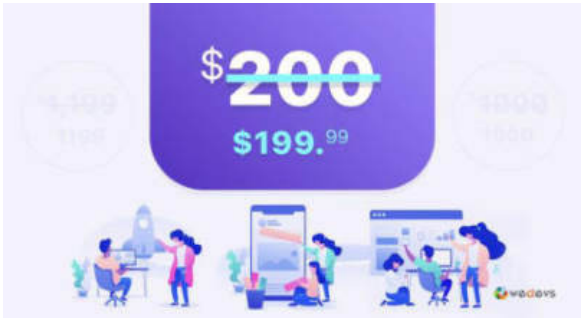


1. New Product Pricing Strategies

Market-skimming pricing

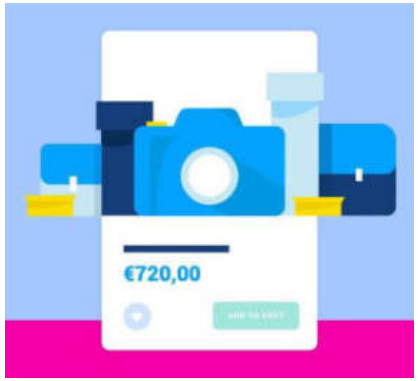
Market-penetration pricing

2. Psychological Pricing



Reference pricing

Bundle pricing



2. Psychological Pricing

Multiple unit pricing

Every day low pricing

3. Product-Line Pricing Strategies

Captive –products that must be used along with the main product

Main product in a product line priced at low while related product and/or line of product price higher

Main Product

Captive Product

3. Product-Line Pricing Strategies

Premium – pricing different model at different prices depending on their quality and features

Topic 141

PRICE-ADJUSTMENT STRATEGIES

Agenda of the video

Price and Price-Adjustment Strategies

Revision of price related concerns

Previous purchases

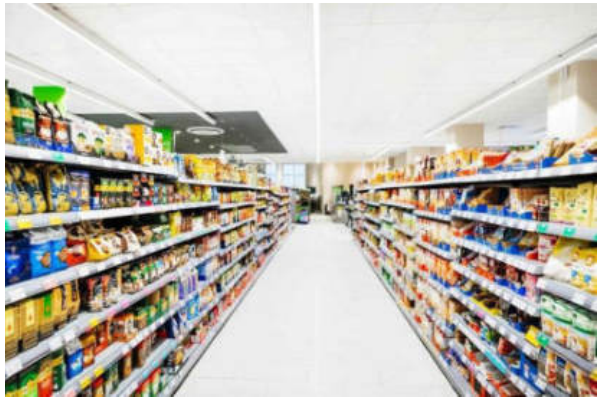
Friends and family

Online sources

Formal and informal communication

Price depends on the type of product.

Consumer products



Industrial products

Pricing strategies and its objective

Survival

Maximum current profit

Unsold inventory

Market penetration

New Product Pricing Strategies

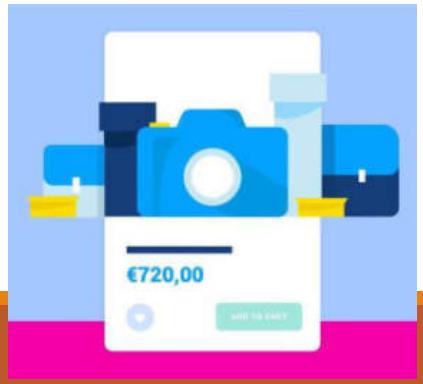
Market-skimming pricing

Market-penetration pricing

Psychological Pricing

Reference pricing

Bundle pricing



Product-Line Pricing Strategies

Captive

Main Product

Captive Product

Premium

Setting the Price

Selecting the price objectives

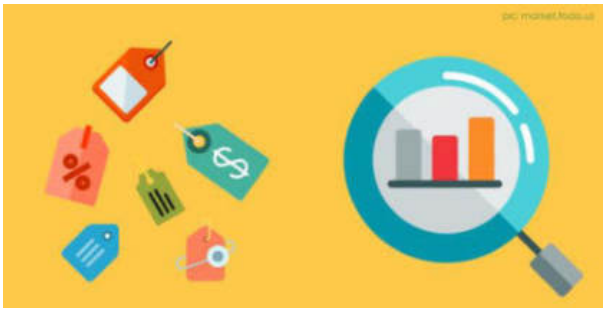
Deterring the demand

Estimating the cost

Setting the Price

Analyzing the competitors' cost, price and offers

Selecting the price method

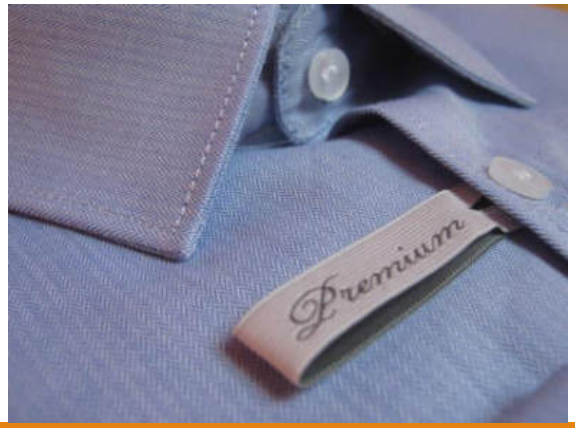


Selecting the final price

Price-Adjustment Strategies

Discount and allowance pricing

Segmented pricing



Price-Adjustment Strategies

Promotional pricing

International pricing

Loss leaders

Predatory Pricing

Deliberate price cutting

Topic 142

PRICE CHANGE AND PRICE WAR

Price is total revenue maximized.

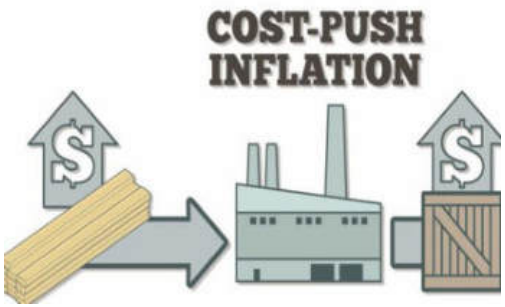
Agenda of the video

Price Change and price war

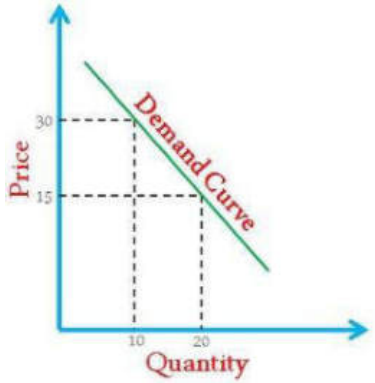
Multiple Pricing strategies

Reasons of Prices Change

1. Cost inflation



2. Over/less demand



3. Price competition

Reasons of Prices Change

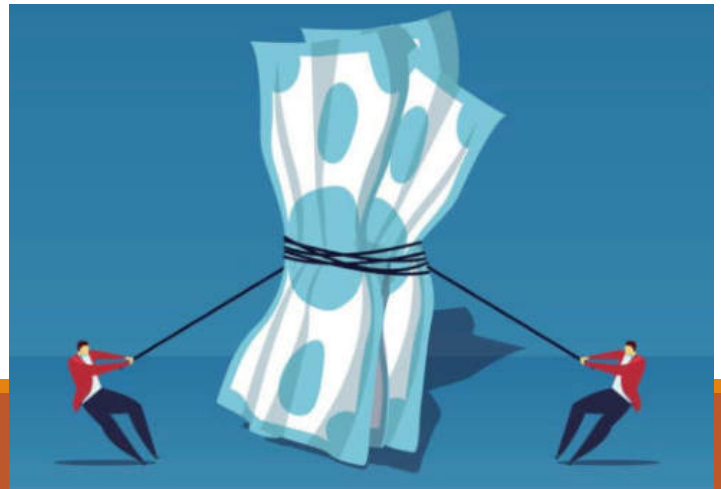
4. Nature of product and product life

5. Promotional campaign

Reaction to Price Change

1. Reaction by customers

2. Reaction by competitors



Responding to Price Change

1. Maintain the price

2. Maintain the price with some value addition

3. Reduce the price

Responding to Price Change

4. Increase the price and improve the quality

5. Launch a low price line

Price War

PRICE WAR
PRICE WAR
PRICE WAR
VectorStock®
VectorStock.com/17548879

PRICE
WAR!

Price War

A price war is a competitive exchange among rival companies who lower the price points on their products, in a strategic attempt to undercut one another and capture greater market share. A price war may be used to increase revenue in the short term, or it may be employed as a longer-term strategy.

Reference: https://www.investopedia.com/terms/p/price-war.asp

Important features

- ✓ Competition among competitors
- ✓ Lower the price points on their products/services
- ✓ To capture greater market share

Important features

- ✓ Used to increase revenue

- ✓ Employed as a longer-term strategy.

Price War

Market situation in which (usually two) powerful competitors try to suppress each other's market share by progressively reducing prices until one of them retreats, at least temporarily.

Reference: http://www.businessdictionary.com/definition/price-war.html

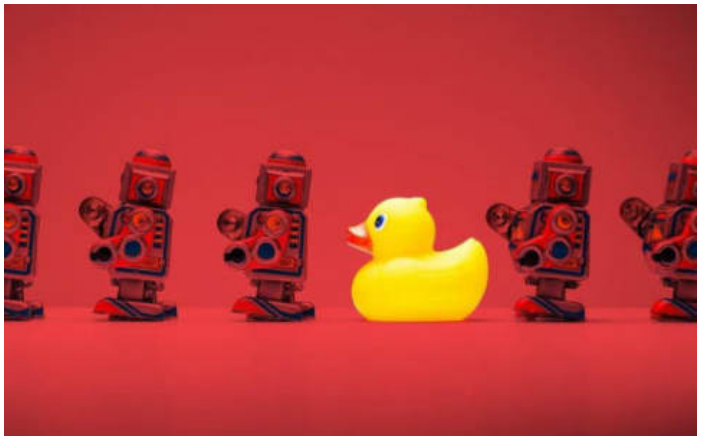
Price war and possible strategies

1. Reliance on strategic capabilities

2. Compete on Quality

Price war and possible strategies

3. Product differentiation strategy



4. Form strategic alliance

Can you jump into price War?

Is your business financially strong to sustain price war?

How you will respond to price war?

Topic 143

MARKETING MIX AND INTEGRATED MARKETING COMMUNICATION

Agenda of the video

Marketing Communications Mix

Marketing Communications Mix

The specific blend of promotion tools that the company uses to persuasively communicate customer value and build customer relationships.

Source: Principle of Marketing by Kotler and Armstrong

Marketing Communications Mix

Advertising

Sales promotion

Personal selling

Marketing Communications Mix

Public relations

Direct marketing

Digital marketing

Marketing Communications Mix

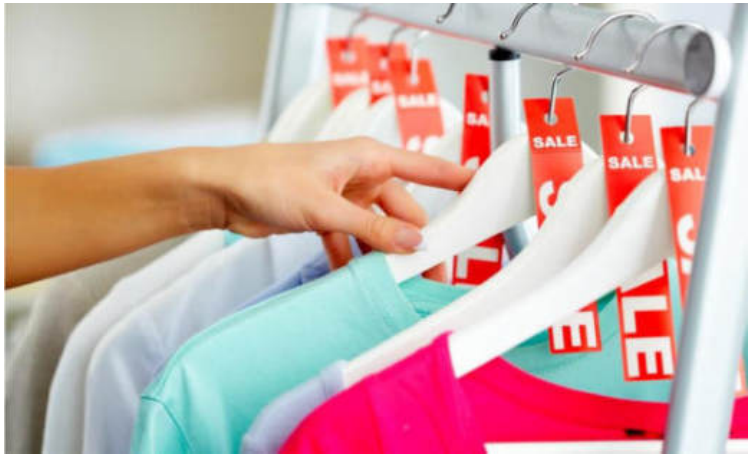
Advertising: Any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor

Source: Principle of Marketing by Kotler and Armstrong

Marketing Communications Mix

Sales promotion: Short-term incentives to encourage the purchase or sale of a product or service

Source: Principle of Marketing by Kotler and Armstrong



Marketing Communications Mix

Personal selling: Personal presentation by the firm's sales force for the purpose of making sales and building customer relationships.

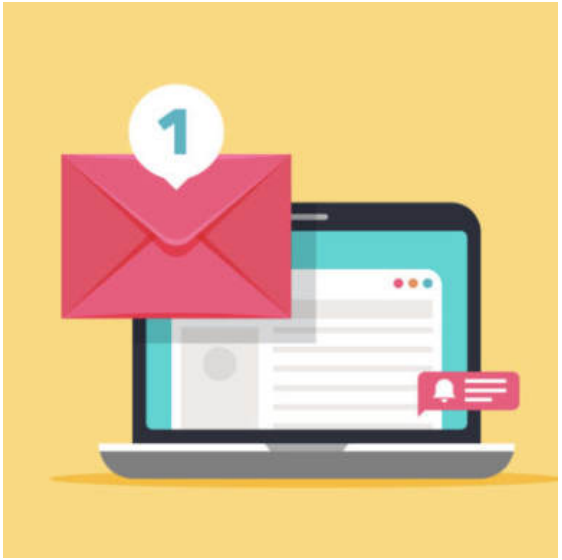
Public relations

Source: Principle of Marketing by Kotler and Armstrong

Marketing Communications Mix

Direct Marketing: Direct connections with carefully targeted individual consumers to both obtain an immediate response and cultivate lasting customer relationships

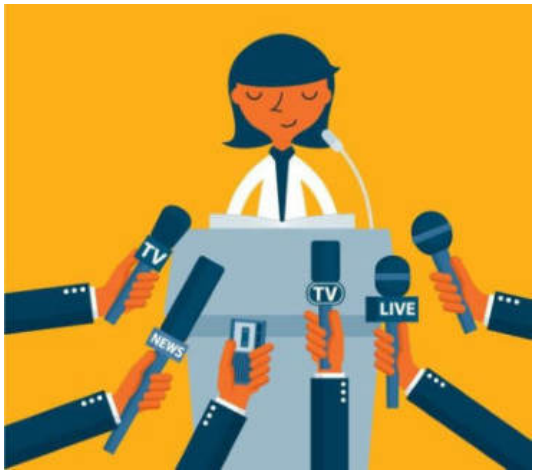
Source: Principle of Marketing by Kotler and Armstrong



Marketing Communications Mix

Public relations (PR): Building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.

Source: Principle of Marketing by Kotler and Armstrong



Why to advertise ?

1. product/service launch

2. To win the market competition

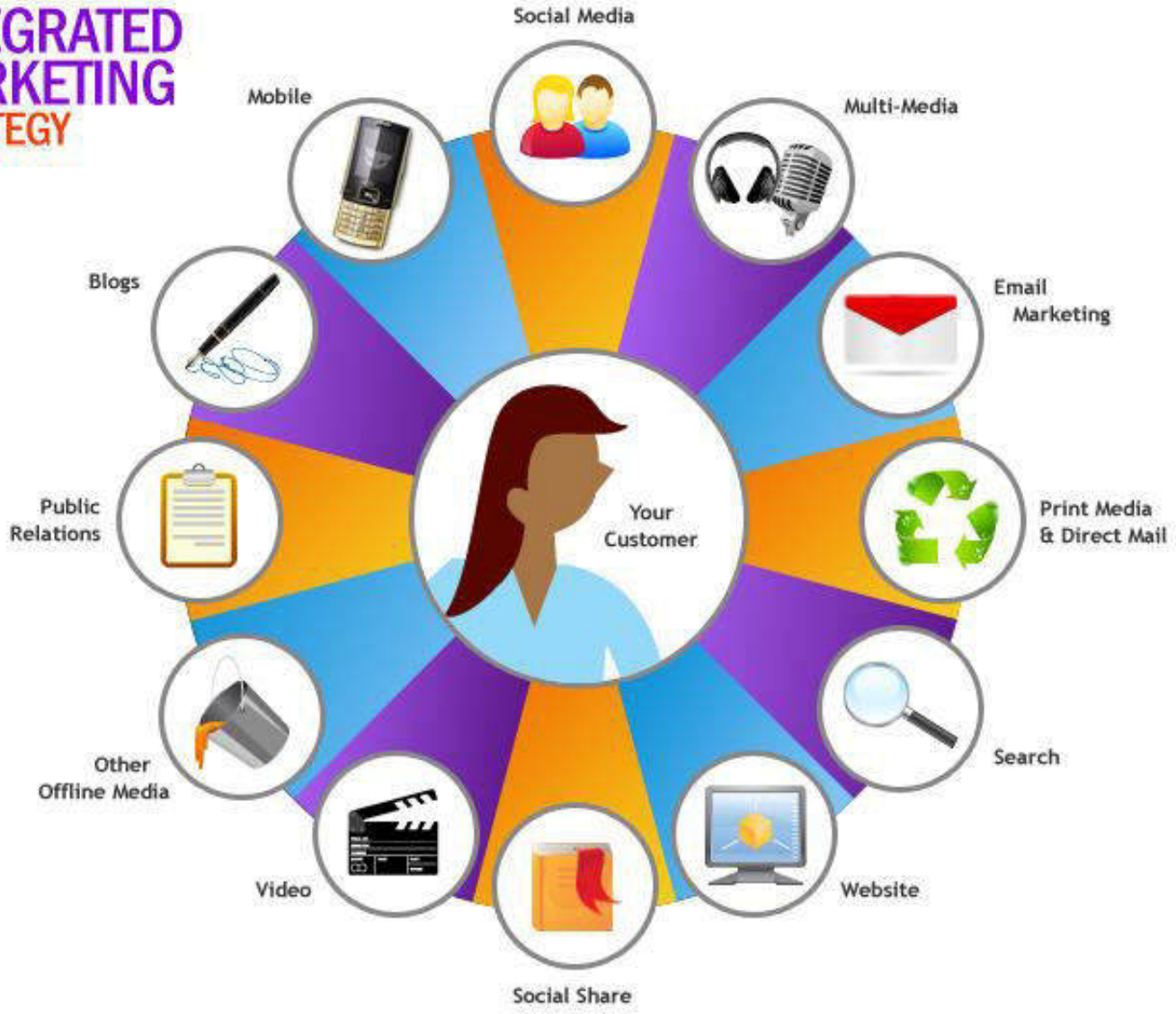
3. Persuasion

Integrated marketing communications (IMC)

Sensibly integrating and coordinating the company's multiple communications channels to communicate a clear, reliable, and convincing and persuasive message about the product, service and/or organization.

Source: Principle of Marketing by Kotler and Armstrong

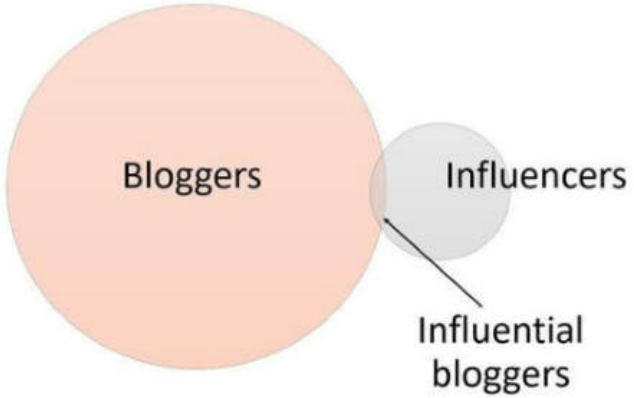
INTEGRATED MARKETING STRATEGY



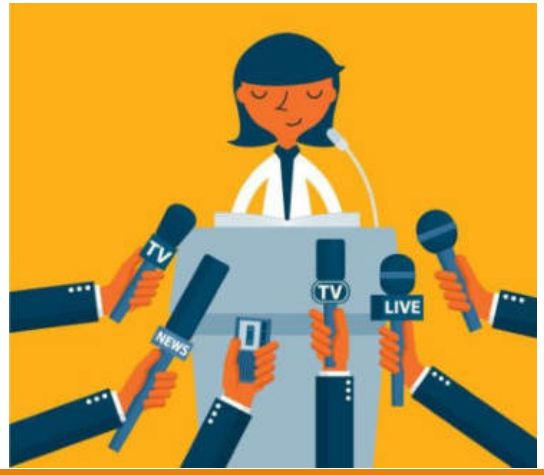
Social media

SMS marketing

Blogs and influencers



News channels



Vlogs

Website and website banners

Search engine optimization

Local cable advertising

Target market and marketing efforts

Topic 144

BRAND : BUSINESS IDENTITY

Agenda of the video

Brand development and brand identity

UNBRAND

What is Brand?

A brand is an identifying symbol, mark, logo, name, word and/or sentence that companies use to distinguish their product from others.

Source: https://www.investopedia.com/terms/b/brand.asp

Legal protection given to a brand name is called a trademark.

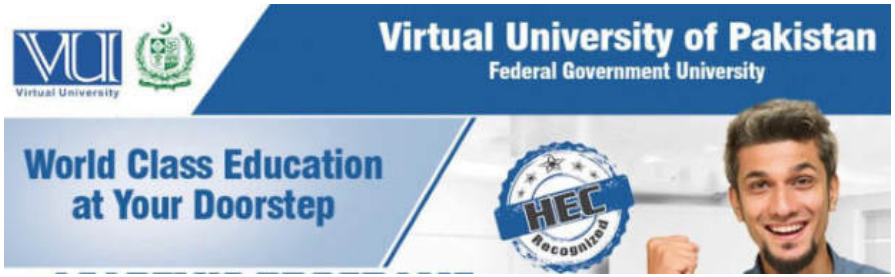
Source: https://www.investopedia.com/terms/b/brand.asp

Brand Power

the power of
brand
growth
sales
customer
awareness
success

THE POWER OF BRANDING
1,20 €
5,50 €

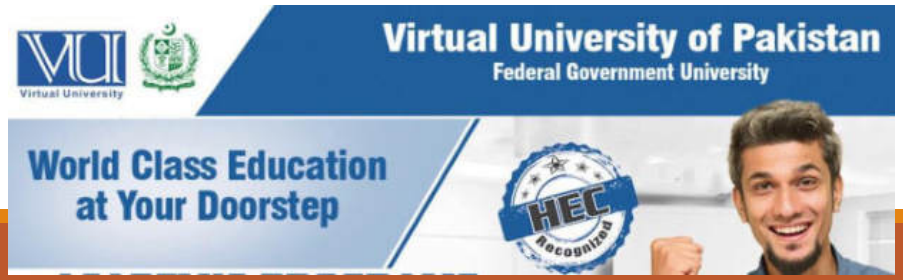
Brand Example



What is Brand Identity?

Brand identity is the visible elements of a brand, such as color, design, and logo, that identify and distinguish the brand in consumers' minds.

Source: https://www.investopedia.com/terms/b/brand-identity.asp

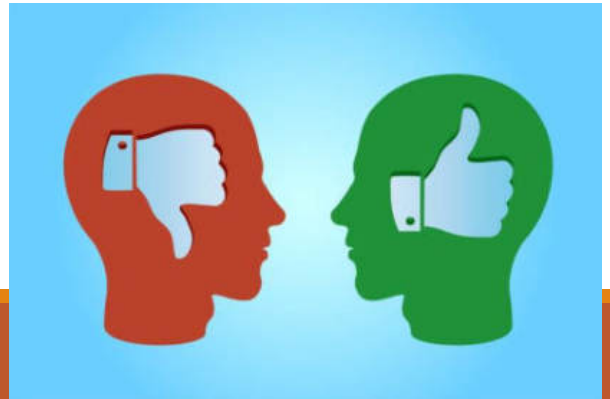


Why branding is important ?

1. Business Identity

2. Recognition and customer relationship

3. Implicit quality promise



Why branding is important ?

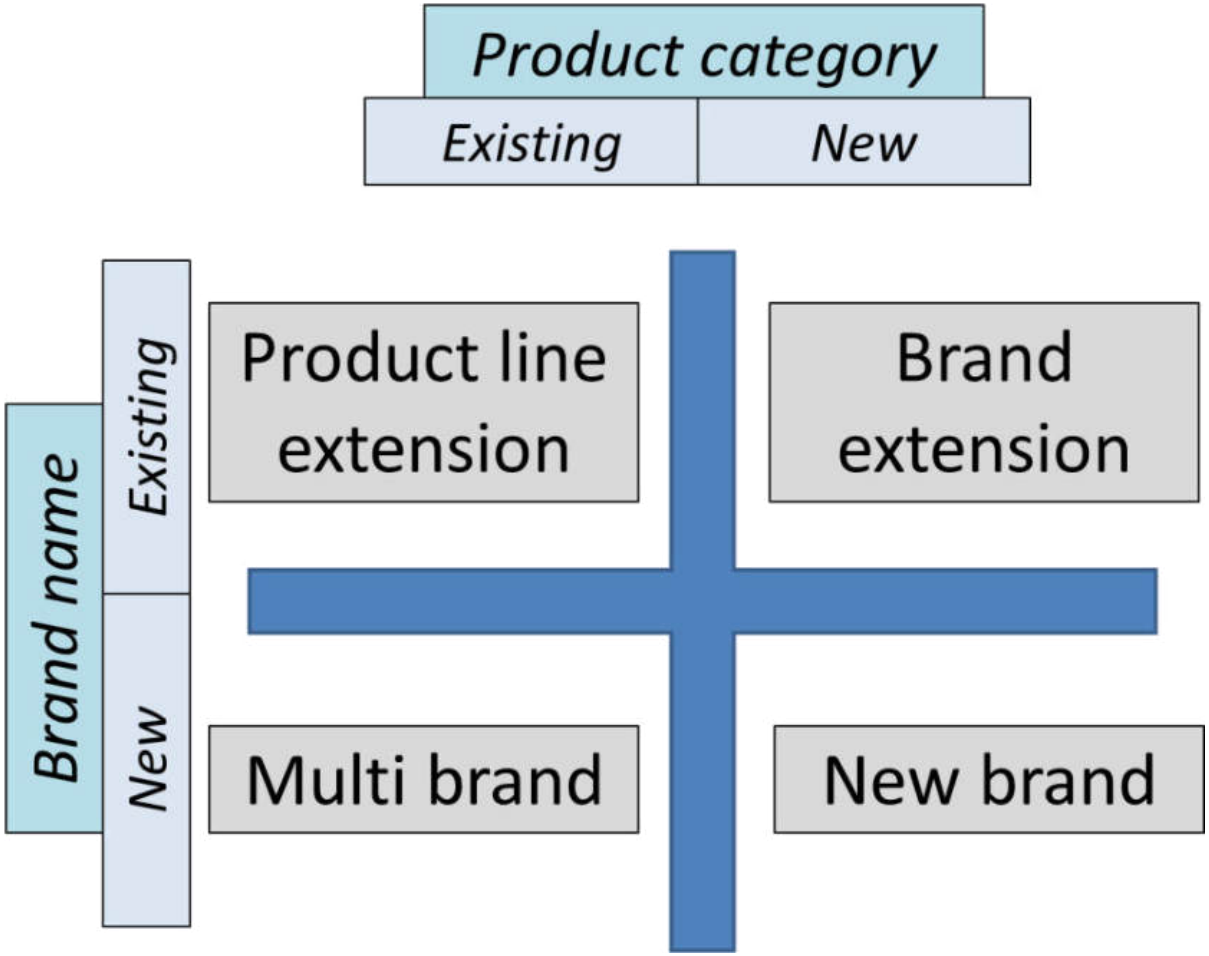
4. Customer loyalty

5. Generates New Customers

6. Customer and market place trust

7. Edge on competitors

Brand Development Strategies



Line extension

Extending an existing brand name to new forms, colors, sizes, ingredients, or flavors of an existing product category.

Source: Principle of Marketing by Kotler and Armstrong

Multi brand

Multi Brand Companies often market many different brands in a given product category

Source: Principle of Marketing by Kotler and Armstrong

Brand extension

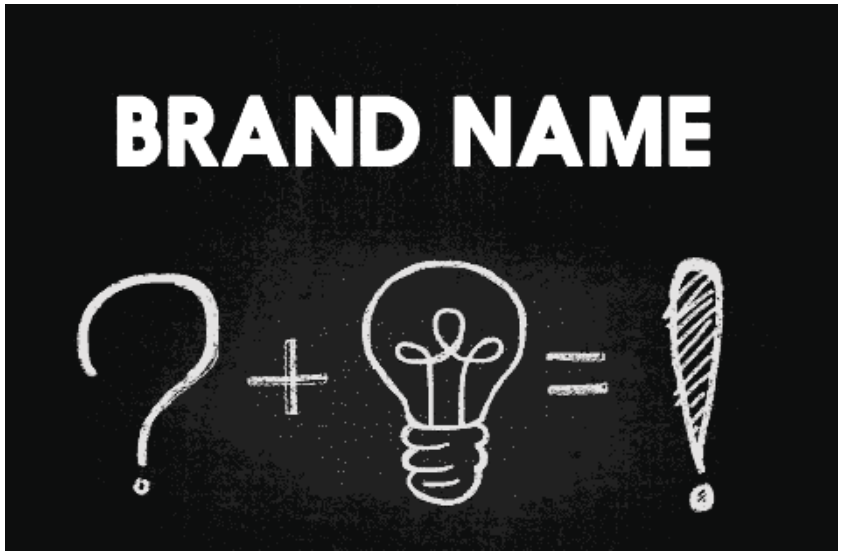
Companies extends a current brand name to new or modified products in a new category.

Source: Principle of Marketing by Kotler and Armstrong

New Brands

If the power of existing brand name is fading, a new brand name is needed.

Source: Principle of Marketing by Kotler and Armstrong



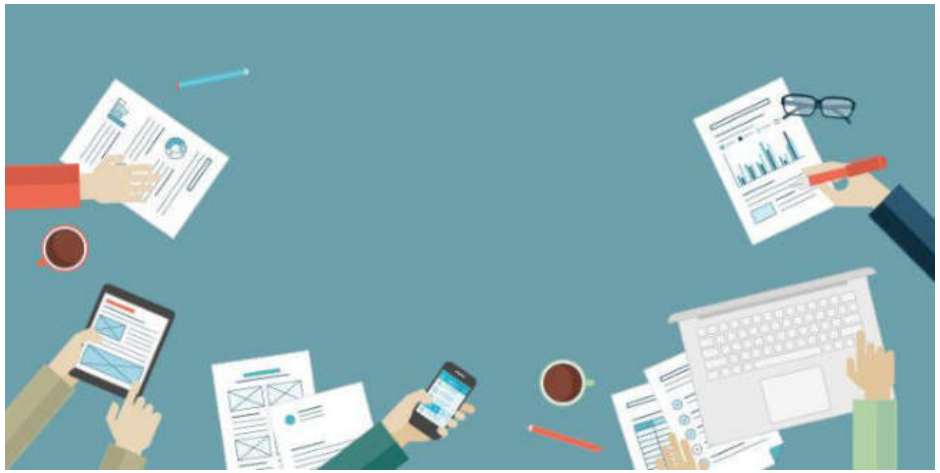
Theme 11a – Slides

Topic 146

THE MANAGEMENT ASPECTS FOR ENTREPRENEURIAL VENTURE

Agenda of the video

Management aspects of ventures



Management related considerations

Decision-Making

Leadership behavior

Management related considerations

Organizational structure and processes

Clusters & networks

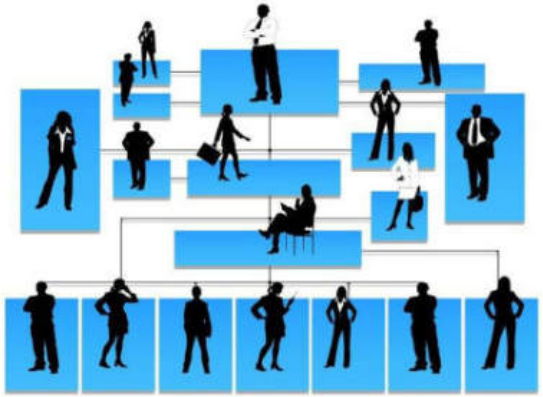
Management related considerations

Creating resilience

Technological systems

Management related considerations

Departmentalization



HR policies

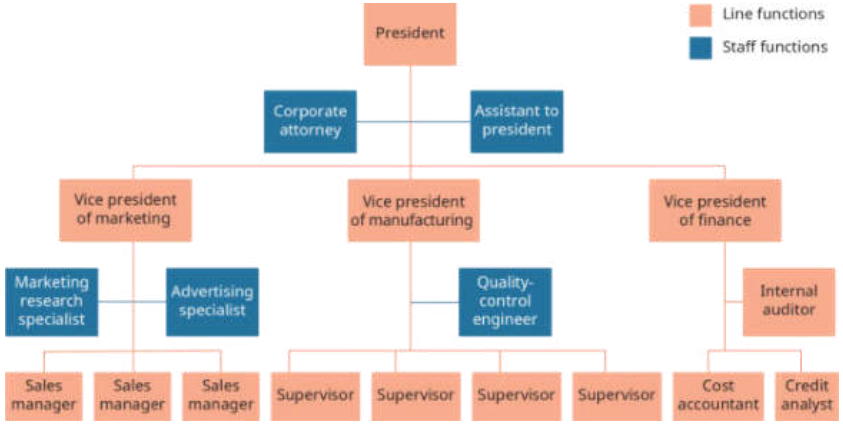
Topic 147

ORGANIZATIONAL STRUCTURES

Agenda of the video

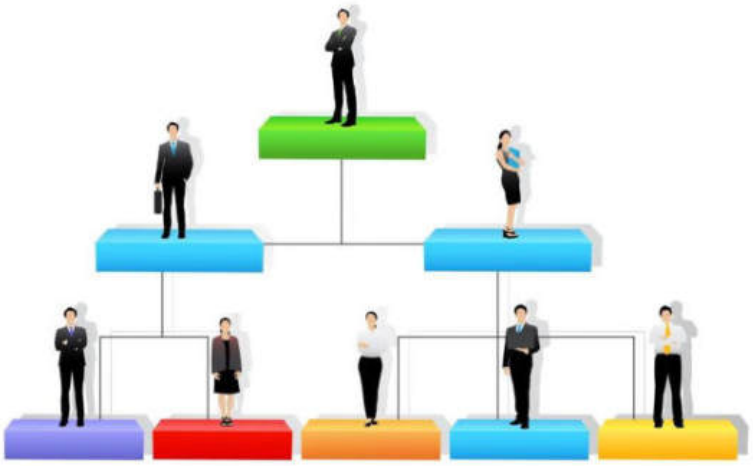
Multiple organizational structures

How it is different from a large setup ?



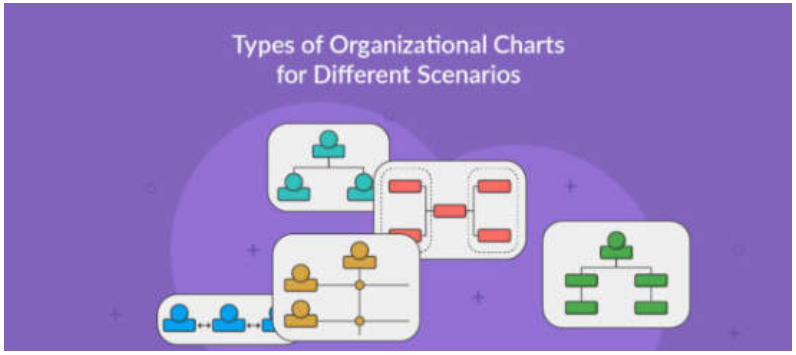
What is organizational Structure ?

A visual presentation of a company's structure shows what employees do, decision making style, span of control, and chain of command.



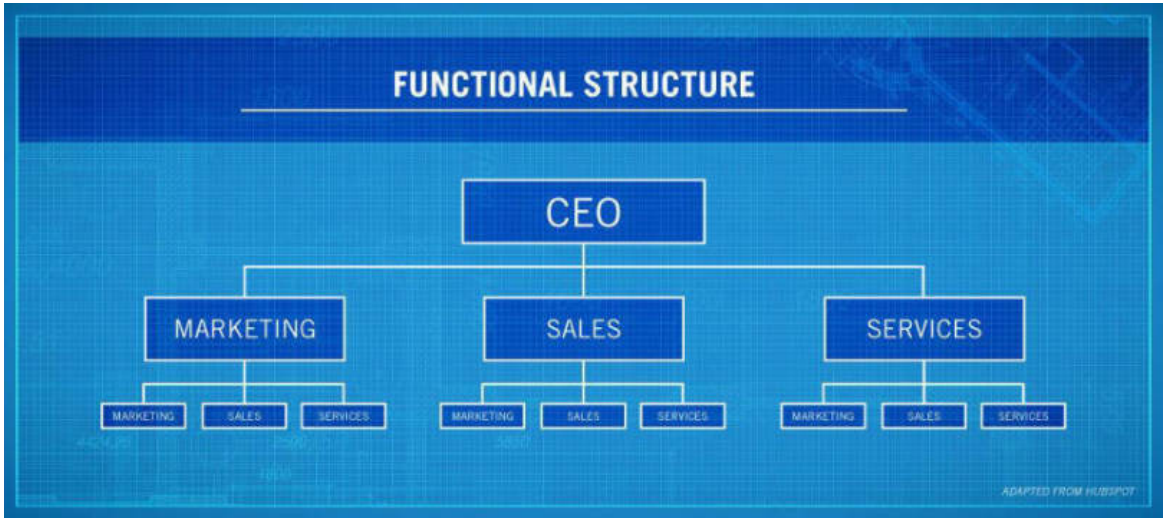
What is organizational Structure ?

Organizational structures are classified in terms of functions, products, markets, and geographical location.



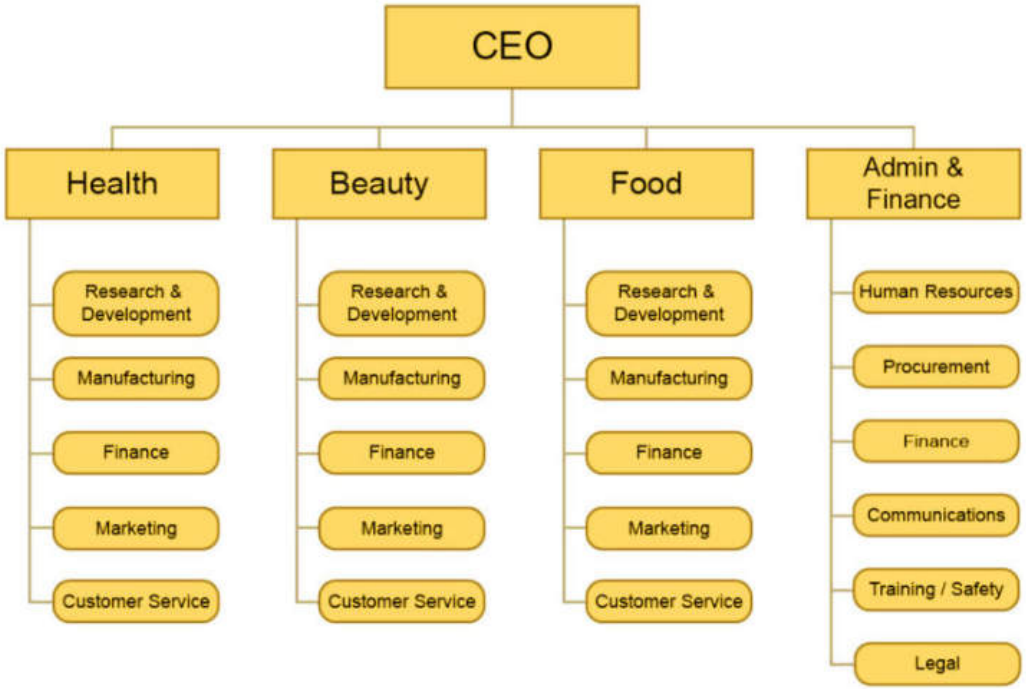
1. Functional Organizational Structure

It departmentalizes an organization based on common job functions e.g. marketing, finance, human resource, management, operational and IT



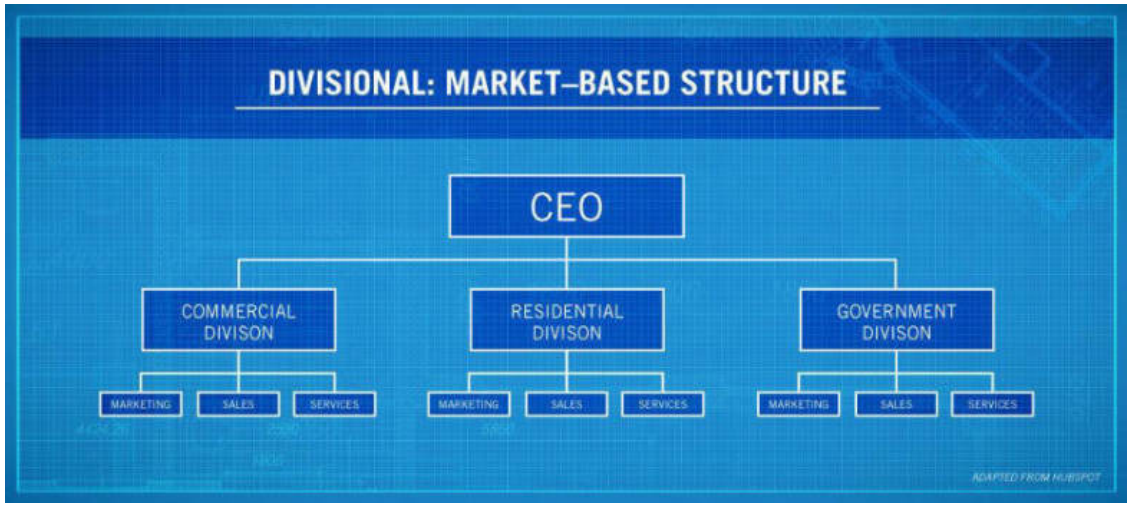
2. Product-Based Structure

It divides organizational structure based on products. It is ideal for organizations with multiple specialized products



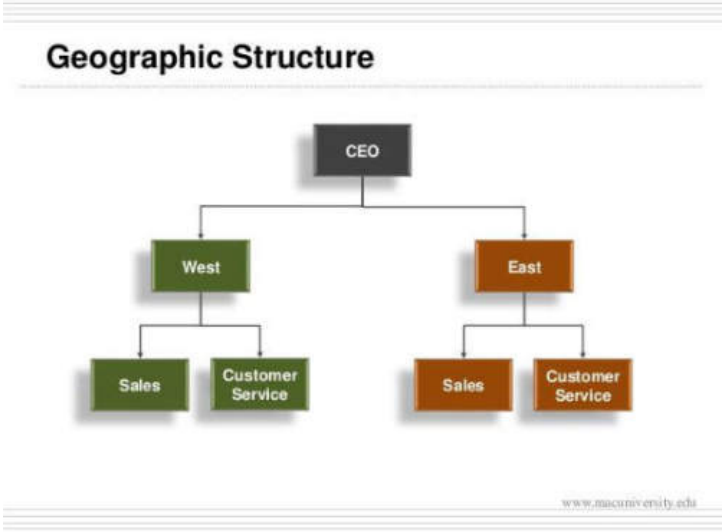
3. Market-Based Structure

Divisions of an organizational structure on the basis on industries, markets, or customers



4. Geographical Structure

Divisions of an organizational structure on the basis of geography

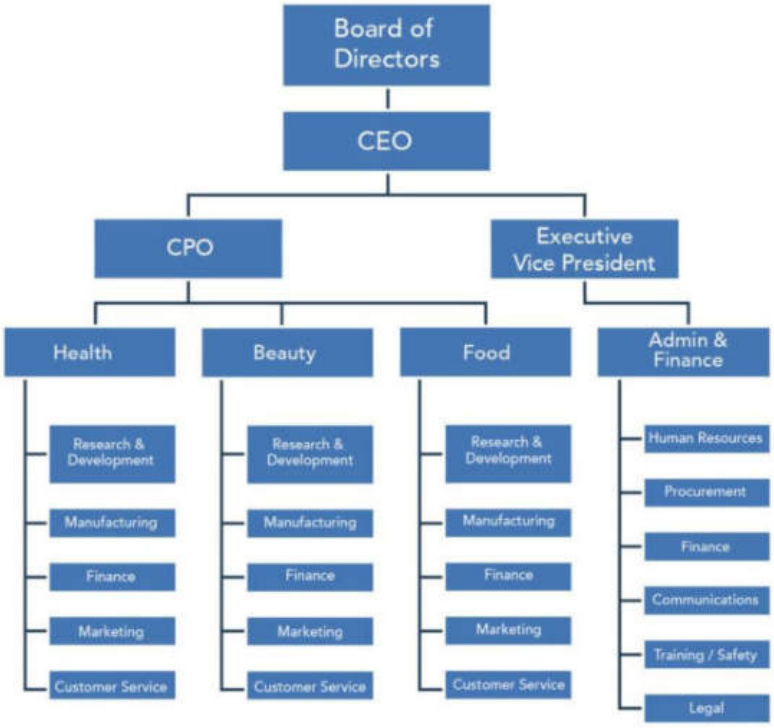


6. Flat Structure

Employees are only a few steps away from senior leadership and decision making is centralized.

7. Tall Structure

Multiple lyres of reporting and decentralized decision making.



How it is different from a large setup?

1. Blur organizational structures

2. Centralized decision making

3. Multiple roles of managers

How it is different from a large setup?

4. Need for growing firms

5. Lack of R&D and human resource development

6. Flexibility of organizational structure

Topic 148

LEGAL FORM OF BUSINESS (PART 1)

Agenda of the video

Legal forms of the business

a. Sole proprietorship

b. Partnership

c. Corporation (public or private)

d. Nonprofit organization

Sole Proprietorship

A business owned by one person, who bears unlimited liability for the enterprise.

Sole Proprietorship Characteristics

- ✓ Entrepreneur owns and manage the business

- ✓ Single ownership of venture

Sole Proprietorship Characteristics

- ✓ Easy to form

- ✓ Proprietor and Proprietorship are the same entity

- ✓ Small scale

Sole Proprietorship Characteristics

- ✓ Tax on Proprietor’s income

- ✓ Unlimited lability

Partnership

A legal entity formed by two or more co-owners to carry on a business for profit.

Partnership at will

Life of the partnership depends upon the will of the partners.

Particular Partnership

Partnership formed for a particular purpose. It is dissolved automatically at the achievement of the purpose.

Limited Partnership

Limited partnership is that in which liabilities of some partners are limited up to the amount of their capitals. In this partnership, there is at least one partner who has unlimited liability.

Governing law for partnership

Partnership Act, 1932
Weblink:
https://www.sja.gos.pk/assets/BareActs/PARTNERSHIP%20ACT.1932.pdf

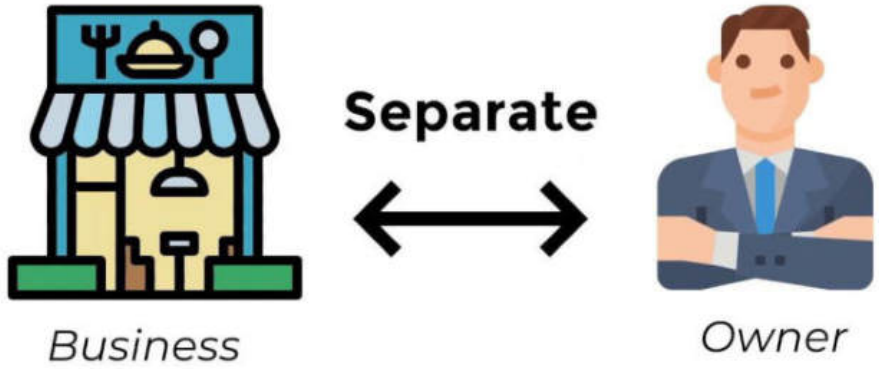
Limited Liability Partnership Act, 2017
Weblink: http://www.na.gov.pk/uploads/documents/1495167657_973.pdf

Limited Liability Partnership Act 2017

Separate legal personality

A limited liability partnership shall be a body corporate by registration under this Act and shall be a legal entity separate from its partners.

Limited Liability Partnership Act, 2017



Limited Liability Partnership Act 2017

Perpetual succession

A limited liability partnership shall have perpetual succession
Any change in the partners of a limited liability partnership shall not affect the existence, rights or liabilities of the Limited Liability Partnership.

Limited Liability Partnership Act, 2017

Acronym “LLP”

Unlimited liability in case of fraud

In the event of an act carried out by, a limited liability partnership or any of its partners, with intent to defraud creditors of the limited liability partnership or any other person or for any fraudulent purpose, the liability of the limited liability partnership and partners who acted with intent to defraud creditors or for any fraudulent purpose shall be unlimited for all or any of the debts or other labilities of the limited liability partnership.

Limited Liability Partnership Act, 2017

Topic 149

LEGAL FROM OF BUSINESS (PART 2)

Agenda of the video

Nonprofit organizations

Corporations (public or private)

What is a Nonprofit Organization?

A nonprofit organization is a business that has been granted tax-exempt status because it furthers a social cause and provides a public benefit.

What is a Nonprofit Organization?

Donations made to a nonprofit organization are typically tax-deductible to individuals and businesses that make them.

What is a Nonprofit Organization?

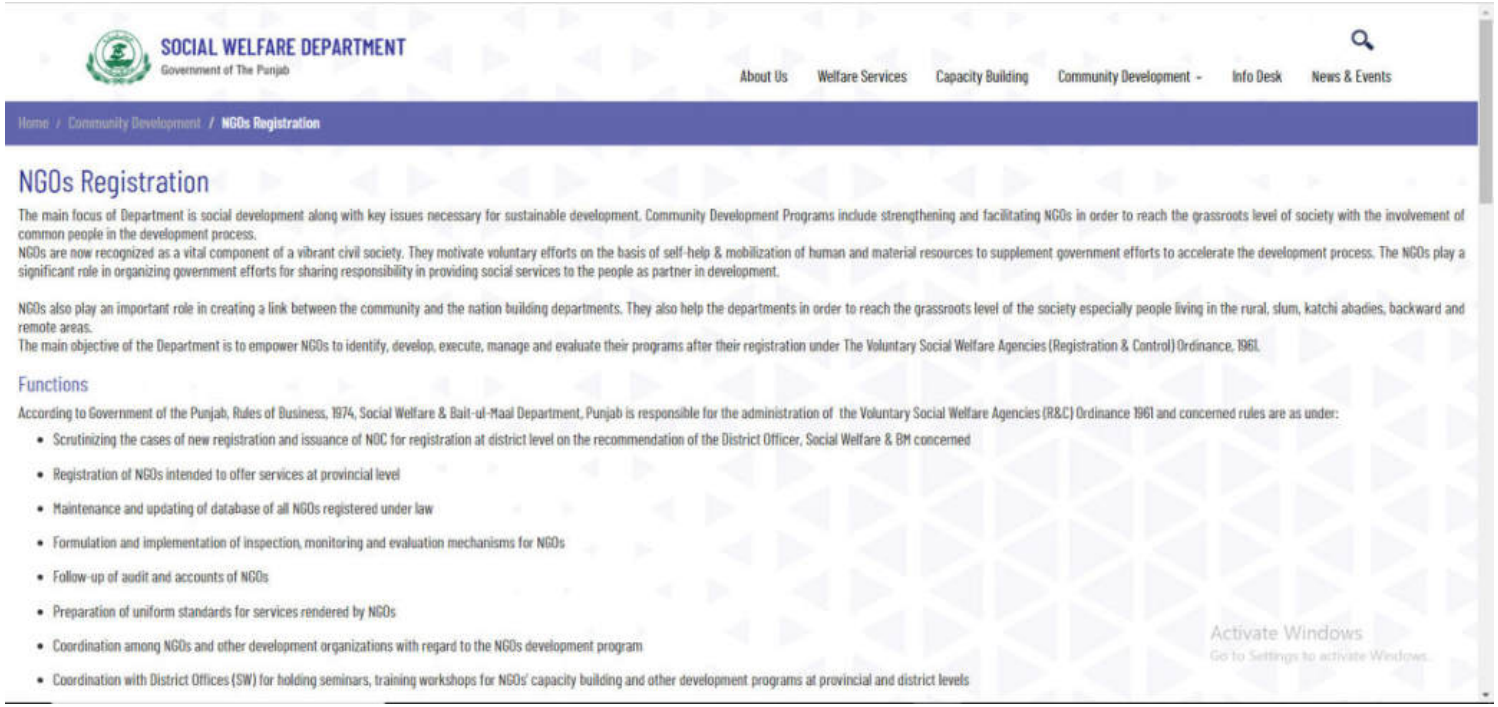
The nonprofit itself pays no tax on the received donations or on any other money earned through fundraising activities.

Edhi Foundation

Source of information for registration of NGOs in Punjab, Pakistan

Social Welfare Department, Government of Punjab

URL: https://swd.punjab.gov.pk/ngos_registration



Social Welfare Department provides guidelines for the registration of NGOs under Voluntary Social Welfare Agencies Registration and Control Ordinance 1961.

Guidelines

As per new SoPs issued vide notification No. DSW-DD(NGOs)DT&DP/2017-5479-93 dated 27 March 2017, following are the guidlines for the registration of NGOs under Voluntary Social Welfare Agencies (Registration and Control Ordinance 1961):

Procedure for Registration

The procedure for registration is as follows:

- Persons intended to apply for registration of NGO with the department shall obtain copy of Model Constitution including prescribed format of application from Deputy Director, Social Welfare and Bait-ul-Maal of concerned district after paying Rs. 1000/- as fee and get a receipt.
- Applicants shall be further directed towards concerned Area Office i.e.Rural Community Development Project, Community Development Project, Urban Community Development Project as the case may be to prepare registration case with the help of Social Welfare Officer (hereinafter referred as Area Officer).
- Area Officer concerned shall visit the office of NGO for preparation of feasibility report under the Instructions issued on 29th October, 1982 and additional instructions issued on 01-04-15.
- Area Officer concerned shall submit the registration case to Deputy Director, Social Welfare and Bait-ul-Maal by completing all codal formalities with his/her recommendations contained in feasibility report regarding registration or non-registration of NGO.
- Deputy Director concerned shall also visit the office of NGO, prepare its own report and if satisfied shall recommend and forward complete registration case to the concerned Divisional Director, Social Welfare and Bait-ul-Maal to offer Special Recommendation and get approval/NOC from Directorate General of Social Welfare and Bait-ul-Maal, Punjab.
- Divisional Director concerned shall examine the case of registration of NGO and if satisfied shall offer Special Recommendation to the members of NGO and forward case for seeking approval/NOC from Directorate General of Social Welfare and Bait-ul-Maal, Punjab. In case of dissatisfaction, he may communicate observations to the concerned Deputy Director.
- In case, concerned Divisional Director intends to verify the particulars of members of NGO from Special Branch of Police, he/she will direct concerned Deputy Director to submit particulars of members of NGO on prescribed format and forward the same to Directorate General, Social Welfare and Bait-ul-Maal, Punjab. The registration case should be completed otherwise and particulars of members of NGO shall not be forwarded separately.
- Deputy Director (NGOs) shall scrutinize all documents and submit the case to Director General, Social Welfare and Bait-ul-Maal, Punjab to get approval/NOC except the cases whereupon verification of particulars of members of NGO is required. If the case is incomplete otherwise, the Directorate General, Social Welfare and Bait-ul-Maal,Punjab may communicate to the Divisional Directors for removal of observations prior to issuance of approval/NOC.
- Director General, Social Welfare and Bait-ul-Maal, Punjab shall approve or disapprove the case for NOC on the basis of reasons recorded in black and white.
  On approval of Director General, Deputy Director (NGOs) shall issue NOC along with complete registration case to the Divisional Director concerned. An intimation copy of the same shall also be issued in favour of President of the NGO.
- Deputy Director concerned shall issue the registration certificate to NGO on prescribed format after receiving approval/NOC through Divisional Director after recording all particulars in Form D as provided under Rule 8 of Rules, 1962.
- After issuing a Registration Certificate, the same along with verified documents of registration case, Deputy Director concerned shall forward a copy of these to Divisional Director and Deputy Director (NGOs) for the record.

Activate Windows
Go to Settings to activate Windows.

Category of NGO

Local Level
District Level
Divisional Level
Provincial Level

Company Registration in Pakistan

SECP (Securities and Exchange Commission of Pakistan) handles all the company registration process in Pakistan.

URL: https://eservices.secp.gov.pk/eServices/

Company Registration in Pakistan

- ✓ Single Member Company (SMC)

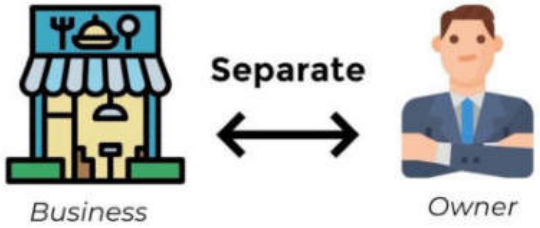
- ✓ Limited Liability Partnerships (LLP)

- ✓ Private Limited Company (LLC)

- ✓ Public Company

Single Member Company (SMC)

- ✓ Comprising of 1 owner (Director / Member
- ✓ Holds a separate legal entity
- ✓ Introduced in Companies Act 2017 to facilitate the sole proprietors to form a separate legal entity



Limited Liability Partnerships (LLP)

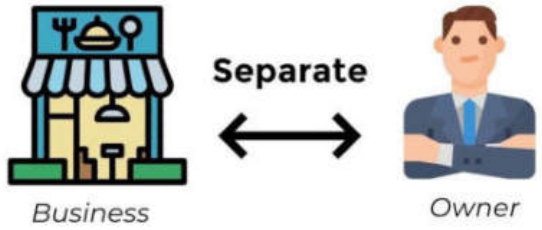
- ✓ Can be registered by two or more persons

- ✓ Members enter into an agreement to carry a lawful business after being registered with the Security Exchange Commission Pakistan (SECP) as an LLP.

SECP
Securities and Exchange Commission of Pakistan

Limited Liability Partnerships (LLP)

- ✓ This form of company registration was introduced in May 2018 by SECP to give the business a legal status which is separated from their partners.



- ✓ It allows the partners to organize their internal management on the basis of mutual agreement while enjoying the benefits of limited liability company.

Private Limited Company (LLC)

- ✓ A corporation formed by two or more people
- ✓ Registered with Security Exchange Commission Pakistan (SECP)
- ✓ Not allowed to offer their shares to the public.
- ✓ Liability of the shareholders are limited to their invested amounts only

Public Limited Company

- ✓ Offers their shares to the public.
- ✓ Shares are traded in the stock exchange
- ✓ Buyers of the shares have the limited liability
- ✓ Accounts of the public limited companies are audited and are made available to the public for the information

Theme 11b – Slides

Topic 152

Introduction to Financial Management

Financial Management

What is financial management ?

Financial management deals with two things:

- Raising money; and
- Managing a firm's finances

Financial Management

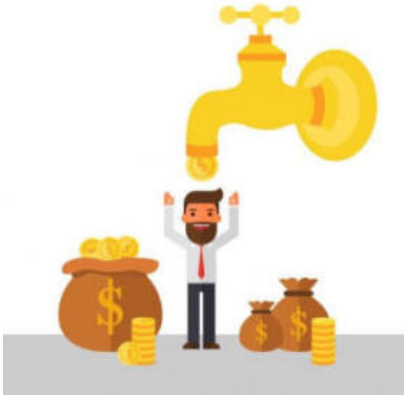
What is the ultimate goal of financial management?

For achieving the highest rate of return

Financial Management

Leading concerns of Financial Management

- How are we doing? Are we making or losing money?
- How much cash do we have on hand?
- Do we have enough cash to meet our short-term obligations?



Financial Management

Leading concerns of Financial Management

- How efficiently are we utilizing our assets?
- How does our growth and net profits compare to those of our industry peers?
- Where will the funds we need for capital improvements come from?

Topic 153

Financial objectives of the firm

Financial Objectives of a Firm

What are the main objective of financial management of a business ?

- Profitability
- Liquidity
- Efficiency
- Stability

How you define profitability ?

Profitability is defined as:
A company's ability to make profit.

How you define liquidity ?

Liquidity is defined as:
A company's ability to meet its short-term obligations.

How you define Efficiency ?

Efficiency is defined as:

How productively a firm utilizes its assets?

How you define Stability ?

Stability is defined as:

The overall health of the financial structure of the firm, particularly as it relates to its debt-to-equity ratio.

Topic 154

Financial Management Process

What is Financial Management Process?

Financial Statements

Balance Sheet

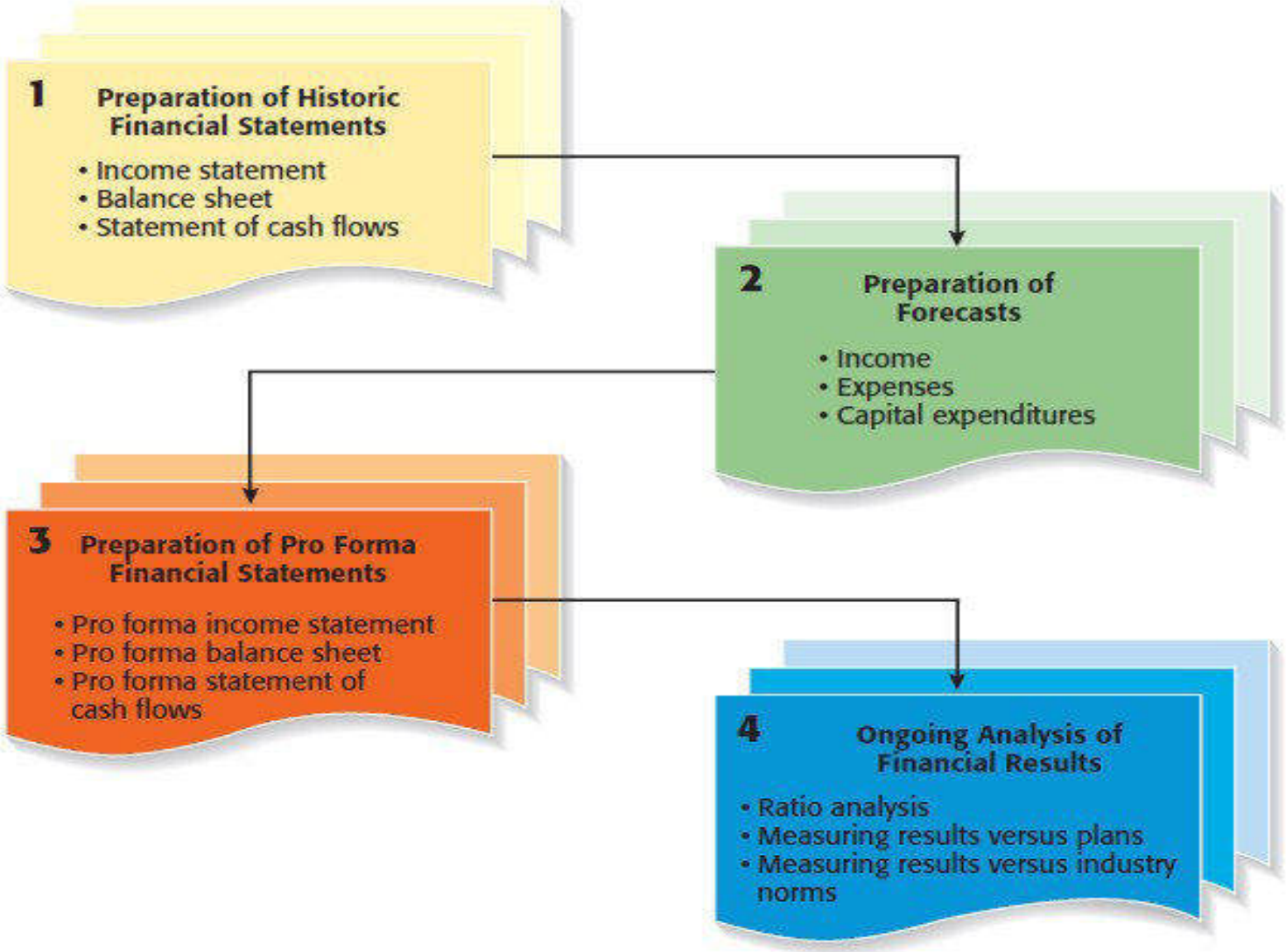
Income Statement

Cash flow statement

Forecasts

Market forecast

Financial Management Process



Financial Management Process

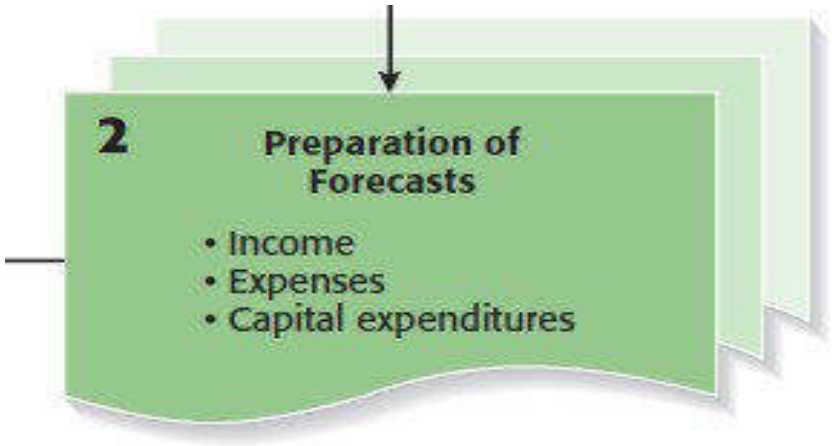
What statement are included in historic financial statement ?

1 Preparation of Historic Financial Statements

- Income statement
- Balance sheet
- Statement of cash flows

Financial Management Process

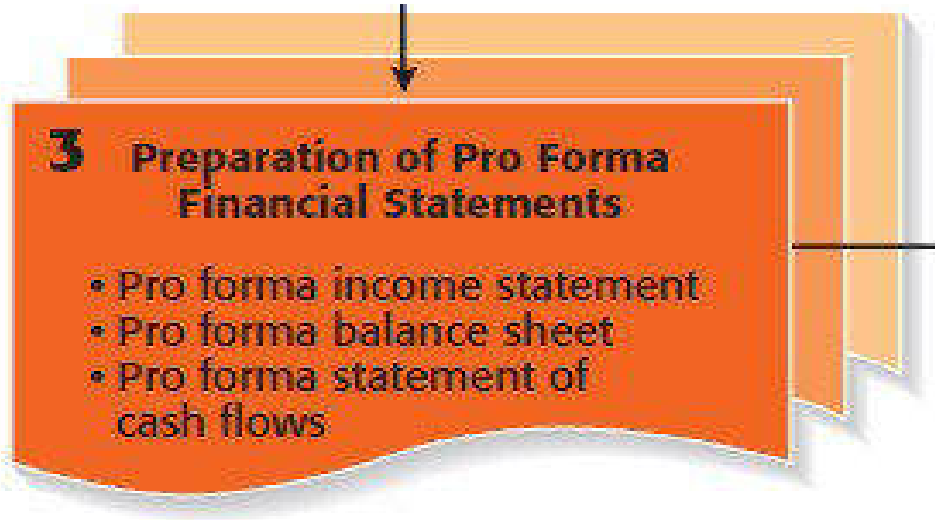
How we forecast our financial needs for business ?



Market forecast

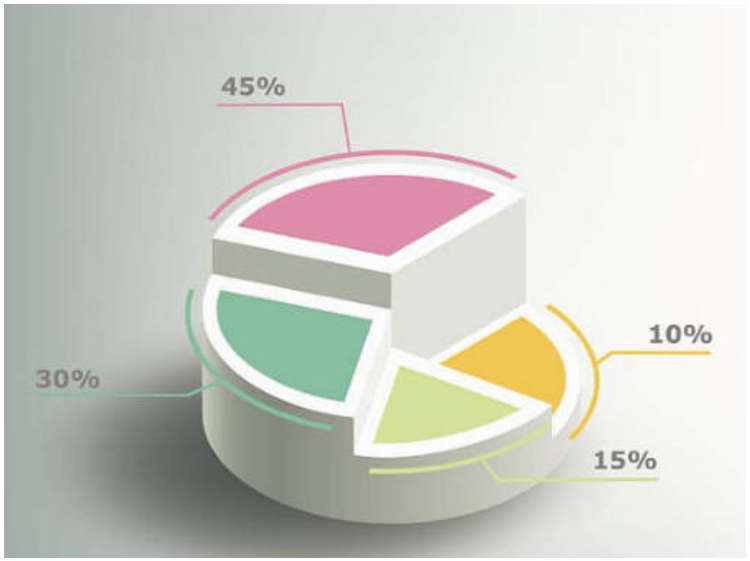
Financial Management Process

How pro forma statements are different from the historic statements?



Financial Management Process

How is further analysis conducted on the financial results?



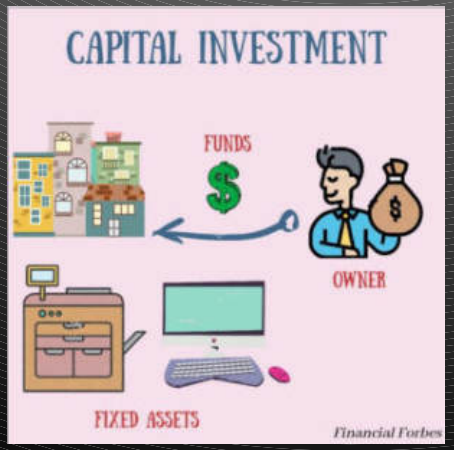
Topic 155

Need for financing

Need of Financing or Funding

Cash Flow Challenges

Capital Investments



Lengthy Product Development Cycles

Alternatives for Raising Money
(For New Ventures)

Personal Funds

Equity Capital

Alternatives for Raising Money
(For New Ventures)

Debt Financing

Creative Sources

Topic 156

Sources of Personal Financing

Sources of Personal Financing

- Personal Funds

- Friends and Family

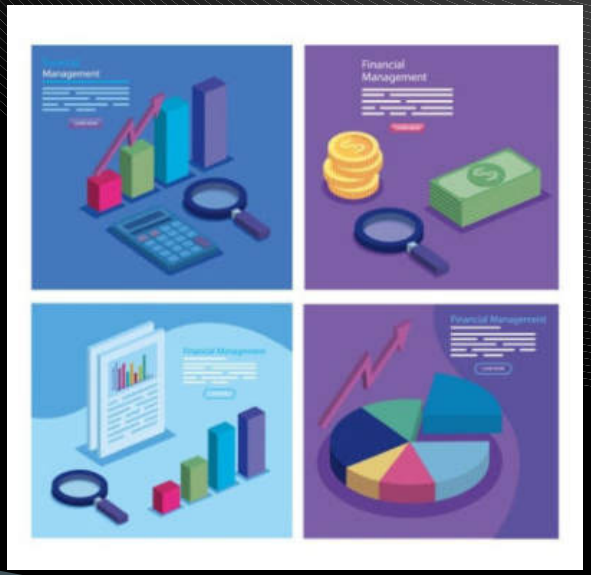
- Bootstrapping

Sources of Personal Financing

- Personal Funds

Cautions

Avoid incorrect estimation



Sources of Personal Financing

- Friends and Family

Cautions

1. Explain the risk involved

2. Documentation

3. Take the extra saved money instead of actual income

Sources of Personal Financing

Bootstrapping

Examples of Bootstrapping

- Buy used instead of new equipment
- Coordinate purchases with other businesses
- Leasing equipment instead of buying
- Obtaining payments in advance from customers
- Minimizing personal expenses
- Avoiding unnecessary expenses
- Buying items cheaply but prudently
- Sharing office space or employees with other business
- Hiring interns

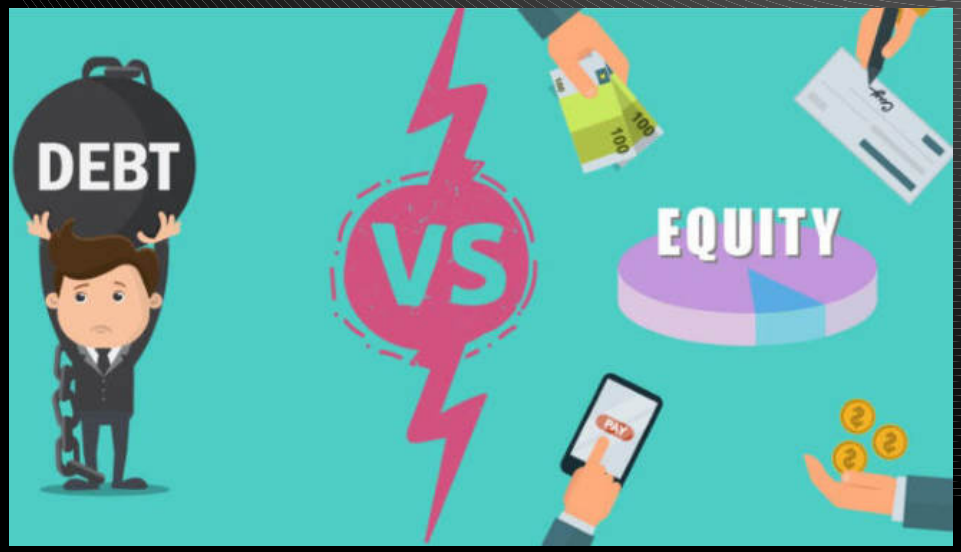
Topic 157

Raising Debt or Equity Financing

Raising Debt or Equity Financing

Step 1:

- Determine precisely how much money is needed



Raising Debt or Equity Financing

Step 2:

- Determine the type of financing or funding that is the most appropriate

Raising Debt or Equity Financing

Step 3:

- Develop a strategy for engaging potential investors

Sources of Equity Financing

- Venture Capital
- Business Angels
- Initial Public Offering (IPO)

Sources of Debt Financing

- Commercial Banks
- Loans from Friends and Family

Sources of Debt Financing

- Credit Cards
- Peer-to-Peer Lending Networks
- Organizations that lend money specific groups

Topic 158
Creative Sources of financing

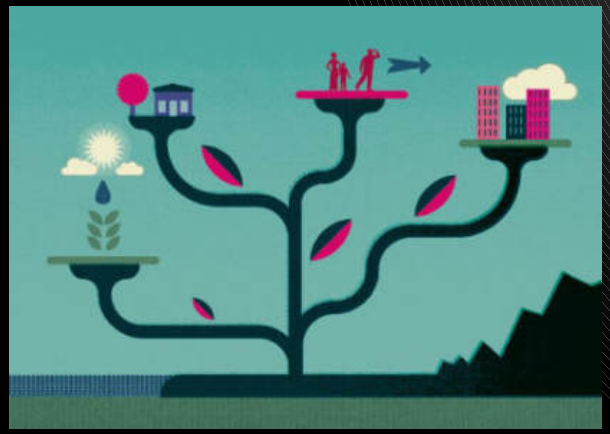
Creative Source of Financing

Leasing

Small business innovation grants

Creative Source of Financing

Grants for resolving social issues



Other grant programs including government grants

Creative Source of Financing

Strategic partners

How to decide which type of financing is more suitable for a certain type of business?

Characteristics of the Venture	Appropriate Source of Financing or Funding
The business has high risk with an uncertain return:	Personal funds, friends, family, and other forms of bootstrapping
Weak cash flow	
High leverage	
Low-to-moderate growth	
Unproven management	
The business has low risk with a more predictable return:	Debt financing
Strong cash flow	
Low leverage	
Audited financials	
Good management	
Healthy balance sheet	
The business offers a high return:	Equity
Unique business idea	
High growth	
Niche market	
Proven management	

Topic 159

Financial Statements

Financial Statements

- Historical Financial Statements

- Pro Forma Financial Statements

Financial Statements

Historical Financial Statements

- Reflect past performance
- Prepared on a quarterly and annual basis.
- Required by SEC

Financial Statements

Pro Forma Financial Statements

- Projections for future periods based on forecasts
- Typically completed for two to three years in the future.
- Just a planning tool
- Not Required by SEC

Historical Financial Statements

Financial Statement	Purpose
Income Statement	Reflects the results of the operations of a firm over a specified period of time. It records all the revenues and expenses for the given period and shows whether the firm is making a profit or is experience a loss.

Historical Financial Statements

Financial Statement	Purpose
Balance Sheet	Is a snapshot of a company's assets, liabilities, and owners' equity at a specific point in time.

Historical Financial Statements

Financial Statement	Purpose
Statement of Cash Flows	Summarizes the changes in a firm's cash position for a specified period of time and details why the changes occurred.

Topic 160

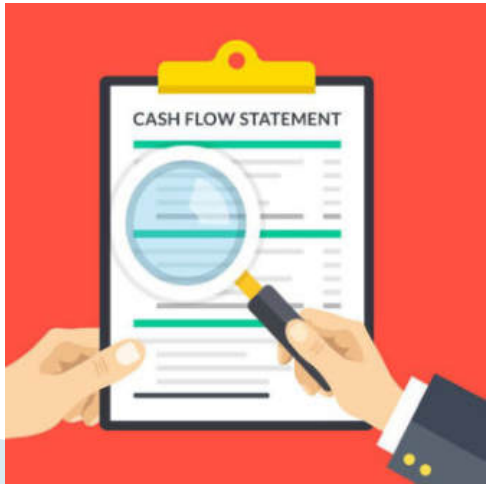
Historical Income Statements

Sequence of Financial Statements

Income Statements

Balance Sheet

Statement of Cash Flows



Historical Income Statements

(For the period ending.....)

Particulars	December 31, 2018 (Rs. in Thousands)	December 31, 2017	December 31, 2016
Net Sales	58,660	46,310	36,890
Cost of Sales	26,890	22,550	20,150
Gross Profit	31,770	23,760	16,740
Operating Expenses			
Selling, General & Administrative Expenses	11,780	10,470	9,020
Depreciation	1,350	590	510
Operating Income	18,640	12700	7,210
Other Income	190	80	110
Earnings before Interest and Tax (EBIT)	18,830	12,780	7,320
Interest Expense	5,500	3,980	1,956
Income before Income Taxes	13,330	8,800	5,364
Income Tax Expense	4,666	3,080	1,877
Net Income (Profit after Tax)	**8,664**	**5,720**	**3,487**
Earnings per Share	86.64	57.20	34.87

Historical Income Statements

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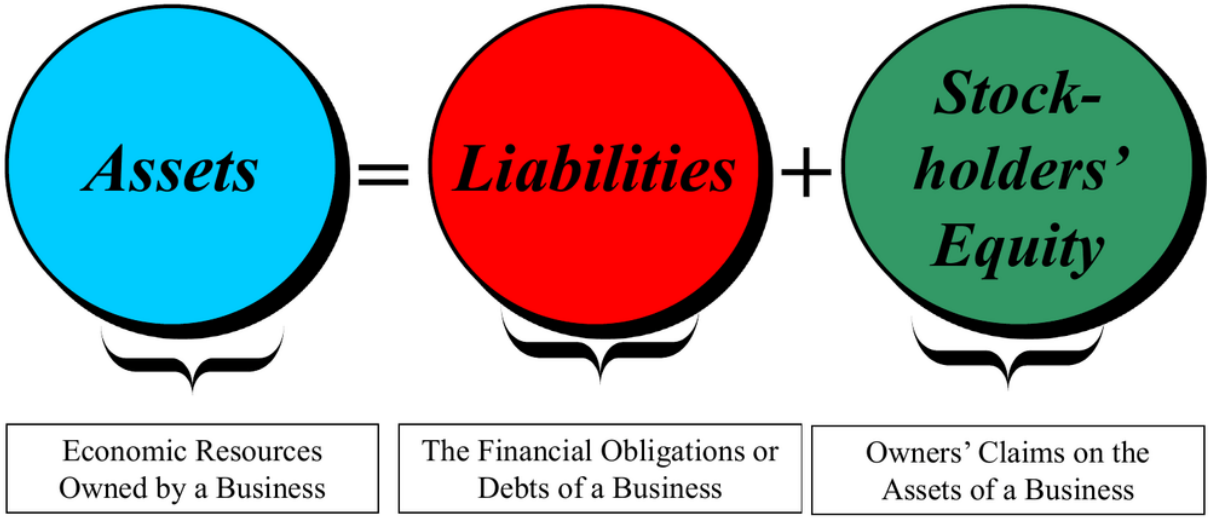
Topic 161

Historical Balance Sheets

The Basic Accounting Equation



Historical Balance Sheets

ASSETS	December 31, 2018 (Rs. in Thousands)	December 31, 2017	December 31, 2016
Current Assets			
Cash and Cash Equivalents	5,764	9,280	5,650
Accounts Receivables	3,960	4,890	5,020
Inventories	1,920	2,040	2,140
Total Current Assets	***11,644***	***16,210***	***12,810***
Fixed Assets			
Land	26,000	16,000	16,000
Buildings and Equipment	41,200	26,150	14,900
Total Fixed Assets	67,200	42,150	30,900
Less: Accumulated Depreciation	6,500	5,150	4,560
Net Fixed Assets	***60,700***	***37,000***	***26,340***
Total Assets	**72,344**	**53,210**	**39,150**

Historical Balance Sheets

ASSETS	December 31, 2018 (Rs. in Thousands)	December 31, 2017	December 31, 2016
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Accounts Receivables	3,960	4,890	5,020
Inventories	1,920	2,040	2,140
Total Current Assets	***11,644***	***16,210***	***12,810***
Fixed Assets			
Land	26,000	16,000	16,000
Buildings and Equipment	41,200	26,150	14,900
Total Fixed Assets	67,200	42,150	30,900
Less: Accumulated Depreciation	6,500	5,150	4,560
Net Fixed Assets	***60,700***	***37,000***	***26,340***
Total Assets	**72,344**	**53,210**	**39,150**

Historical Balance Sheets

ASSETS	December 31, 2018 (Rs. in Thousands)	December 31, 2017	December 31, 2016
Current Assets			
Cash and Cash Equivalents	5,764	9,280	5,650
Accounts Receivables	3,960	4,890	5,020
Inventories	1,920	2,040	2,140
Total Current Assets	***11,644***	***16,210***	***12,810***
Fixed Assets			
Land	26,000	16,000	16,000
Buildings and Equipment	41,200	26,150	14,900
Total Fixed Assets	67,200	42,150	30,900
Less: Accumulated Depreciation	6,500	5,150	4,560
Net Fixed Assets	***60,700***	***37,000***	***26,340***
Total Assets	**72,344**	**53,210**	**39,150**

Historical Balance Sheets

ASSETS	December 31, 2018 (Rs. in Thousands)	December 31, 2017	December 31, 2016
Current Assets			
Cash and Cash Equivalents	5,764	9,280	5,650
Accounts Receivables	3,960	4,890	5,020
Inventories	1,920	2,040	2,140
Total Current Assets	***11,644***	***16,210***	***12,810***
Fixed Assets			
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Net Fixed Assets	***60,700***	***37,000***	***26,340***
Total Assets	**72,344**	**53,210**	**39,150**

Historical Balance Sheets

LIABILITIES & EQUITY	December 31, 2018 (Rs. in Thousands)	December 31, 2017	December 31, 2016
Current Liabilities			
Accounts Payable	3,020	4,690	5,040
Accrued Expenses	990	800	410
Long-term Liabilities			
Long-term Debt	24,950	13,000	11,100
Total Liabilities	***28,960***	***18,490***	***16,550***
Shareholders' Equity			
Common Stock (100,000 Shares)	1,000	1,000	1,000
Retained Earnings	42,384	33,720	21,600
Total Shareholders' Equity	***43,384***	***34,720***	***22,600***
Total Liabilities & Shareholders' Equity	**72,344**	**53,210**	**39,150**

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LIABILITIES & EQUITY	December 31, 2018 (Rs. in Thousands)	December 31, 2017	December 31, 2016
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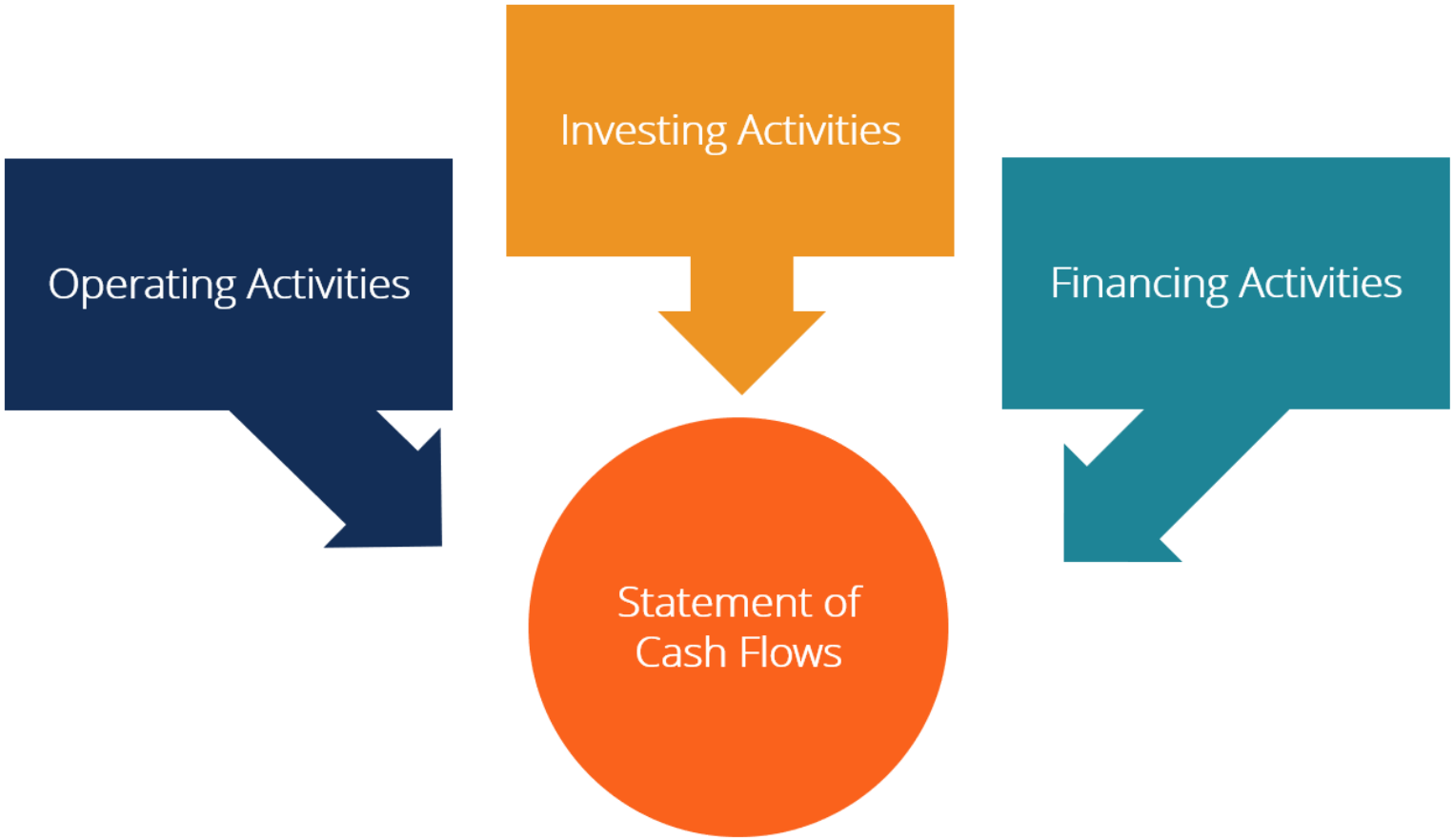
Total Liabilities & Shareholders' Equity	**72,344**	**53,210**	**39,150**

Topic 162

Historical Statement of Cash Flows

Components of Statement of Cash Flows



Historical Statement of Cash Flows

(For the period ending.....)

Particulars	December 31, 2018 (Rs. in Thousands)	December 31, 2017
Cash Flows from Operating Activities		
Net Income	8,664	5,720
Add: (sources of cash)		
Depreciation	1,350	590
Decrease in Accounts Receivables	930	130
Increase in Accrued Expenses	190	390
Decrease in Inventory	120	100
Less: (uses of cash)		
Decrease in Accounts Payables	(1,670)	(350)
Total Adjustments (sources - uses)	920	860
Net Cash Flow from Operating Activities	**9,584**	**6,580**
Cash Flows from Investing Activities		
Purchase of Land	(10,000)	0
Purchase of Building & Equipment	(15,050)	(11,250)
Net Cash Flow from Investing Activities	**(25,050)**	**(11,250)**
Cash Flows from Financing Activities		
Proceeds from increase in long-term debt	11,950	8,300
Net Cash Flow from Financing Activities	**11,950**	**8,300**
Increase (Decrease) in Cash	**(3,516)**	**3,630**
Cash and Cash Equivalents at the beginning of year	9,280	5,650
Cash and Cash Equivalents at the end of year	**5,764**	**9,280**

Historical Statement of Cash Flows

(For the period ending.....)

Particulars	December 31, 2018 (Rs. in Thousands)	December 31, 2017
Cash Flows from Operating Activities		
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Purchase of Building & Equipment		
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Proceeds from increase in long-term		
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Income Statement

Particulars	December 31, 2018 (Rs. in Thousands)	December 31, 2017 (Rs. in Thousands)	December 31, 2016 (Rs. in Thousands)
Net Sales	58,660	46,310	36,890
Cost of Sales	26,890	22,550	20,150
Gross Profit	31,770	23,760	16,740
Operating Expenses			
Selling, General & Administrative Expenses	11,780	10,470	9,020
Depreciation	1,350	590	510
Operating Income	18,640	12700	7,210
Other Income	190	80	110
Earnings before Interest and Tax (EBIT)	18,830	12,780	7,320
Interest Expense	5,500	3,980	1,956
Income before Income Taxes	13,330	8,800	5,364
Income Tax Expense	4,666	3,080	1,877
Net Income (Profit after Tax)	**8,664**	**5,720**	**3,487**

Historical Statement of Cash Flows

(For the period ending.....)

Particulars	December 31, 2018 (Rs. in Thousands)	December 31, 2017
Cash Flows from Operating Activities		
Net Income	8,664	5,720
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Cash and Cash Equivalents at the end of year	**5,764**	**9,280**

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(For the period ending.....)

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Purchase of Building & Equipment		
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Increase (Decrease) in Cash		
Cash and Cash Equivalents at the beginning of year	9,280	5,650
Cash and Cash Equivalents at the end of year	**5,764**	**9,280**

Balance Sheet

ASSETS	December 31, 2018 (Rs. in Thousands)	December 31, 2017 (Rs. in Thousands)	December 31, 2016 (Rs. in Thousands)
Current Assets			
Cash and Cash Equivalents	5,764	9,280	5,650
Accounts Receivables	3,960	4,890	5,020
Inventories	1,920	2,040	2,140
Total Current Assets	***11,644***	***16,210***	***12,810***
Fixed Assets			
Land	26,000	16,000	16,000
Buildings and Equipment	41,200	26,150	14,900
Total Fixed Assets	67,200	42,150	30,900
Less: Accumulated Depreciation	6,500	5,150	4,560
Net Fixed Assets	***60,700***	***37,000***	***26,340***
Total Assets	**72,344**	**53,210**	**39,150**

Historical Statement of Cash Flows

(For the period ending.....)

Particulars	December 31, 2018 (Rs. in Thousands)	December 31, 2017
Cash Flows from Operating Activities		
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Cash and Cash Equivalents at the end of year	**5,764**	**9,280**

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Total Assets	**72,344**	**53,210**	**39,150**

4,890 – 3,960 = 930

Historical Statement of Cash Flows

(For the period ending.....)

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Net Cash Flow from Investing Activities	**(25,050)**	**(11,250)**
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Cash and Cash Equivalents at the end of year	**5,764**	**9,280**

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Balance Sheet

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Current Liabilities			
Accounts Payable	3,020	4,690	5,040
Accrued Expenses	990	800	410
Long-term Liabilities			
Long-term Debt	24,950	13,000	11,100
Total Liabilities	***28,960***	***18,490***	***16,550***
Shareholders' Equity			
Common Stock (100,000 Shares)	1,000	1,000	1,000
Retained Earnings	42,384	33,720	21,600
Total Shareholders' Equity	***43,384***	***34,720***	***22,600***
Total Liabilities & Shareholders' Equity	**72,344**	**53,210**	**39,150**

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990 – 800 = 190

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Cash and Cash Equivalents at the beginning of year	9,280	5,650
Cash and Cash Equivalents at the end of year	**5,764**	**9,280**

Historical Statement of Cash Flows

(For the period ending.....)

Particulars	December 31, 2018 (Rs. in Thousands)	December 31, 2017
Cash Flows from Operating Activities		
Net Income	8,664	5,720
Add: (sources of cash)		
Depreciation	1,350	590
Decrease in Accounts Receivables	930	130
Increase in Accrued Expenses	190	390
Decrease in Inventory	120	100
Less: (uses of cash)		
Decrease in Accounts Payables	(1,670)	(250)
Total Adjustments (sources – uses)		
Net Cash Flow from Operating		
Cash Flows from Investing Activities		
Purchase of Land		
Purchase of Building & Equipment		
Net Cash Flow from Investing		
Cash Flows from Financing Activities		
Proceeds from increase in long-term de		
Net Cash Flow from Financing		
Increase (Decrease) in Cash		
Cash and Cash Equivalents at the begi		
Cash and Cash Equivalents at the end of year		

Balance Sheet

ASSETS	December 31, 2018 (Rs. in Thousands)	December 31, 2017 (Rs. in Thousands)	December 31, 2016 (Rs. in Thousands)
Current Assets			
Cash and Cash Equivalents	5,764	9,280	5,650
Accounts Receivables	3,960	4,890	5,020
Inventories	1,920	2,040	2,140
Total Current Assets	***11,644***	***16,210***	***12,810***
Fixed Assets			
Land	26,000	16,000	16,000
Buildings and Equipment	41,200	26,150	14,900
Total Fixed Assets	67,200	42,150	30,900
Less: Accumulated Depreciation	6,500	5,150	4,560
Net Fixed Assets	***60,700***	***37,000***	***26,340***
Total Assets	**72,344**	**53,210**	**39,150**

Historical Statement of Cash Flows

(For the period ending.....)

Particulars	December 31, 2018 (Rs. in Thousands)	December 31, 2017
Cash Flows from Operating Activities		
Net Income	8,664	5,720
Add: (sources of cash)		
Depreciation	1,350	590
Decrease in Accounts Receivables	930	130
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Total Assets	**72,344**	**53,210**	**39,150**

2,040 – 1,920 = 120

Historical Statement of Cash Flows

(For the period ending.....)

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Cash and Cash Equivalents at the end of year		

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(For the period ending.....)

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Decrease in Inventory	120	100
Less: (uses of cash)		
Decrease in Accounts Payables	(1,670)	(350)
Total Adjustments (sources - uses)	920	860
Net Cash Flow from Operating Activities	**9,584**	**6,580**
Cash Flows from Investing Activities		
Purchase of Land	(10,000)	0
Purchase of Building & Equipment	(15,050)	(11,250)
Net Cash Flow from Investing Activities	**(25,050)**	**(11,250)**
Cash Flows from Financing Activities		
Proceeds from increase in long-term debt	11,950	8,300
Net Cash Flow from Financing Activities	**11,950**	**8,300**
Increase (Decrease) in Cash	**(3,516)**	**3,630**
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Topic 163

Pro Forma Financial Statements

Pro forma Financial Statements

- Pro forma Financial Statements
  - A firm's pro forma financial statements are similar to its historical financial statements except that they look forward rather than track the past.
  - The preparation of pro forma financial statements helps a firm re-think its strategies and make adjustments if necessary.
  - The preparation of pro forma financials is also necessary if a firm is seeking funding or financing

Pro forma Financial Statements

Financial Statement	Purpose
Pro Forma Income Statement	Shows the projected results of the operations of a firm over a specific period.
Pro Forma Balance Sheet	Shows a projected snapshot of a company's assets, liabilities, and owner's equity at a specific point in time.
Pro forma Statement of Cash Flows	Shows the projected flow of cash into and out of a company for a specific period.

Pro forma Income Statements

Particulars	2018 ACTUAL		
Net Sales	58,660	82,124	102,655
Cost of Sales	26,890	37,646	47,058
Gross Profit	31,770	44,478	55,597
Operating Expenses			
Selling, General & Administrative Expenses	11,780	16,492	20,615
Depreciation	1,350	1,850	2,250
Operating Income	18,640	26,136	32,732
Other Income	190	200	200
Earnings before Interest and Tax (EBIT)	18,830	26,336	32,932
Interest Expense	5,500	6,417	5,956
Income before Income Taxes	13,330	19,919	26,976
Income Tax Expense	4,666	6,972	9,442
Net Income (Profit after Tax)	**8,664**	**12,947**	**17,534**
Earnings per Share	86.64	129.47	175.34

Pro forma Income Statements

Particulars	2018 ACTUAL		
Net Sales	58,660	82,124	102,655
Cost of Sales	26,890	37,646	47,058
Gross Profit	31,770	44,478	55,597
Operating Expenses			
Selling, General & Administrative Expenses	11,780	16,492	20,615
Depreciation	1,350	1,850	2,250
Operating Income	18,640	26,136	32,732
Other Income	190	200	200
Earnings before Interest and Tax (EBIT)	18,830	26,336	32,932
Interest Expense	5,500	6,417	5,956
Income before Income Taxes	13,330	19,919	26,976
Income Tax Expense	4,666	6,972	9,442
Net Income (Profit after Tax)	**8,664**	**12,947**	**17,534**
Earnings per Share	86.64	129.47	175.34

Pro forma Balance Sheets

Particulars	2018 ACTUAL		
Current Assets			
Cash and Cash Equivalents	5,764	4,724	7,404
Accounts Receivables	3,960	5,750	7,190
Inventories	1,920	3,290	4,100
Total Current Assets	***11,644***	***13,764***	***18,694***
Fixed Assets			
Land	26,000	26,000	36,000
Buildings and Equipment	41,200	51,200	68,700
Total Fixed Assets	67,200	77,200	104,700
Less: Accumulated Depreciation	(6,500)	(8,350)	(10,600)
Net Fixed Assets	***60,700***	***68,850***	***94,100***
Total Assets	**72,344**	**82,614**	**112,794**

Pro forma Balance Sheets

Particulars	2018 ACTUAL		
Current Assets			
Cash and Cash Equivalents	5,764	4,724	7,404
Accounts Receivables	3,960	5,750	7,190
Inventories	1,920	3,290	4,100
Total Current Assets	***11,644***	***13,764***	***18,694***
Fixed Assets			
Land	26,000	26,000	36,000
Buildings and Equipment	41,200	51,200	68,700
Total Fixed Assets	67,200	77,200	104,700
Less: Accumulated Depreciation	(6,500)	(8,350)	(10,600)
Net Fixed Assets	***60,700***	***68,850***	***94,100***
Total Assets	**72,344**	**82,614**	**112,794**

Pro forma Balance Sheets

Particulars	2018 ACTUAL		
Current Liabilities			
Accounts Payable	3,020	5,750	7,190
Accrued Expenses	990	1,200	1,400
Long-term Liabilities			
Long-term Debt	24,950	17,450	27,450
Total Liabilities	***28,960***	***24,400***	***36,040***
Shareholders' Equity			
Common Stock (100,000 Shares)	1,000	1,000	1,000
Retained Earnings	42,384	57,214	75,754
Total Shareholders' Equity	***43,384***	***58,214***	***76,754***
Total Assets	**72,344**	**82,614**	**112,794**

Topic 164

Ratio Analysis

Ratio Analysis

A tool used to determine the financial health or operational efficiency of a company.

Uses of Ratio Analysis

- *Inter-company Comparison*
- *Intra-company Comparison*
- *Establishing Future Trends*

Ratio Analysis *(Historical)*

Ratio	Formula	2018	2017	2016
Profitability Ratios: *associate the amount of income earned with the resources to generate it*				
Return on Assets	ROA = Net Income / Average Total Assets*	13.8%	12.4%	8.91%
Return on Equity	ROE = Net Income / Average Total Equity**	22.2%	20.0%	15.4%
Net Profit Margin	NPM = Net Income / Net Sales	14.8%	12.4%	9.45%
Liquidity Ratios:				
Current Ratio	CR = Current Assets / Current Liabilities	2.90	2.95	2.35
Quick Ratio	QR = Quick Assets / Current Liabilities	2.42	2.58	1.96
Financial Stability Ratios:				
Total Debt Ratio	Debt Ratio = Total Debt / Total Assets	40.0%	34.7%	42.3%
Debt to Equity	D/E Ratio = Total Liabilities / Total Equity	66.8%	53.3%	73.2

* Average Total Assets = (Beginning Total Assets + Ending Total Assets) / 2
** Average Total Equity = (Beginning Total Equity + Ending Total Equity) / 2

Ratio Analysis

(Based on Historical and Pro forma Financial Statements)

Ratio	Historical			Projected	
	2016	2017	2018	2019	2020
Profitability Ratios:					
Return on Assets	8.91%	12.4%	13.8%	16.7%	17.9%
Return on Equity	15.4%	20.0%	22.2%	25.5%	26.0%
Net Profit Margin	9.45%	12.4%	14.8%	15.8%	17.1%
Liquidity Ratios:					
Current Ratio	2.35	2.95	2.90	1.98	2.18
Quick Ratio	1.96	2.58	2.42	1.51	1.70
Financial Stability Ratios:					
Total Debt Ratio	42.3%	34.7%	40.0%	29.5%	32.0%
Debt to Equity	73.2	53.3%	66.8%	41.9%	47.0%

Topic 165

Break-even Analysis

Break-even Analysis

- Breakeven is the point at which total revenue equals total costs.
- There is no profit or loss on this point because the firm just covers its total costs.
- Breakeven analysis helps businesses make decisions about prices, costs and the level of sales.
- Break-even Analysis is used to
  - predict future profits/losses
  - predict results

BE Analysis – Types of Costs

- There are two basic types of costs a company incurs.
  - Variable Costs
  - Fixed Costs

- **Variable costs** are costs that change with changes in production levels or sales.
  - Example: Costs of materials used in the production of the goods.

- **Fixed costs** remain roughly the same regardless of sales / output levels.
  - Example: Rent, Insurance and Wages

BE Analysis – Total Cost

- Total Costs (TC) is simply Fixed Costs (FC) and Variable Costs (VC) added together.

$$TC = FC + VC$$

- As total costs include some of the variable costs then total Costs will also change with any changes in output / sales.
  - If output/sales rise then so will Total Costs.
  - If output/sales fall then so will Total Costs.

BE Analysis – BE Point

- The Break-even point occurs when Total Costs equals Revenue (Sales Income)

Revenues (Sales Income) = Total Costs

- At this point the business is not making a **Profit** nor incurring a **Loss**; it is just covering its total costs.

BE Analysis – Example

FLOWER SHOP

- Fixed Costs:
  - Rent: Rs. 20,000
  - Wages: Rs. 10,000
- Variable Costs:
  - Flowers: Rs. 100 per bunch
- Selling Price:
  - Flowers: Rs. 200 per bunch
- Available Information:
  - Total Fixed Costs = Rs. 30,000
  - Variable Cost per Unit = Rs. 100
  - Selling Price per Unit = Rs. 200

BE Analysis – Example

Unit Contribution = Selling Price – Variable Cost

Unit Contribution = 200 – 100

Unit Contribution = Rs. 100

For every bunch of flowers sold Rs. 100 can go towards covering fixed costs.

Let's now calculate break-even point; how many units must be sold to cover total costs.

Break-even Point = Fixed Cost/Contribution Margin

Break-even Point = 30,000 / 100

Break-even Point = 300 Units

BE Analysis – Example

Units Sold	Fixed Costs (Rs.)	Variable Costs (Rs.)	Total Costs (Rs.)	Total Revenue (Rs.)	(Loss) / Profit (Rs.)
100	30,000	10,000	40,000	20,000	(20,000)
200	30,000	20,000	50,000	40,000	(10,000)
300	30,000	30,000	60,000	60,000	0
400	30,000	40,000	70,000	80,000	10,000
500	30,000	50,000	80,000	100,000	20,000

Break-even Point = 300 Units

Total Costs = Total Revenue

No Profit - No Loss

Theme 12 – Slides

Topic 166

BUSINESS GROWTH MODEL (PART 1)

Agenda of the video

Business Growth Model

Business Growth Model

Phase 1: Existence

Gaining customers

Capturing market

Delivering the product and services

Entrepreneurs directly supervises team

Phase 2: Survival

Business is workable.

Sufficient customers base.

Revenue generation and break even achieved.

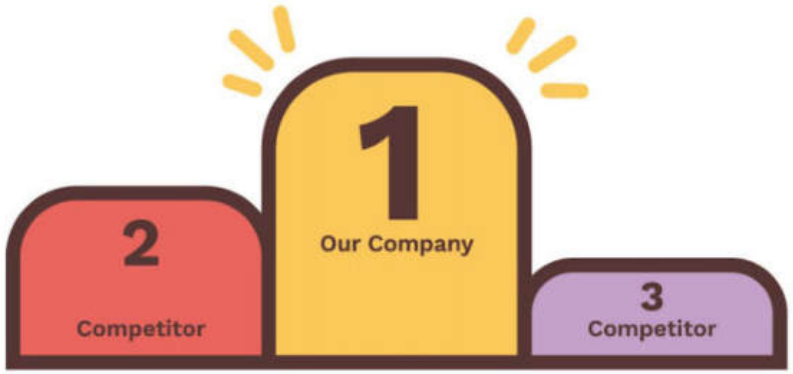
Phase 3: Success

Size and complexity of the company grow rapidly

Profit generation

Brand development

Manage to face competition



Phase 4: Take-off

How to grow ?

How to handle finance for that growth?

Product and service improvement

Phase 5: Resource Maturity

Strengthen and control the financial gain

Maintain the benefits of small size including flexibility

Issues of budget, strategic planning, standard cost system, functional teams

Compromise on entrepreneurial spirit

Business Growth Model

Topic 166

BUSINESS GROWTH MODEL (PART 1)

Agenda of the video

Business Growth Model

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Delivering the product and services

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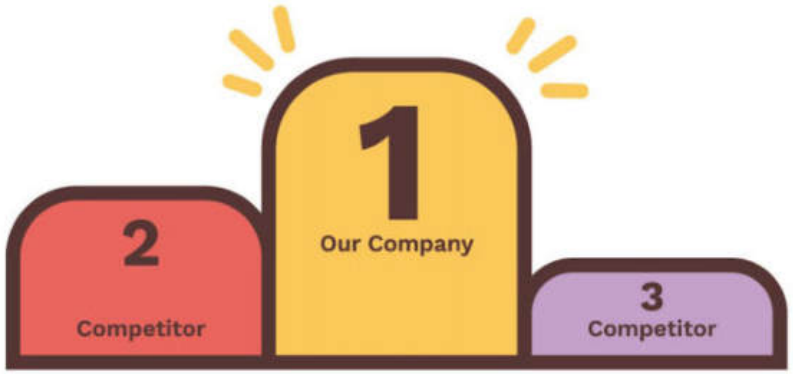

Phase 4: Take-off

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How to handle finance for that growth?

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Issues of budget, strategic planning, standard cost system, functional teams

Compromise on entrepreneurial spirit

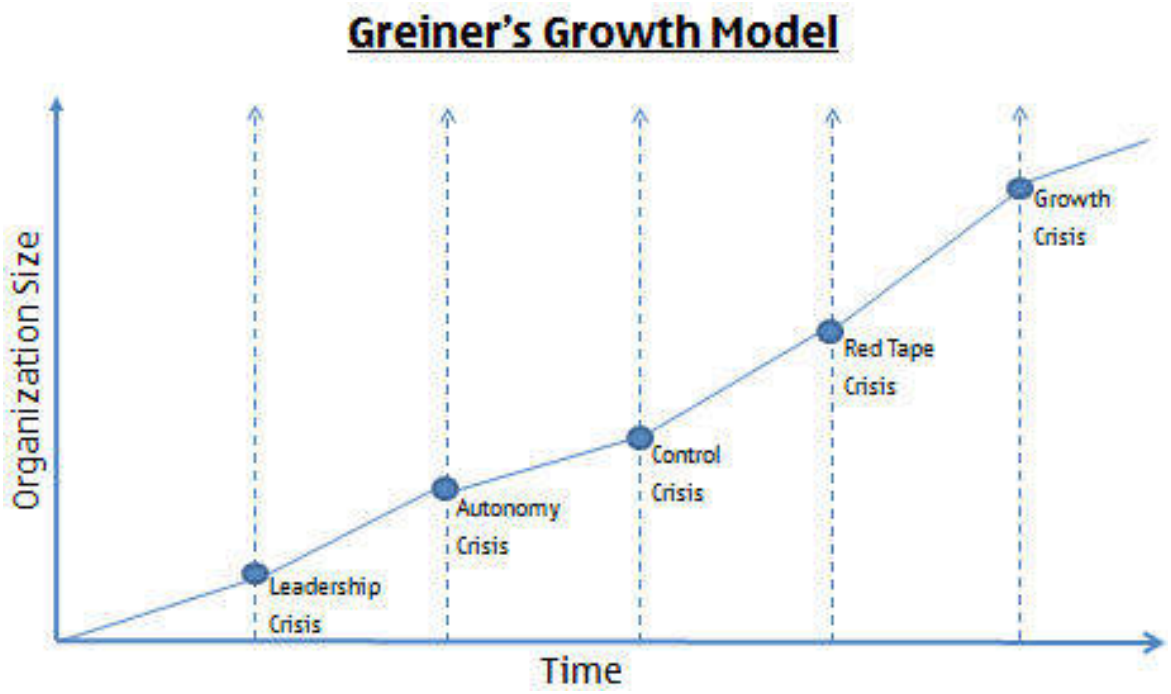
Business Growth Model

Topic 167

BUSINESS GROWTH MODEL (PART 2)

Agenda of the video

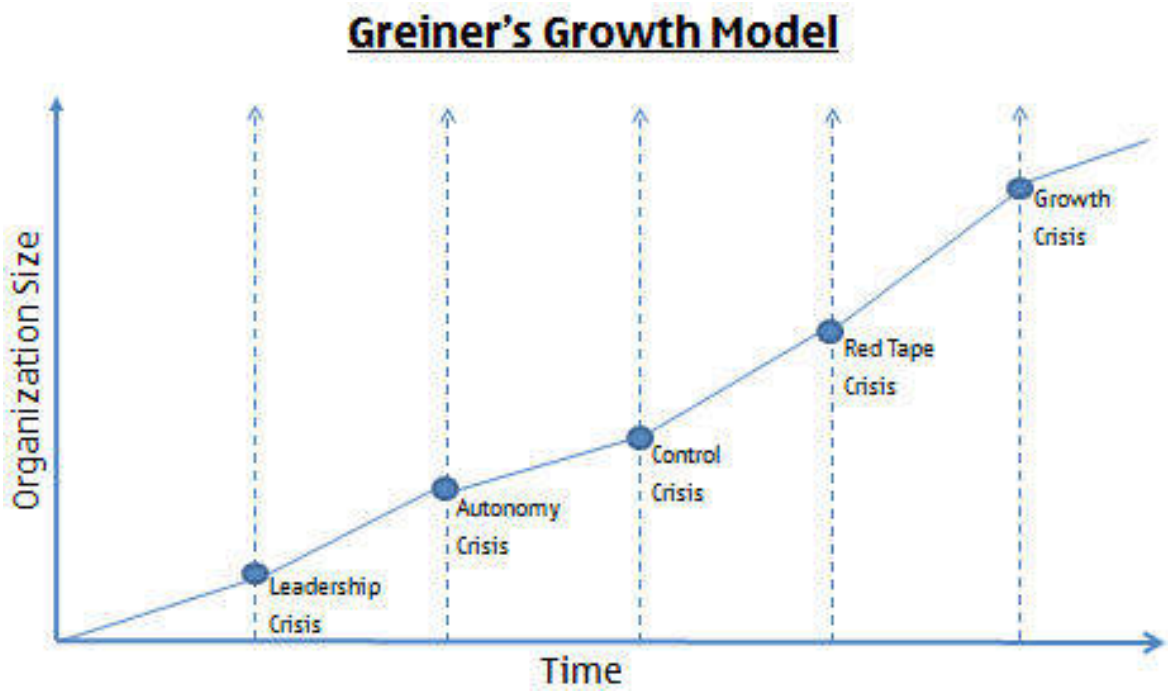
Greiner's Growth Model



Greiner's Growth Model describes phases that organizations go through as they grow.

Each growth phase is made up of a period of relatively stable growth, followed by a crisis.

Greiner's Growth Model



Greiner's Model Curve

Greiner's Growth Model

Phase 1: Growth Through Creativity

Phase 2: Growth Through Direction

Phase 3: Growth Through Delegation

Greiner's Growth Model

Phase 4: Growth Through Coordination

Phase 5: Growth Through Collaboration

Phase 6: Growth Through alliance

Phase 1: Growth Through Creativity

Phase 2: Direction

Informal communication fail

Business now too big for leader to get involved in everything

Brings Crisis of Leadership

Phase 3: Delegation

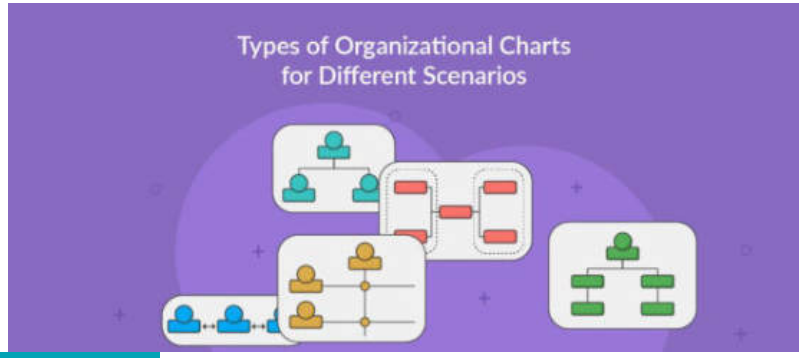
Business with functional management

Leader still struggling to let go

Brings Crisis of Autonomy

Phase 4: Coordination

More formal management structures in place



Hierarchy needed to keep control

Brings Crisis of Control

Phase 5: Collaboration

Growth in organizational bureaucracy

Complex decision-making

Brings Crisis of Red Tape

Phase 6: Alliances

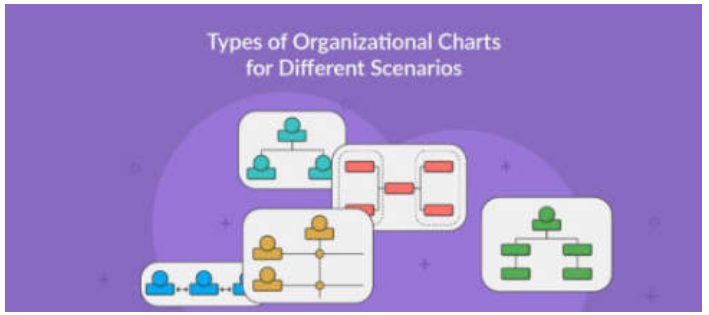
Business needs diversification

Alliances are sought

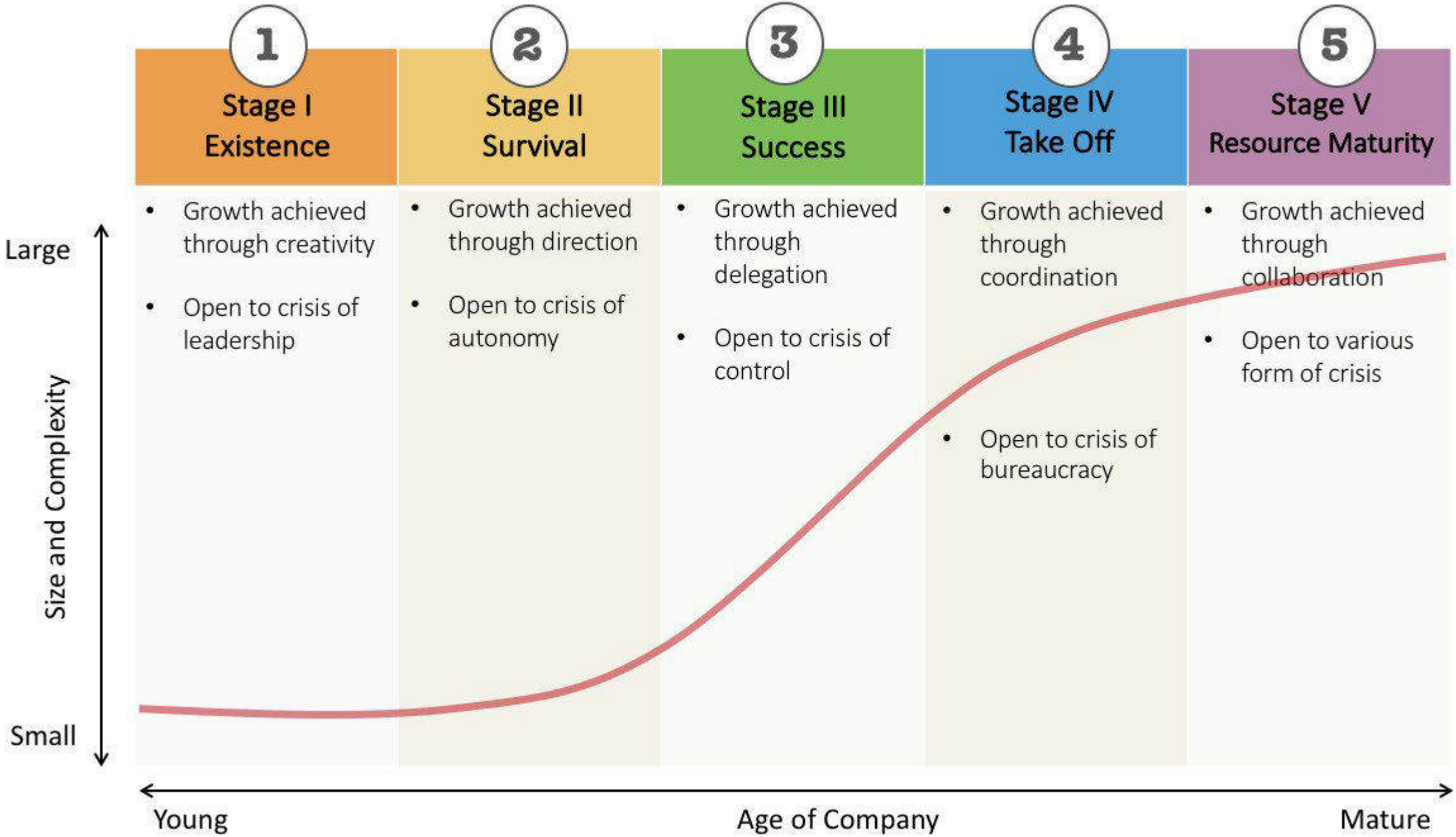
Bring Crisis of Growth

- ✓ Growth of business is hard

- ✓ Growth of business brings many management and leadership crises



- ✓ Organizational structure need to evolve to reflect the growth of a business


1
Stage I
Existence
2
Stage II
Survival
3
Stage III
Success
4
Stage IV
Take Off
5
Stage V
Resource Maturity
Growth achieved through creativity
Open to crisis of leadership
Growth achieved through direction
Open to crisis of autonomy
Growth achieved through delegation
Open to crisis of control
Growth achieved through coordination
Open to crisis of bureaucracy
Growth achieved through collaboration
Open to various form of crisis
Large
Size and Complexity
Small
Young
Age of Company
Mature

Topic 168

PREPARING FOR GROWTH (PART 1)

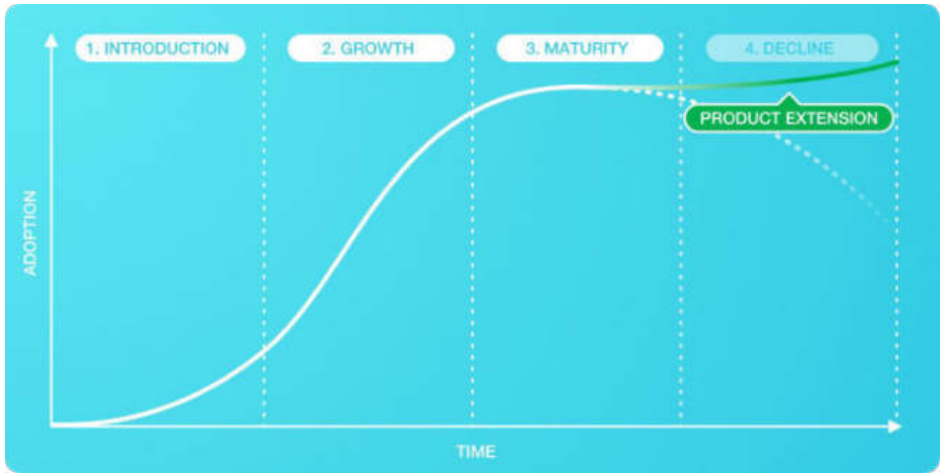
Agenda of the Video

Preparing for Growth

Important considerations during business growth

Industry life cycle

Product life cycle



Entrepreneur's resources

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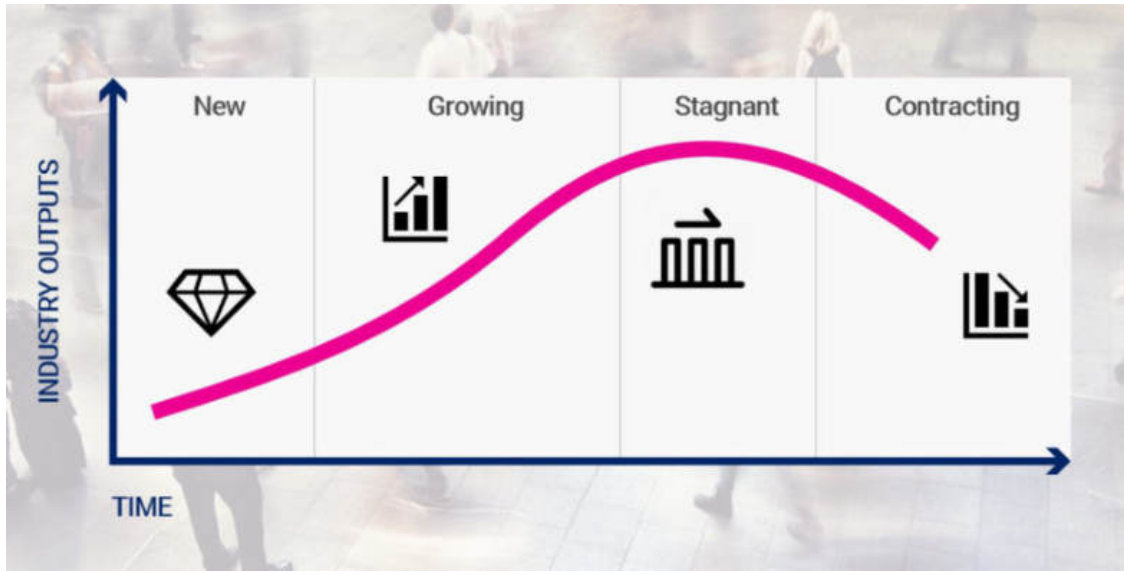

Example

200
35mm Film
for Color Prints
DX
36 EXP
GT
39 EXP
1600
36 200
FUJICO
200
35mm color print film
200 36 EXP

Kodak

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Industries are born when new products are developed, with significant uncertainty regarding:

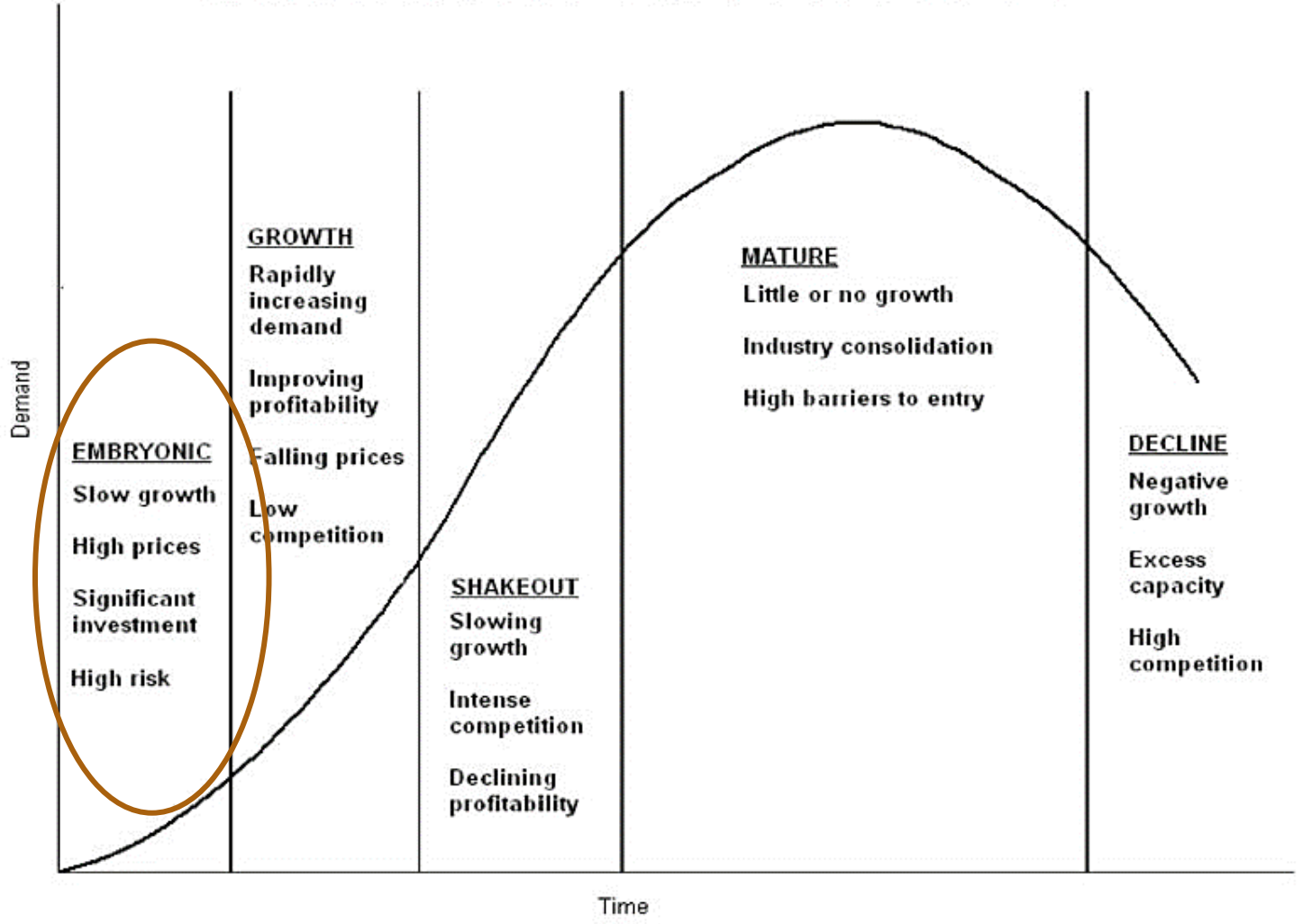
Market size

Product specifications

Customer’s demand

Competitors

INDUSTRY LIFE CYCLE



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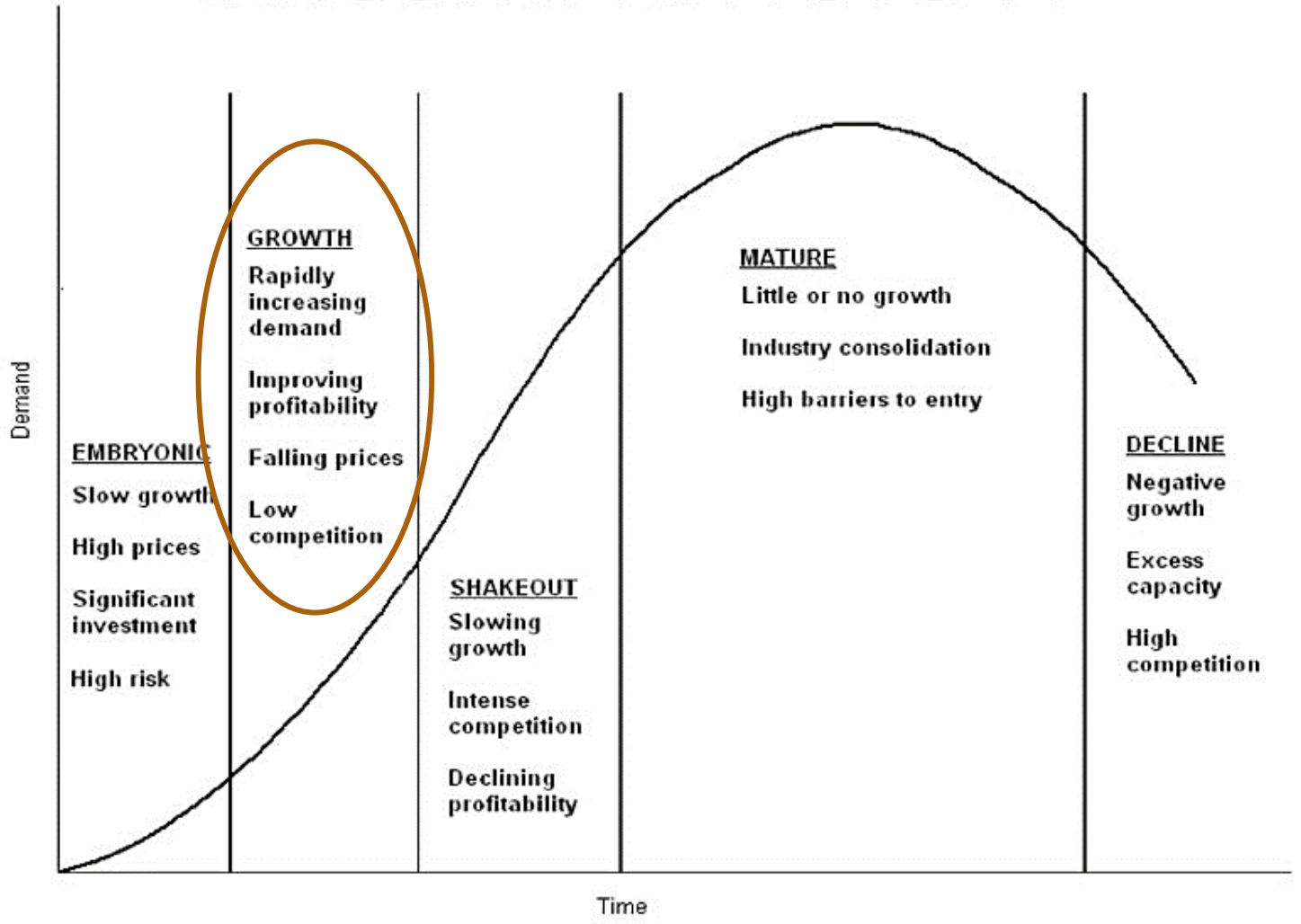
INDUSTRY LIFE CYCLE



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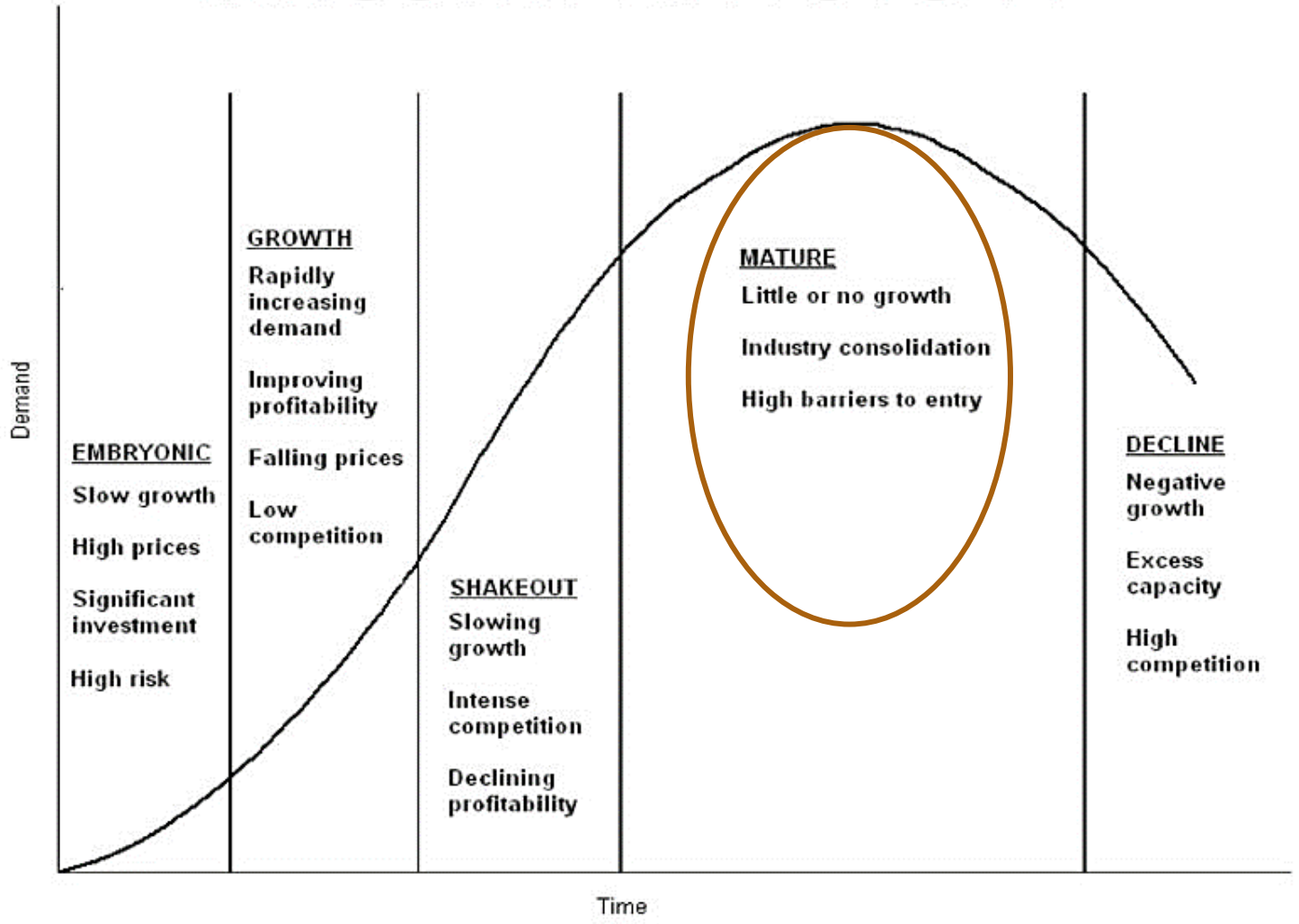

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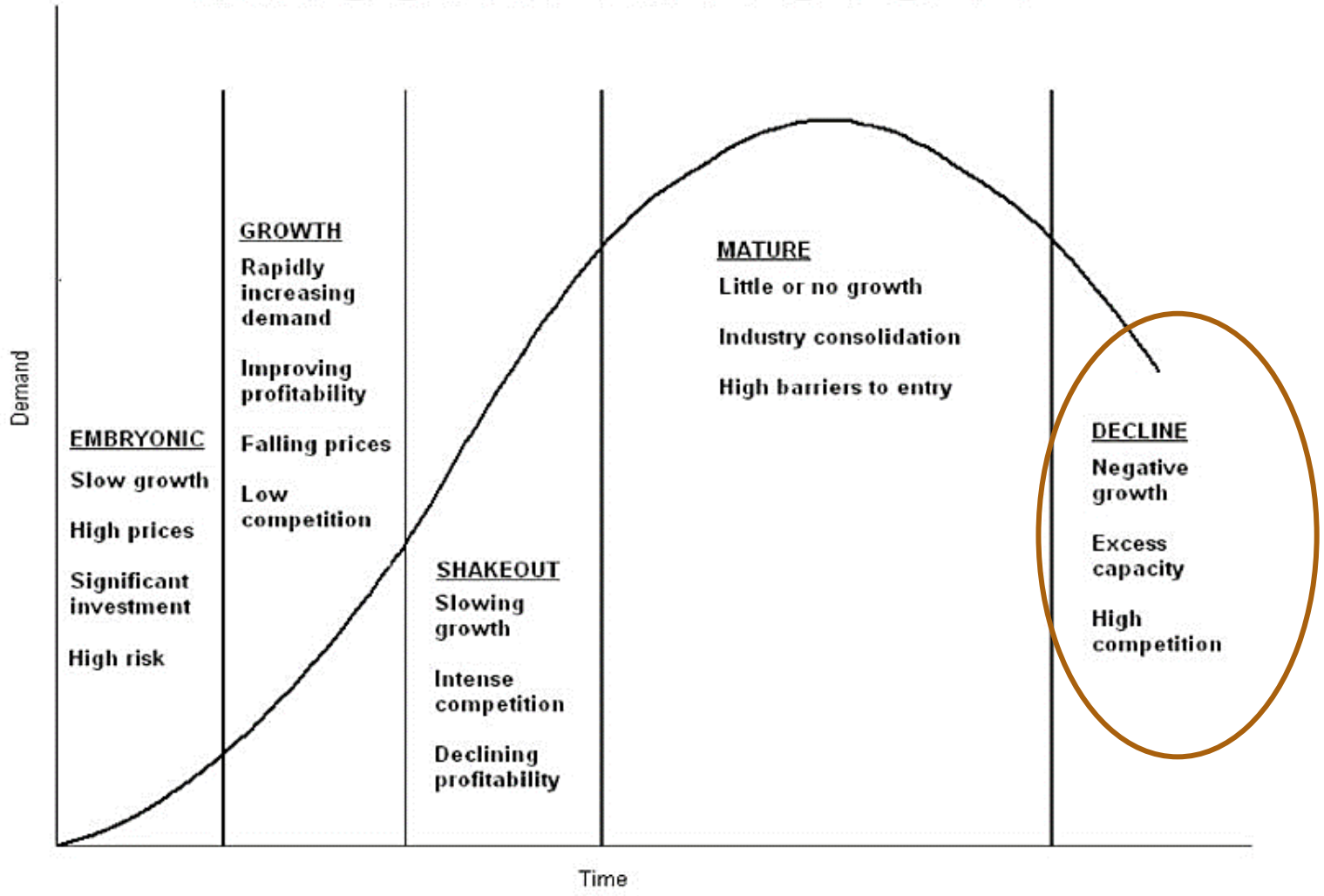

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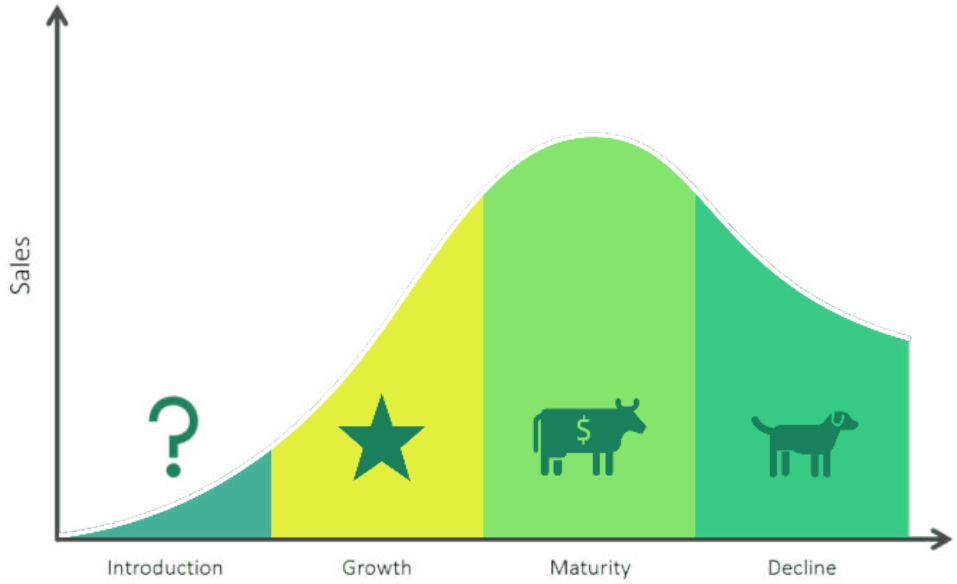

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Reduce prices

Expand to new markets

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Entrepreneurial Resource

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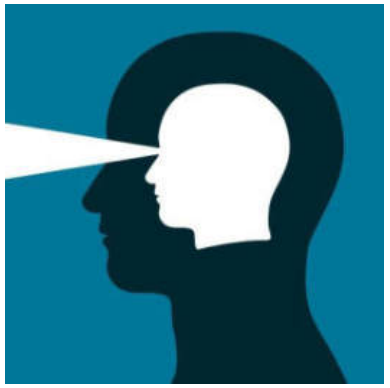
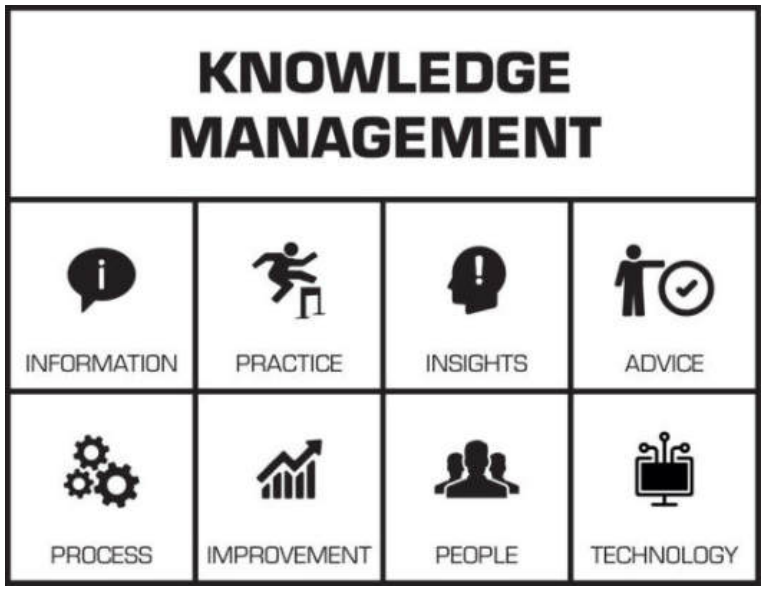
Entrepreneur’s Resources

Entrepreneurial intuition

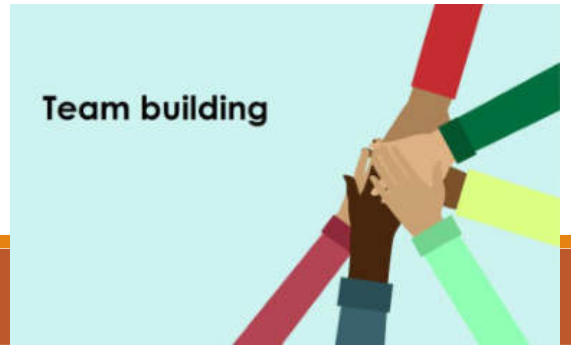


Knowledge and information



Business/brand

Team



Entrepreneur’s Resources

Financial resources

Technology

Customers

Networking

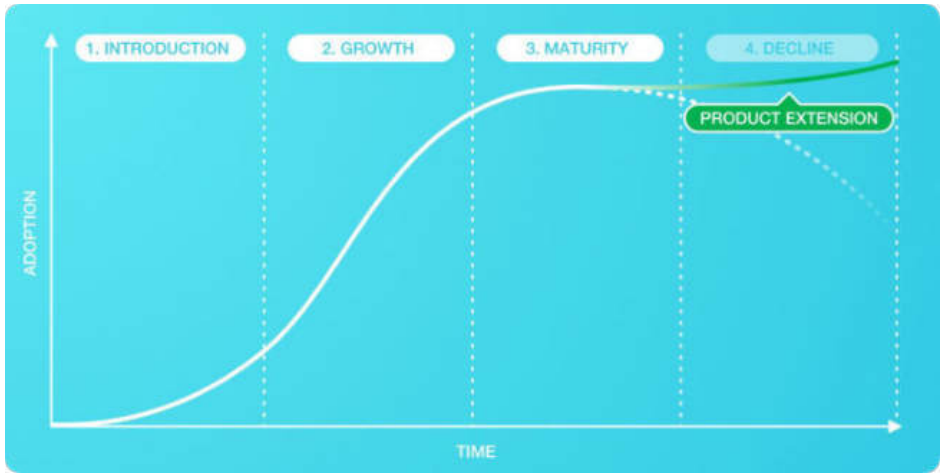
Topic 169

PREPARING FOR GROWTH THROUGH ACQUISITION AND MERGERS (PART 2)

Important considerations during business growth

Industry life cycle

Product life cycle



Entrepreneur's resources

Agenda of the Video

Acquisition and mergers

What Are Mergers and Acquisitions?

Mergers and acquisitions (M&A) is a general term used to describe the consolidation of companies or assets through various types of financial transactions, including mergers, acquisitions, consolidations, tender offers, purchase of assets, and management acquisitions.

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Financial

Tenders

Management team

Product

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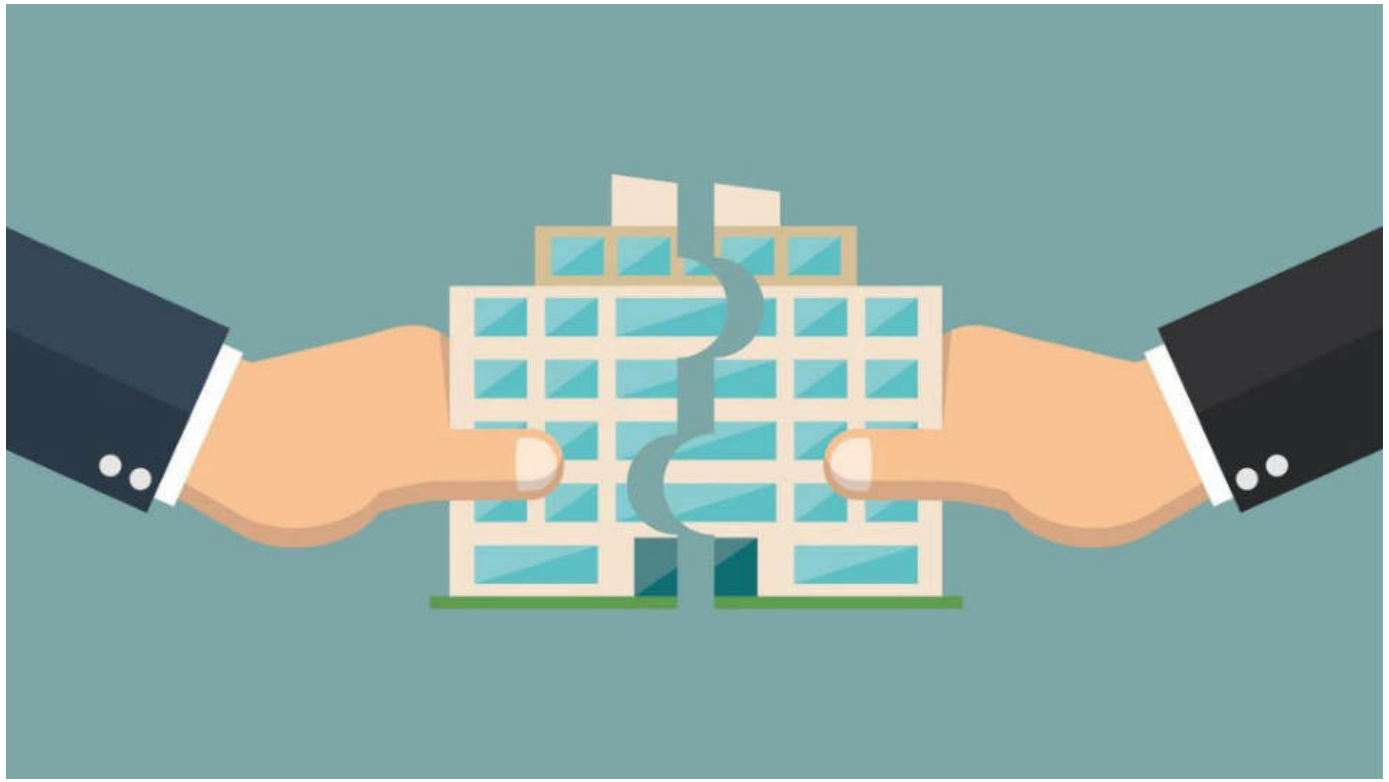

The types of Mergers

Horizontal merger: Two businesses that are in direct competition and share the same product lines and markets.

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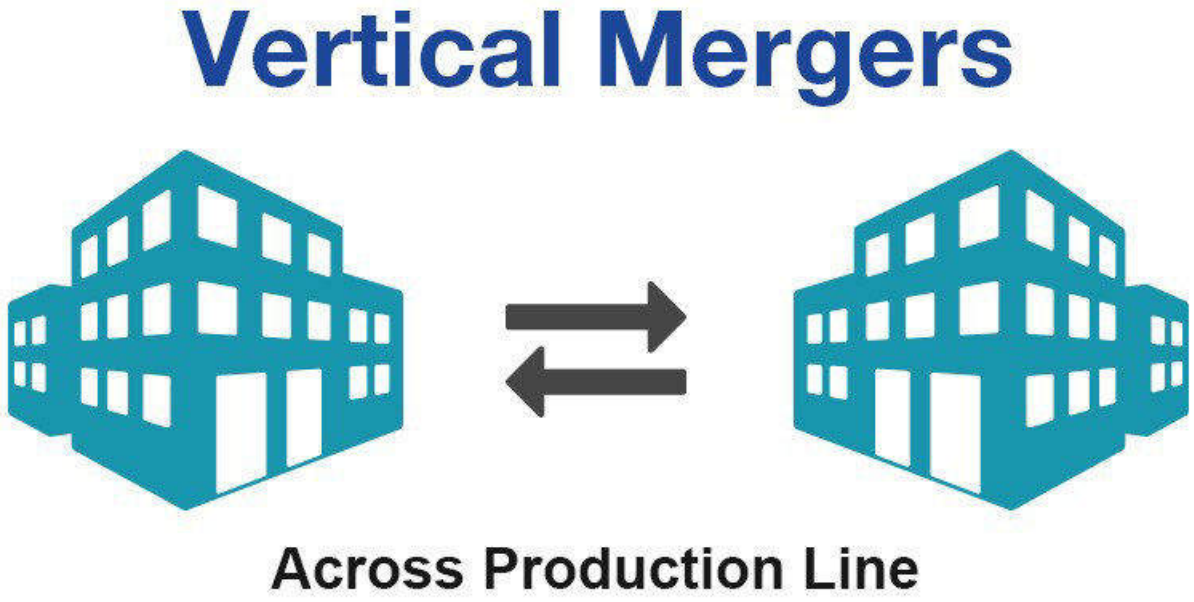

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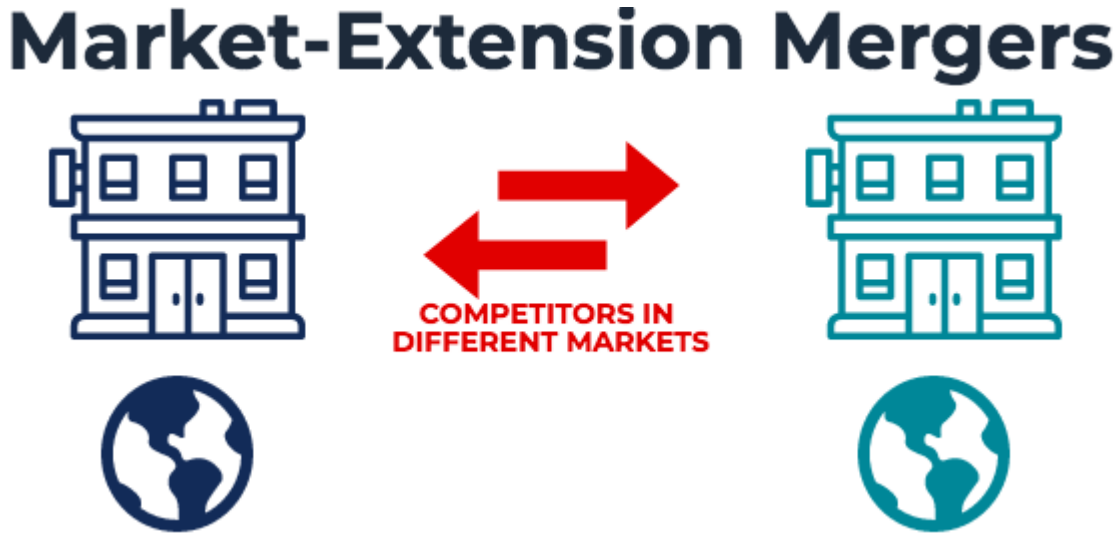

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Topic 168

PREPARING FOR GROWTH (PART 1)

Agenda of the Video

Preparing for Growth

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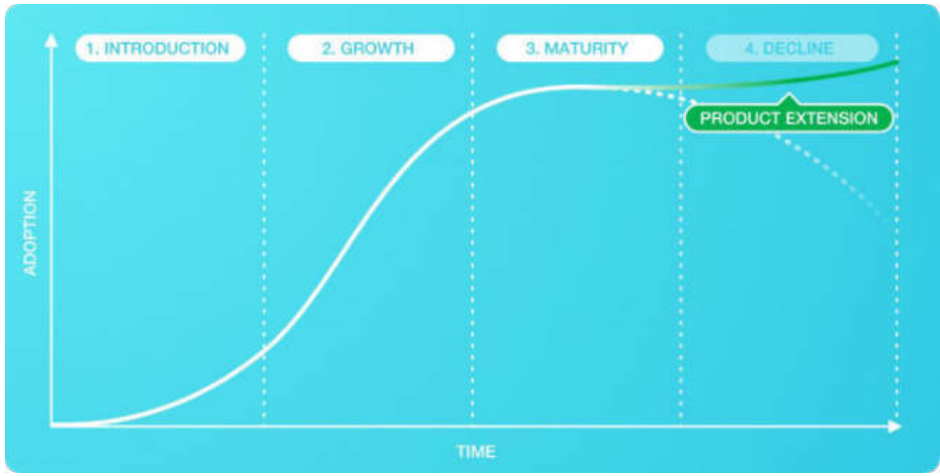
Industry life cycle

Product life cycle



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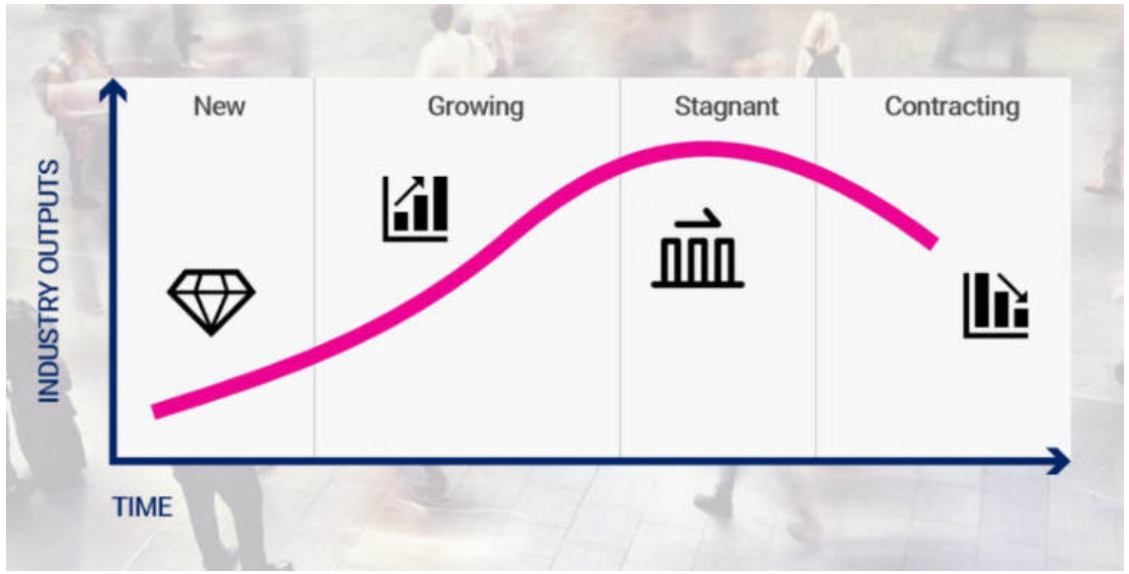

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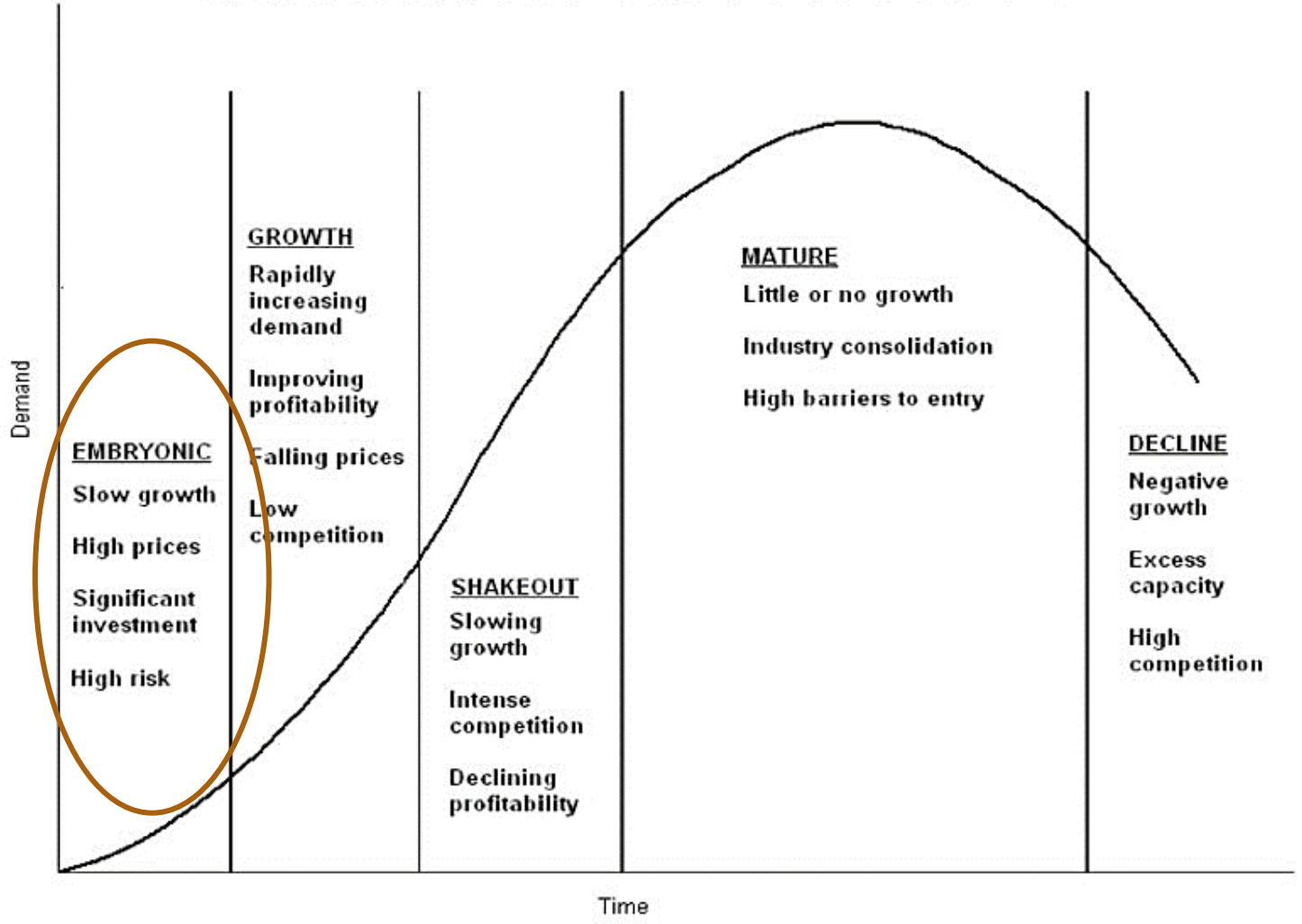

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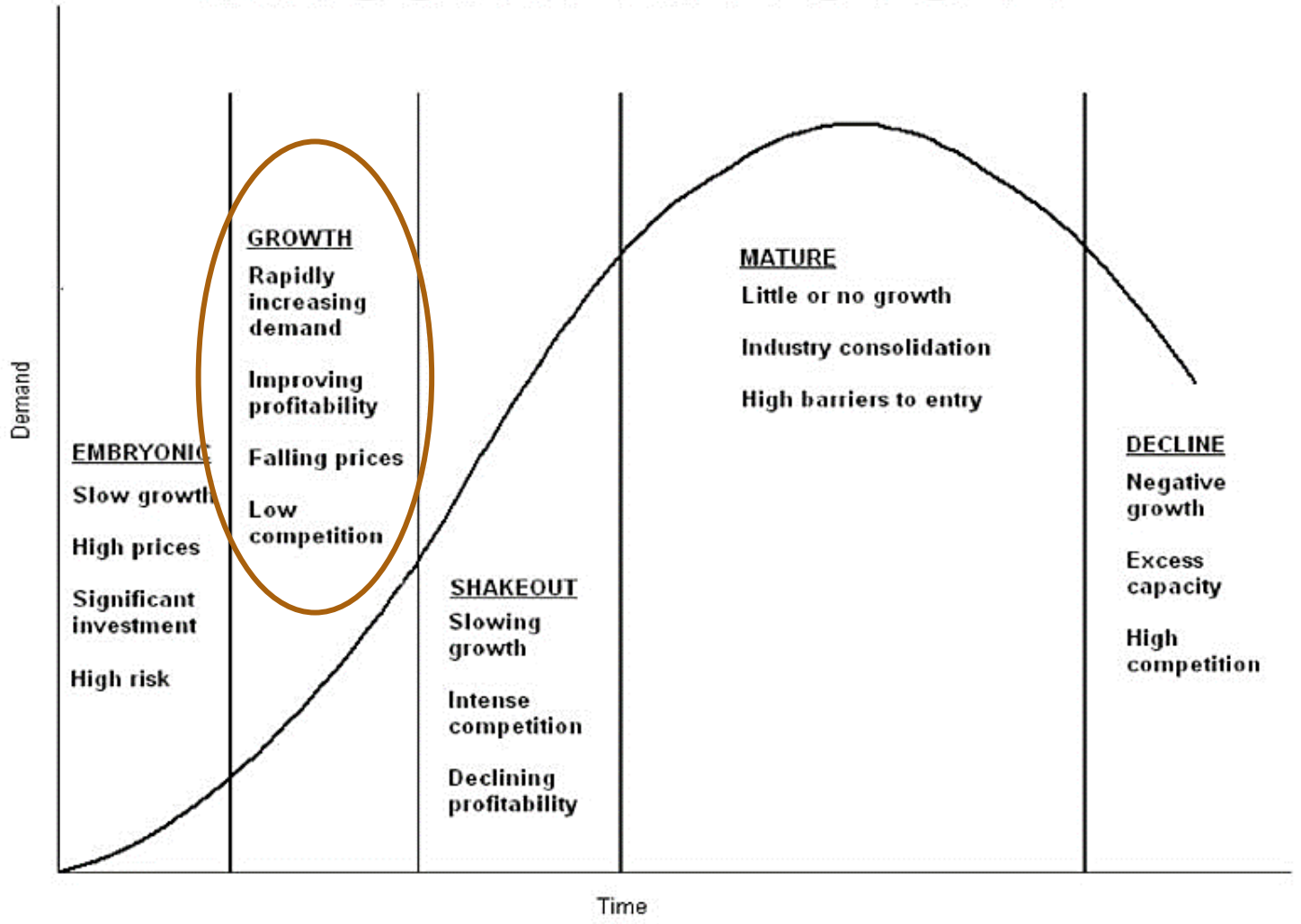

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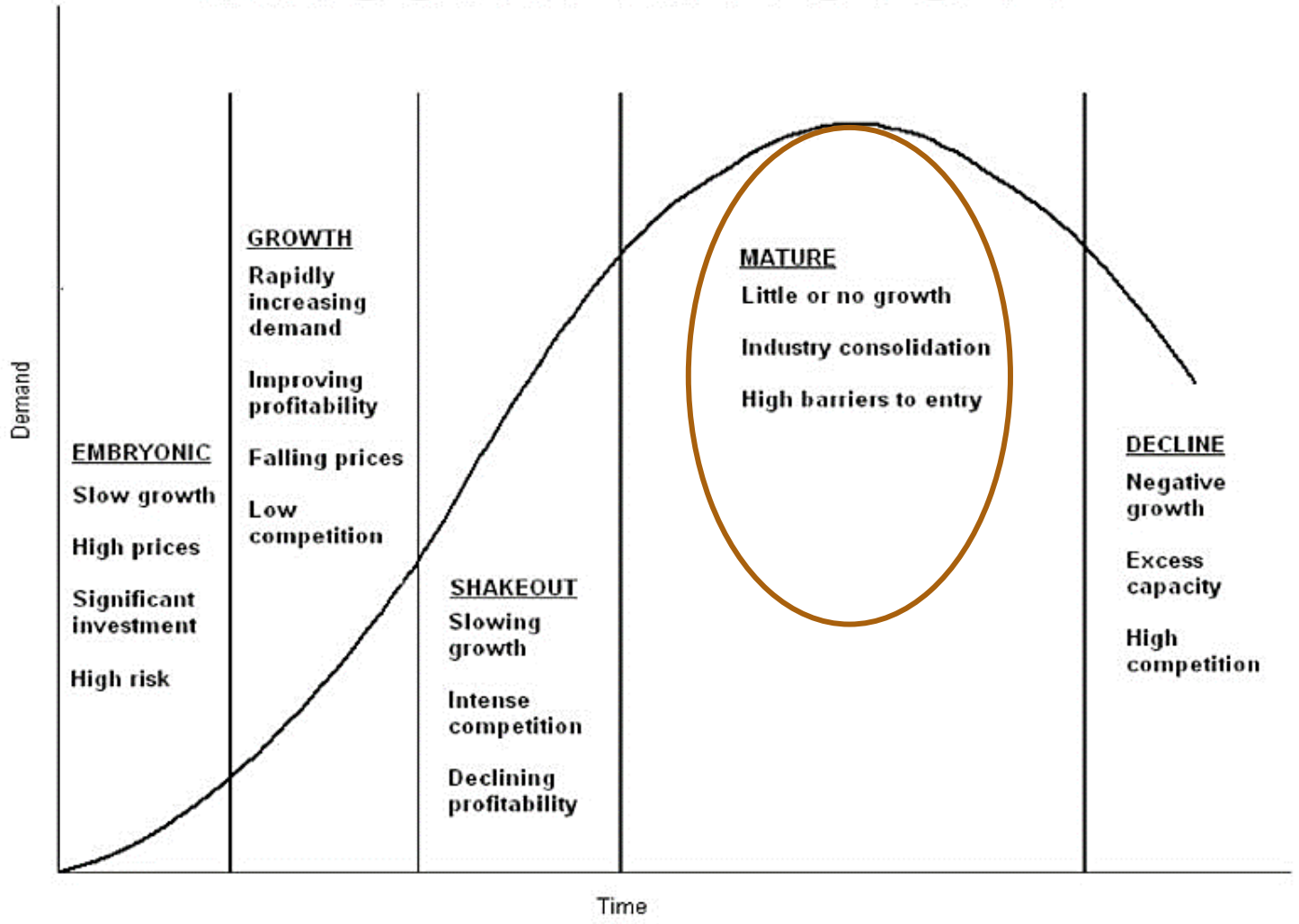

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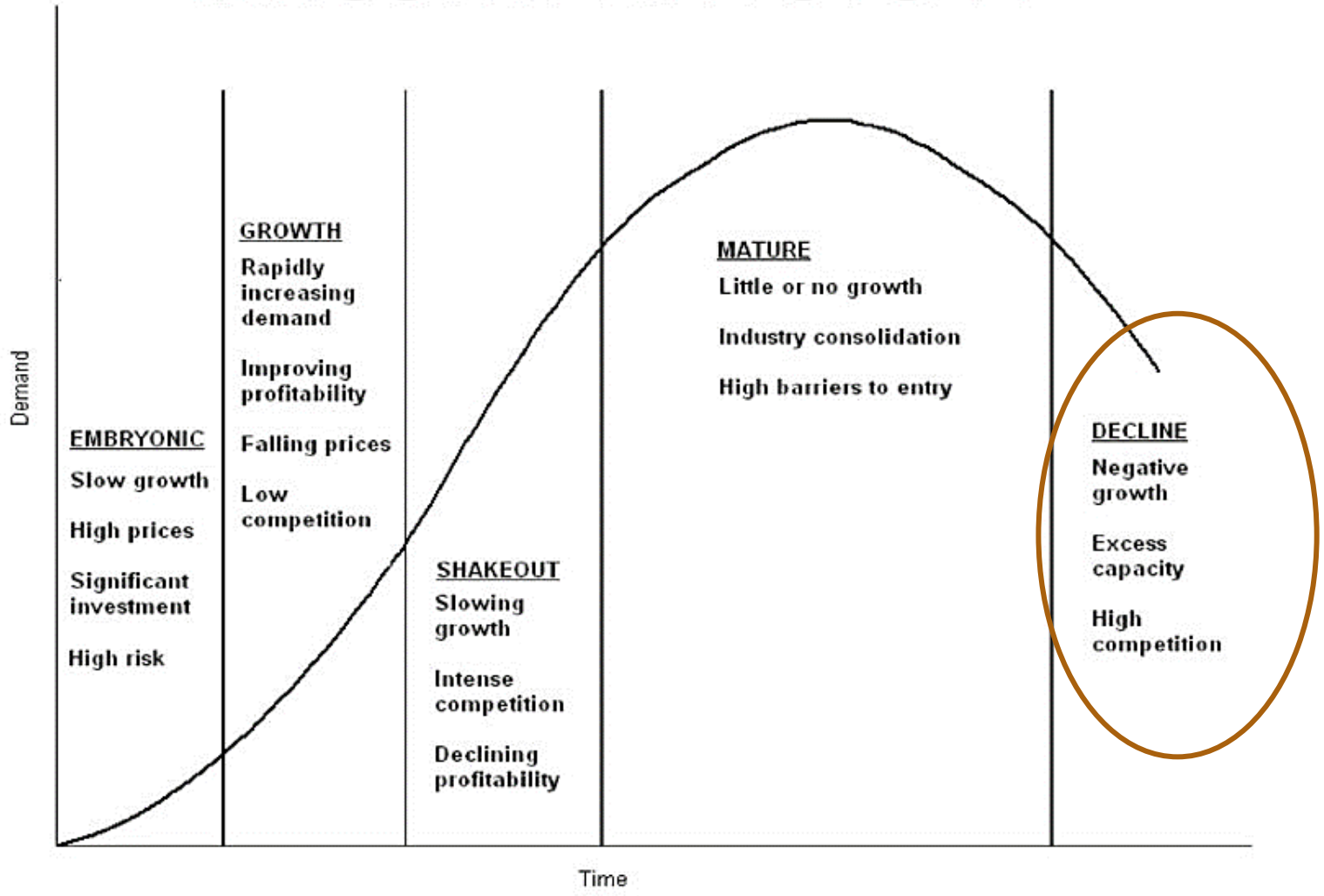
INDUSTRY LIFE CYCLE



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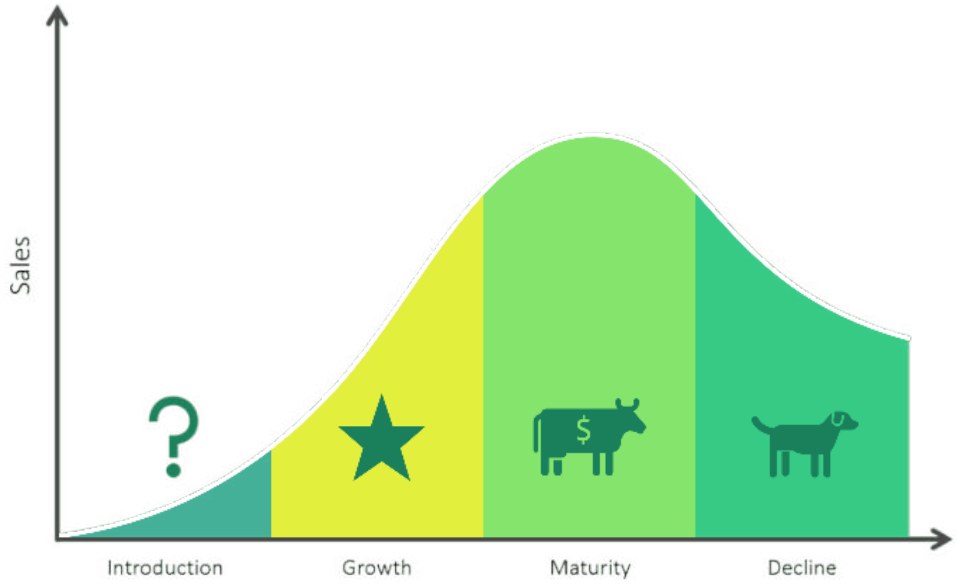

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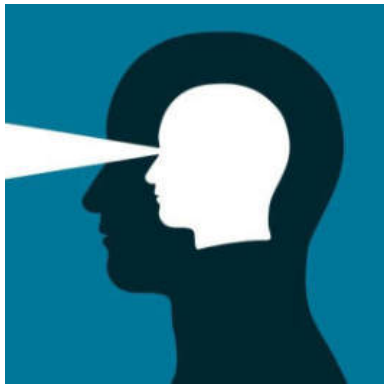

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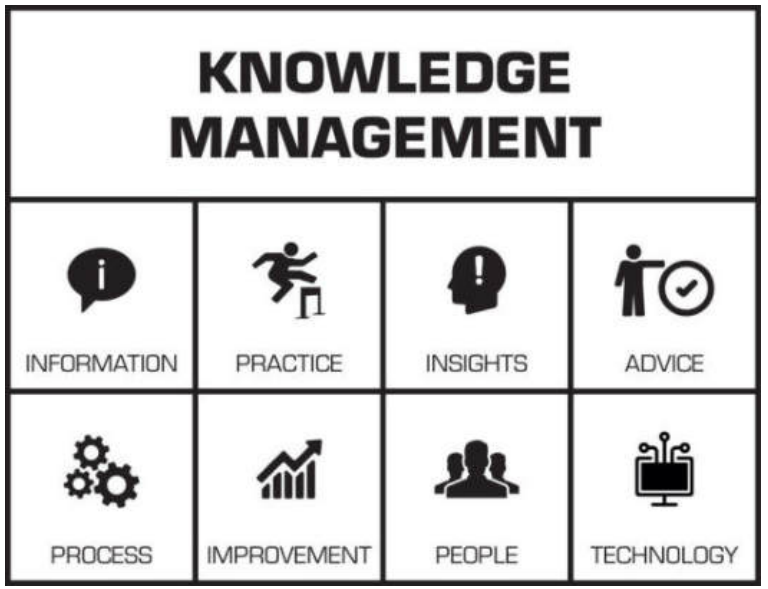
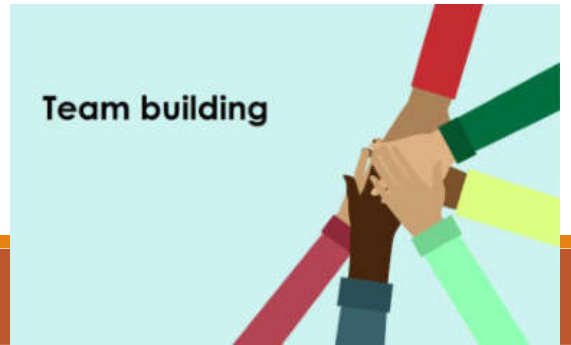


Business/brand

Team



Entrepreneur’s Resources

Financial resources

Technology

Customers

Networking

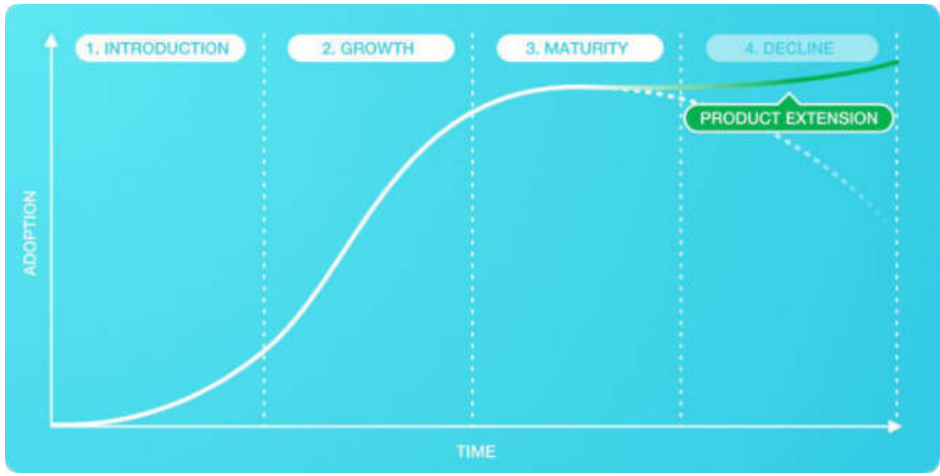
Topic 169

PREPARING FOR GROWTH THROUGH ACQUISITION AND MERGERS (PART 2)

Important considerations during business growth

Industry life cycle

Product life cycle



Entrepreneur's resources

Agenda of the Video

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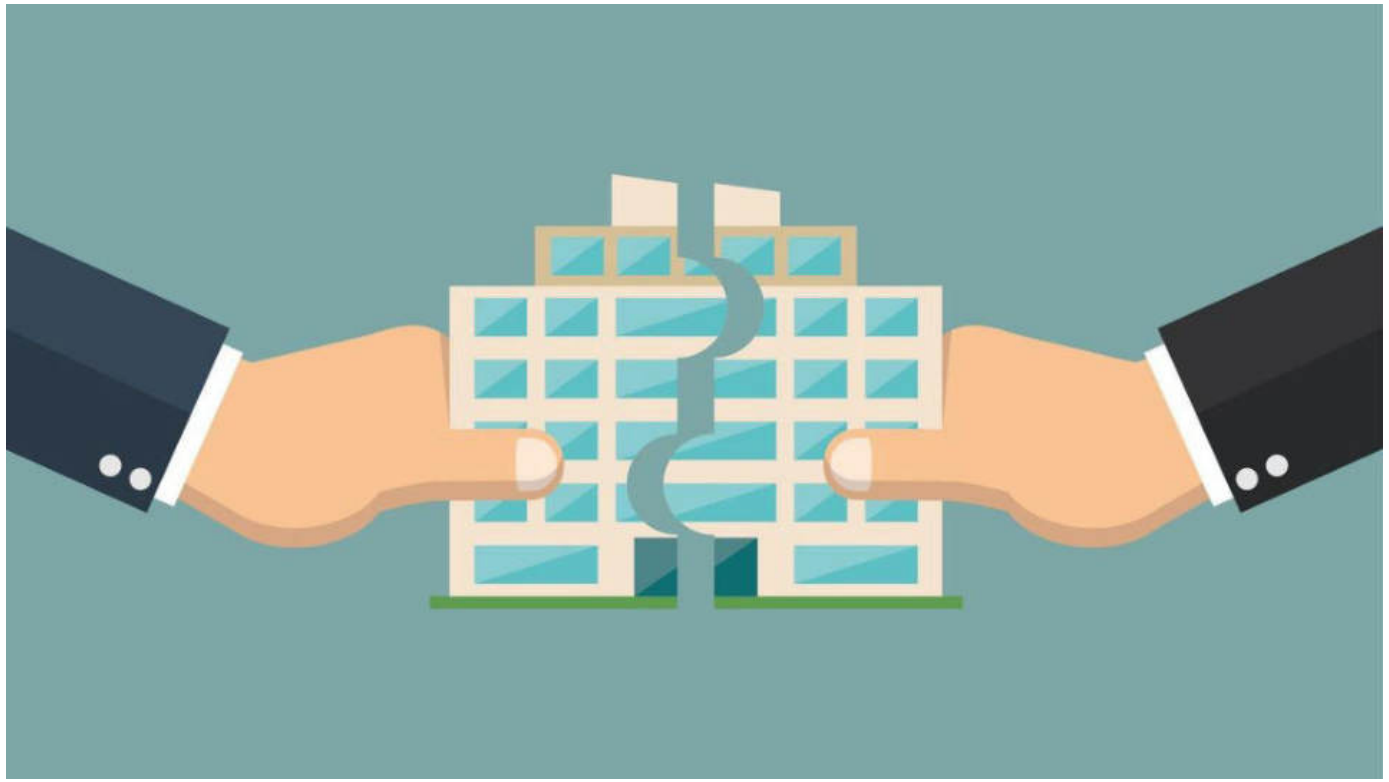

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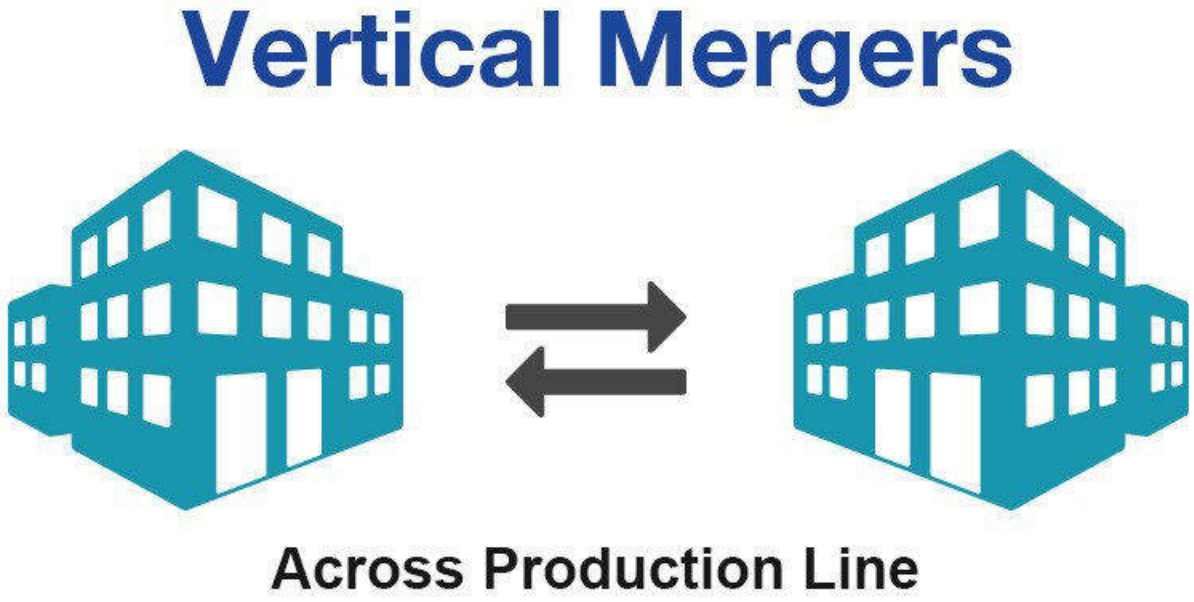

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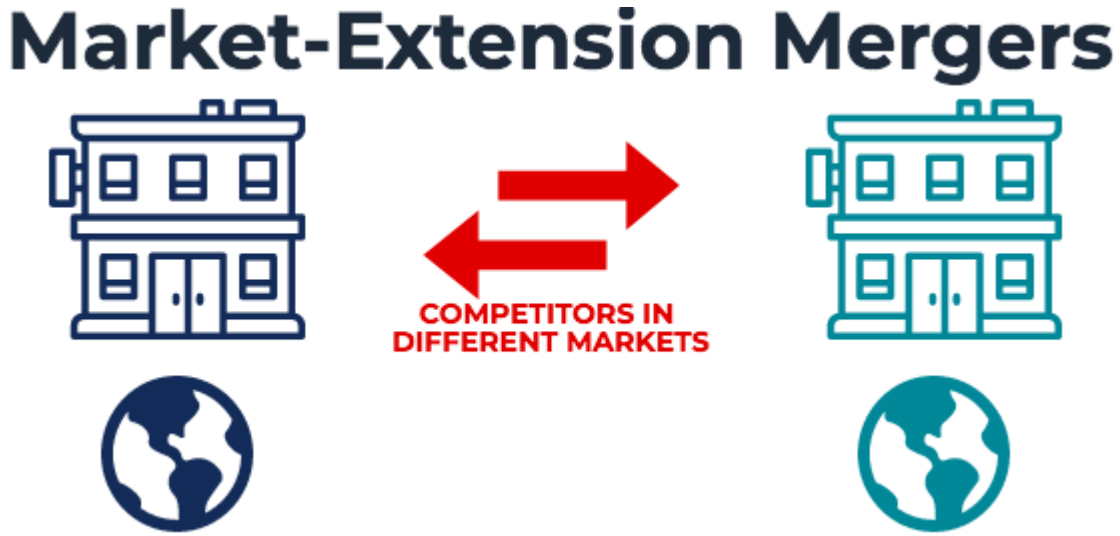

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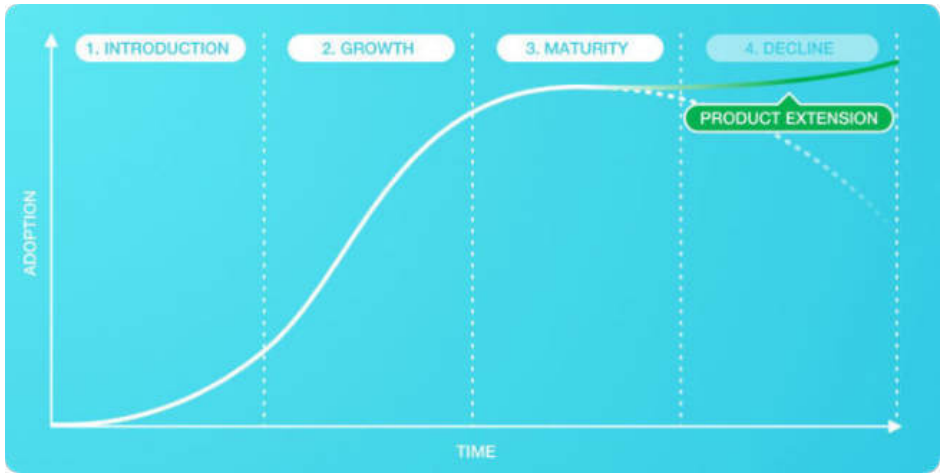
Topic 170

PREPARING FOR GROWTH: STRATEGY TOOLS (PART 3)

Important considerations during business growth

Industry life cycle

Product life cycle



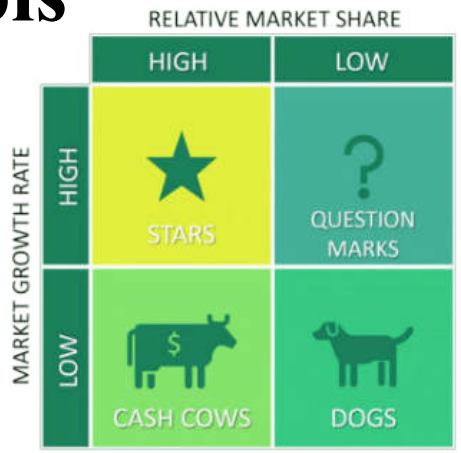
Entrepreneur's resources

Acquisition and mergers

Agenda of the video:

Strategy Tools

BCG Matrix



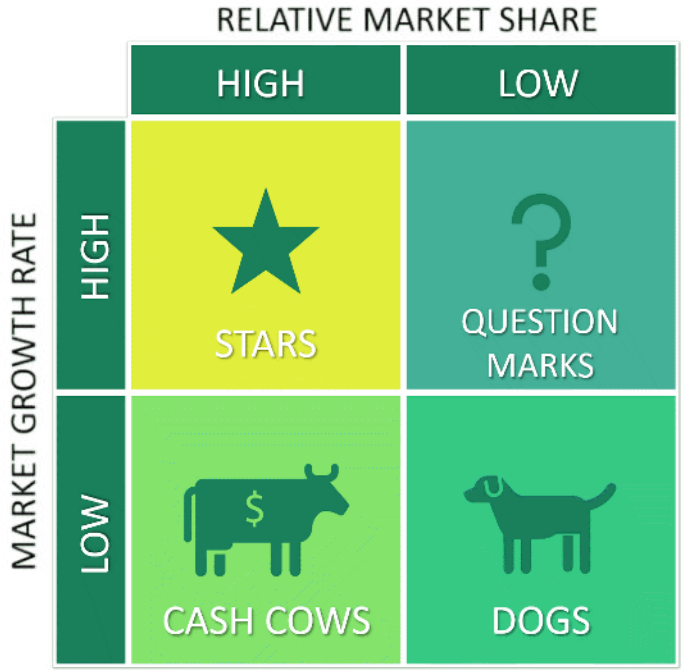
Ansoff Matrix

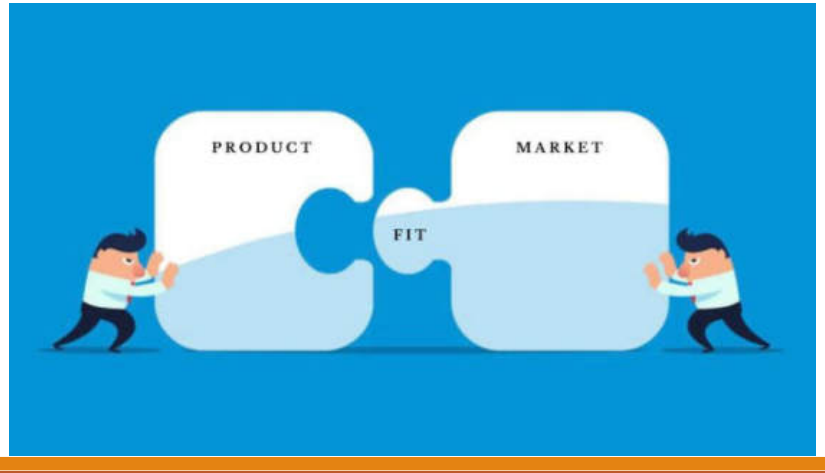
Strategy Tools: BCG Matrix

Developed by Boston Consulting Group,

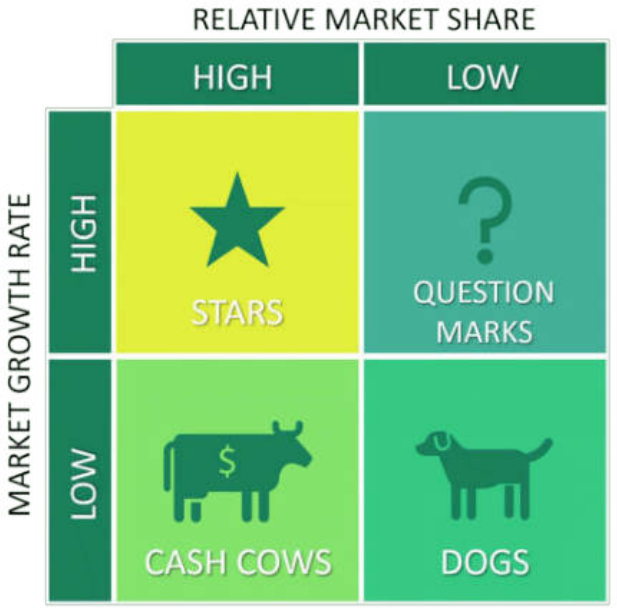
Also known as Boston or growth share matrix

Strategy to analyze products according to growth and relative market share





BCG Matrix



Market growth

Relative market Share

BCG Matrix

Star ***(High relative market share, high market growth)***

Monopoly or market leader

Generate more revenue

Requires more investment to maintain the market share

BCG Matrix

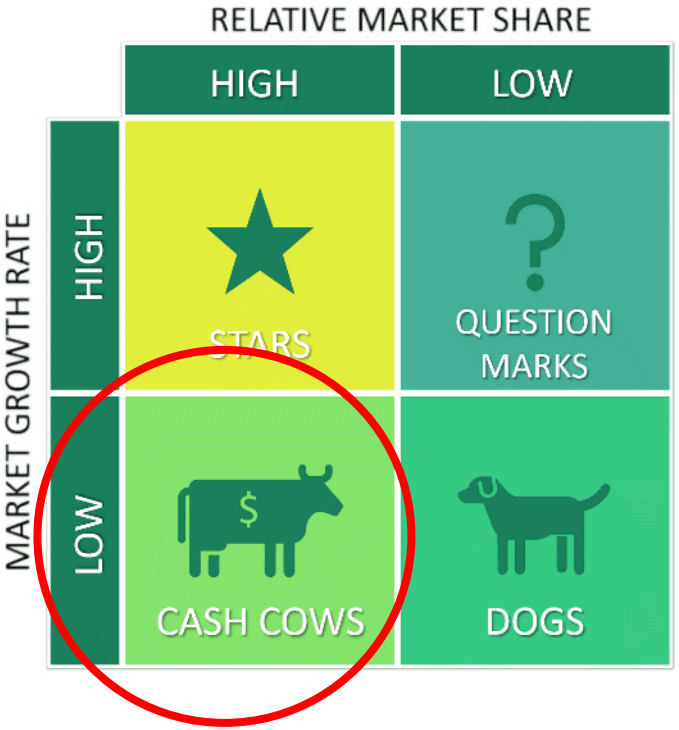
Question mark *(low relative market share, high market growth)*

Requires more investment to earn the market share

Less returns

BCG Matrix

Cash Cow *(high relative market share, low market growth)*



Generate more revenue

Monopoly or market leader

Purpose is to maintain the market share

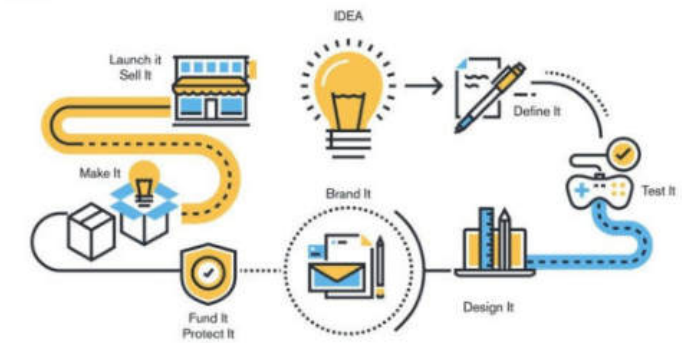
BCG Matrix

Dog ***(low relative market share, low market growth)***

Achieve break-even inflow

Decision regarding discontinuing investment

Change in product design



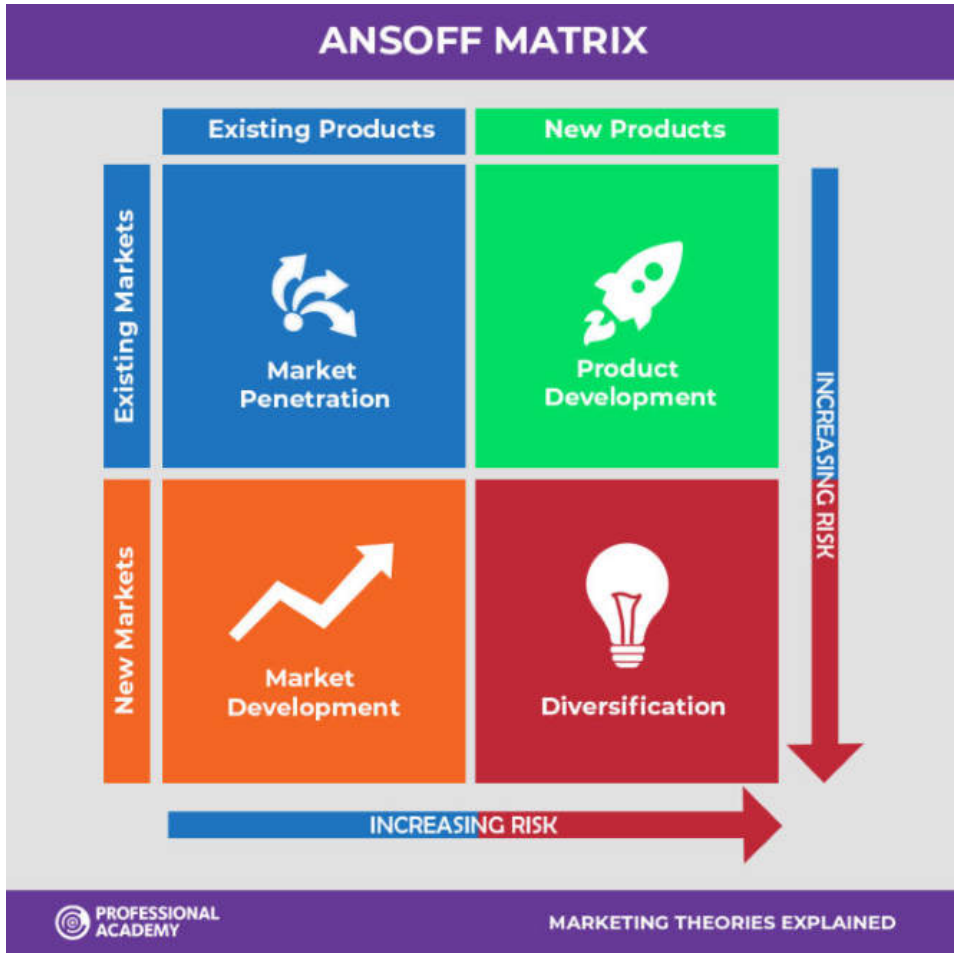
Strategy Tools: The Ansoff Matrix

Also known as the Product/Market Expansion Grid

Developed by H. Igor Ansoff

Published in the Harvard Business Review in 1957 in an article titled "Strategies for Diversification”

The Ansoff Matrix

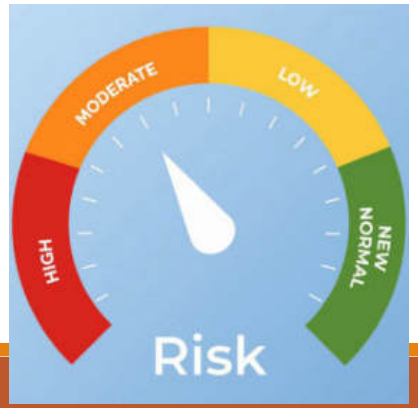


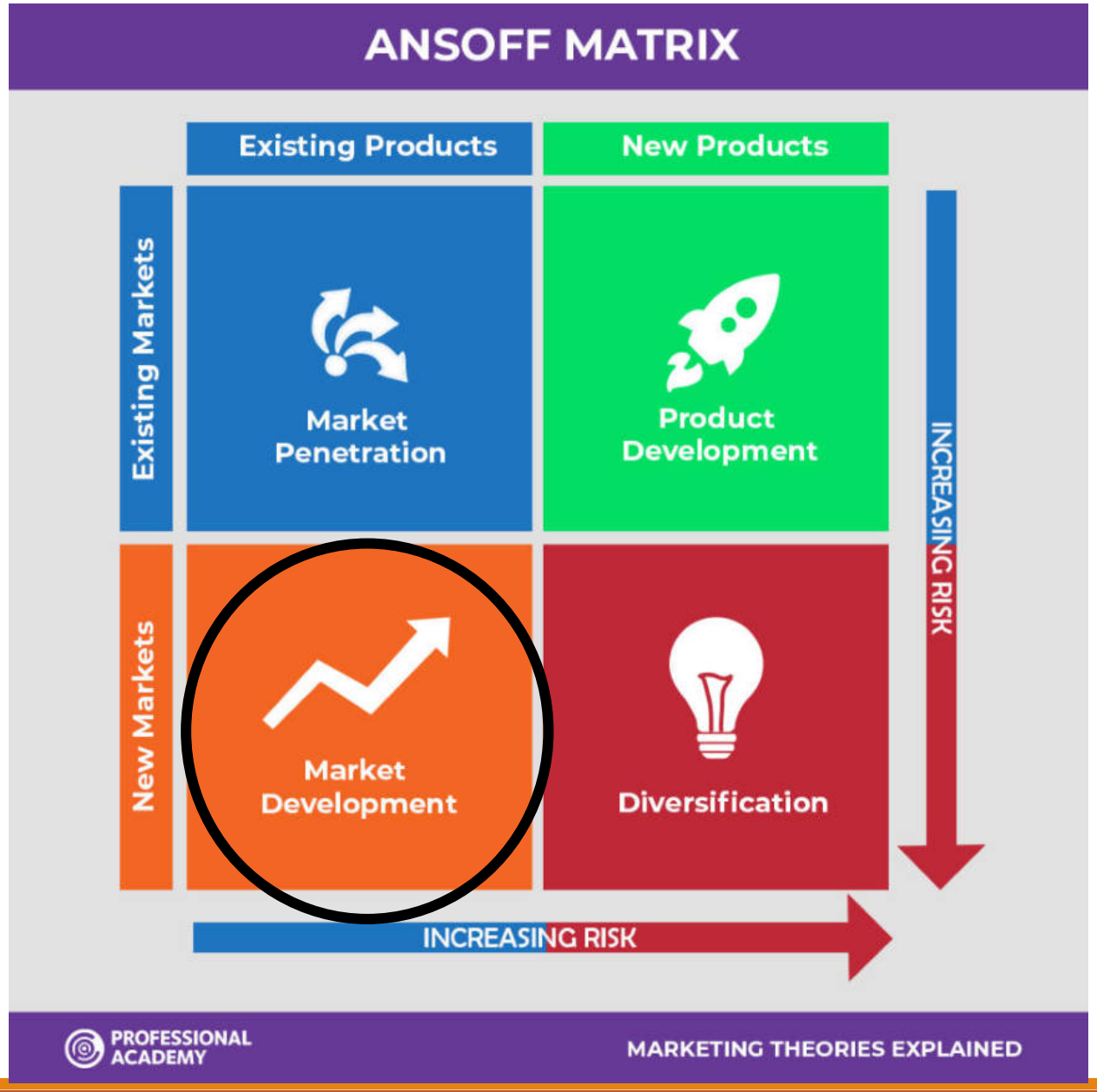
The Ansoff Matrix

Market development

Target different geographical markets at home or abroad with existing product

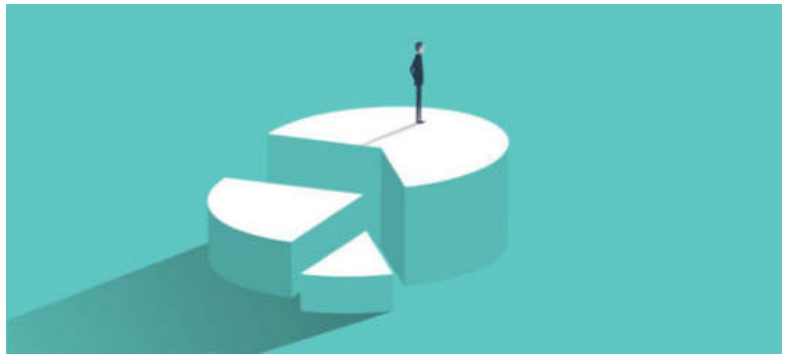
Risk level: Moderate to High



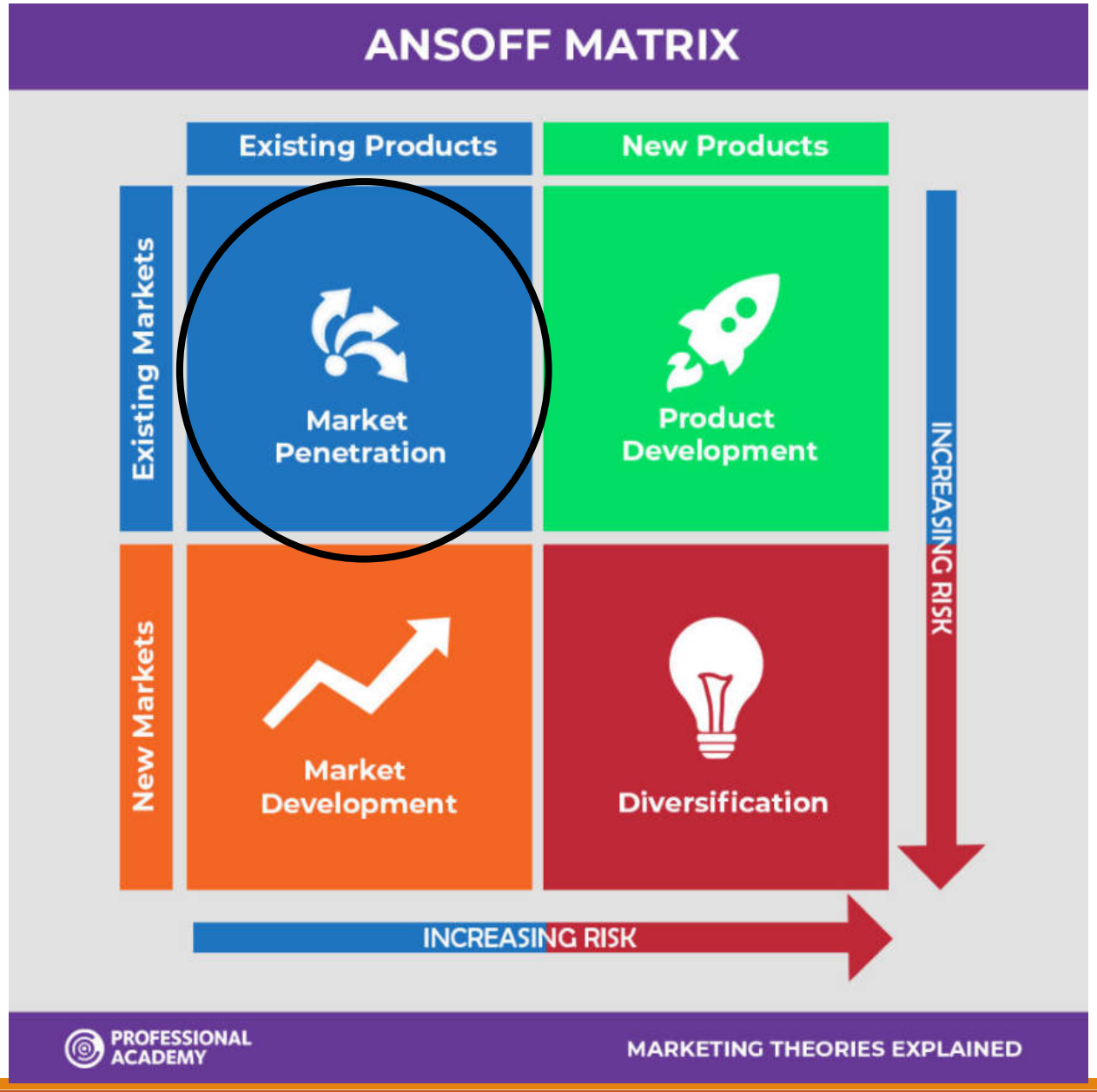


The Ansoff Matrix

Market Penetration
Target larger market share with existing products



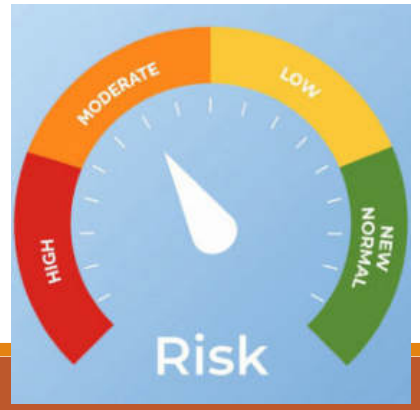
Risk level: Low

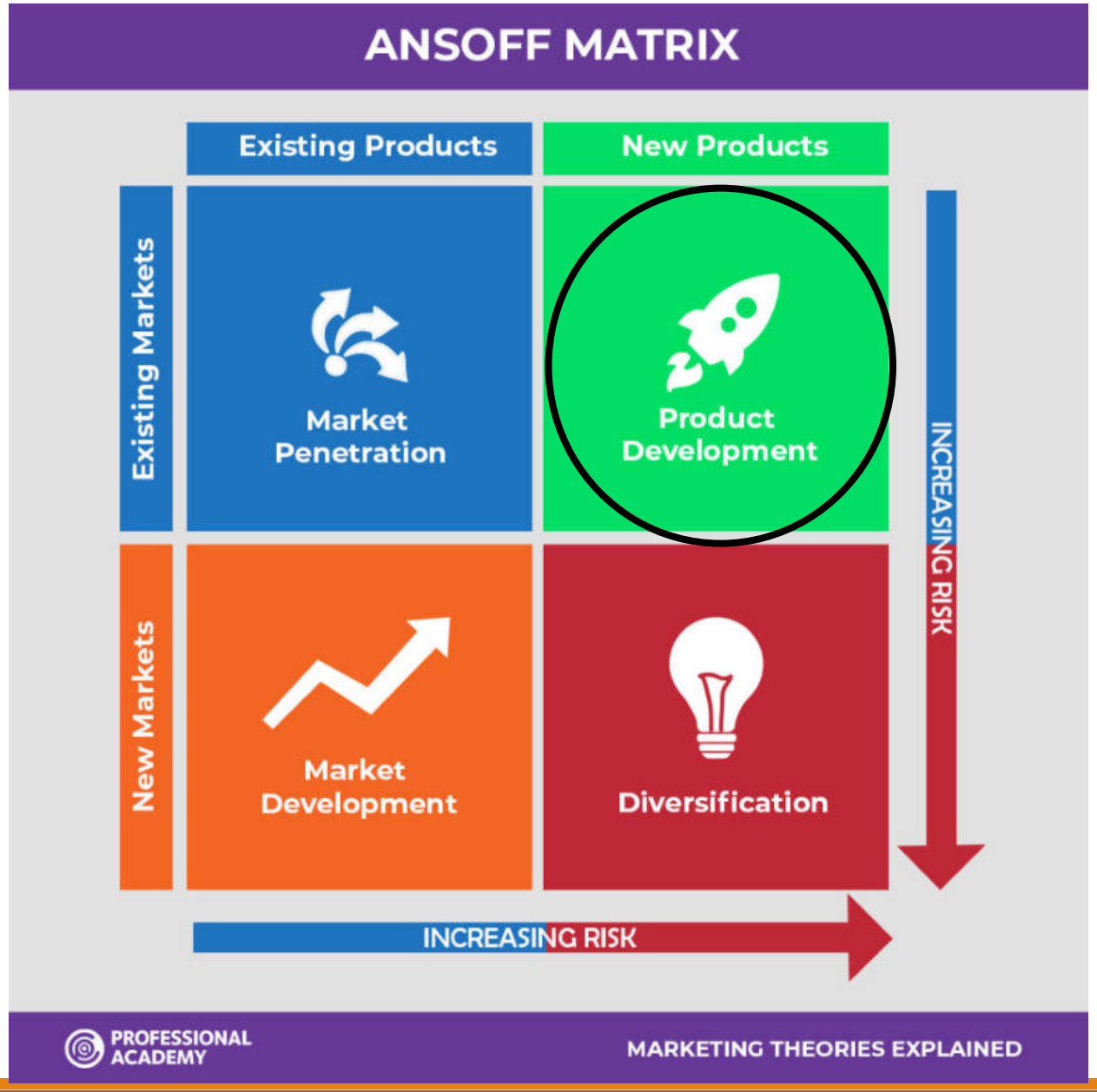


The Ansoff Matrix

Product development
Introducing new products in existing markets

Risk level: High to low

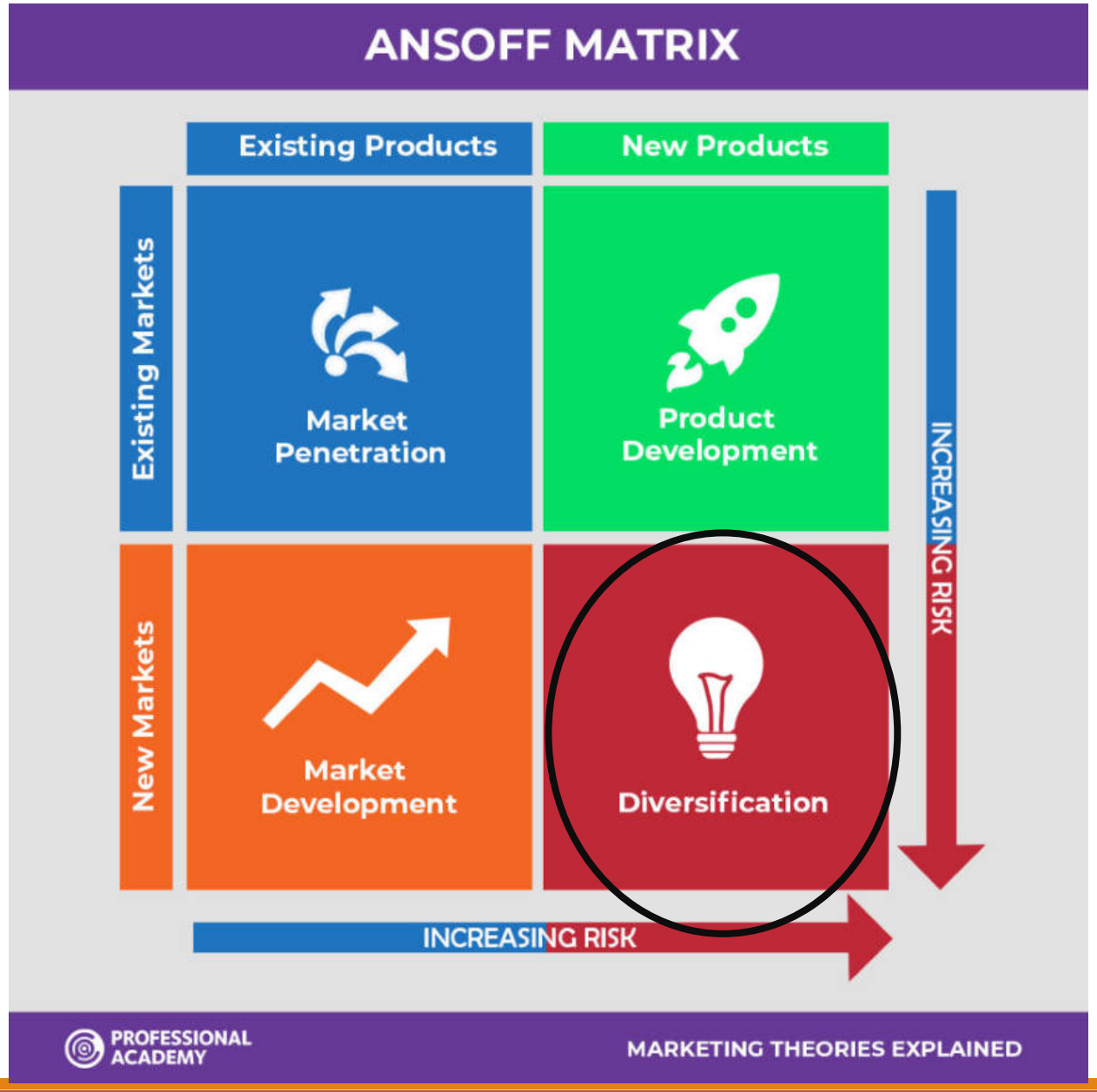




The Ansoff Matrix

Diversification
Introducing new products in new market

Risk level: High



Topic 172

HOW TO CLOSE A VENTURE ?

Agenda of video

Create an exit strategy

Options for closure

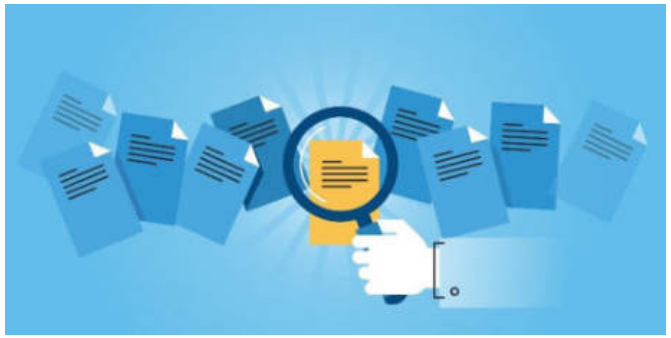
1. Completely close your business

2. You may sell your business

3. You may declare bankruptcy for liquidation

Option1: Completely close your business

1. File dissolution documents.



2. Cancel registrations, permits, licenses, and business names.

Option1: Completely close your business

3. Protect your finances and reputation

4 Comply with employment and labor laws.

Option1: Completely close your business

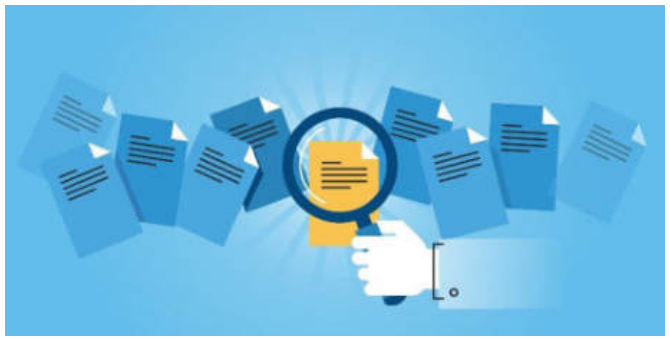
5. Inform your customers and complete jobs in progress

6.Handle final returns for income tax and sales tax.

Option1: Completely close your business

7. Notify creditors and pay outstanding debts

8. Maintain records for at least three to seven years.



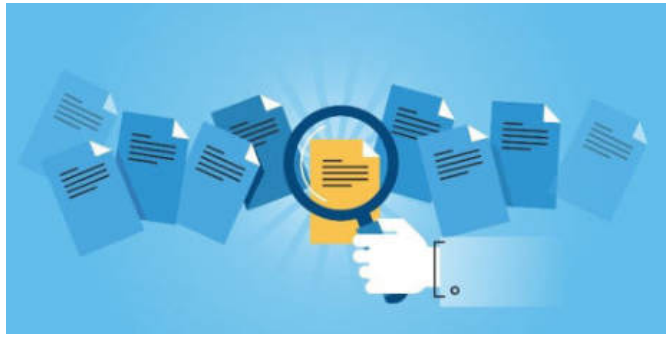
Option2: You may sell your business

1. Accurately tangible and intangible assets

2. Financial value of brand, intellectual property, customer information, and projection of future revenue

Option2: You may sell your business

3. Maintain records for at least three to seven years



Option3: You may declare bankruptcy for liquidation

1. Prepare an inventory and determine assets for sale

2. Secure your merchandise

Option3: You may declare bankruptcy for liquidation

3. Set liquidation value of assets with a qualified appraiser

4. Use that value to estimate net sale proceeds and re-evaluate your decision

Option3: You may declare bankruptcy for liquidation

5. Choose sale type: negotiated, consignment, internet, sealed bid, or retail

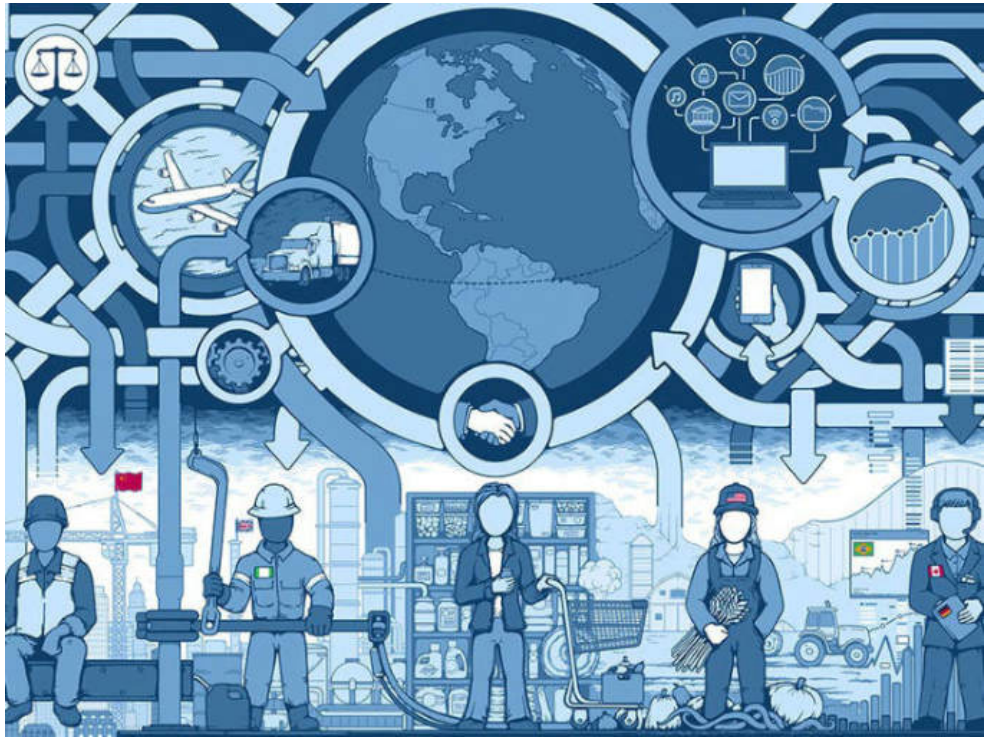
6. Hire an auctioneer, dealer, broker, or other expert to conduct

Topic 174

Globalization and entrepreneurship

Agenda of the video

Globalization and entrepreneurship



What is globalization ?

Globalization is a process of communication, interaction, exchange, and integration of resources, culture, values, finance, skill, and knowledge among the individuals, businesses, and governments of

What is globalization ?

Globalization is the spread of products, technology, information, and jobs across national borders and cultures.
In economic terms, it describes an interdependence of nations around the globe fostered through free

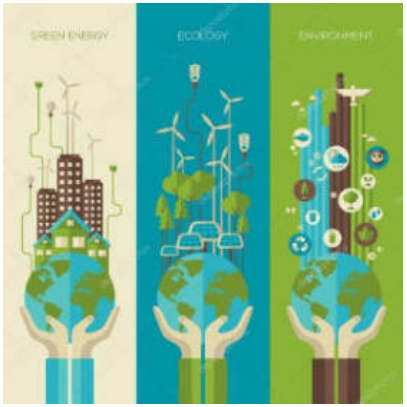
lia.

What is globalization ?

Globalization is a social, cultural, financial, political, and legal phenomenon.

Drives behind fast globalization

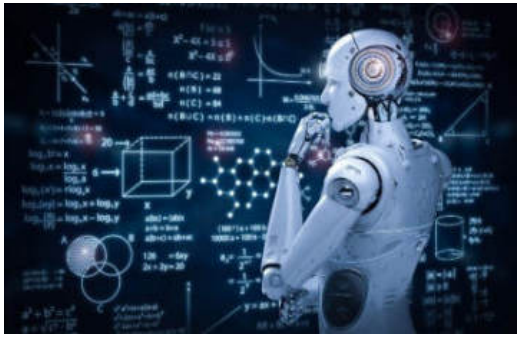
1. Natural resources endowment



2. Improved transportation

rives behind fast globalization

Technological breakthrough



Free trade policies and international politics

Drives behind fast globalization

5. Skill and knowledge

6. Growth strategies of large corporations

Entrepreneurship and Globalization

1. How does trade across the borders affect the creation and survival of new enterprises ?

2. How does Foreign Direct Investment (FDI) and tax system for large enterpri affect the creation and s of new enterprises ?

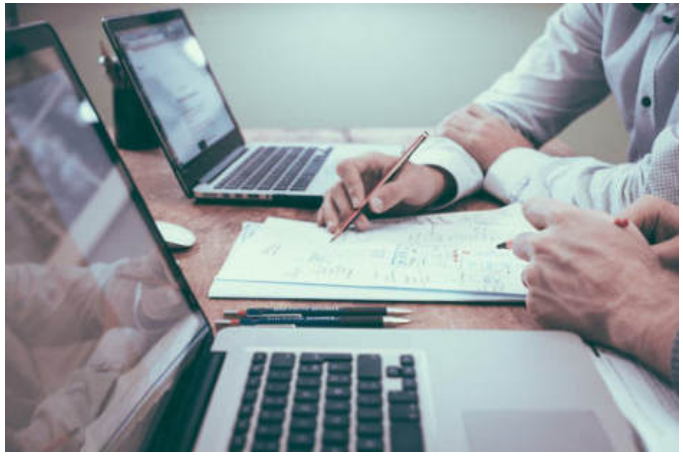
Entrepreneurship and Globalization

3. Can micro, small and me
enterprises compete globa

4. What is the affect of
globalization on different

Entrepreneurship and Globalization

5. What in-house international expertise does the entrepreneur and firm have ?



6. How much capital is required to international production
and marketing?

Topic 175

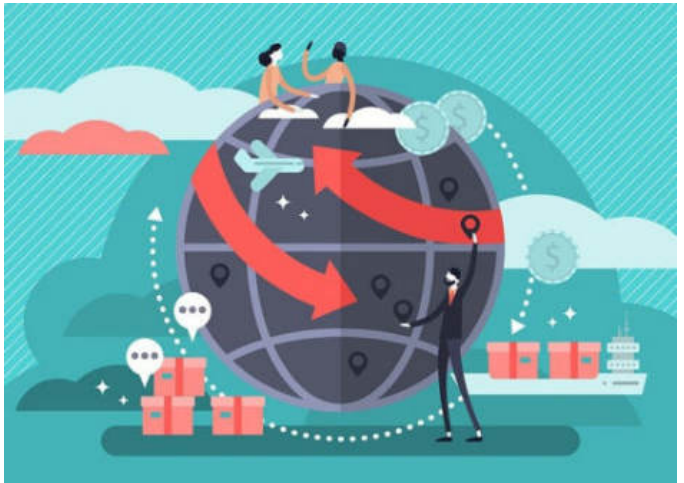
Opportunities and challenges in the globalized world

Agenda

Opportunities and challenges in the globalized world

Global Entrepreneurship

Global entrepreneurship is process where firms act more innovative, efficient and entrepreneurial to alter and improved their products and services to compete in international markets



If entrepreneurs decide to start and/or expand internationally, they should educate themselves about cultural, legal, political, markets.

Entrepreneurs need to learn how to best adapt
the product or service to meet foreign demand for a

Global Opportunities

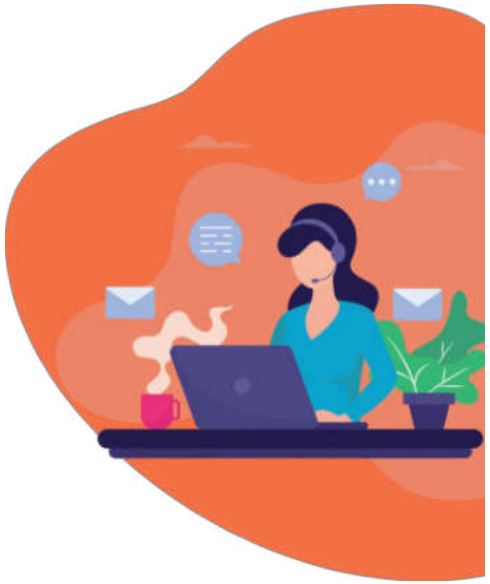
1. Born-Global Firms

Small firms launched with cross-border trade since inception.

Global Opportunities

2. Service outsourcing

A strategy where large firms access foreign labor for services through contracts with independent providers.



Global Opportunities

3. Offshoring

A strategy where firms relocate their operations abroad for achieving cost efficiency and access to knowledge workers.

Global Opportunities

4. Information Industry

Social media emergence
Vlog
Travelling information
Data analysis

lobal Opportunities

. Skill Industry

uman skill and knowledge service industry
ssistance to global enterprises

Global Entrepreneurship Challenges

1. Culture, demographics and values

2. Legal system

3. Economic Risk

4. International political influence

Global Entrepreneurship Challenges

5. Financial issues

6. Managerial and skill Limitations

7. Quality standards

Global Entrepreneurship Challenges

. Product and/or service design adaption

. Operation alteration

Topic 176

Strategies for going global

Agenda of the video

Strategies for going global

Strategies for going global

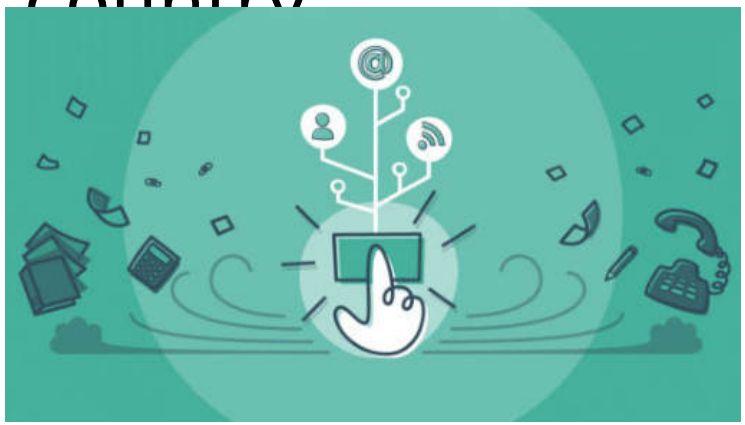
1. Exporting
2. Importing
3. Foreign licensing
4. International Franchising
5. International strategic Allia
6. Cross-border acquisition

Exporting

Selling products produced in the home country to customers in

Importing

Selling goods produced in another country to buyers in the home country



Foreign licensing

Allowing a company in another country to purchase the rights to manufacture and sell a company's products in international markets

Foreign licensing

Licensee
The company buying licensing r

Licensor
The company selling licensing rights

International Franchising

Selling a standard package of products, systems, and management services to a company in another country.

International strategic Alliance

A combination of efforts and/or assets of companies in different countries for the sake of pooling resources and sharing the risks of an enterprise.

Cross-border acquisition

The purchase by a business in one country of a company located in another country.

Topic 177

THE DIGITAL AGE AND ITS ISSUES

Important Research Question

How digitalization affects the internationalization of small- and medium-sized firms (SMEs) ?

Born international

Imported product competition

Inter-based E-commerce

Open new opportunities for firms

Expansion of customer base

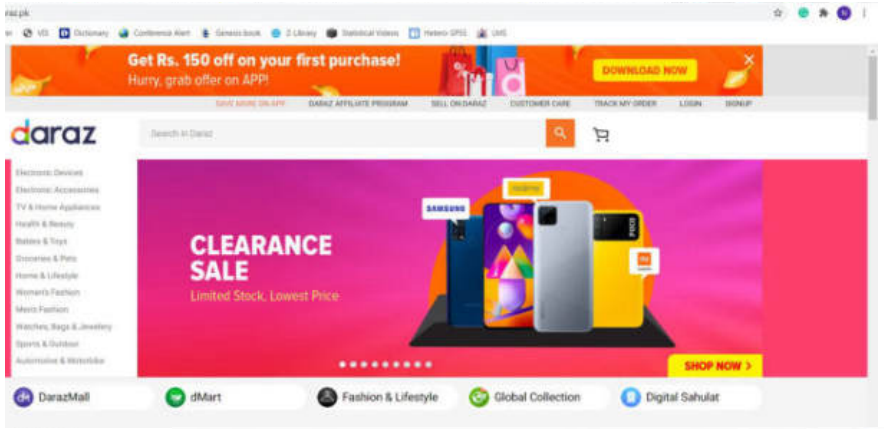
Inter-based E-commerce

New products

New markets

Examples

https://www.daraz.pk/



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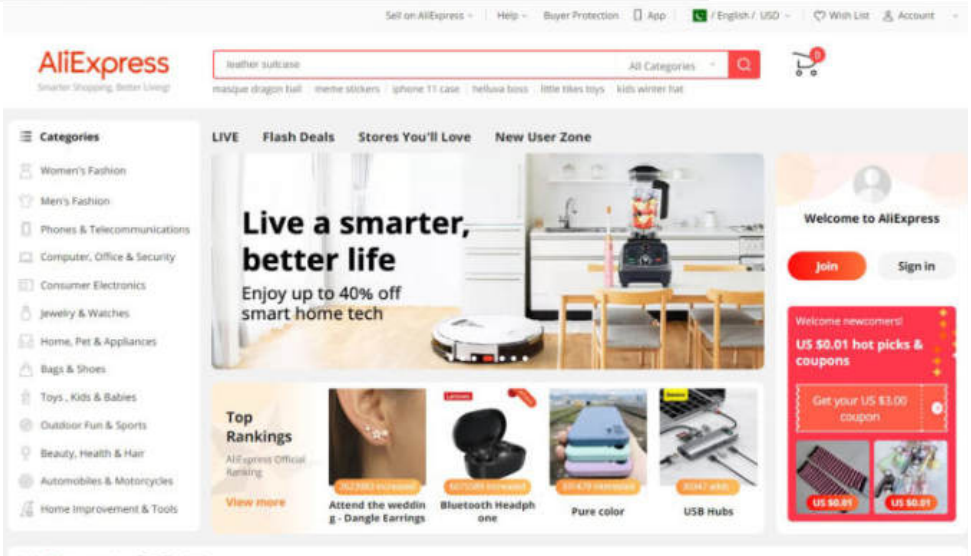

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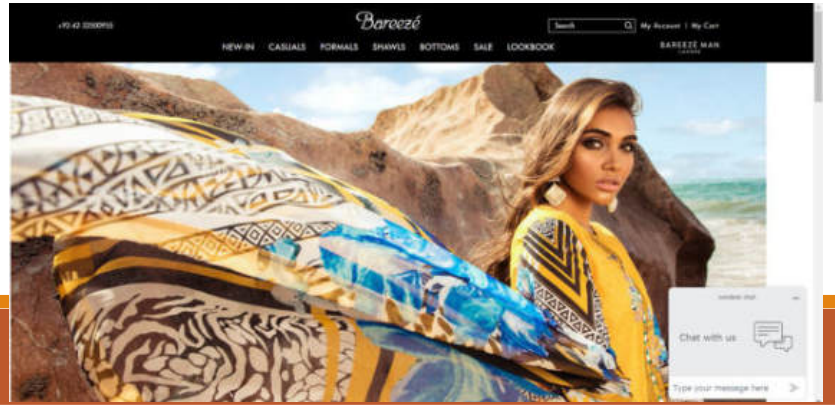


Digital Consideration

Privacy Policy

Exchange Policy

International Policy

Payment policy and methods

Digital Consideration

Logistics

Order Tracking

FAQs

Customer Generated Content

Issues of e-business and/or e-commerce

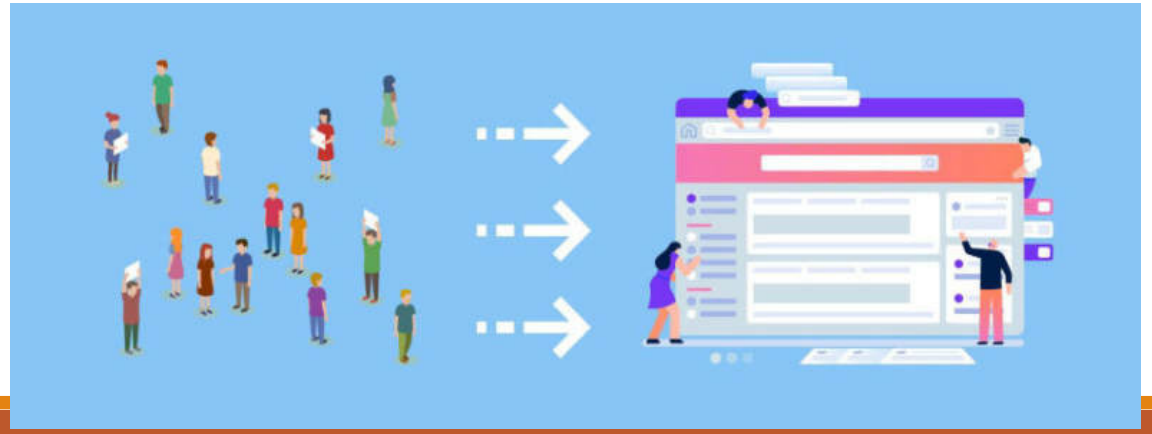
Competition is brutal

It takes time to build a positive feedback profile

Issues of e-business and/or e-commerce

Your products can become restricted and unsellable at any time

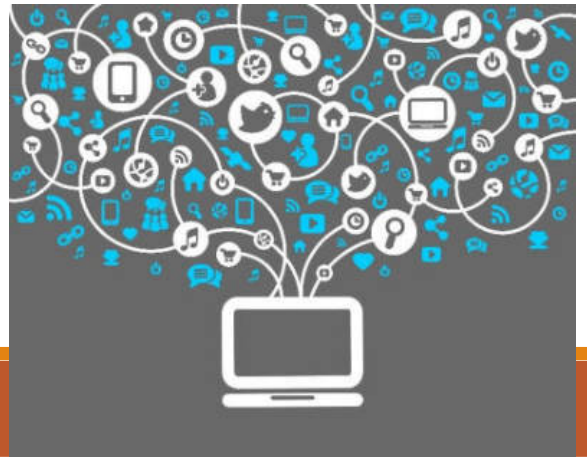
Generating targeted traffic



Issues of e-business and/or e-commerce

Converting shoppers into paying customers

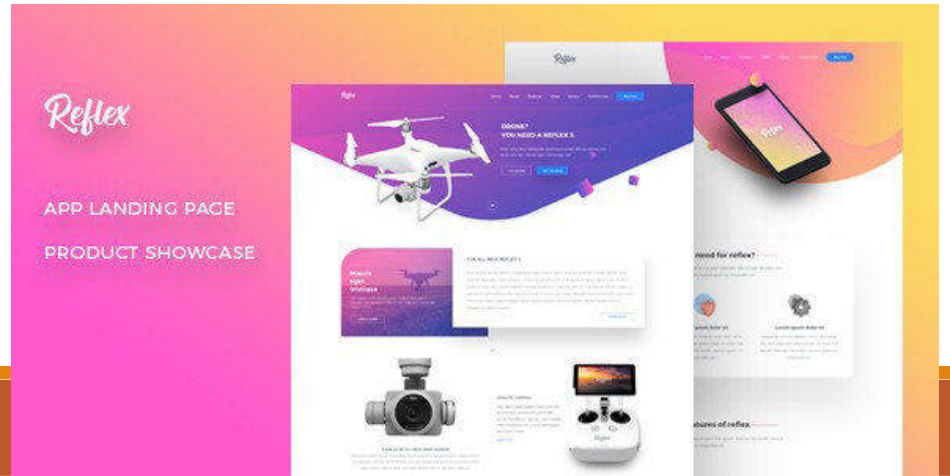
Choosing the right technology & partners

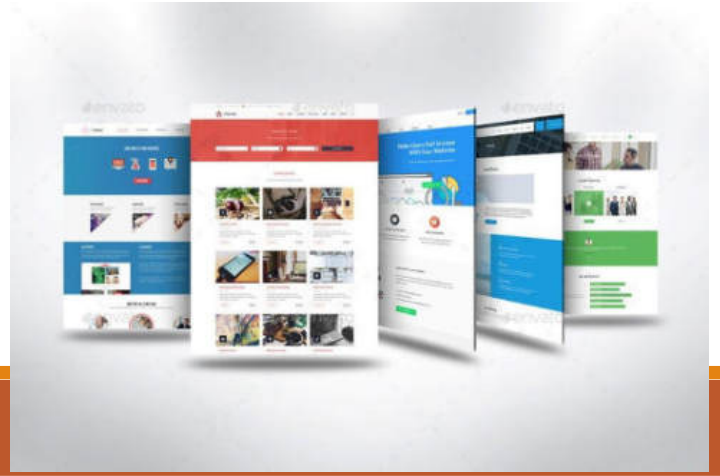


Issues of e-business and/or e-commerce

Legal issues in payments in return policy

Product display and content development





Topic 178

Entrepreneurship ecosystem (Part 1)

Point of discussions already made:

Entrepreneurship and characteristics of the entrepreneurship

Ways to become entrepreneurs

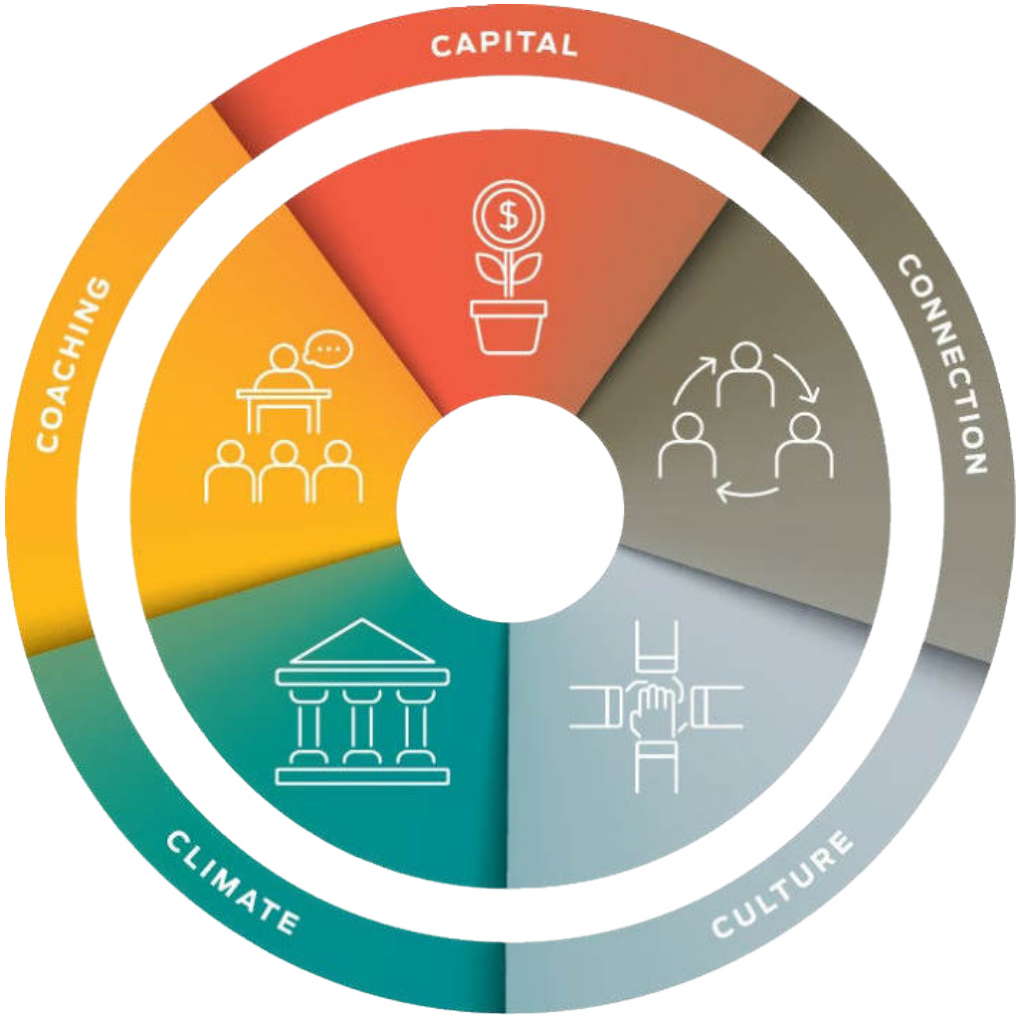
Managerial aspects of entrepreneurship

Marketing aspects of entrepreneurship

Financial management of entrepreneurship

- Practical insights of entrepreneurship

Agenda of the video
Entrepreneurship ecosystem



What is an ecosystem ?

A community of living organisms in conjunction with the nonliving components of their environment (things like air, water and mineral soil), interacting as a system.

A system is an organized set of interacting and interdependent subsystems that function together as a whole to achieve a purpose.

Source: Global Entrepreneurship Index by The Global Entrepreneurship and Development Institute, Washington, D.C., USA

GEDI

GLOBAL ENTREPRENEURSHIP INDEX
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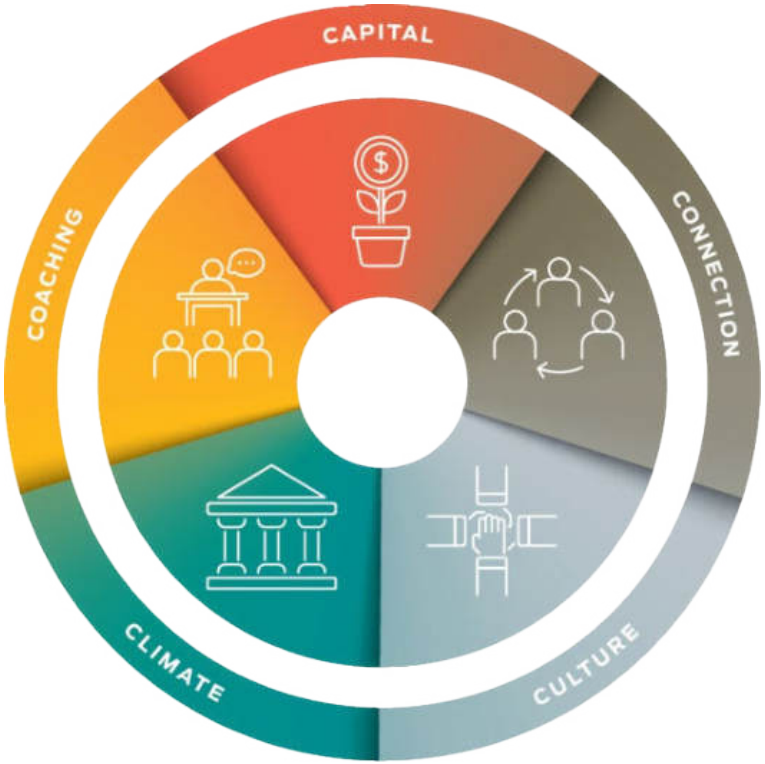
In general, an ecosystem is a purposeful collaborating network of dynamic interacting systems and subsystems that have an ever-changing set of dependencies within a given context.

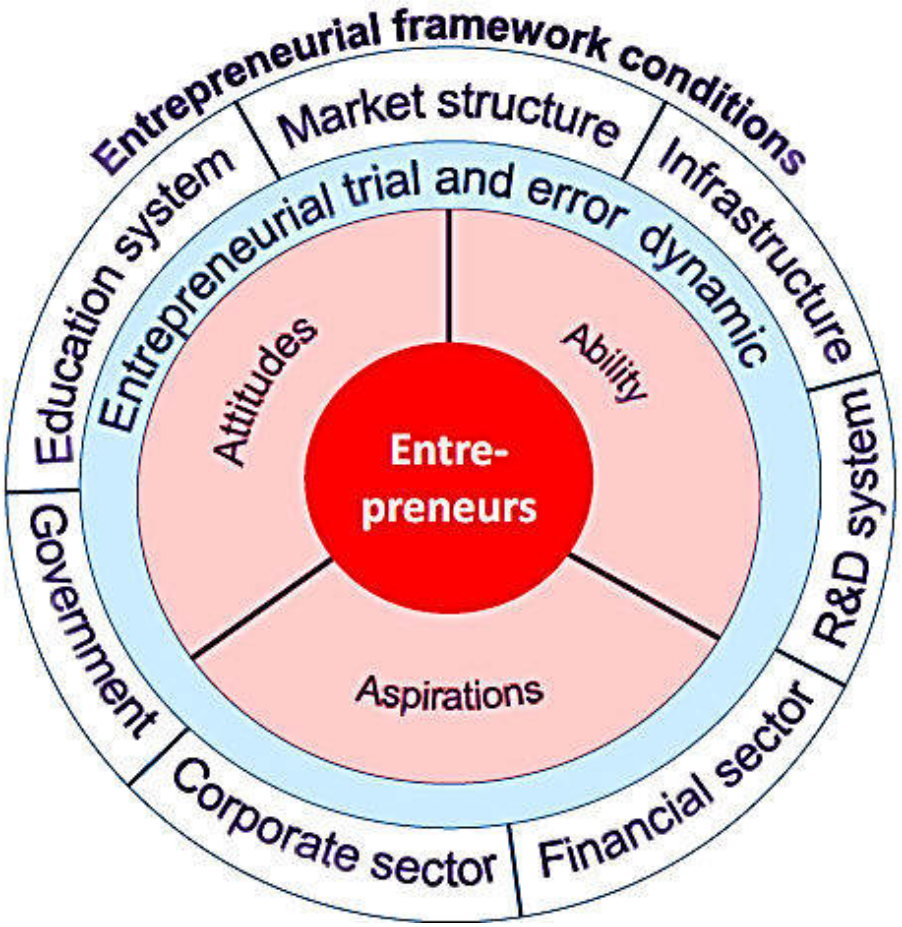
Source: Global Entrepreneurship Index by The Global Entrepreneurship and Development Institute, Washington, D.C., USA



We define entrepreneurial ecosystems at the socioeconomic level having properties of self-organization, scalability and sustainability as "…*dynamic institutionally embedded interaction between entrepreneurial attitudes, abilities and aspirations, by individuals, which drives the allocation of resources through the creation and operation of new ventures.*"

Source: Global Entrepreneurship Index by The Global Entrepreneurship and Development Institute, Washington, D.C., USA

Figure 1: The Entrepreneurial Ecosystem Configuration



Source: Global Entrepreneurship Index by The Global Entrepreneurship and Development Institute, Washington, D.C., USA

Figure 6: The Structure of the Global Entrepreneurship Index

GLOBAL ENTREPRENEURSHIP INDEX	Sub-indexes	Pillars	Variables (individual / institutional)
	ATTITUDES SUB-INDEX	OPPORTUNITY PERCEPTION	*OPPORTUNITY RECOGNITION*
			FREEDOM (ECONOMIC FREEDOM *PROPERTY RIGHTS)
		STARTUP SKILLS	*SKILL PERCEPTION*
			EDUCATION (TERTIARY EDUCATION*QUALITY OF EDUCATION)
		RISK ACCEPTANCE	*RISK PERCEPTION*
			COUNTRY RISK
		NETWORKING	*KNOW ENTREPRENEURS*
			AGGLOMERATION (URBANIZATION*INFRASTUCTURE)
		CULTURAL SUPPORT	*CAREER STATUS*
			CORRUPTION
	ABILITIES SUB-INDEX	OPPORTUNITY STARTUP	*OPPORTUNITY MOTIVATION*
			GOVERNANCE (TAXATION*GOOD GOVERNANCE)
		TECHNOLOGY ABSORPTION	*TECHNOLOGY LEVEL*
			TECHNOLOGY ABSORPTION
		HUMAN CAPITAL	*EDUCATIONAL LEVEL*
			LABOR MARKET (STAFF TRAINING*LABOUR FREEDOM)
		COMPETITION	*COMPETITORS*
			COMPETETIVNESS (MARKET DOMINANCE*REGULATION)
	ASPIRATION SUB-INDEX	PRODUCT INNOVATION	*NEW PRODUCT*
			TECH TRANSFER
		PROCESS INNOVATION	*NEW TECHLOLOGY*
			SCIENCE (GERD*(AVERAGEQUALITY OF SCIENTIFICAL INSTITUTIONS +AVAILABILITY OF SCIENTISTS AND ENGENEERS))
		HIGH GROWTH	*GAZELLE*
			FINANCE AND STRATEGY (VENTURE CAPITAL*BUSINESS SOPHISTICATION)
		INTERNATIONALIZATION	*EXPORT*
			ECONOMIC COMPLEXITY
		RISK CAPITAL	*INFORMAL INVESTMENT*
			DEPTH OF CAPITAL MARKET

Source: Global Entrepreneurship Index by The Global Entrepreneurship and Development Institute, Washington, D.C., USA

ENTREPRENEURIAL FRAMEWORK CONDITIONS

Entrepreneurship doesn't take place in a vacuum — a whole host of factors determine how easy (or difficult) it is to start up. Our National Expert Survey (NES) looks at the national context in which individuals start businesses

Source: Global Entrepreneurship Monitor

1. Financing For Entrepreneurs
2. Governmental Support And Policies
3. Taxes And Bureaucracy
4. Governmental Programs
5. Basic School Entrepreneurial Education And Training
6. Post School Entrepreneurial Education And Training
7. R&D Transfer
8. Commercial And Professional Infrastructure
9. Internal Market Dynamics
10. Internal Market Openness
11. Physical And Services Infrastructure
12. Cultural And Social Norms

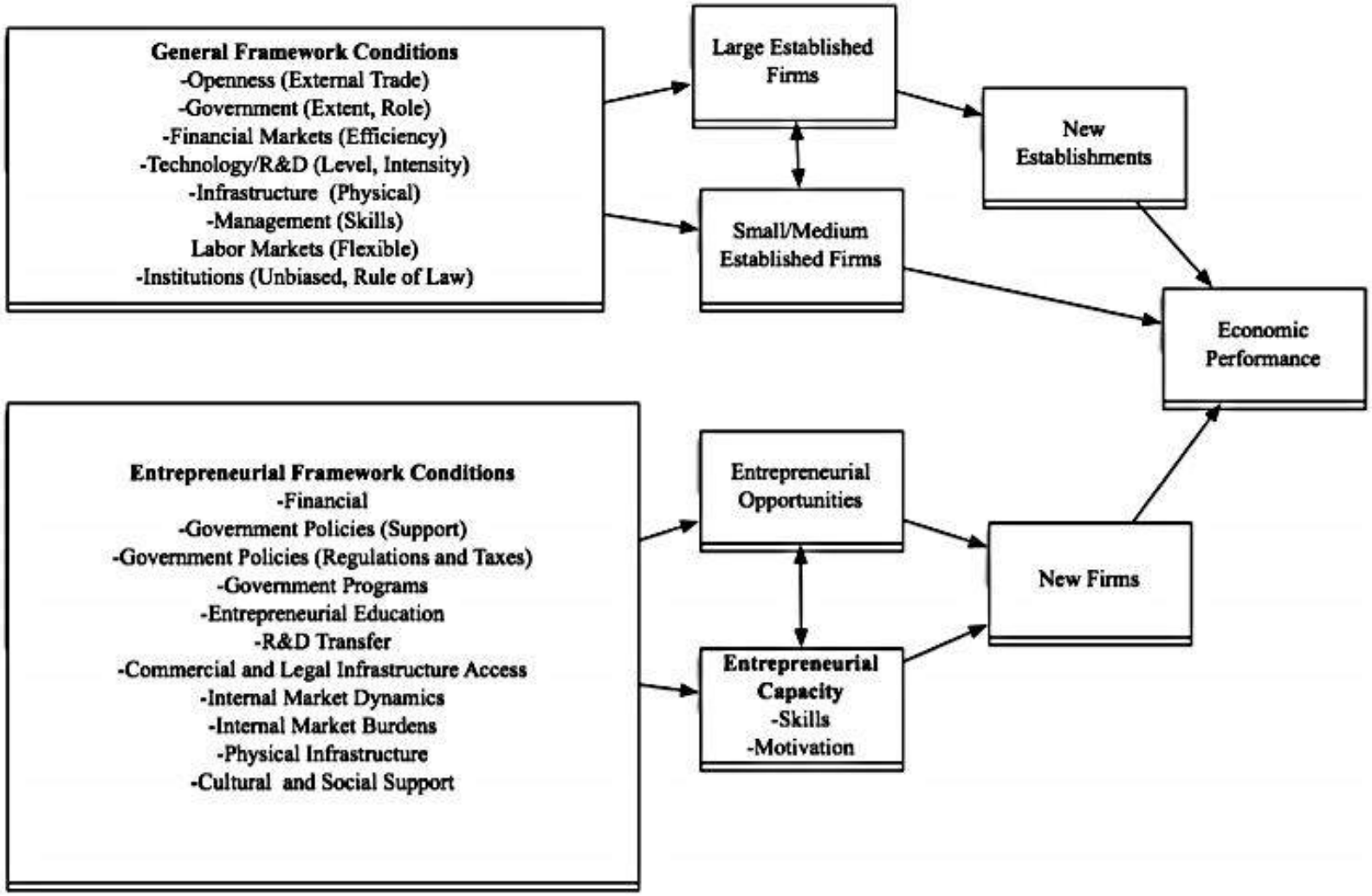


Fig. 1 GEM conceptual model of business ecosystem and economic performance

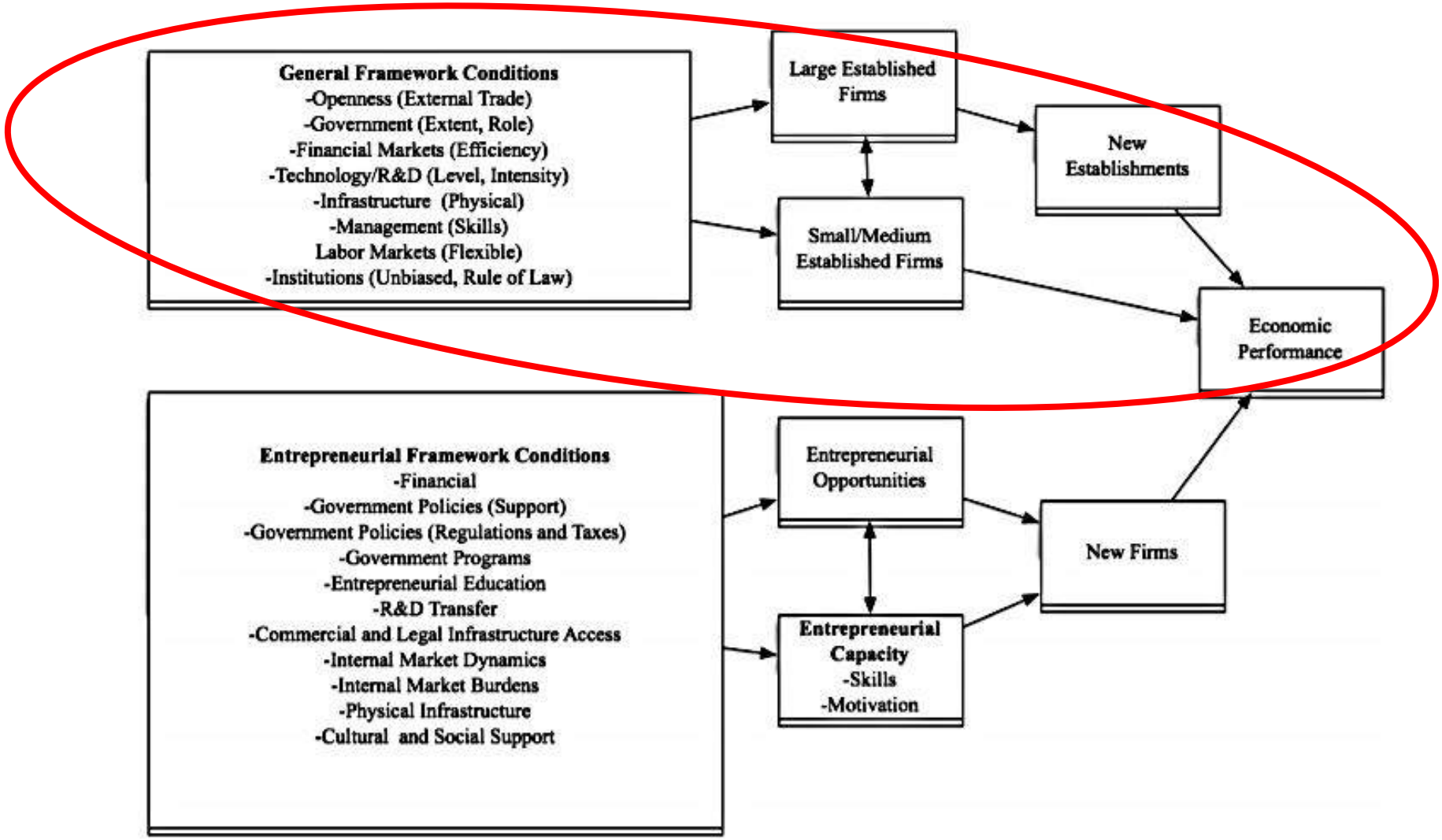


Fig. 1 GEM conceptual model of business ecosystem and economic performance

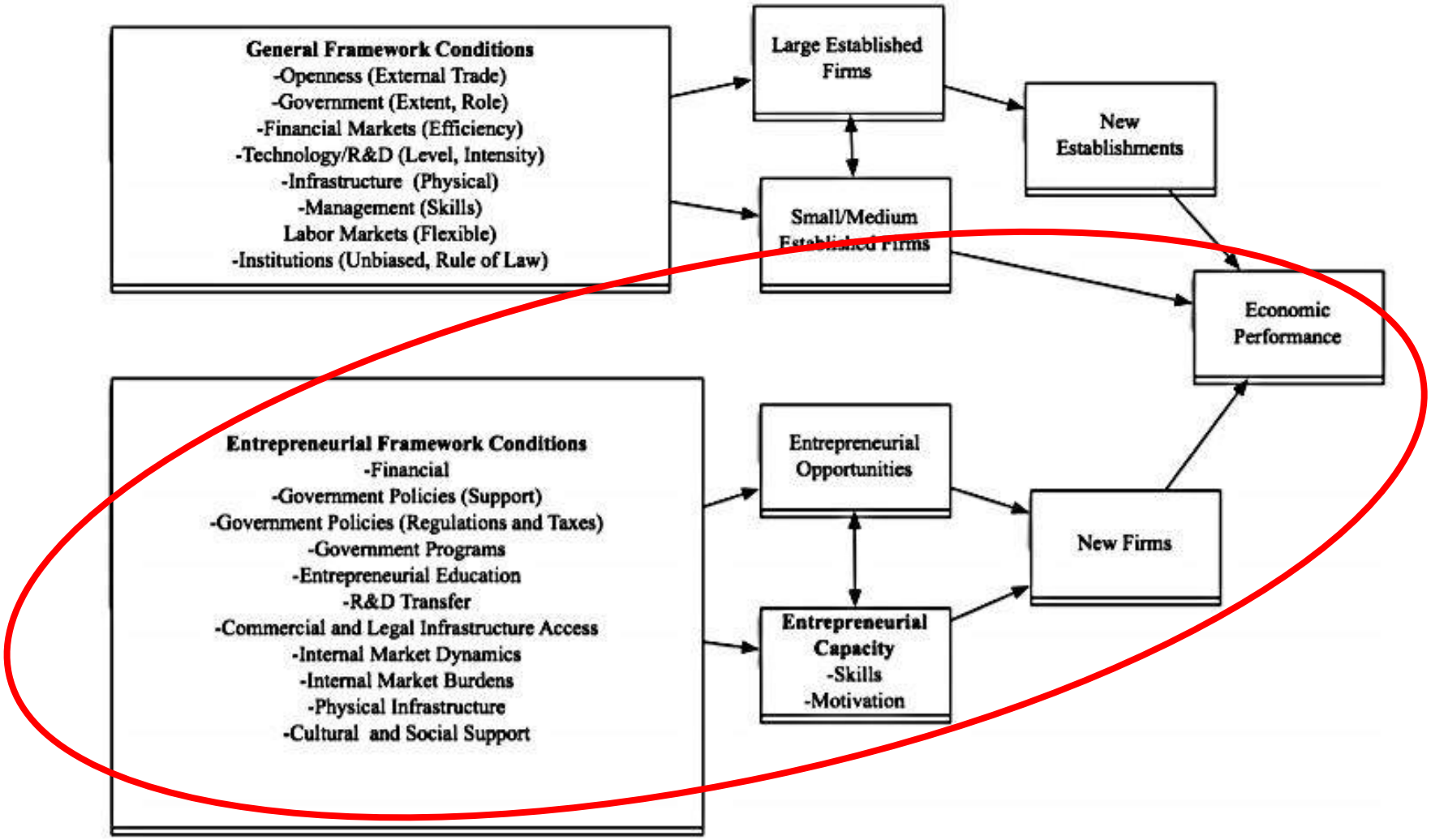
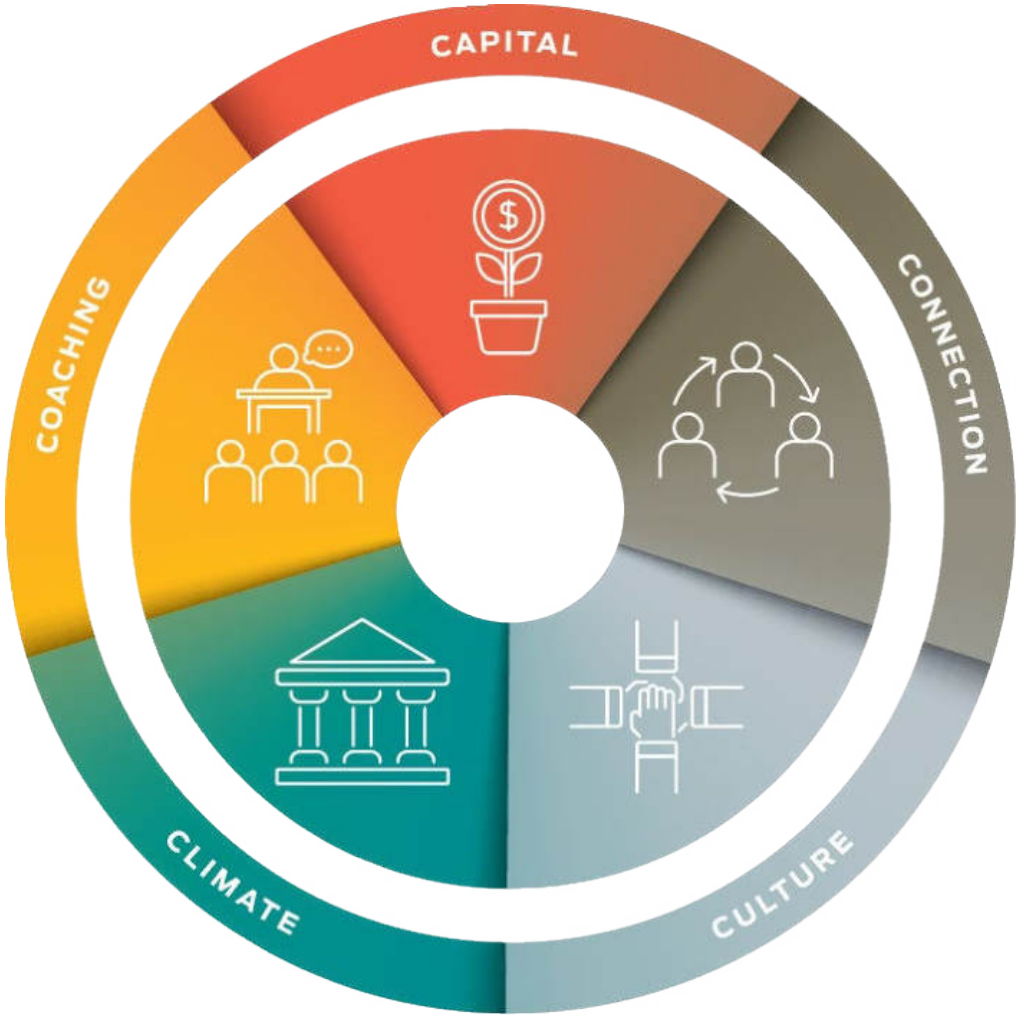


Fig. 1 GEM conceptual model of business ecosystem and economic performance

Topic 179

Entrepreneurship ecosystem (Part 2)

Agenda of the video
Entrepreneurship ecosystem



Entrepreneurship ecosystem

Friends and family

Educational Institutions

Training Institutions

Industry

Federal and provincial governments

Entrepreneurship ecosystem

Banking and insurance institutions

Customers and markets

International markets

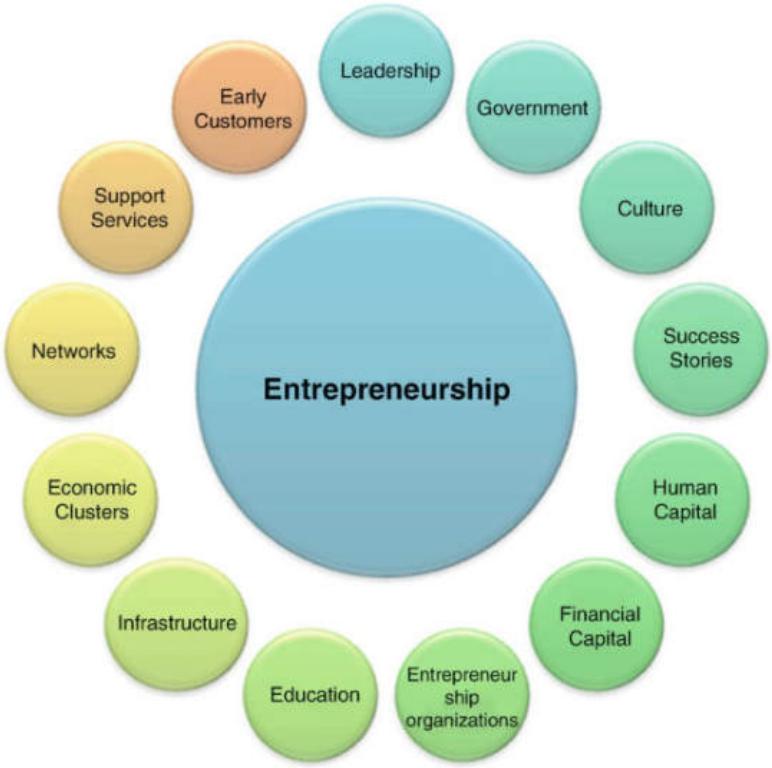
Government Policies

Global politics

Entrepreneurship ecosystem

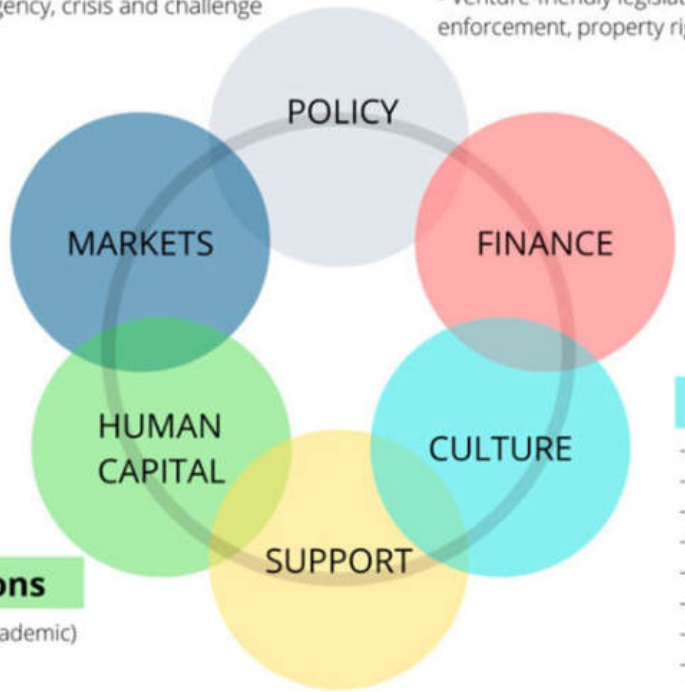
Entrepreneurial ecosystem is a set of interdependent actors and factors coordinated in such a way that they enable productive entrepreneurship in a particular territory.

Source: F.C. Stam & Ben Spigel, 2016. "Entrepreneurial Ecosystems," Working Papers 16-13, Utrecht School of Economics.



Isenberg's model of an entrepreneurship ecosystem

Conducive culture
Enabling policies
Availability of appropriate finance
Quality of human capital
Venture friendly markets for products
Institutional and infrastructure support



Leadership

- Unequivocal support
- Social legitimacy
- Open door for advocate
- Entrepreneurship strategy
- Urgency, crisis and challenge

Government

- Institutions (e.g. Investment, support)
- Financial support (e.g. for R&D, jump start funds)
- Regulatory framework Incentives (e.g. Tax benefits)
- Research institutions
- Venture-friendly legislation (e.g. Bankruptcy, contract enforcement, property rights and labor)

Markets

- Reference customer
- Distribution channels
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Labor

- Skilled and unskilled
- Serial entrepreneurs
- Later generation family

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- Wealth generation for founders
- International reputation
- Tolerance of risk, mistakes, failure
- Innovation, creativity, experimentation
- Social status of entrepreneur
- Wealth creation
- Ambition, drive, hunger

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- General degrees (professional and academic)
- Specific entrepreneurship training

Infraestructures

- Telecommunications
- Transportation and logistics
- Energy
- Zones, incubation, centers, clusters

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- Accounting
- Investment bankers
- Technical experts, advisors

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- Conferences
- Entrepreneur-friendly associations

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- Social legitimacy
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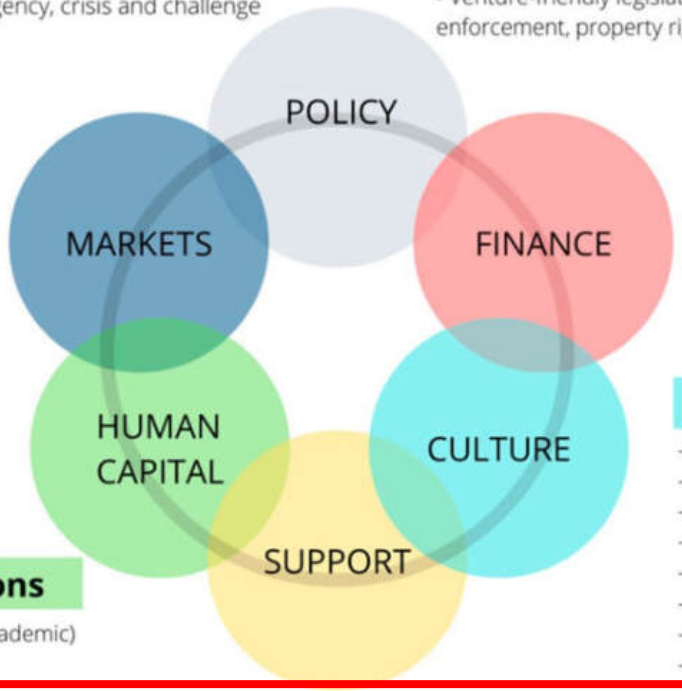

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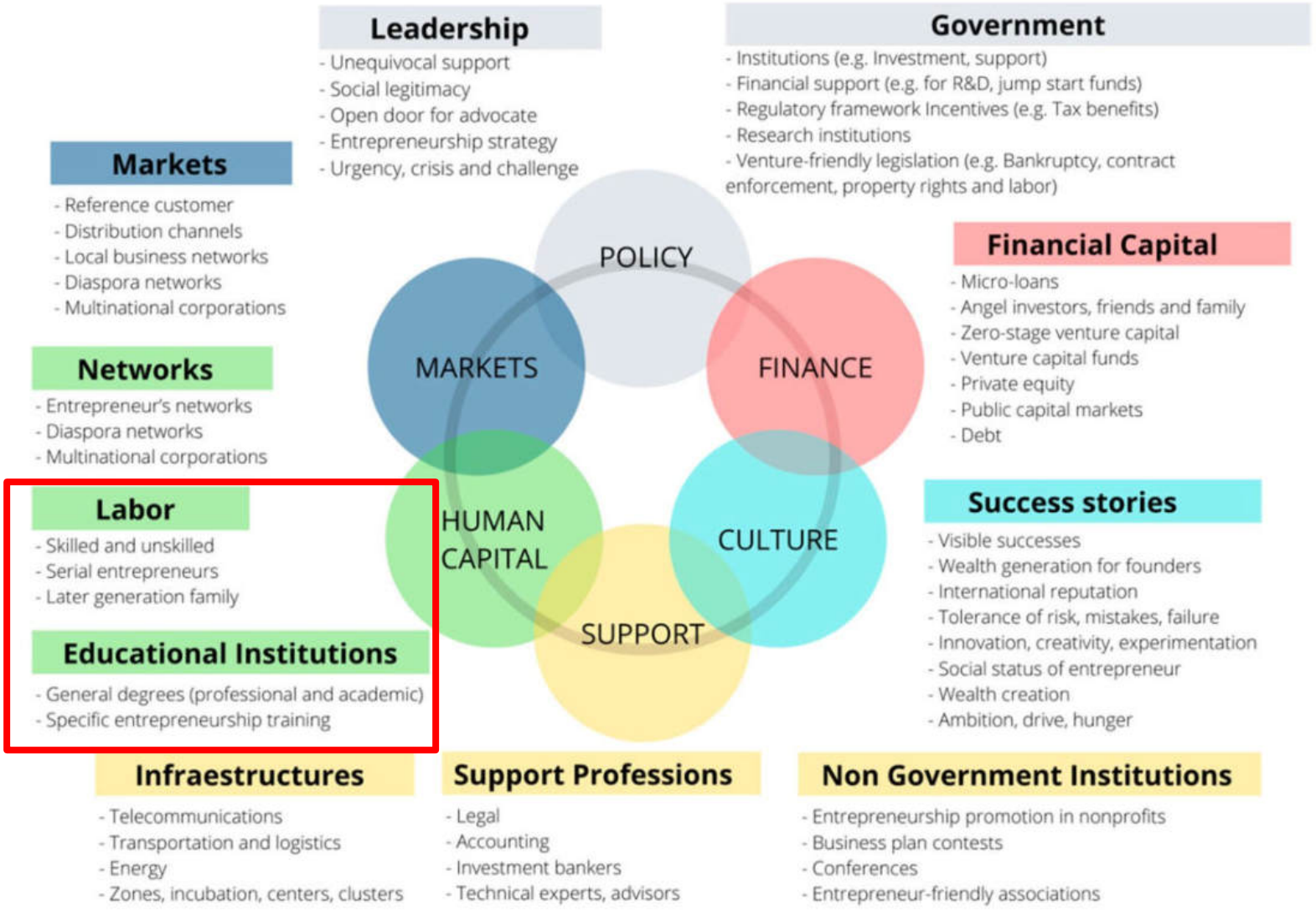
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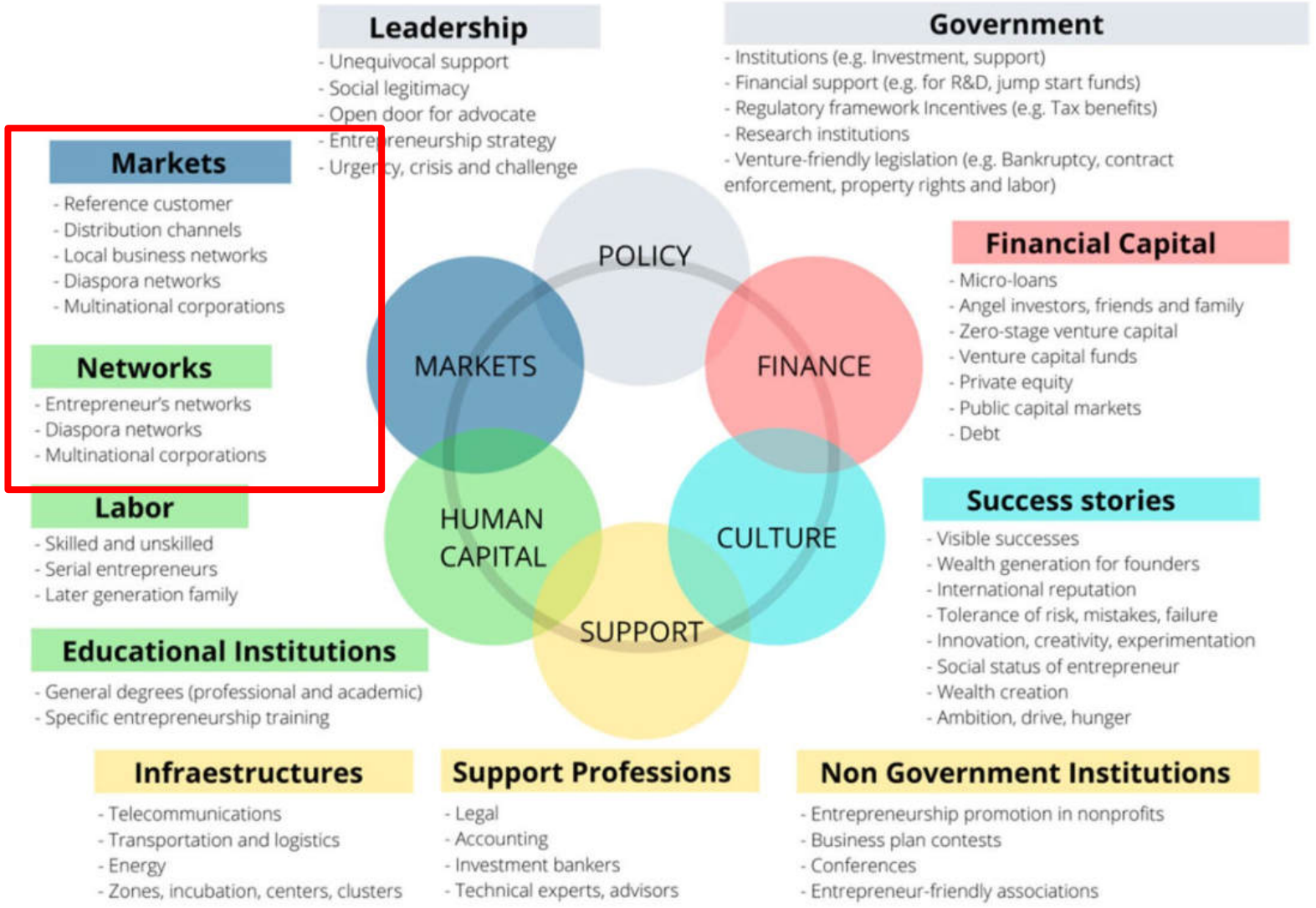
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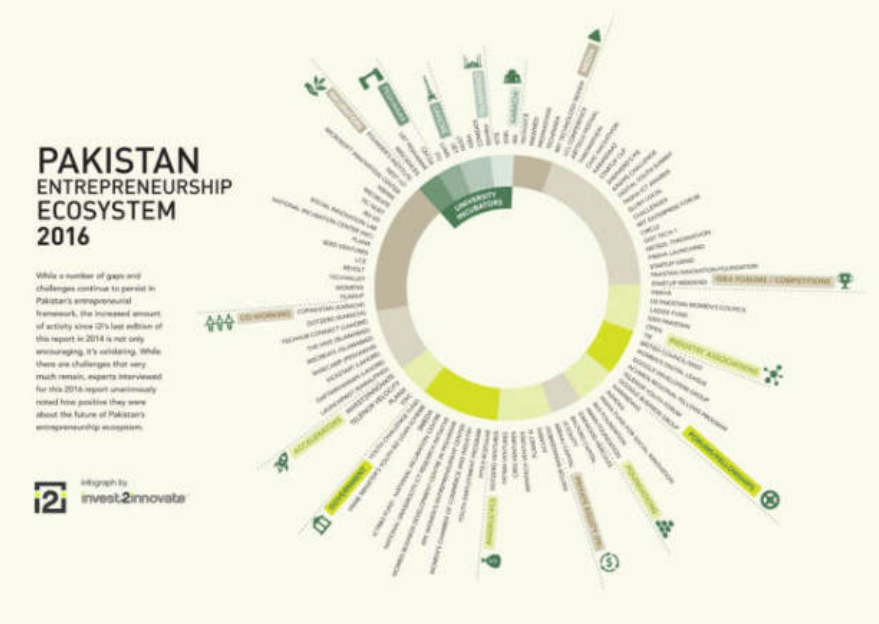
Ease of Doing Business Index

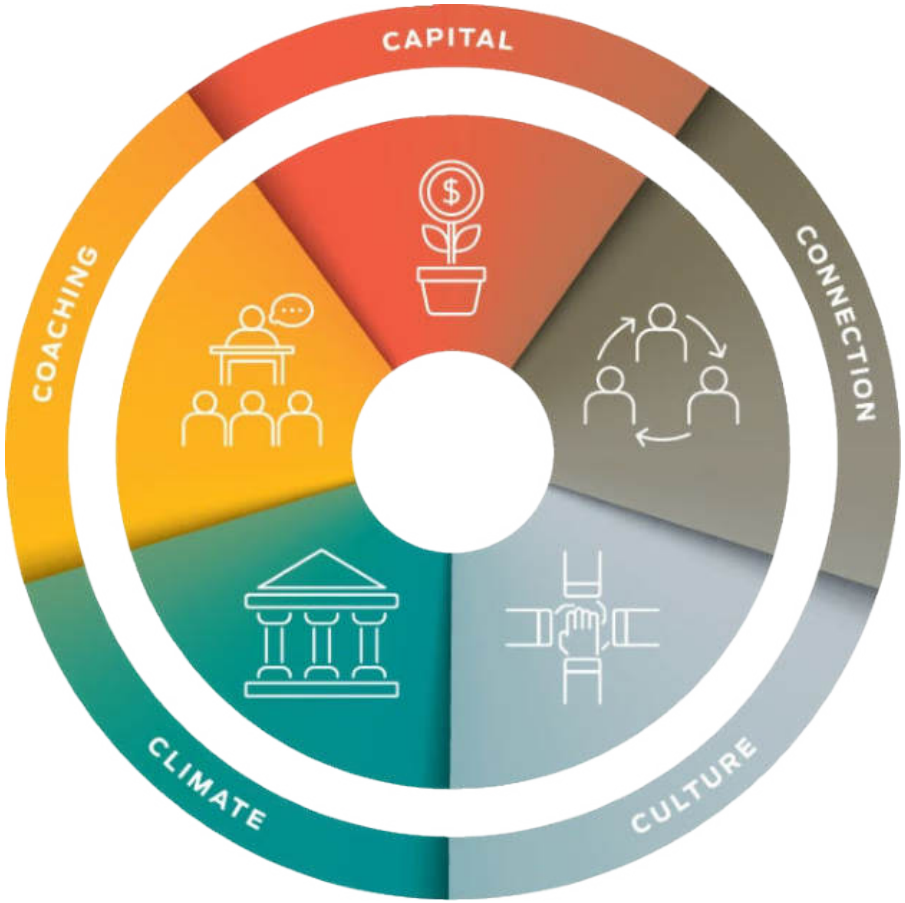
1. Starting a business:
2. Dealing with construction permits
3. Getting electricity
4. Registering property
5. Getting credit
6. Protecting investors
7. Paying taxes
8. Trading across borders
9. Enforcing contracts
10. Resolving insolvency

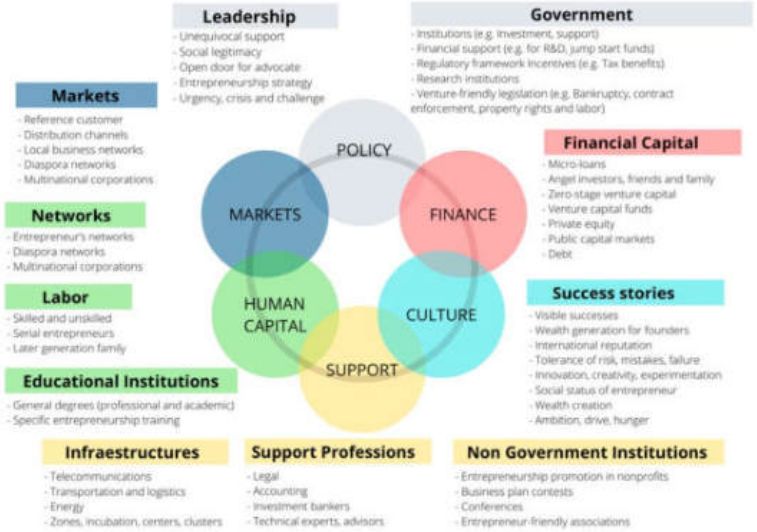
Source: World Bank Group

Pakistan carried out six reforms that helped improving its ranking from 136 to 108, according to the WB's annual flagship report, 'Ease of Doing Business 2020



Entrepreneurship ecosystem





Topic 181

Institutional and Government markets

Agenda of the video
Institutional and Government markets

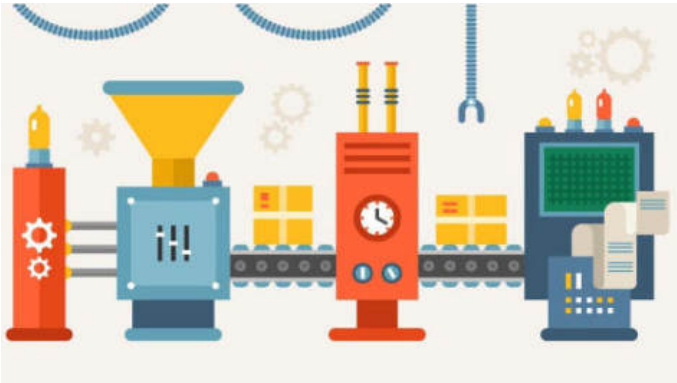
Business growth in Institutional and government markets

Industrial and innovative products

Classification of B 2 B market

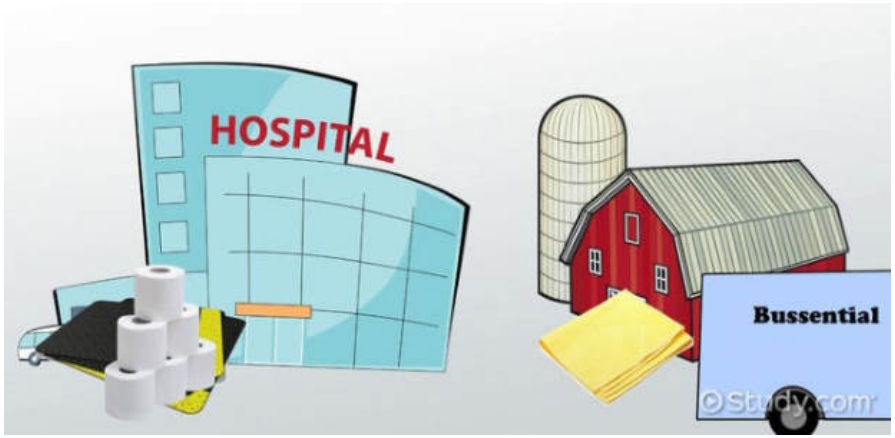
Industrial market

the units that manufacture the Industrial goods and services



Classification of B 2 B market

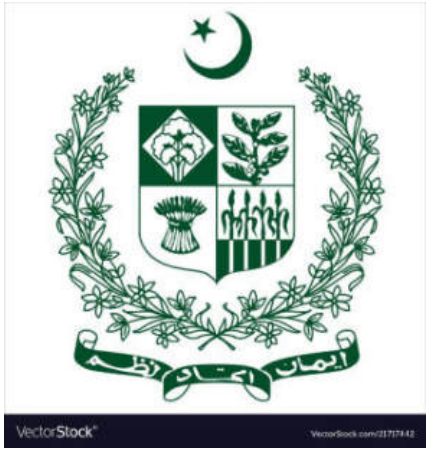
Institutional market (government and private markets)
Schools, hospitals, nursing homes, prisons, and other institutions that provide goods and services to people in their care



Classification of B 2 B market

Government Institutions

federal, state, and local bodies —that purchase or rent goods and services for carrying out the main functions of government.



Business Markets Characteristics

Fewer but larger buyers

Demand is derived from final consumer demand

Business markets is *more* inelastic

Source: Principle of Marketing by Kotler and Armstrong

Business Markets Characteristics

More professional purchasing effort

More complex buying decisions

Buying process is more formalized

Buyers and sellers work more closely together and build close long-term relationships

Source: Principle of Marketing by Kotler and Armstrong

Suppliers network development

Planned and systematic development of networks of suppliers to ensure an interrupted, dependable, quality and timely supply of materials, machines or industrial products for production.

Source: Principle of Marketing by Kotler and Armstrong

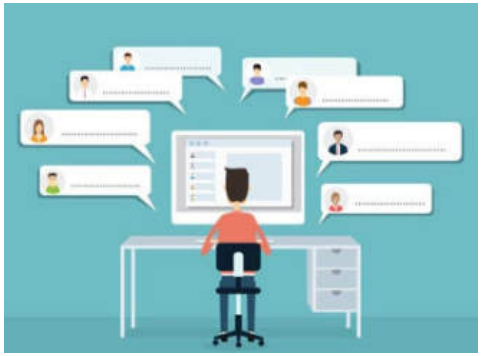
Participants in Business Buying Process

Users

Members of the buying organization who will actually use the purchased product or service.

Influencers

People in an organization's buying center who affect the buying decision; they
often help define specifications and also provide information for evaluating alternatives



Buyers

People in an organization's buying center who make an actual purchase.

Source: Principle of Marketing by Kotler and Armstrong

Participants in Business Buying Process

Deciders
People in an organization's buying center who have formal or informal power to select or approve the final suppliers

Gatekeepers
People in an organization's buying center who control the flow of information to others.

Source: Principle of Marketing by Kotler and Armstrong

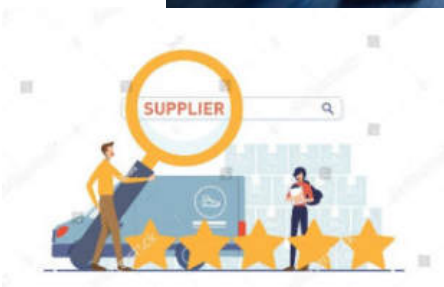
The Business Buying Process

1. **Problem recognition**
The first stage of the business buying process in which someone in the company recognizes a problem or need that can be met by acquiring a good or a service.

2. General need description
The stage in the business buying process in which a buyer describes the general characteristics and quantity of a needed item.

3. **Product specification**
The stage of the business buying process in which the buying organization decides on and specifies the best technical product characteristics for a needed item.

4. **Supplier search**
The stage of the business buying process in which the buyer tries to find the best vendors.



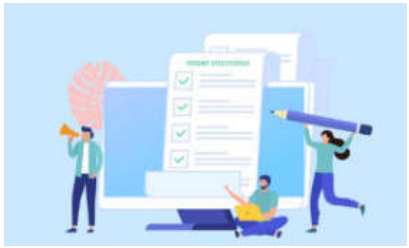
Source: Principle of Marketing by Kotler and Armstrong

The Business Buying Process

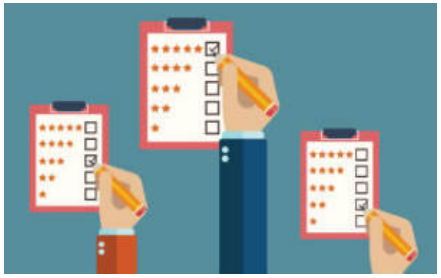
5. Proposal solicitation
The stage of the business buying process in which the buyer invites qualified suppliers to submit proposals.

6. **Supplier selection**
The stage of the business buying process in which the buyer reviews proposals and selects a supplier or suppliers.

7. **Order-routine specification**
The stage of the business buying process in which the buyer writes the final order with the chosen supplier(s), listing the technical specifications, quantity needed, expected time of delivery, return policies, and warranties.



8. **Performance review**
The stage of the business buying process in which the buyer assesses the performance of the supplier and decides to continue, modify, or drop the arrangement.



Source: Principle of Marketing by Kotler and Armstrong

Topic 182

Business Ethics Part 1

Agenda of the video
Business Ethics

What is ethics ?

Moral principles that govern and guide an individual's behavior while living in a society for conducting activities in general interest of society.

What is ethics ?

Moral principles that govern and guide an individual's behavior while living in a society for conducting activities in general interest of society.

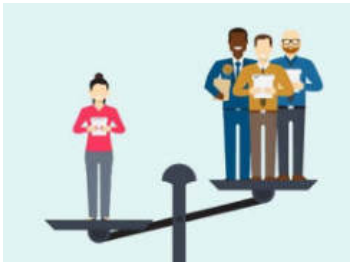
Ethics is the branch of knowledge that defines the moral principles to deal with people and society.

What is business ethics?

Business ethics is the study of appropriate busines policies and practices regarding potentially controversial subjects.

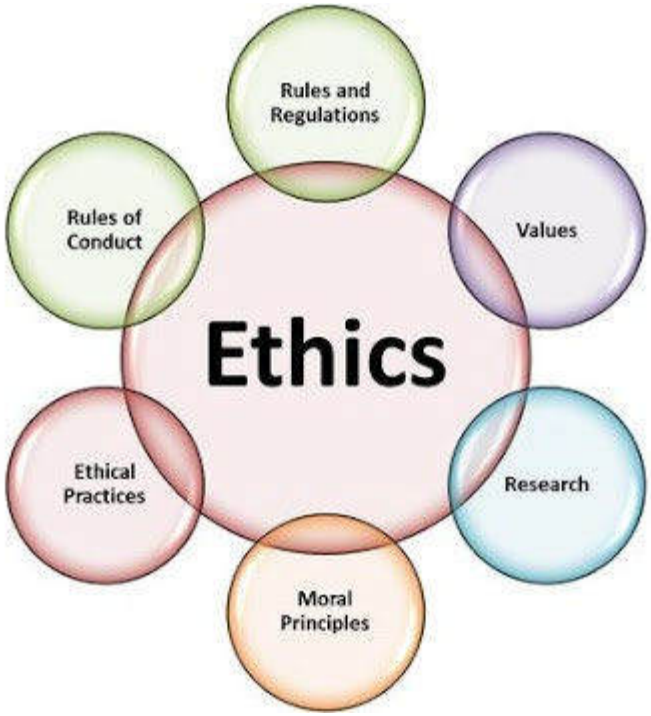
Some issues that come up in a discussion of ethics include corporate governance, insider trading, bribery, discrimination, social responsibility, and fiduciary responsibilities.

The law usually sets the tone for business ethics, providing a basic guideline that businesses can choose to follow to gain public approval.



Source: https://www.investopedia.com/terms/b/business-ethics.asp

Business written and/or unwritten codes of values, morals, and principles of doing business.



The ethical boundaries

Religious boundary

Personal behavior and intentions

Government's laws, rules and regulations

Consumer boundary

Society boundary

Sources of Business Ethic

1. Religion

2. Culture

3. Law

Topic 183

Business Ethics Part 2

Agenda of the video
Business Ethics

Types of business ethics

1. Trustworthiness

Being transparent and honest in all actions and communications.

2. Respect

Respect for employees and customers

3. Fairness

Fairness in dealings with customers and employees

Types of business ethics

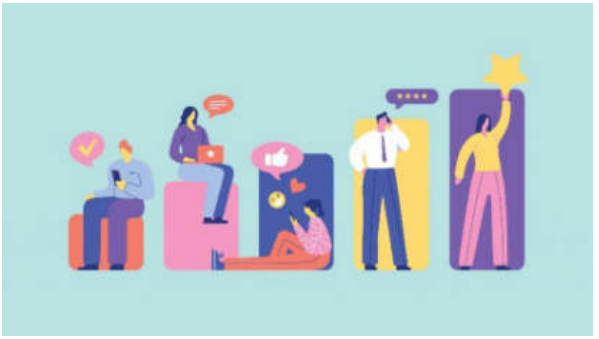
4. Respect for governing laws, rules and regulations
Avoid illegal practices

5. Workplace environment
Diversity, harassment, equal opportunity right, wages, basic rights

Why business ethics is important ?

Business image and credibility

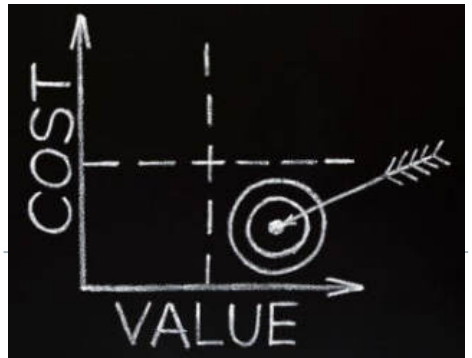
Employees' trust and loyalty



Consumers' trust and brand loyalty

Stake holders and share holders trust and loyalty

Cost effective strategy



Complete PPT Handouts
Theme 01 to 13

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